

# **Welspun Corp Ltd. (WELCORP)**

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Welspun Corp Limited  
Q1 FY 23 Earnings Conference Call

August 05, 2022

Management : Mr. Vipul Mathur - Managing Director and CEO , Welspun Corp Limited

Mr. Percy Birdy - CFO , Welspun Corp Limited

Mr. Akhil Jindal - Group CFO and Head Strategy , Welspun Group

Mr. Abhinandan Singh - Head, Group Investor Relations, Welspun Group

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Hosting Analyst : Mr. Abhineet Anand - Emkay Global Financial Services

## Note:

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Page 2 of 12 Moderator: Ladies and gentlemen, good day, and welcome to Welspun Corp Q1 FY23 Conference Call, hosted by Emkay Global Financial Services. As a reminder all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhineet Anand from Emkay Global Financial Services.

Thank you, and over to you, sir.

Abhineet Anand : Thank you, and good morning, everyone. On behalf of Emkay Global, I would like to welcome you all to the Q1 FY23 earnings conference call of Welspun Corp Ltd.

I would now like to hand over the call to Mr. Abhinandan Singh, Group Head, Investor Relations, Welspun Group to introduce the management team and take it forward. Over to you, sir.

Abhinandan Singh: Thanks, Abhineet. And good morning, everyone. On behalf of Welspun Corp Ltd., I welcome all of you to the company's Q1 FY23 earnings conference call. We have with us today Mr.

Vipul Mathur, Managing Director and CEO; Mr. Percy Birdy, Chief Financial Officer of Welspun Corp Ltd., and Mr. Akhil Jindal, Group CFO and Head Strategy. Along with us, we also have Gaurav Ajjan who leads investor relations for Welspun Corp.

We will as usual start this forum with opening remarks by Mr. Vipul Mathur. And after that the floor will be open for your questions. Should you have any queries that remain unanswered after today's earnings call, you can reach out to either Gaurav or me.

With that, let me hand over the floor over to Mr. Vipul Mathur, MD and CEO, Welspun Corp. Over to you.

Vipul Mathur: Thanks, Abhinandan. Thank you very much. Good morning to all of you, gentleman. Thanks for taking time to attend this call for Q1 FY23 results of Welspun Corp. To start with, I just want to run through the key highlights of our operational and financial performance during the quarter ended 30th June.

We have a very robust order book of 1 million tonne and an active order book of 1.9 million tonne and at this point in time. We are preparing to execute the Welspun Corp largest, single largest order ever valued at INR 5000 crore in the U.S. Our business growth and diversification strategy is on track. As you would have noted, we have completed the commissioning of o

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state of art Blast Furnace and Sinter Plant and our T MT Bar Facility. Have voluntarily published the first business responsibility and sustainability report as an early adopters.

For the quarter, the production and sales volume for our total operations, including Saudi was at 158,000 tonnes and 157,000 tonnes respectively. For India operations, our sales volume was at 92,000 tonnes, for U.S. operations, our sales volume was 7000 tonnes and for our Saudi operations, our sales volume was at 58,000 tonnes.

Let me give some outlook and a brief update and what we see as the key drivers for each and every market where we operate in. As you would have seen, oil prices have moved in a range with concerns about supply as Western sanctions on Russian crude and fuel supplies have disrupted trade flows to the refineries. On the other hand, there are rising worries that Central Bank efforts to tame surging inflation may trigger a recession that would cut future fuel demand.

Spot steel prices across the world have remained under pressure in the last few months. Recessionary pressures, lower consumer confidence and renewed fear of a lockdown in China, have led to a downward pressure on the prices of the steel. We have noticed steel prices have dropped significantly domestically in India after the Ministry of Steel imposed an export duty of 15% in May 2022.

Current environment of high energy prices coupled with decline in the global prices for steel augurs extremely well for us. We are in active discussion for several export orders across the world, which we hope to win in due course of time. This comes at a strategic time when even Welspun Corp Limited

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Page 3 of 12 European Union seeks to wean off its Russian gas flow following the invasion in Ukraine, and is seeking alternative sources. In addition, there is a significant demand for pipes in Southeast Asian market, Middle East market and African market, which should create a robust order pipeline for exports for us in near future.

Let me talk specifically about India. Gas demand prospects in India remain strong as the government has set a target to raise the capital -- raise the share of natural gas in the energy mix from current 6.7% to 15% by 2030. According to IEA, India's total gas consumption is projected to increase by 19% or to 13 bcm during the period 2021 -2025, which is equivalent to a 4% annual average growth rate.

The industrial sector will remain the biggest drivers for growth between 2021 and 2025. Accounting to about 40% of the net increase in India's natural gas consumption. Residential and commercial and transport sectors will make similarly strong contributions and to the continued expansion of the domestic gas grid. Gas use in the power generation sector is likely to decline by 14% in the period 2021 to 2025, as high imported and rising domestic prices rendered gas-fired power uncompetitive relative to other fuels.

Approximately, two-third of India's incremental gas demand is said to be satisfied with growing domestic production. The remaining one-third has to be met with imported LNG, but even after 11% increase in LNG inflows foreseen between 2021 to 2025, total LNG demand in 2025 will stay slightly below 2020 peak, as high prices discourage greater LNG use in the years ahead.

The policy framework remains supportive for natural gas in India, although affordability has emerged as a major concern. The expansion of the city gas distribution grid is set to continue and accelerate further after the conclusion of India's 11th bid round this year. The size of India's gas transmission network could increase by 75% and LNG import capacity could grow by additional 40%, during the forecast period with the completion of project currently under constructi

on.

We are seeing demand coming back in the water sector, which has been very muted since the

start of the pandemic. With the cooling off in the steel pricing projects that were put on hold are now being proposed to be completed. There is an increased traction across states like Gujarat, Maharashtra, Tamil Nadu, Karnataka, Madhya Pradesh, Punjab and Rajasthan. With our Pan India presence, we are likely to see the upside in our business volumes coming from these states. There is a strong intent to meet the ambitious target as envisaged in various government schemes. The focus by both the Central and the State Governments on developing water infrastructure is expected to drive the demand for large diameter HSAW pipe and DI pipes in months to come.

As regards USA, U.S. pipeline operators are expected to have benefited from high oil and gas prices and rising domestic production in the second quarter of 2022. Natural gas projects are expected to be the mainstay of growth in coming years as production rises. There is an increased demand for exports to the new customers in Europe, which is being trying to -- who are trying to diversify away from Russian energy and in Asia, where many countries are boosting imports of LNG.

EIA estimates that U.S. LNG exports average 11.2 billion cubic feet per day in first half of 2022 compared to 9.5 billion Bcf per day in the same period of 2021. It expects LNG exports to average 10.9 Bcf in 2022 and 12.7 Bcf in 2023. After years of under investment in U.S., focus is now boosting the oil and gas supply within the country. The number of active oil and gas drilling rigs in the United States have rose by 272 or 56% in past one year, to the highest point since March 2020.

We recently announced winning of the single largest order in our history for supply of pipes valued at INR 5000 crore plus in the U.S. This order is for to supply 300,000 odd tonnes of large diameter coated pipes for transporting natural gas from Permian Basin to the coast in Houston. The pipes for this order will be produced from our Little Rock Plant in the U.S., and the same will be executed over a period of 12 months commencing the second half of FY2023. This large new order from the U.S. comes on the back of another win we had announced in April '22 of a 26,000 -tonne order from a long -standing customer in North America.

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Page 4 of 12 Coming to Saudi Arabia, Saudi Arabia intends to invest in fossil fuel production over the next two decades to meet the growing global demand and avoid energy shortages. Saudi Aramco aims to boost its CapEx to \$40 billion in 2022 with further growth expected until around the middle of the decade. It plans to raise crude oil maximum sustainable capacity to 13 million barrels a day by 2027, and wants to boost gas production by more than 50% by 2030. With surging oil prices, we are confident that multiple opportunities will arise, both in the Oil & Gas and the Water segment in Saudi Arabia.

In July 2022, our associate company, East Pipes Company (EPIC) which is Saudi Arabia was awarded with a contract by SWCC to manufacture and supply of steel pipes. The contract was valued at SAR 324 million and the same will be executed in this financial year. This is in addition to the recent award of an SAR 490 million contract in May and another SAR 497 million contract in March 2022, both of which were also awarded by SWCC.

As regards Long Steel Products, the infrastructure investment is witnessing a renewed impetus from the government as India aims to achieve a US \$5 trillion economy. A series of structural reforms have been announced that have set the foundation for economic growth on the back of the infrastructure development. One such reform taken last year, was

the launch of the PM Gati

Shakti National Master Plan. This INR 100 lakh crore mega plan was launched with a digital platform to bring 16 ministries together for integrated planning and implementation of projects. Under the Pradhan Mantri Awas Yojana -Urban's 'Housing for All', central assistance has been provided to the states and Union Territories since 2015 for giving all -weather "pucca" houses to eligible urban beneficiaries including homeless people. Based on the project proposals submitted by the states and Union Territories a total of 1.22 crore houses have been sanctioned till 31 March, 2022 of which around 41 lakh houses have been sanctioned in the last two years. Overall, the focus on development is visible and the demand for Long Steel Products will be supported by increased spending on infrastructure and construction.

Welspun Specialty Solutions Limited. Our Stainless -Steel Bars volumes were higher by 997% and Pipe volumes were higher by 93% for the Q1 FY23, both compared to the corresponding period in the previous year. The BIS standard for Seamless tubes & pipes which is BIS 17875 has been introduced which is favorable for WSSL. The company has already initiated the process to obtain the accreditation.

Welspun Steel has also received its first order from an Oil & Gas sector PSU, for Monel 400 Grade tubes. The company delivered its first order of High -Pressure Heater tubes in Grade 304N "U" Tubes. Overall, WSSL is expected to improve performance to sustain on the back of several new customer approvals and accreditations.

I would also like to inform and bring you on speed on few additional business updates.

Number one, Dividend. As you would have noticed, the Board has recommended a final dividend of INR 5.00 per share which is 100% of the Face Value for FY22 and the same was paid after the AGM on 29 July, 2022. We have demonstrated a strong performance track record with average sales volume of more than 1.1 million tonnes in the last 5 years which has led to a generation of healthy cash flows from our businesses. This has helped us in deleveraging and strengthening our balance sheet while reinvesting for growth. In addition, this has enabled us to reward our shareholders. We have been a consistent dividend paying company and also did a buyback of shares in FY2020.

Update on Ductile Iron Pipe & TMT Bars Projects. The commissioning of our Blast Furnace and Sinter plant, and TMT manufacturing facility in Anjar, Gujarat was completed in July of 2022. The Blast Furnace can produce approximately 500,000 tonnes of hot metal per annum which will primarily be used for manufacturing Pig Iron and Ductile Iron Pipes. The trial production of Ductile Iron pipes have also started and the facility has recently received its first phase of BIS certification.

This integrated steel complex is equipped with the latest cutting-edge technology, which includes Blast Furnace, Sinter Plant, PCI plant, Oxygen Plant, Coke Oven, besides a 400,000 tonnes per annum capacity DI plant. The TMT manufacturing facility also has a capacity of 350,000 tonnes per annum. We have an existing manufacturing set-up of BIS Certified Steel Billets and which will be used as input for the manufacture of these TMT bars.

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Page 5 of 12 The acquisition of Sintex BAPL NCD. Welspun Corp's growth story entails creating a diversified product portfolio, repurposing its business and to add new target segments, expanding its offerings to address both B2B and B2C's markets, and thus making well considered strategic acquisitions. In this regard, we have acquired Sintex BAPL Non - Convertible, NCDs with an outstanding of INR 1,222 crore for the purchase price of INR 418 crore as on date by our wholly-owned subsidiary i.e

., Mahatva Plastic.

On the ESG initiatives, I just want to update that SEBI has stated that with effect from the financial year 2022 -2023, filing of BRSR will be mandatory for the top 1,000 listed companies by market capitalization and shall replace the existing Business Responsibility Report. Filing of BRSR is voluntary for the financial year FY2021 and 2022. As a proactive measure, we have mapped ESG information with the requirements of BRSR. In the coming years, our strategic focus would be to undertake action and allocate adequate resources to achieve our ESG goals in alignment with our associated business goals.

Some of the key priorities areas for us are: energy -efficiency measures, prioritizing renewable energy strategies; effects on the wellbeing and prosperity of employees and stakeholders; monitoring targets and communicate to stakeholders on a timely basis while prioritizing our Environment and Social goals; sustainable supply chain program and highest level of transparency and disclosures. We have a holistic long-term vision aligned with our business, social and environmental objectives aimed at establishing a healthy ecosystem of economic growth and societal value creation. As we move into the future, ESG will be the cornerstone of our financial success, competitive advantage, and future accomplishments.

I also take this opportunity to update you on our future performance drivers. Number one.

Hydrogen. As energy demands across the world evolve rapidly, we are undertaking strategic interventions in new opportunities and segments. We have joined a global H2Pipe Joint, Global JIP for the Design and Operation of Hydrogen Pipelines launched by leading industrial certification body DNV. We are helping to develop a recommended practice for design, re-qualification, construction and operation of pipelines for hydrogen gas transportation.

As a Steering Committee Member, we will be collaborating with top 24 world premier energy companies, to provide technical expertise in the project and aiming to lay the foundation for the hydrogen infrastructure. We have signed an MOU with Tata Steel to develop the framework for subsequently manufacturing steel and pipes for transporting of pure hydrogen and natural gas-blended hydrogen. The green energy strategic partnership is to assess the suitability of various pipes manufactured by us for the transportation of Hydrogen. Apart from hydrogen, we are also very focused on Carbon Capture & Emission Reduction Technologies, Green Steel and Investment Renewables to meet Carbon Reduction Targets.

Number two, is about the DI Pipes. The Jal Shakti Ministry has allocated approximately INR 86,000 crore for FY2023 for developing the DI infrastructure network in the country. Our internal based on the interactions with various industry participants, indicate a robust demand for DI pipes over the next five to seven years with projected demand outstripping supply. We currently estimate that almost 2.3 million tonnes of DI Pipes are likely to be bought in the financial year FY2023.

Stainless Steel Tubes & Pipes. There is a big push for localization of these projects Atmanirbhar Bharat. Implementation of the quality order, mandatory BIS certification and

restriction on imports from China are the key drivers to the both of these sectors. The key areas where we would be servicing or supplying our stainless-steel pipes would be Power, Nuclear & Defence where we see a significant demand pull.

TMT Bars. As I explained there is a demand uptick stemming from the Government's thrust on infrastructure, particularly in the rural markets, apart from a pickup in the construction activity. This will lead to an increased offtake of Long Products. The government has a fixed objective of increasing rural consumption of steel from current 19.5 kg/per capita to 38 kg/per capita by 2030 -31.

Polymers. India's per capita consumption of polymers

stands at 11 kgs, which is one tenth of that of that what United States and less than a third of that of China consumes. There has been a rapid rise in polymer consumption in India in the last few years. It is estimated that the polymer consumption will continue its growth momentum and record a CAGR of more than Welspun Corp Limited  
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Page 6 of 12 8%. Consumption is expected to double by 2030 and thereafter quadruple from the current level between 2030 and 2040.

In this regard, we have taken a strategic position on acquiring the NCDs for BAPL. As you know, Sintex is a National Brand with more than 10% market share in 2018. It has three major lines of businesses: one, Water Tanks, other was OEMs for Automobile and third was Fuel Tanks for Autos. Before getting into financial stress, Sintex had a turnover of more than INR 1,700 crore in FY19 and an EBITDA of Rs. 270 crore implying a 16% margin.

The diversification into the B2C segment will help WCL to significantly expand its base, enhance its brand, penetrate new markets, and build a distribution network and provide opportunities to develop new products. Sintex BAPL is a popular Water Storage Tanks, which have a strong brand connect with consumers. It has a whole sale and distribution network of approximately 900 Distributors and 13,000 Retailers. There are potential synergies for leveraging this extensive Distribution Platform for our products within the group. In addition, the distribution reach can help us to incubate and launch new project and establish a new Building Materials vertical at WCL.

With this, I will conclude my opening remarks. I will be happy to take any questions if you have. The floor is now opening for the questions. Thank you.

Moderator: First question comes from the line of Vikas Singh from Philip Capital.

Vikas Singh: Sir, I want to understand the subsidiary performance. What kind of losses we had in the U.S. subsidiary this quarter? We understand that SS Tubing has INR 3 crore kind of losses, so is that remaining INR 47 crore of the EBITDA loss coming from U.S. alone or there are something else to it?

Vipul Mathur: So, in the U.S., as you know that we have the order for almost 300,000 odd tonnes which will start the production and execution some second half of this year, commencing September. We also have an additional order for which the production has just started. So, in this particular quarter, it was -- there were losses because there was, the production of volumes was absolutely low all what we were producing was only the ERW pipes. So, I'm sure that in the second half of the year, we will see the complete production coming back down the streams and then for the next six quarters it will be continuously operational.

Now coming to the comments, coming to the stainless steel part of plate. There was a -- we had an EBITDA neutral there. We had come out from the red for the very first time the company seems to be in black. And that is what we were anticipating and from here on order book and the market potential I think so the -- from here on quarter on quarter we will see things only improving from here.

The other subsidiaries was our big startup businesses, as you know they were into the project state at this point in time. So, there were certain losses which could not have been capitalized, those losses have been coming up.

Vikas Singh: So, that US subsidiary losses can we quantify how much that was, at least?

Percy Birdy: So, Vikas at the EBITDA level, as the MD mentioned in WSSL we had a positive EBITDA of INR 1 crore not in the public domain because WSSL is a listed company. And in the startup businesses, which is WML, WDI, that's the DI business and also the Steel Billets business and the Greenfield venture of ATMT,

all put together we had about INR 13 crore of EBITDA, negative. So, that's why you will notice that the standalone numbers and the consolidated numbers, you will find that these startup operations subsidiaries are making that the standalone EBITDA looks a little higher.

Vikas Singh: Understood, sir. Sir, recently this Trans-Saharan pipeline has got signed by almost all of the interested party. Just wanted to understand the opportunity, are we present in that geography and would that opportunity is also addressable by us or we are looking somewhere else

etcetera? So, if you could just give us a little bit thought about the European diversification on point of view.

Vipul Mathur: Vikas, when you say Trans-Saharan, I guess you are reflecting to this EACOP pipeline?

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Page 7 of 12 Vikas Singh: Yes, so recently that 13 billion I think the project cost pipeline deal has been signed last week only, which was basically -- so that pipeline which was supposed to go through Nigeria, Algeria and transport the gas to Europe, basically?

Vipul Mathur: Yes, the name of that pipeline is EACOP pipeline. I think so it has complications for quite some time. We have been actively pursuing that pipeline for a couple of years. Looks like they still have some financial challenges around that. But I'm sure that it will come to a logical conclusion within this financial year, that's the sense we are getting. It's a project from Total as a frame contract signatory with Total we are actively participating into that particular project. We are there into the game, but we have to see that in what direction it will go because they have an option to buy either longitudinal pipe or even an ERW pipe. So, we have positioned ourselves for the longitudinal pipe, if they buy longitudinal then we would -- we are there actively with them. But if it is an ERW pipe, then they will look at some other options. So right now, it is a work in progress. We are poised there; we are active player.

Vikas Singh: And sir, some thoughts on the European gas diversification from Russia. How do you see that panning out or any thought process, any progress which is happened in that geography?

Vipul Mathur: There is going to be a robust demand which is going to come up from Europe is specifically in two particular areas. Number one is hydrogen, as they are looking for alternate fuel. And also, we are seeing some business opportunities coming up in Turkey. We are also hearing about revival of the EastMed pipeline. So, there are quite a few activities. Those who have gone to the backburner, now they are coming back onto the screen and we are actively involved in pursuing each and every opportunity of them. I hope that in the -- by the end of the financial year or Q4 of this financial year, and over the next year, there would be some opportunities which we will come up and we will be an active participant in all those opportunities, please.

Vikas Singh: Understood, sir. Sir, my second question towards the Billet and SS segment, by when do you think that you would be able to turn around these companies at the PBT level and they will stop being a drag on the cash flows of the pipes?

Vipul Mathur: On the billet, the whole purpose of putting upstream this TMT mill was to de-risk our business of billet, because selling of billet is much more challenging than selling off TMT bars or the long product and that is what the rationale of our investment is and we are absolutely on track, by the quarter we would be done with the complete commissioning of our project of the TMT project. And from the third quarter onward you will see that TMT bars going into the particular market and I think that will possibly help in terms of stopping any drag which was happening

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on the balance sheet.

Vikas Singh: Understood. And sir lastly, some update on this Sintex, do we require more investment there? What's the roadmap there basically?

Vipul Mathur: It is a work in progress. At this point in time, it is undergoing a process. And we are, as you know that we have taken some NCDs almost INR 418 crore that we have already purchased. It is a work in progress, it is going to take some time and once we are absolutely on board then we are try to quickly to further growth strategy for that.

Vikas Singh: Understood, sir. And sir, just one last question if I may ask. So, since you don't give guidance, but can we assume that the since second half of a significant portion of the U.S. order will start flowing in, then we would be seeing the performance like in what we have seen in FY20, first half significantly lower and second half tremendously good and making up for all the first half, basically?

Vipul Mathur: Vikas that's a very good question. Let me just give you a little background to this. See the first half performance cannot be a reflection of the yearly performance. First half performance was, is also a reflection of the commodity surge what we have seen during the Q4 and the Q1. The buying pattern has completely stopped, the commodity pricing was extremely high. There was a quite a bit of a slowdown which has happened because of that.

Since May, things have started cooling off and we are seeing that the commodity prices are now coming back onto the track, which means that the production is also -- the buying is also coming onto track. And as the buying comes on track, the executions will start maybe a quarter thereafter.

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Page 8 of 12 So, you are absolutely right in your assumption that in the second half of the year, you will see a sort of a superlative growth coming up into the performance, and on a yearly basis and we have always said that this company needs to be watch on the yearly performance rather than on

a quarter -on-quarter performance. I am sure that we will be able to meet, if not exceed the expectations of this.

Moderator: The next question comes from the line of Shailesh Raja from BNK Securities.

Shailesh Raja: Generally, you give geography wise EBITDA pertained guidance for India around \$70, U.S. is around \$200, \$250 and Saudi around \$150. And we were having one-line pipes, now, we have ventured into multiple products like steel billet, steel TMT, DI pipes and stainless-steel pipes. Can you please give product price normalized EBITDA pertained guidance? And also, when we'll start seeing this normal EBITDA patterns from these new products?

Vipul Mathur: See, giving -- while on the pipe side of it, it is a very steady state established business and we have there is a long history around those products and you have been monitoring the performance and the EBITDA delivers on that. That's why it is easier to give a guidance around that product.

At this point in time for the newer product like the TMTs and all that stuff, I think so as and when they come on to the stream, which is going to happen in this particular quarter, I think so once those businesses come on stream and they start stabilizing, I think so that that will be a very appropriate time Shailesh to give you a guidance. We don't want to give any guidance which we don't -- which wish we cannot live up to. So kindly allow us some more time to first settle down that businesses and then start giving guidance around that, please.

Shailesh Raja: Sure, sir. And also in the last five, six months our order books has jumped sharply. So, of these incremental new orders, how much is back-to-back RM is schedule and how much it is kept open. And also, in U.S. the new order is expected

to start executing completely FY23. So, how the flow of the order execution will be, sir, this 3.7 lakh tonnes in U.S. will be spread over five to six quarters or within three, four quarters we can easily get the entire 3.7 lakh.

Vipul Mathur: So, Shailesh that's precisely the point I was trying to highlight. If you see January, February of this particular year, we had an order book of almost half a million tonne, right? From then, till June, we have almost doubled our order book which is a very clear indication that we have been -- our success rate has been higher, we have been able to book order and more than a million tonne of an order is now under your build, which we are going to execute. So, there is nothing called uncertainty about orders at this point in time. It's only about the timing part of it, as these orders have been booked in the last one quarter or so, it takes a time before coming to execution.

Most of these orders will come into the execution the second half of the year and that is where we are saying that the H2 performance is going to be completely different, what you are going to see in H1. As regards, the U.S. order it is also falling into that particular category, directly to start the production and the dispatches around that order sometimes around September and this order which is almost more than 300,000 tonnes will get executed over at least five quarters.

Shailesh Raja: My last question is, could you please talk about the hydrogen pipe in detail what value are you going to do and what is the opportunity as seen in the long term?

Vipul Mathur: So, on the hydrogen pipe we are working on two strategies. Number one, on one side we are a part and an active member in terms of right working out the specifications and what should be the processes and all that stuff, and that is where we have joined a JIP with DN V. That is one side of it.

On the other side of it. We are also collaborating with the steel suppliers globally including in India with Tata, where we are trying to work around development of steel, how that steel can be converted into that pipe and those pipes are compatible for taking 100% hydrogen as a carrier. So, we are working on these both sides.

I think so it's a journey and we expect this journey, we are seeing this journey is getting fairly accelerated at this point in time. And I'm sure that in next 12 to 15 months' time we could potentially see the hydrogen pipes coming into play. It's a huge market. It's a huge demand

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Page 9 of 12 which is going to come up for the same. And we are very, very buoyant that our future, when we are talking of FY24 or '25 there would be a significant portion of our revenues and earnings can come from this particular market. That's how we are -- that's what we are anticipating, that's what we are hoping and it is in that particular direction we are working for.

Moderator: Next question comes from the line of Krishna Agarwal from Niveshaay.

Krishna Agarwal: My first question is on the side of DI pipes. Are we getting any order or have you got any order from the DI pipe segment?

Vipul Mathur: On the DI side of it, as you know that we have just commissioned the plant. Right now, we are into that trial modes. We have already got our BIS approvals, the phase 1 of our BIS approval. We are seeing, as I just mentioned in my opening remarks that there's a huge tailwind for the order. I think so, the demand projections are looking extremely robust at this point in time. And we are at this point in time, we do have some orders and also we are working in terms of our approvals and acquisitions with the various state agencies that work is already in progress. We



have been very successful in few states. And then in some of

her states also we are making our outreach, and in times to come I think so, in next one quarter or so, we should have our dominant presence, or we should rule in most of the states where we want to make our impact felt. So, I think that's a work which is absolutely working in the right direction. And we are also getting a good support and a good traction from the market. And we do have some orders coming in, trickling into our system, which we are aiming to execute in the second half of this year.

Krishna Agarwal: My next question is, regarding do we have any difference in EBITDA margin as to HSAW pipes and DI pipes? And what exactly could you put the numbers that demand and supply gaps, that's how much tonnes capacity we have and how much tonnes capacity we are forecasting?

Vipul Mathur: So, in terms of capacity, Krishna, we have this project is almost close to 400 tonnes capacity. And our intent would be to use it to the maximum extent over a period of time. It is not that in the very first year we are going to use the fullest of the capacity, it is going to be a gradual ramp up and that is how we want to do it. It is because we want to be a very responsible and quality conscious in so called little unorganized market. So, we are taking our time in the right direction and I think so in the -- it would be our intent to at least do our utilization to the extent of 25%, 30% in this year and then gradually ramp up over the next two or two and a half years' time.

Krishna Agarwal: And EBITDA margin in the sense, do we have an EBITDA margin difference in DI and HSAW pipes?

Vipul Mathur: This EBITDA margin completely depends on your input raw material, I think so, we are seeing a significant correction in the commodity pricing with respect to both in terms of iron ore as well as coal, because they play a major role in the pricing of this. Right now, everyone has bought, everyone is having an inventory including us, which is at high price, because they were bought like three months back and at that point in time the commodity prices were extremely high. But as things have started tapering off, I think so and the commodity started coming down, the balancing of the pricing has also started coming down.

So, we will see -- so EBITDA margins maybe in this particular quarter could be very skewed, but in the subsequent quarters coming up, I think so it will be very harmonized. And as we get into execution mode, see right now we are just completing our trial and we are just starting getting into an execution mode, I think so I will be much better placed to give you a much more clearer and a firmer guidance on the EBITDA margin, once we ramp up our production to a certain level, please. So kindly help us and bear with us for some more time, one more quarter and then we will be able to bring far more clarity on this particular subject with respect to the margins.

Krishna Agarwal: Also, which regions we are going to cater in DI pipe segment?

Vipul Mathur: Pan India. We will have a Pan India presence.

Moderator: Thank you Next question comes from the line of Nirav Shah from G e e Cee Investments.

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Page 10 of 12 Nirav Shah: So, I have a few questions. Firstly, sir, if you can just share the plantwise breakup of the order book and of the India book. What is the proportion of exports of the India book per se? That's the first question.

Vipul Mathur: We have almost close to a million tonne of order book at this point in time. If you look at our Saudi business, let's just start with India. Our India Business is almost close to 350,000 tonnes. Our U.S. business is also around 370,000 tonnes. And our Saudi business is also close to 300,000 tonnes. So, it is a very equal and uniform spread across all the

three geographies,

almost making up to a million tonnes of the business.

Nirav Shah: And what's the proportion of export book out of the India order book of 350,000 tonnes?

Vipul Mathur: It will be close to more than 50%.

Nirav Shah: More than 50%. Got it. Sir, the second question is you just mentioned that we were carrying some inventory, high cost inventory and prices that correct. So, were there any inventory losses in our steel business during the quarter? And second question on this is what was the EBITDA performance at the U.S. subsidiary for Little Rock, I mean, is there a reason we lost something, if you can just quantify the loss?

Vipul Mathur: There was a marginal loss which has come up because of no production, almost a very limited production in this particular quarter, in U.S. I mean, we will see a major production happening September onwards which means in the quarter 3 and the quarter 4, that is where the maximum production and the dispatches are going to happen. Right? In the quarter 1 and quarter 2, and we have the backlog of orders. We have the steel for that order. Not that you know there's any uncertainty around it. It is just a matter of timing when things are going to get started on the ground. And that is going to happen from the quarter 3, so that is where you will see a

significant jump coming up.

But till that time, because of low production in the fixed costs is slightly going up because we are in the process of recruiting and augmenting the scale of our operation. So, there is likely to be some losses which are going to come up not very substantial, minimal losses are likely to come up. So, that U.S. things looks slower.

As regards the inventory. In our -- typically in steel business, you have to have an inventory or you have to keep an inventory of almost like 75 to 90 days which is about iron ore in the code and like any steel producing company we also had taken -- we have it also on the ground and to that extent the commodity prices since then, and now has significantly tapered off. So, you know when we thought of an hybrid analysis at the end of the year we will be okay but on a quarter-on-quarter basis, it might look a little out of place at this particular point in time, but over the period for the next three quarters it will get completely evened out.

Nirav Shah: Got it. And sir, third question is on Sintex. By when do we expect to take over the management control of that entity and all the formalities getting completed?

Vipul Mathur: It's difficult to answer. See it's a process you have participated into a process we are -- and from our side we are making our best effort but to put a timeline to that becomes difficult, because these are quasi-judicial processes and you have no control on to that. But we are hopeful that -- what is of interest and what is of significance, the process seems in the right direction. It is all the indicators are fairly encouraging and we are very optimistic and hopeful that things will turn out in our favor, in times to come. Given it could be a little out of whack and this point in time.

Moderator: Next question comes from the line of Abhishek Ghosh from DSP.

Abhishek Ghosh: So just in terms of the while you did allude to the point that second half for domestic is going to be strong, but if you can just give a broad range given that the commodity prices have kind of seen fairly good correction, the order inflow which is coming in from both oil and gas and water, because if you look at last four to five years, you used to do volumes, the domestic part of the business, anything in the region of 5.5 lakh odd tonnes to 6 lakh odd tonnes. So, should we -- the kind of visibility that you have in FY24-'25 Will you be able to surpass those previous trends given the sharp improvement in the overall CapEx that is happening in both water and oil and gas at the same time? Just some thoughts there, will be helpful.

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Page 11 of 12 Vipul Mathur: See, on the oil and gas side, I think so things are moving as they were planned, I think so, there was a very steady state of business which was there in oil and gas because the drivers for that business were very different. And that business was very strong demand. Right? And in a very good pricing, which was available to the oil and gas company. So, oil and gas business, did not get impacted.

Of course, now with the steel pricing further tapering off, we see more businesses or more projects to come up on the table. But on the water, Abhishek I think so what happened was that because of the commodity or the steel pricing going up, the steel domestic steel was almost INR 80,000 a tonne, right and now INR 80,000 a tonne it has come down to almost INR 56,000, INR 57,000 A tonne. So, that correction which has happened over the last two months, I think that is generating confidence into people and I think so that is where the buyers is back into the market and they have started buying, we are seeing a traction in the people buying for those all the stalled projects.

As we are speaking we will see that in this particular quarter we will see a lot of opportunities, which will be converted into business opportunities and that opportunities will get converted into a sale in the quarter 3 and quarter 4. So, I am sure that in quarter 3 and quarter 4 you will see a much highest production and dispatch volumes in the domestic water sector in India as well.

Abhishek Ghosh: Sir, just two more things. In the current order of about 3.5 lakh tonnes the domestic part of the business what is the execution timeline for the same?

Vipul Mathur: This order book, in terms of percentage, I would say that most of it almost a 75% to 80% would get executed in this financial year. Only a small -- only the residual component of some export orders will go over to the first quarter of the next year. And but -- which could be around 20 odd percent, but almost 70%, 75% of the order book will get executed in this financial year itself. I'm talking about the India order book.

Abhishek Ghosh: Yes sir. I'm referring to the 3.5 lakh tonnes of India order book, that you referred to.

Vipul Mathur: That's correct.

Abhishek Ghosh: And in terms of the active bid book that you spoke about of I think of almost 1.9 million tonne if I'm right, that's what you mentioned in the presentation as well. If you can give a broad sense in terms of the various geographies that will be helpful?

Vipul Mathur: You're right. Almost our active bid book stands at close to almost close to 2 million tonnes at this point of time, and we are seeing sort of growth in every geography. We are seeing Europe,

we are seeing opportunities in Europe, as I was just earlier mentioning about on one of the questions raised by Vikas, and we are also seeing a huge traction coming up in Latin America. We are seeing, business ramp up in the Middle East market. We are seeing a lot of business opportunities coming up in the Southeast Asian and the Australasian market. And as you would have seen that we won four back-to-back consecutive orders in the Southeast Asian market. So, all in all, if you look at it, if you exclude U.S., for the time being we are seeing growth in Europe, we are seeing growth in Latin America, we are seeing growth in Southeast Asian markets. And when I say growth, I mean that there are active projects which are up on the table, where we are one of the participants that is how this bid book is looking at close to INR 2 million tonnes.

So, in terms of opportunities, I think so there are significant opportunities which are emerging globally now, and which is a very healthy

sign. We are seeing this sign after a very long time

and looks like and as I have always been saying that this cycle is going to continue for next five to seven years' time and we are very optimistic that we will have a major role and a leading role to play in addressing the requirements around that.

Abhishek Ghosh: Okay. And sir, just one last question in terms of the active bid book of almost about 2 million odd tonnes that you are seeing now, what was this number say pre crisis? Just to get a sense and if we can get that number for ex U.S., I think that'll be good. Just a broad sense.

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Page 12 of 12 Vipul Mathur: See what happened? They dropped down to almost 1.2 million tonnes at one point in time during the pandemic and that time, but more than that, that decision making got impacted. It was not that this bid book went down, it was decision making that was getting impacted. And the moment we saw that the pricing is firming up, the moment we saw the supply chain, the supply chains are getting restored. Now we are seeing that bid book also going up and that decision making also coming up on the table. So, there is a little shift which has happened now.

Moderator: Next question is from the line of Anurag Patil from Roha Asset Management.

Anurag Patil: Sir, for whole year FY23, can we say around 9 lakh to 1 million tonne total pipe volumes are possible, in terms of execution?

Vipul Mathur: In terms of the pipe business, you are talking, Anurag?

Anurag Patil: Yes, sir. On pipes. Yes, sir, pipes.

Vipul Mathur: It is possible, it is definitely possible. And if you see Anurag, you see our track record, during one year which was the pandemic year, the second part of the pandemic year, I think so consistently we have been delivering a performance of more than a million tonnes on a year-on-year basis. So, I see no reason that why should we be now when things are showing signs of improvement, we are seeing a tailwind to business and our performance, operational readiness is also even better at this point in time. I see very -- I feel very optimistic that we should be able to deliver and perform more than a million tonne of pipes this year.

Anurag Patil: Okay. And sir, on the India side now 50% of the order book is on the export side, where you must be witnessing better margins. So, can we say our India profitability will be a little higher compared to historical levels, this year?

Vipul Mathur: Today, the mix of the business, what we have is definitely better than what we had in the past.

We have to understand is a distinction in the past, there were limited opportunities and everyone was craving for texture on those opportunities. That's not the case anymore. I think so and that -- now there are multiple opportunities and some quality opportunities are coming up on the table, which is what the Welspun business is all about. Deep offshore, critical applications, niche customers, we are seeing all those people now coming back into the market. So, our order book reflects a quality jump into our product portfolio. So, to that extent, we see our margins also slightly improving in terms, what we are seeing in the past so, as we execute, I'm sure that you will see -- you will also see the margins improvement coming up into play in comparison to the last year.

Moderator: Thank you. As there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to Mr. Vipul Mathur, MD and CEO of Welspun Corp., for closing comments, please go ahead.

Vipul Mathur: Gentlemen, thank you very much for taking your time out on a busy day. We greatly appreciate your participation today. And I just want to conclude by saying that please do not -- please look

at us from a year-on-year perspective. We have a very robust order book at this point in time

under our belt, we will -- you will see a drastically upgraded performance in the second half of this particular year because that's the nature of the business what we are in. And having a confirmed order book under your belt is always, is the key ingredient for that.

On the steel side of it. We are absolutely focused at this point in time while we have commissioned, we are taking time in terms of now settling down the businesses, and I'm sure

that in the quarter 3 and the quarter 4, you will see robust performance coming up from the steel businesses as well. So, we appreciate your faith and your trust in our company. We will continue to do so.

And with that, if you have any other pending questions you have in mind and please reach out to me or to my team and they will be completely answered, but once again thank you very much for taking time out today morning and wishing you all the very good, all the best and thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Q2 FY 23 Earnings Conference Call

November 03, 2022

Management : Mr. Vipul Mathur - Managing Director and CEO, Welspun Corp Limited  
Mr. Percy Birdy - CFO, Welspun Corp Limited  
Mr. Gaurav Ajjan - AVP and Head – Investor Relations and Strategy, Welspun Corp Limited  
Mr. Abhinandan Singh - Head, Group Investor Relations, Welspun Group

Host: Mr. Abhineet Anand - Emkay Global Financial Services

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Moderator: Good day, ladies and gentlemen, and welcome to the Q2 FY '23 Results Conference Call of Welspun Corp hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Abhineet Anand from Emkay Global Financial Services. Thank you, and over to you, sir.

Abhineet Anand: Thanks, Michelle. I'd first like to thank the management of Welspun Corp for giving Emkay Global to host this call. I would like to hand this call to Mr. Abhinandan Singh, Head, Group Investor Relations. Over to you, sir.

Abhinandan Singh: Thanks, Abhineet, and good afternoon, everyone. On behalf of Welspun Corp Limited, I welcome all of you to the company's Q2 FY '23 Results Earnings Conference Call. We have with us today ; Mr. Vipul Mathur, Managing Director and CEO; Mr. Percy Birdy, Chief Financial Officer of Welspun Corp Limited and also along with us, we have Gaurav Ajjan, who leads Investor Relations for Welspun Corp . We will start, as usual, with opening remarks by Mr. Vipul Mathur, and after that, the floor will be open for your questions. Should you have any queries

that remain unanswered after today's earnings call, please feel free to reach out either to Gaurav or to me. Our coordinates are available on our website.

With that, let me hand over the floor over to Mr. Vipul Mathur, MD and CEO, Welspun Corp.

Over to you.

Vipul Mathur: Thank you, Abhinandan, and very good afternoon to all of you. I really appreciate you -- all of you taking time out for today's call, our earnings call for Q2 FY '23. Let me start with the key highlights and the performance during the quarter ended 30th September 2022.

We have seen a strong business outlook with clear earnings visibility for the next several quarters. Our order book for the line pipe is approximately 1 million ton and an active bid book of close to 1.5 million ton at this point in time. We are also pleased to highlight that we have won a significant order under the New Energy Space, which is a carbon capture pipeline project in the US. We have started our regular dispatches for the Ductile Iron plant. We have also acquired the specific asset of ABG Shipyard. We also have a little downside in terms of our earnings, mostly on account of the inventory cost, the inventory cost what we have been carrying in our Steel Vertical, and which I'm going to talk about it in my subsequent part of the conversation.

So for the quarter, the production and the sales volume in line pipes for our total operations, including Saudi, stood at 215,000 ton and 218,000 ton, respectively, 215,000 tons was of production and sales was 218,000 ton, out of which India sales volume -- out of this 218,000 tonnes, India did 140,000 ton, US did close to 9,000 ton and Saudi did something close to around 70,000 ton.

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Let me now give you a brief outlook and an update on each of the every verticals and the geographies in which we are present. So for your better understanding of the business. So first, let me talk about the pipe vertical, which is about line pipes. The line pipe has seen a robust performance, with a global sales volume of 218,000 ton and an EBITDA of INR 256 crores for the quarter. This EBITDA includes INR 104 crores from the sale of land and civil structures in the Dahej. Further, the US production has also significantly ramped up, and the dispatches against the project will start end of Q3 or

early Q4, and thus, we will see a significant contribution coming in our FY profitability. The confirmed order book of line pipe business is close to 1 million ton, and the company is in favorable position for a few additional large orders. This gives us a clear business and earnings visibility for the next five quarters to six quarters till the end of FY '24.

If you see, OPEC-plus has also taken a decision to cut a massive 2 million barrels per day of oil production, which is equal to 2% of the global supply in their meeting held in early October to try and create a tighter demand-supply balance in the global market. It is estimated that the oil demand and price, both are likely to stay firm for the foreseeable future.

On the Steel side, we have seen significant downturn, correction in the prices owing to the recessionary pressure, lower demand conditions in Europe and worries about the Chinese housing market, the China housing market. In India, the steel prices have also corrected significantly, more than 20%, after Ministry of Steel has imposed an export duty of 15% in May 2022.

As regards how it reflects, pan out for India, the current environment of reasonably high energy prices compared with a decline in global price of steel, we feel will lead to a robust capex cycle in the oil and gas sector globally, which has been dormant for the past few years. We are seeing resurgence of various stalled projects and are in active discussion for several export orders across the world with focus on Europe, Australia, South America, Southeast Asia and Middle East.

The Indian government also has envisioned a very clear road map for the energy with a major focus on gas as a cleaner fuel. The gas demand prospects in India remains strong as the government has set a target to raise the share of natural gas in the energy mix from current 6.7% to 15% by 2030. Gas demand will be driven by fertilizers, CGD players, petrochemicals and refineries. This will result in continuously expanding the gas and the CGD pipeline network on PAN India basis and will be a key driver for the growth for the line pipe industry.

Similarly, the correction in the domestic steel pricing has brought back the demand in the water sector, as there is an accelerated need for the development of irrigation facilities. We are also seeing increased engagement across the states of Gujarat, Maharashtra, Tamil Nadu, Karnataka, Madhya Pradesh, Punjab and Rajasthan. There is a strong intent to meet the ambitious target as envisaged in the various government schemes. The focus both by the central and state government on developing the water infrastructure is expected to drive the demand for large diameter pipes for water applications.

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As regards to US, after a year of under investment in oil and gas exploration and infrastructure, the US is now focused on boosting its oil and gas supply to cater to their domestic energy needs as well as for exports to cater energy needs in Europe. The number of active oil and natural gas drilling rigs in the United States have risen by 229 or almost 42% in the past year to the highest point since March 2020.

The increased drilling activity is necessitating the need for creating additional gas export clients. Volumes are set to reach more than 21 Bcf per day by the end of November, according to an EIA report, and it will be a record high and up by 9% since last year. The Permian basin, where the maximum drilling activity seems to be happening, will need additional two or three large gas pipeline projects for the evacuation of gas to the Gulf Coast in the coming three years to five years.

There is also an extremely strong focus on new energy, including carbon capture and ammonia pipelines. We recently announced winning a significant order for a carbon capture pipeline project in the US. This order is for supply

of almost 1,200 kilometers of HFIW pipes, and will

be used for transporting captured carbon dioxide. The pipes for this order will be produced at our Little Rock plant in the US, and the same will be executed during FY '23, '24.

Given the commitment for reducing greenhouse gas emissions and the incentives attached to this sector, we would see a very robust demand for such pipeline for the next couple of years. With Welspun being one of the largest players in the Northern American continent, we are confident of maximizing our capacity utilization and earnings and profitability for these assets in subsequent year also. It is also very pertinent to mention that at this point in time, we have a large order book which is taking us at least till the end of the third quarter of the next financial year, both for our spiral pipe as well as for our HFIW pipe.

Coming to Saudi Arabia. Saudi Aramco reported its highest quarterly profit for the period of June 30th, 2022 since the company went public in 2019, boosted by higher oil prices and refining margins. The company expects both the oil and gas demand to continue to grow for the rest of the decade. Saudi Aramco stands ready to raise oil output with maximum sustained capacity of 12 million barrels per day, and have announced a capex enhancement from SAR 31.9 billion to almost close to SAR 50 billion for this year.

On the water side of it, SWCC, which is the largest desalination corporate in the world and is providing water to over 34 million people. For the distribution of desalinated water, seven additional large water infrastructure projects are planned, which would result in a total demand exceeding 3 million tons of pipe over the next three years' time. So with the high oil prices, increase global demand, the current geopolitical situation in the world, we see a robust business opportunity for the next five years or seven years in oil and gas as well as in water sector in KSA. This, again, with us being Welspun, or our company's East Pipe being one of the largest players in that domain, we are confident of maximizing our capacity utilization, earnings and profitability for this in H2.

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Now, let me draw your attention to our Steel Vertical. In our Steel Vertical, we have two legs: one part is with respect to Pig Iron and DI pipes, and other leg is all about the long products, which is TMT. Let me first address the Pig Iron and the DI pipes. As you know, that our state-of-the-art blast furnace was commissioned in July 2022, and is running efficiently with a consistent output of more than 1,000 metric tons per day of hot metal, where we also have a potential to ramp it up to 1,500 metric tons per day. However, this is currently being regulated as the production of DI pipes is being ramped up on a gradual basis. We are using this hot metal primarily will be used for making the DI pipe, so we are reducing a little bit.

Our DI plant, which have a capacity of 400,000 tons and equipped with the latest cutting edge technology, has received its BIS certification and its approvals in the key states of Gujarat, Uttar Pradesh, Madhya Pradesh, Rajasthan, Maharashtra, Chhattisgarh and Punjab, achieving the first major milestone. The quality of the product is widely accepted by the customers, and as on date, we have more than 70,000 tons of order for the DI pipes valued at more than INR 500 crores. The operational performance of both our steel and DI facilities are absolutely in line as we have planned and envisaged and meeting our expectations. Two, the profitability for this quarter has been impacted on account of high inventory costs, especially the coke, as being faced by all the major steelmakers at large. This was also impacted by the lower sales realization of the steel product, which is Pig Iron, on account of imposition of export duty at a rate of

15%, thereby

softening the domestic steel price and making it difficult for the company to sell overseas.

The overall impact, the overall financial impact of these two itself is close to INR 200 crores for this particular quarter. However, this being a one-off loss, which has been provisioned, which has been factored in this particular quarter. However, moving forward, the product quality, our expansion in customer base, the production ramp-up, which is happening at a very smooth pace, and the commodity buyers pricing getting now more predictable, the financial performance of the business will significantly improve in the subsequent quarters.

From a demand perspective, we see a continued focus on -- we can see a continued focus on the demand for creating drinking water supply infrastructure in India under the Jal Jeevan Mission, where against the allocated budget of INR 3,60,000 crores. Till date, we still have an unspent amount of INR 3,01,000 crores. This gives a very clear visibility of demand growth over the next few years.

Let me talk about our Steel Vertical. In our Steel Vertical, the second part, which is our long product, TMT. We have already, as I said, we will be commissioning our TMT mill in the second quarter of this year. We have done that. This is a really state-of-art TMT plant having a capacity of 350,000 ton. It has also received its BIS certification, and it is all set to commence the dispatches. The key growth drivers continue to be spend on infrastructure, housing and construction. Our key market area would be Gujarat, which has a consistent annual demand of more than 3 million tons per annum, of which close to 2 million tons is only produced in the state of Gujarat and the balance comes from outside. With our quality, customer centric approach, and the brand, we are confident to establish our product as a leading B2C brand in the Western market.

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Let me also give you an update about WSSL, I'm sure you must have seen the results announced by WSSL as being a separately-listed company. The order book for the stainless steel bar stands at 1,387 tons, and for the tubes and pipe at 1,853 metric tons valued at INR 170 crores. The pipe volumes for the Q2 FY '23, up by 96% on Y-on-Y basis. The total income from operations for Q2 FY '23 was at INR 93.7 crores, up 351% on Y-on-Y basis, and EBITDA was at INR 0.3 crores versus a loss of INR 4.3 crores in Q2 FY 2022.

The key demand is from the sectors like oil refineries, petrochemicals, pharmaceuticals, defense and power. Our healthy order book, approvals and acquisitions across the sectors, incremental performance demonstrated on a quarter-on-quarter basis, quality acceptance both in the domestic and the export market, and the government thrust on Make in India initiative, all will lead to improved earnings and better margins in quarters to follow. Gentlemen, what I want to highlight here is that it has been a journey, a company which has been in red is now, with our sustained efforts and diligent working, is now into black. And from here on, it is only going to see one trend, which is the upward trend.

I also do want to take this opportunity to give you updates on some of the key events which have happened in this particular quarter. One of them happens, one of them is the asset acquisition of ABG Shipyards. Welspun was a successful bidder in terms of the process, memorandum for the private sale of assets of ABG shipyard. WCL and its wholly-owned subsidiary, Nauyaan Shipyard Pvt. Ltd., has paid on September 21, 2022, INR 659 crores towards the entire purchase consideration. The partially-built ship equipment and metal scrap acquired under the WCL is estimated to be over 15,000 metric tons. It is estimated that the metal and metal scrap not required for the business purpose will be disposed over 12 to 15 months' time.

However, post making the payment to ABG's liquidator and upon the shift of the sales certificate corresponding to that, the liquidator has received a provisional attachment order from ED Ahmedabad. The company, the liquidator and the lenders have all filed separate petitions with the Honorable Gujarat High Court against ED provisional attachment order. We are making best efforts for an early and a favorable disposition of the sale.

Sintex. As said, Welspun growth strategy entails creating a diversified product portfolio, repurposing its business to add new target segments, expanding its offering to address both B2B and the B2C market and making well-considered strategic acquisitions. In this regard, we have acquired Sintex and BAPL's non-convertible debentures with an outstanding amount of INR 1,223 crores for a purchase price of INR 418 crores as on date by our wholly-owned subsidiary, Mahatva Plastic and Building Materials Private Limited.

Our new SPV, which is Propel Plastic Products Private India Limited, is being acquired and shall submit an EOI as required by the resolution professional by as per the timeline announced, and the process for the acquisition of the same is likely to be completed within Q4 of FY 2023. Sale of land and civil structures at Dahej. WCL has entered into a Memorandum for Agreement on September 30th, 2022, for sale of plant civil structures, excluding the plant and machinery



situated at its Dahej unit, situated at the Dahej unit of the company in the state of Gujarat. The  
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sale of unit comprises of insignificant portion of the operations of the company, and the management feels that the transaction would not have any material or adverse impact effect on the operations of the company. The consideration received for the sale of the land is amounting to INR 130 crores.

As a responsible corporate citizen, our sharp focus has been on the ESG initiatives. We emphasize ESG data governance and integrating ESG measurements into internal control framework and internal audit programs. As a part of this, we have implemented an ESG Compass and integrated digital platform for measuring, monitoring and reporting on ESG KPIs. It covers over 90 ESG indicators across all sites and locations in India and present our data in a dashboard format, which helps us to accumulate manual data collection and streamline reporting processes. I also want to take this opportunity to give you a broad overview of the -- how does the management think about the company's outlook over a medium-term basis for the next three years to five years' time. We feel that with our diversified portfolio, which we have -- in which WML, WDI, ATMT, WSSL and Sintex, all has been acquired, and they are in the process of being -- or are in the process of being acquired, and have been in the process of being incubated. We are very confident that we should be able to touch a topline of INR 15,000 crores -plus, we should be in a position to give a sustainable EBITDA of INR 1,600 crores to INR 1,800 crores. Our ROCE could be in excess of 18% -plus. We will be a cash positive driven by strong free cash flow. We target to increase our DJS I score, which is our ESG rating from 41 to 60, and we want to be a dominant player both in the B2B and B2C segment in line of our group's vision, Har Ghar Welspun.

With this, I wish to conclude my opening remarks. I will be more than happy to take any questions. I open the floor for the questions, please. Thank you.

Moderator: Thank you, very much. We will now begin the question-and-answer-session. Anyone, who wishes to ask a question may press star and one on their touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a

moment while the

question queue assembles. You may press star and one to ask a question. The first question is from the line of Yash from Sushil Finance. Please go ahead.

Yash: Sir, my question to you was regarding the Propel Plastic Products and the subsidiaries which we are acquiring, so what kind of business the subsidiary is supposed to be doing in the near future? Any plans on that?

Vipul Mathur: So this subsidiary is being acquired purely from a purpose of participating in the auction, which has been the time lines for which has been now been announced by the resolution professional. So this will be the bidding entity going forward for us.

Yash: And sir, could you please elaborate more on the plastic and plastic products, which you will be looking at in the coming months?

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Vipul Mathur: So all what we are looking at this point in time is to be an active participant for acquisition of existing setup called Sintex. They are currently, they are the largest tank manufacturer for plastic tanks manufacturer in the country. And it is -- this whole exercise is being done, the NCDs which have been acquired. And this participation in this auction, which is being announced by the RP is all being done in keeping in view our intent to acquire this particular company.

Moderator: Thank you. We have the next question from the line of Nirav Shah from GeeCee Investments. Please go ahead.

Nirav Shah: Few questions, sir. Firstly, if I exclude the operating profit of INR 104 crores on sale of land and infra at Dahej, we get a line pipe EBITDA from INR 152 crores. And our reported operating profit loss was INR 130 crores, of which we mentioned that INR 200 crores is an inventory write-down. So if you can we give a breakup of the losses in the Steel business? Is it entirely attributable to the Steel business, because India plus US pipe is in the -- is part of INR 152 crores, and we have given the numbers for WSSL? So you can just help us reconcile that?

Vipul Mathur: So if you see on the line pipe vertical, we have EBITDA of INR 256 crores in which INR 104 crores is embedded of a land sale at this point in time. So pipe business EBITDA, in any case, is close to INR 150 crores, operational EBITDA is close to INR 150 crores or INR 152-odd crores, which is what we had expected and anticipated in the quarter 2. And as we move on to

the subsequent quarters, Q3 and Q4, and as the product mix will change, and as some export orders which are lined up for execution, they will get started executing from here, you will see a significant movement, upward movement in the pipe line EBITDA side of it.

Now coming back to the US side of it. In the US also, as you know, in the first quarter, we had low production, all the orders, what we have, we have almost 400,000 tons of an order book in US at this point in time, and the production for that has already started in Q2. So as we speak, we are producing. We are parking that as an inventory, and that is the reason you are not seeing that they are hitting our financials in the Q2. And they may also not hit in the financials of Q3 because the deliveries of those pipes have to only start in Q4.

While we are working with the customers, we are -- in terms of to see that can they allow us to start early deliveries because in many of what we are producing, that's a work in progress. If they allow us to do that, we would see some backlog of earnings into our Q3. Otherwise, from Q4 onwards, all that what would be on the stock or what would be on the ground, we will see the financials coming into that. And they are very profitable orders. And it is only a matter of a quarter where you will start seeing the profitability coming from the US as well. So there's nothing called uncertainty around that. It is only a matter, if we get a recognition, if they allow us to start

dispatching, it will get recognized in Q3. Otherwise, from Q4 onwards in any case, that recognition will start coming up. So that takes care of the pipe side of our business. And I would just like to reiterate, sorry?

Nirav Shah: It's part of that INR 152 crores. I mean, US is part of that INR 152 crores?

Vipul Mathur: Yes, US is part of that. All I want to reiterate that our mainstay business, which is the line pipe business, is absolutely safe, absolutely secured for complete order book, profitable order book.

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And as we will move in quarter-on-quarter basis for the next five quarter or six quarters, you will only see one trend which is upward trend.

Now, let's come on to the Steel side of it. On the Steel side of it, we just commissioned our blast furnace in this particular quarter sometimes in July, And so in this -- what we have been impacted today is because of the coke pricing. We -- when you are operating a blast furnace, you have to import coke, and there is a lead cycle of almost 60 to 90 days before you have to order the coke. In that period, there has been a significant correction of the coke prices. The coke prices have dropped down from INR 54,000 to almost INR 41,000, so there has been a correction of close to INR 13,000 to INR 14,000 per ton in a very short span of time. And that has adversely impacted because of the inventory, what we have been carrying which we have no other choice but to carry. So this is one of the major reasons for our dip in this particular quarter.

Also, the second aspect, which has contributed to the loss in the Steel sector is that, as you know, the government of India has imposed the 15% duty on the exports of the steel product. We had anticipated, which means that we had anticipated that we wanted to export Pig Iron, and which is not possible at this point in time. So we have -- there is a slump which has happened in the market, domestic market. The prices, steel prices have corrected by more than 20%, so we have the impact of the inventory on the Pig Iron as well. So there are two: this loss is embedded into two things. One is the coke inventory and other is the Pig inventory.

Nirav Shah: But if -- I think that INR 200 crores of inventory loss that we have mentioned, so that still leaves a gap of around INR 75 crores to INR 80 crores?

Vipul Mathur: Why would you say that, Nirav?

Nirav Shah: So reported numbers, our operating loss is INR 130 crores. And if I just club the line pipe EBITDA of INR 152 crores with an inventory loss of INR 200 crores, that gives a negative INR 50 crores. So the gap from negative INR 50 crores to negative INR 130 crores, I just wanted a reconciliation, if possible, of that number?

Vipul Mathur: I mean, let me -- I would mark this question and we can get back to you with respect to this thing. But somehow it should not be like that. But nevertheless, let's pass this part and we'll get back to you.

Nirav Shah: Sir, second question is, I mean, we are seeing the change in the debt numbers from INR 116 crores to INR 1,600 crores of net debt now. And as you see the balance sheet that, for the reasons you mentioned, that inventory from March levels has increased from INR 1,000 crores to INR 3,500 crores. But just from Q1 to Q2, if we can just reconcile the cash outflow of around, say, INR 1,700 crores, that would be really helpful.

Vipul Mathur: So it has two or three components to that. Number one, the one component of cash outflow is for buying the NCDs of Sintex. Right. The next outflow was with respect to the ABG. And of course, third, the most important part was the project, the WML, WDI and the TMT projects, all the three projects went into the project phase, and that was the revised earning. So these were the two reasons, the ABG acquisition and this was...

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Nirav Shah: So entire ABG outgo has been part of the balance sheet number? I mean, this INR 1,600 crores of net debt number?

Vipul Mathur: Yes, please.

Nirav Shah: And sir, just a clarification. I mean, the 70,000 ton of DI pipe order is over and above the 956,000 ton of line pipe orders?

Vipul Mathur: Yes.

Moderator: Thank you. We have the next question from the line of Chintan Mehta from Prudent Broking . Please go ahead.

Chintan Mehta: Sir, if you can throw some light on Sintex, BAP L acquisition, what is the current status? And in what scenario we have been open to acquire the company?

Vipul Mathur: See, it's a work in progress, Chintan. While we have taken a significant position of acquiring the debt NCDs to a particular level, but there is a COC, there is a process which is now being initiated, and there is a time line which has been announced to that. We have to participate in that process. Apart from us, there are I think there are three or four more bidders around that. But we are reasonably -- we stay completely glued and plugged to this particular asset. We are confident of going forward with that, but it will take its time. We are hopeful that it might -- the whole process can get completed by the fourth quarter of this year.

Chintan Mehta: So by the fourth quarter end of this year, we will integrate the asset with us, correct? If everything goes in favor?

Vipul Mathur: That is what we're expecting. That is what we see, again, it's more of a regulatory process, which is not completely in our control, but the way I think that the things are moving at an accelerated pace, as the way the time lines have been identified, we are very -very hopeful that this asset can get integrated in the quarter 4 of this year.

Chintan Mehta: And sir, what is your strategy for the ABG assets and what we have planned for that?

Vipul Mathur: See, right now, as you know, we have acquired this ABG asset, but there is a provisional ED order for attachment at this point in time. Ourselves, the liquidators and the lenders have appealed against that particular order. At this point in time, the matter is little subjudiced and we all are working in that direction, how it can be resolved at the earliest. So at this point in time, our complete analogy and focus is in terms of resolving, getting this matter resolved. And then, we will start working around that, what would be the next steps around that. But having said that, as you know, it's a very strategic asset, as Welspun, we have some strategic thinking and captured with us that what could be potentially done with this asset over a period of time. Are we going to do anything immediately around it? The answer is no. But we would like to evolve this particular business, which will absolutely be a great value creator in times to come.

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Moderator: Thank you. We have the next question from the line of Abhishek Jain from Arihant Capital. Please go ahead.

Abhishek Jain: Sir, are we seeing any more inventory losses in this particular quarter?

Vipul Mathur: Abhishek, looks unlikely. But these are -- see, we are dealing in commodities. Today, the commodities are extremely volatile. It is completely unpredictable. Tomorrow, the steel market gets further corrected by 20%, 30%, who knows that, so then there would be a potential impact. But the sense on the ground at this point in time is that I don't think so that there is any major correction left at this point in time. But everyone has been proven wrong on that, so I would say that I don't want to speculate. But we are -- I mean, if there is no major corrections in the commodity which will happen, I don't think that there would be anything, any further surprises like that what has happened in Q2, but if that happens, the market, if the commodity gets corrected significantly, then there

could be potential impact. But that is true for all. It is not that we will be the only one who will get impacted, everyone is getting impacted because of that. And we are hoping that there is no major correction of the quarter.

Abhishek Jain: Sir, I have two more questions. One is on the ABG side of acquisition right now. Sir, what kind of growth do you see going forward of the ABG Shipyard trend? How do you see this particular business in the next two years, three years?

Vipul Mathur: See, today, as I said, ABG is a very strategic acquisition. It fits into our long-term scheme of things. There is nothing called short term or mid-term. We are contemplating the ABG. It's a very-very strategic asset. If you see, it is an asset which has been working in the ship building

domain, and it is one of the assets which have been extremely , which has been working in the defense sector as well, the defense shipbuilding sector as well.

So we have a couple of options up on the table. We have a long -term strategic plan for that. Right now, what we have only invested is in the asset because this asset is a nice strategic asset, and that is how we would like to keep it at this point in time. When , our first and foremost and our primary target at this point in this time is that there is a matter which is subjudiced at the Honorable High Court in Gujarat.

We are all pursuing that it gets properly addressed, and once that happens, then we would like to start putting a couple of business plans and a couple of options upon the table and see what will create the best value for all us and the stakeholders. And that is -- then we will start -- then we will keep you posted about that.

Abhishek Jain: And sir , like, we have done -- we had, like, you have already done a specialty steel acquisition years back. How exactly do you see going forward? The acquisitions have looked like ? What are our learnings for this? And can you throw some more light on the special ty steel business and the TMT part also? A little bit of if you can throw some light?

Vipul Mathur: Sure. So the WSSL acquisition, which we did the last year, I think that acquisition is moving well. You see that the volumes, the volumes have been increasi ng both for the pipes as well as for the stainless steel bars. Our customer base is expanding. The company has moved out from Welspun Corp Limited  
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red, and it is now in the black. The quality is widely accepted, almost 40% to 50% of the quantity sold is now getting exported. T he domestic demand i s looking very robust and very -very buoyant.

So it's a startup. One has to be patient in terms of incubating these start -ups. And we have been working on this for the last three or four quarters, and you see it has already now converted into black. And from here on, its growth journey will start. As regards to the market, the market, the demand, there is a serious demand into the market. And we being one of the integrated players, which means I produce the steel and I also produce the pip e, and is going to help us a lot.

One thing which has impacted, temporarily impacted, this business also was this export duty.

We were -- and that has really impacted our bar business. We had started our bar. We have supplied our SS bar for the export mark et. And the quality of that was widely accepted. As we were in the process of increasing our market share in the bar market, this export duty component has come up. We have represented the government for that because this seems to be a little abnormal. I t t hink so in the government quarter, there's an acknowledgment around that.

They seem to be thinking in terms of removing this exports limitation or export duties over the stainless steel at least, to start with. And we are very confident th at it should get resolved very - very quickly. And once that happens, then there will be a huge exp

ort market which will open

for our bar business. But for our pipe business, I think with our new -- with our approvals, with our acquisition and with our -- the supplies, which are already being supreme, which is -- the pipes have already been supplied to across all the major sectors, I think that there's a great acceptability. And I'm sure this pipe business will also grow from here itself. And the order book of almost 1,800 to ns plus is a very clear reflection of that.

Coming to the second part of it, about the TMT business. As you know, we have been a producer `of a billet, an intermediate product. All what we have done, we have moved up into the value chain. And now, we will be started producing. We have already started producing the TMT bars.

If you understand, Gujarat is one of the largest consumption center for the TMT bar. At this point in time, on a year -on-year basis consistently, they have been consuming more than 3 million ton s of TMT on year -on-year basis. 2 million tons of TMT is coming from Gujarat and 1 million ton of TMT is coming from other states.

So we are setting up a facility for almost 350,000 ton in Dahej, a nd I feel that with the brand what we have, with th e quality consciousness which we have in our DNA at Welspun and with the demand, what is there in the state of Gujarat, I think so we should be able to capture our market share sooner rather than later. From a process perspective, the plant stand installed , commissioned , the trials are going success at this point in time when I'll be speaking , the trials are absolutely successful. Of course, there are some tipping issues here and there, which always happen with any project. But our product has already start ed hitting to the market. And from here on, on a month -on-month basis, we will gradually ramp up from our TMT business.

So we are moving from an intermediary product from our billet to a value -added product to TMT, which had a huge consumption base within the state of Gujarat itself .

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Moderator: Thank you. We have the next question from the line of Vikas Singh from Phillip Capital. Please go ahead.

Vikas Singh: Sir, I just want to understand our steel business it's a billet side, basically. So since as long as the duty is there is highly -- is not lucrative for us to produce. As we can see that though the volumes of the stand alone business has jumped up by 40,000 tons, 50,000 tons, but EBITDA remained the same. So what kind of losses they are making at this point of time on the EBITDA level?

Vipul Mathur: Vikas, you are talking about billets part?

Vikas Singh: Billets, basically. So just stand alone business, if I look at, my volumes for the pipe jumped up but my EBITDA remains the same. So obviously, there has to be incremental losses on the billet side, which could have, they didn't allow the EBITDA expansion. So I wanted to understand what are the losses they are making right now? And how do you see these two tapering down going forward?

Vipul Mathur: See, on the billet side of things, the market has been fairly depressed, and it got into a further depression mode when the export duties started coming in. When the 15% export duty came in, so we have been very conscious. And also, if you look at the commodity pricing, the scrap pricing and every, it has gone up the roof. So what we have here, we had an opportunity to either pay, either continue to produce and take the inventory losses, or to take a pause and only completely focus on setting up our long product TMT business.

What we did, we took a conscious call of calibrating our production and focused more on setting up our TMT mill. I think this is all -- now, our focus will completely move from billet to the TMT side of it. I think so -- as you move up the value chain, you are absolutely insulating yourself to a large extent about the uncertainty which prevails around the billets. So Vikas, to

answer your question, in the billet sales, there was always a little bit of an uncertainty. There was a volatility in the market price, and that being a semi product into the market where you have no control end-to-end. With the TMT now coming in, you are in a much better control and you're up in the value chain, so insulating your self your profitability and the margins.

Vikas Singh: Sir, just one thing also I want to understand. Since the Steel segment, they have just now started to ramp up. Apart from the one-off losses, what are the startup costs which -- can you quantify which has impacted our results? And how, and what level of production levels we are seeing the startup cost to get or the fixed cost get to accumulated and then improving our overall performance going forward?

Vipul Mathur: So we have to see it in two contexts. Number one, as I said, the blast furnace, I think that the blast furnace has started pretty off well. It is absolutely consistent. It is producing more than 1,000 -- almost close to 1,000 tons per day, and that is by design. We are -- right now, we have put it -- reseeded it to 1,000 tons per day. We have the fullest capability and at this point in time to ramp up to 1,300 tons to 1,500 tons per day. But we are looking at the inventories, raw materials volatility, and the Pig Iron not being a commodity which can be sold at this point of time.  
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time that very easily. And as our DI business is ramping up, so we have restricted our blast furnace operations at close to 1,000 tons per day.

Now the point in question is the DIP plant, I think so. On our DIP plant, the operations have started very nicely. The equipments have started settling down. The hot zone, the finishing lines and all those things are all absolutely completely sync. We have seen the quality has got completely established, the BIS approval is now in place. Our approvals under the various markets, key markets in which we want to penetrate. This used to be a big challenge earlier. If you see, for years, people will not get an approval for their DI pipes. And today, I'm happy to announce that all the key markets in which Welspun wants to operate, they are all approved now. And it's a very clear reflection that we have an order backlog of 70,000 tons. If we wish, we can go for more. And I'm sure that in day weeks to come, this will only get better and better. And so it's now, it's all about now stabilizing, ramping up the production at the DI plant. And I think there is a very clear cut road map which has been laid out. I think so we are moving as per the plan. What we will see in Q3 is a much incremental ramp-up of production and followed by Q4, and that is how it will go over for the next four quarters to six quarters. That is how the ramp-up will happen. And we expect that we should reach to our target capacity in less than six quarters from now.

Vikas Singh: So but then even then, let's say, next year, can we assume that we would be still be selling 2 lakh tons, 2.5 lakh tons kind of Pig Iron and 1 lakh ton, 1.5 lakh tons of DI, and that would take time for DI to catch up to its full potential?

Vipul Mathur: Vikas, see, I would not like that scenario to happen because at the end of the day, we have set up this plan for maximizing our DIP production. The technology what we have used, the manned machine interface, what is not happening. I think so it would be -- it will settle down very quickly. But yes, you are right. Our capacity is 400,000 tons. Are we going to reach to our capacity of 400,000 tonnes for next year? The answer is no. So whatever best we could do, we are very hopeful that there is a demand side on the market. There is no growth of demand, so the ball is in our court in terms of now ramping up to maximize the opportunity. And with

the team,

what we have in place, with the technology what we have in place, with the tailwind that we have in the market, I think our endeavor would be to reach very close to that. But on to the realistic side, I think, so I would like to say that we should be close to 200,000 tons, 250,000 tons of DIP that we should be targeting and aiming for the next year.

Vikas Singh: Just one last question, if I may. Sir, in terms of USA, this 460,000 tons of order book which we have confirmed, so is that uniformly spread across the next six quarters, or is heavily skewed towards some particular quarters? If you could give us some insights into it?

Vipul Mathur: This order is, which is, let's say, the large diameter order, which is close to 300,000-odd tons plus, we have -- as we speak, we should be starting the production for the same in the next three days' time. In 72 hours time from now, the production for that will start, and -- so it will be equally distributed over all the quarter. Our endeavor is to complete it by the end of the third quarter of the next year, and so it's going to be a sort of an even distribution.

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Even the final order, which we would like to start sometime in the very first quarter of next year because we have booked till the end of this year. And this -- when we start the ERW order, sorry, in the very first quarter of the next year, I think so it will continue to run for the next four quarters from there on. So they are evenly distributed now.

Vikas Singh: So that means we still would be left with some large diameter capacities in US and that is some more orders can be taken? 30, 40 kt per quarter basis can be further taken if there is a demand?

Vipul Mathur: The demand. If you'll see from -- what you're saying is right, Vikas. But if you see the market, the market is absolutely buoyant. At this point in time, while we have this sort of an order book, we are already in discussions for order execution during, starting calendar year 2024, so this is absolutely on our radar. And I think there are multiple opportunities which are being explored at this point in time. Real opportunities which are being explored at this point in time.

Vikas Singh: And this also potential pole position order would be mostly exports, right? It's not Indians?

Vipul Mathur: Yes, there's all most, it is there, export orders.

Vikas Singh: In case if you get it done, there would be a very good margin orders.

Moderator: Thank you. We have the next question from the line of Jayesh Gandhi from Harshad Gandhi Securities.

Jayesh Gandhi: Continuing from an earlier caller's question on inventory, are we carrying two quarters of inventory currently?

Vipul Mathur: No. Currently, Jayesh, we have completely trimmed down. We have moved on to JIT and -- but of course, there would be an inventory which will be close to 30 days.

Jayesh Gandhi: And sir, for example, if there is no major price correction in steel, can we think of going back to our earlier margins of like maybe EBITDA 10%, 11%, 12%?

Vipul Mathur: This is a fair assumption to make. And I mean, if there is no volatility attached with that, this is what is a reasonable level to expect.

Moderator: Thank you. We have the next question from the line of Pallav Agarwal from Antique Stock Broking Limited. Please go ahead.

Pallav Agarwal: Sir, I wanted some more clarity on how we account for the Saudi Arabian operations? Because since it's a JV, I'm assuming in the consolidated statements, the revenue is not being captured.

So for modeling purpose, when we use the consolidated revenues and the consolidated volumes, then is it the right way to blend the realization because the Saudi Arabian JV revenues are not being captured in the consol? Is that understanding correct?

Percy Birdy: Yes. So, Pallav, this is Percy here. Your understanding

is correct that the Saudi entity EPIC, we do not consolidate. However, we take our share of profits as a single line item. At the bottom of  
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the P&L, you will see that gets added. So we now own, our Mauritius Holding Company owns

35% in the Saudi company.

Pallav Agarwal: And the Percy sir, related question was, I think on an annual basis, you do disclose the breakup of pipes volumes across geographies. But on a quarterly basis, I was not able to find that. So it would actually help if that also could be shared for probably tracking the company in a better manner?

Vipul Mathur: You're talking about the quarterly sales for the future quarters? Is that what you're talking?

Pallav Agarwal: No. I'm talking about, let's say, actual sales volume. The breakup between geographies.

Vipul Mathur: If you see my opening statement, I said in this particular quarter, we did 218,000 tons of pipe.

Out of that, 140,000 tons was done in India. 9,000 tonnes done in US and 70,000 tons was done

in Saudi.

Pallav Agarwal: Sure, sir. So I mean -- so just to compare historical quarters, if you have those numbers as well, that will really help.

Vipul Mathur: So if you see that in the sequential quarter, the earlier quarter, we did 90,000 tons from India, against which we have done 140,000 tons here in this quarter. 7,000 tons was done in US as against that, 9,000 tons has been done in this quarter. And in Saudi, 58,000 tons was done in the last quarter, and in this quarter, it is 70,000 tons. So that is how between the two quarters, the sales have gone up.

Moderator: Thank you. We have the next question from the line of Viraj Mahadevia, an individual investor. Please go ahead.

Viraj Mahadevia: I have a question regarding your five-year vision plan. The top line of INR 15,000 crores in the EBITDA indicated of INR 1,600 crores to INR 1,800 crores, does that include the Sintex business, or is it just your existing pipes business plus the ABG Shipyard business?

Vipul Mathur: When we are talking, we are talking about Welspun Corp, every legal entity sitting under Welspun Corp is included in to that.

Viraj Mahadevia: Legal entity as of today because technically, Sintex is not sitting today, right?

Vipul Mathur: So yes, that's why I'm saying it's a sort of a mid-term vision and the Sintex will get integrated into this year.

Viraj Mahadevia: So this includes the assumption that Sintex is part of it?

Vipul Mathur: Yes, please.

Moderator: Thank you. We have the next question from the line of Anurag Patil from Roha Asset Managers. Please go ahead.

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Anurag Patil: Sir, our other income has shot up significantly in the Q2. So can you just explain what are the components?

Percy Birdy: Yes. One of the items in the other income, as we have disclosed, is the sale of Dahej land and civil structures, which is about INR 104 crores. If you just want to exclude that, so total other income is INR 177 crores and you would to exclude INR 104 crores, you would be left with about INR 73 crores, which is almost identical with our Q1.

Moderator: We have the next question from the line of Faisal Hawa from HG Hawa & Company. Please go ahead.

Faisal Hawa: Sir, can you shed some more light on the whole carbon capture opportunity? Because reducing and world shifting to green energy will be a move forward....

Moderator: Mr. Hawa, I would request you to increase your volume little bit. We are not able to hear you.

Faisal Hawa: Yes. So can you just give throw some more light on the whole carbon capture opportunity?

Because reducing carbon dioxide from the atmosphere remains a very big imperative, and it's almost like a major thing for the next three to four decades. So is there any possibility that we could be having like a very large share of

our revenues coming from this opportunity going forward?

Vipul Mathur: Well, this is an emerging area, and we are so delighted and pleased to get ahead in this curve much early in the game. And having 1,200 kilometers of a carbon capture pipeline order almost close to 100,000 tons, it is by far the largest carbon capture order at this point in time. So as you very rightly said, this is what the future is going to be. This is where the -- post fossil, this is where the markets are going to move. And we have made an early dent in this particular sector. Of course, the mature economies like US are taking a full position in respect of that, and that is why we are seeing much more accelerated projects coming up of carbon capture in the US and then followed by Europe. But I'm sure this will be a trend which will be followed globally in times to come. So it is going to be a big business in time to come, and being into a full position early into the game and setting the right technical context will be extremely beneficial for the company over the next few years.

Faisal Hawa: So what could be the total addressable opportunity is?

Vipul Mathur: So let's see. In terms of, let's say, metrics to us, if you talk at this point in time, it would be very

difficult to say that how big this opportunity would be because what is happening is they are also finding the way out. Today, what it is doing, it is capturing the carbon, which is emission across the states, and that carbon is now being captured then it has been pressurized, converted into liquid and then sequestered into a place where it can be put to the ground.

Now I think, so there's a lot of work which is being done at this point in time in the United States with respect to that. And various economic zones across the state, across the US will get eventually covered into that. So if you -- I mean, to give you that, do I have a definite number that is it going to be at 20,000 tons or 200,000 tons or 2 million tons of opportunity? I don't know

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at this point in time, but for sure, I know that this is one of the most upcoming opportunities which is now capturing attention, and it will only grow from bounce-to-bounce in times to come.

Faisal Hawa: So there will be some kind of a small change in our manufacturing shop floor that we'll need to do to really get into proper manufacturing of this, or there are something much more complicated?

Vipul Mathur: It's more than the changes at the shop floor, I think so it's more on the steel side of it, and that is where you, as you know, Welspun extensively runs an R&D center globally, and that is where our experience comes into play. So we are jointly working with the steel company in terms of developing some steel and which will be the main play for some sectors or sectors like this.

From the manufacturing side, nothing much has to be done, which would be a very-very minimal intervention in terms of building technologies and all that stuff, very-very minimal. But mostly, it will be more in terms of developing the steel side of it.

Faisal Hawa: So if I could ask, sir, what is the involvement of Chairman, Mr. B.K. Goenka in this? Because he's such a well-respected entrepreneur, and he's done such a lot in one lifetime. What is this involvement? And what kind of handholding does it do for the company and on, say, even on a day-to-day or a month-to-month basis? And what is the kind of vision that he is envisaging for the steel?

Vipul Mathur: Mr. Goenka is the Chairman of the Board, and Welspun Corp is a completely Board-driven company. Whatever wisdom, he has, he shares, he guides during the Board. But in respect of day-to-day operations, he is not involved.

Moderator: Thank you. We have a follow-up question from the line of Chintan Mehta from Prudent Broking. Please go ahead.

Chintan Mehta:

My question is answered. It was on carbon. Thank you.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha: My question was on the capital side. I think, I believe INR 6 billion was the target capex for this year for FY '23, but we have crossed that. So can you give me a revised guidance for this year and the next two years?

Vipul Mathur: So we are pretty much done with our capex cycle. All what we have on the -- let's say, on the pipe side of it, it is purely a maintenance capex, which we do on a year-on-year basis. So there's nothing which is going to significantly change out there. It's the maintenance capex, which we do there. On the steel side of it, where we have set up our steel plant, the DI plant and all that stuff, majority of the capex is done. Only the residual part of the capex is now getting into the system. I think so we are at the tail end of that. But we would be very much within our capex proposals, what we have submitted. So it is now coming to a tail end, back end of it.

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The third capex, what we have done is in the TMT mill, that is also done. That's also over. And so as I said, that it is now in the commissioning trials in the dispatch, sales stage at this point in time. Beyond that, we are not envisaging any capex at this point in time. Our focus is now completely shifted to incubate all these new start-ups, which is our steel plant, our DI plant, our TMT plant, of course, WSSL, we have started investing time, you see that how it is converted from red to black. So this is what our road map is now going to be. And then we -- so from a -- we are pretty much done answering your question. If I get you correctly, we are pretty much done with our capex cycle at this point in time.

Radha: So the balance, whatever we have in the pipe, steel and TMT, and including the other positions, etcetera, so what could we expect for FY '23 capex numbers and for the next two years, three years?

Vipul Mathur: Our maintenance capex, let's say, our maintenance capex could be anything around INR 40



crores to INR 50 crores piece. That would be our maintenance capex. And the balance capex, which would be left in our existing steel plant and the DI plant and the TMT plant will be less than say INR 100 -odd crores. As I said, we are now coming to almost finish, so I don't think that anything significant would have been left. It should be close to that. I can ask this my team to come back and give you an exact number on that, but I would think that it will not be exceeding that.

Radha: So assuming INR 150 crores to INR 200 crores capex in the next half of FY '23 as well as the next two years, assuming no more acquisitions or currently in status quo as of now?

Vipul Mathur: No, what I am saying is that the residual capex would all be done between now and, let's say, by end of December. I think in this quarter, we would be pretty much done with our new capex part of it. All what we would left on year -on-year basis will be our maintenance capex. Our yearly maintenance capex is around INR 50 -odd crores when we were doing the pipes, that might slightly incrementally go up to INR 60 crores or INR 70 -odd crores when all these assets will be running. So our year -on-year basis or next year onwards year -on-year basis, it will only be a maintenance capex which will be in place.

Radha: So INR 150 crores to INR 200 crores for FY '23 and in second half of FY '23, and just INR 50 crores, INR 60 crores for the next two years?

Vipul Mathur: Yes.

Radha: So also with respect to this, how will our debt look like? Total debt?

Vipul Mathur: So we have moved from a net cash position to a net debt position. There's no doubt about it because of this capex cycle, which we have invested and we have invested for our growth. But when we look at

our projections, when we do our sensitivity, I think so it's -- we would again be back to a net cash position. I think so within three years to four years, because we are seeing a strong demand for all the products. What we have got into, there is a huge tailwind around that. It is all -- if we are able to manage it efficiently, which I believe that we should be able to do

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that, it will generate sufficient free cash flows over a period of time and we should be in a position to be a net cash company in between three year to four years' time.

Radha: And sir, just lastly on the working capital cycle. So that has also increased primarily because of inventory. So how could we expect that to be for the next two, 2.5 years?

Vipul Mathur: Working capital cycle got increased because of the steel vertical and where we have to -- when we were starting up our operations, the inventory has to be assimilated, accumulated. I think so once this process, now we are -- as we have already started, now it is coming to a regular flow. I think so this working capital cycle on the steel side also will come into a very regulated manner. If you see the pipe -- our working capital cycle on the pipe side of it is so very regulated. So is the case, so is the case which will happen on the steel side of it. It's just a matter of a quarter or two, because when you are doing any startup, when you start, you have to -- you do all that adequate precautions and everything, which any sensible corporate will do that. We have also done that. I think so over a period of the next couple of quarters, it will absolutely in sync with the best industry standards.

Moderator: Thank you. Ladies and gentle men, this would be the last question for today, which is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Abhishek Jain: This is Abhishek Jain from Arihant Capital. I just want to understand like how much will we need to be required if we acquired Sintex BAPL asset going forward? And what are the capex and how we are going to fund it? And next two years capex for the company right now?

Vipul Mathur: So answering your question on the second part of the capex, I just answered for even Radha was asking that question. So capex, we are not going to do any major capex. We are done with our capex cycle. All what we would have is a sort of a maintenance capex across all the businesses what we have now in our court. That's the answer on the capex side of it. As regards Sintex, I think so that Sintex is now a work in progress. If you see that we have taken a position. We have NCDs around INR 418-odd crores, that all is there. Now there is a clear time line where we would have to submit our bids and all that, so it is now going to be a little competitive bidding, which is going to happen. But we are fairly confident that we bring intrinsic value up on the table, and we should be able to close this acquisition. We are very hopeful to close this acquisition within the budget, what we have kept in our mind.

Moderator: Thank you. As this was the last question for today, I would now like to hand the conference over to Mr. Vipul Mathur, Managing Director and Chief Executive Officer, for closing comments.

Vipul Mathur: So I want to once again thank all of you for joining our call for the earnings call for Q2 FY '23. I only want to reiterate that we have to start seeing this business in a couple of quarters. Number one, with the pipe vertical, I'm assuring as you see, that the pipe, the business, there is absolutely robust growth in the pipe business. It is going to be our main state, it's going to be a key focus,

continue to be our key focus area. And we have absolutely clear earning predictability for the next five quarters to six quarters in that particular vertical.

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On the Steel vertical, which is a new vertical which we have created, I think so it is a temporary setback what we have with respect to the inventory and because of the commodity pricing going haywire. But fundamentally, if you look at it, and the future, if you look at it, I think it looks very bright. Nobody has any doubts whatsoever that the water infrastructure sector under the Jal Jeevan Mission is going to get created. There is no doubt whatsoever in terms of allocation of funds for that particular project.

And we are seeing, as I said earlier, out of INR 360 lakh crores, only INR 300 crores have been -- is not yet used yet. So that sense, that gives you a feeling that there is a sufficient resource and funding allocation which is available, and that will see us -- so these projects will go through. I think so all what we have to do from our side, we will have to -- we will work on our efficiencies. And I think so with such a great scenario of what we are in, we should be able to capitalize and the company will be able to create value for all of our stakeholders.

And with that, I want to, once again, thank you for joining me this call. And if you guys have any questions whatsoever, you can reach out to Abhinandan, Percy or Gaurav, and they will be more than happy to answer that question. Thank you very much.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Welspun Corp Limited  
Q3 and 9M FY '24 Earnings Conference Call "  
February 07, 2024

MANAGEMENT : MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER –  
WELSPUN CORP LIMITED  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATIONS – WELSPUN CORP LIMITED  
MR. SALIL BAWA – HEAD, INVESTOR RELATIONS –  
WELSPUN GROUP

MODERATOR : MR. SAILESH RAJA - BATLIVALA & KARANI  
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to 3Q and 9 months FY '24 Earnings Conference Call of Welspun Corp Limited, hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sailesh Raja from Batlivala & Karani Securities India Private Limited. Over to you, sir.

Sailesh Raja: Thanks, Muskan. Good morning, and thanks to everyone who has logged in to Welspun Corp 3Q FY '24 earnings conference call. I would first like to thank the management for giving us this opportunity to host this call. Without taking much time, I hand over the call to Mr. Salil Bawa. He's the Head IR. Over to you, sir.

Salil Bawa: Thank you very much, Sailesh, and good morning to all of you. I welcome all of you to the Q3 and 9 months FY '24 earnings call of Welspun Corp Limited. Present along with me today on this forum is Mr. Percy Birdy, Chief Financial Officer of Welspun Corp Limited. I'm also joined by Goutam Chakraborty, who leads Investor Relations for Welspun Corp. You must have received the results and the investor presentation of the company, which are available on the stock exchanges as well as on the company's website.

We follow the normal routine. We'll start with the opening remarks and update from the leadership team. And then we will open the floor for your questions. During that discussion, we may be making references to the presentation, which has been shared already. Please do take a moment to review the safe harbour statement in our presentation. Should you have any queries that remain unanswered after this earnings call, you can reach out to us.

With that, let me hand over the floor to Percy from Welspun Corp. Over to you, Percy.

Percy Birdy: Good morning, everyone. Welcome to our December quarter and 9 months FY '24 Earnings Conference Call. I would now start the discussion with some of the key operational and financial highlights for this current quarter, and we'll follow it up with a business update. And after that, we will have an interactive Q&A session.

Strong performance was witnessed in this December quarter on the back of excellent ramp-up in our new businesses. On the financial front, our consolidated revenues from operations for December quarter and 9 months stood at INR4,750 crores, up by 98% Y-o-Y, and INR12,878 crores, up by 126% Y-o-Y, respectively.

EBITDA for the current quarter grew by 170%. And for the 9 months, by 332%. So EBITDA stood at INR471 crores for this quarter and cumulatively at INR1,391 crores. Profit after tax for this quarter, it jumped by more than 10x to INR292 crores. While for 9 months, profit after tax

Net debt stood at about INR500 crores at the end of December compared with INR1,800 crores at the end of last year, same period driven by our very strong free cash flows from the businesses. ROCE stood at 15.7%. This is for a 9-month period compared with the last year's ROCE for March '23 at 7.9%.

On the pipe solutions vertical that is India and U.S. line pipes, DI pipes, SS pipes and tubes. Our sales volumes for the line pipe business in India and the U.S.A. for the 9 months ending December rose by 65% Y-o-Y. Order book for the line pipes in India and U.S. stands at a robust 575,000 tons valued at more than INR7,000 crores.

Our associate company, EPIC in Saudi Arabia had a confirmed order book exceeding 2 years. We have also recently started the execution

of a large Aramco order of SAR1.8 billion. In the

India DI pipes, there's a steady improvement that we are witnessing. For 9 months ending December '23, the sales volume rose by 10x year-over-year to 135,000 tons.

In WSSL, the stainless steel bars sales volume, it increased by 200% Y-o-Y to 12,294 metric tons, while the pipes and tube sales volume rose by 23% Y-o-Y to about 3,667 metric tons during the 9 months ending December.

In the building materials vertical, where we include Sintex and TMT, the water storage tank sales volumes in Sintex grew by 11% Y-o-Y to 10,000 metric tons, while the TMT rebars sales volume for the 9 months December stood at 79,000 tons. Sintex has already announced its foray in the plastic pipes segment, and the portfolio will include different types of PVC pipes including CPVC, HDPE, UPVC, OPVC.

On the ESG front, the company continues to be one of the best in this category. We achieved highest rating in ESG performance by CRISIL ESG ratings among the industrial and metal ferrous, nonferrous companies. Moving towards sustainability goal by focusing on improving the energy intensity, water intensity and waste intensity. Tax transparency report has also been published by us.

Now let me give you some key updates on the pipe solutions as well as the building materials businesses. We begin with line pipes. For the quarter, the line pipe sales volumes in India and U.S. operations stood at 291,000 tons against 163,000 tons in the corresponding quarter of the previous year, which is a Y-o-Y growth of 78%.

For 9 months, the volumes rose by 65% Y-o-Y. Contrary to the IEA's expectations for a slower oil demand growth of 1.2 million barrels per day for 2024, OPEC continues to maintain a strong outlook. Expect the demand to grow by 2.2 million barrels per day to a total of 104.4 million barrels per day.

As far as gas is concerned, the IEA expected natural gas markets to return to growth in 2024. The forecast gas demand is to grow by 2.5% in 2024, and LNG supply is likely to grow at 3.5%.

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On the key drivers and outlook in India, introduction of a unified tariff policy aiming at creating more stable, competitive and transparent pricing regime, which will be beneficial to both the demand and the supply of gas. There is a policy focus on potential development of gas storage facilities by the central government, which is going to have a very positive impact on demand. According to petroleum Planning & Analysis Cell following a 7% Y-o-Y decline in 2022, India's primary gas supply rose by 5% Y-o-Y in 2023. The outlook in India is that natural gas demand is expected to increase by 6% in 2024, mainly supported by higher gas user industries and in the power sector amid the development of national pipeline grid and further penetration of City Gas infrastructure.

Water transportation for irrigation projects through the line pipes is also likely to grow steadily with continuous focus by central as well as the state governments. And export market continues to remain a focus area for us as the outlook is very bullish in Middle East, Australia, Southeast Asia, et cetera. And Welspun Corp has been successful in booking orders in all these geographies. India's order book remains strong at the end of December at 369,000 tons.

Then we move over to USA. In 2023, U.S. moved to take the prime place for the first time, exporting 116 billion cubic meters of LNG, surpassing both Australia and Qatar. U.S. LNG accounted for more than 15% of Europe's natural gas demand in 2023.

Global gas supplies in 2023 remain tight as the increase in global LNG production was not sufficient. And U.S. has accounted now for 80% of the incremental LNG supply. LNG

contracting continues to experience very strong momentum in 2023 and now U.S. accounts for 34% of all these contracted volumes.

The outlook

in U.S. remains very positive as the natural gas production is likely to grow by 2% to 1,081 billion cubic meters in 2024. We see strong demand for our spiral pipes continuing in the U.S. market. Total order book remains at about 206,000 tons at the end of December. We are also confident of booking new orders to ensure continuity of the business. Then we move to our Saudi Arabia -- our associate company, East Pipes. In Saudi, we focus on Vision 2030 by the Saudi government continues to be the key driver. The country is likely to increase oil exports gradually and use more gas for its own energy requirement. The water infrastructure market also is very strong in Saudi, and their Vision 2030 has been investing heavily on improving the water infrastructure. The Ministry of Environment, Water and Agriculture announced some time back an allocation of USD 80 billion towards water projects in the coming years, and expect 90% of water demand to be met through desalinated water by 2030.

All this augurs very well for our associate company in Saudi. EPIC is very strongly placed to capitalize on all these opportunities that are continuing to emerge in the KSA market. Then also EPIC is also focusing on strengthening its financial positioning, whilst boosting the resilience  
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of the business and ultimately delivering tangible long-term value to the shareholders and various stakeholder groups.

EPIC's well-established track record in the market, very strong brand name and solid competitive advantages have resulted in signing up a number of new contracts, including a significant SAR 1 billion, which is approximately INR2,200 crores, contract awarded recently by SWCC. With this, in November and December, major cumulative orders received by EPIC stood at value of more than INR4,000 crores.

Now we move over to DI pipes. Volume ramp-up continues in the DI pipe segment with a 36% sequential growth, 9-month FY '24 volume recorded at 135,000 tons. We have a strong order backlog of 264,000 tons valued at INR2,185 crores. Our order book position has been built in a short period, and starting commercial production, that itself is a testimony to our capabilities and our credibility.

Our brownfield expansion at Anjar has been progressing very well and is expected to contribute to the volume in FY '26. With a strong growth potential in the MENA region, Welspun Corp has announced setting up of 150,000 tons per annum DI facility in the Middle East with an investment of approximately INR500 crores, and we expect this to be operational in H1 of calendar 2025.

The DI market outlook remains very strong. In the interim budget also, the Department of Drinking Water and Sanitation has allocated INR77,000 crores. Out of this, the Jal Jeevan Mission gets the highest allocation of INR69,926 crores, which clearly shows the government's intention to maintain this as a key focus area.

For Welspun Corp, clearly, DI Pipe segment will continue to remain as a key focus area in the foreseeable future.

Let me move to stainless steel business, which is under WSSL, Welspun Specialty Solutions Limited. WSSL continues to post steady performance as the stainless steel bar sales volume during the 9 months ended December, it rose by 200% Y-o-Y to about 12,300 metric tons. Similarly, the stainless steel pipes and tubes sales volume rose by 23% Y-o-Y to about 3,700 metric tons.

WSSL has successfully developed, produced and delivered ultra-low cobalt stainless steel for application in nuclear power station components. It is also exported for the first time, Alloy 6625, high nickel and moly alloy seamless tubing for critical application for the first time. We are getting very encouraging product acceptance and feedback from our recently added USA market as well.

The current order book stands at about 4,200 metric tons and valued at mo

re than INR160 crores.

WSSL continues its transformational journey under a well-defined growth strategy, and FY '24  
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will become first significant milestone after witnessing the first year with a profitable bottom

line.

Then we move to the building materials vertical for Welspun Corp. First, we take up Sintex. In our existing business, we continue to steadfast on the growth path as we increase focus area, focus across our portfolio. We have organized multiple road shows and stakeholder meets across the country to get a deeper understanding of the retail market and to co-create growth plans with our channel partners. We are going to take it to the next level now with enhanced marketing and branding activities.

During the quarter as per our planned strategy, Sintex finalized its plan to foray into plastic pipes segment through its step-down subsidiary, Sintex Advanced Plastics Limited. The pipes and settings would include CPVC, UPVC, HDPE and OPVC pipes and shall cater to the the exponentially growing water distribution segment.

I'm also happy to share that SAPL has signed a framework agreement with Rollepaal Pipe Extrusion Technology B.V. for supply of its high-quality PVC or pipes manufacturing lines, exclusively to Sintex in India. With the signing of this agreement, Sintex is set to write a new chapter in the PVC pipes manufacturing in India, with already well-established cutting-edge technology on the PVC products.

Foray into plastic pipe segment provides a huge opportunity to Sintex to leverage its brand value, optimize its distribution channel and rationalize its logistics cost, thereby charting out a strong growth outlook and further strengthening our position into the B2C segment.

Let me move to TMT bars. Consistent improvement in production and sales of Weapon Shield TMT bars, with December quarter sales volume recorded at 30,000 tons. Market penetration has been progressing well with 91% districts now covered in Gujarat and 248 dealers all connected. Our marketing approach through innovative digital channel to address the B2C segment has been paying off very well.

In front of ESG initiatives, all of us are aware that we are very focused on ESG interventions across all the 3 areas of environment, social and governance. Also, we rank in the top 7% of the companies in the steel sector globally when it comes to ESG. As a testimony to our hard work, WCL also got Zero Waste to Landfill Certification by TUV Nord India for the Anjar facility.

Coming to our net debt cash position. The company's gross debt has declined substantially to INR1,858 crores as at the end of December, and compared to March '23, which was INR3,300 crores. The company's net debt cash at the end of December stood at INR503 crores compared to INR1,138 crores at the end of March '23.

During the quarter that is comparing December versus September, our net debt marginally increased, which is due to a change in working capital in India. Our guidance numbers given out Welspun Corp Limited

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some quarters ago for the full year FY '24. We are well on track not only to achieve them, but to actually surpass them.

Our revenue YTD December is INR12,878 crores versus our full year guidance of INR15,000 crores. Our EBITDA for YTD December is INR1,391 crores versus our full year guidance of INR1,500 crores. And our ROCE for YTD December is 15.71% compared with our full year guidance of 16%.

With this, I would like to summarize by highlighting that both our business verticals that is the complete pipe solutions and the building materials are performing in line with our expectations. We continue to maintain our strong focus on the DI pipes business and Sintex, and we see strong growth opportunities in both the businesses.

These 2 pillars, the DI pipes and Sintex will be the real gr

owth engines for Welspun Corp in the

number of years to come. As mentioned earlier, on the back of a strong demand outlook, we are foraying into Middle East region also to set up DI types manufacturing capability. Sintex has already announced its foray into PVC pipes, and we see a huge potential there as well.

WSSL also continues to ramp up, and we expect it to continue with a strong focus on quality, market penetration and execution. And on the ESG side, too, our efforts are being recognized and appreciated and we will continue to remain committed to our ESG goals.

With this, we can open the floor for the question-and-answer session, please.

Moderator: Thank you very much. And the first question is from the line of Miraj from Arihant Capital.

Miraj: Congratulations on a great set of results. Sir, just to start with the bookkeeping questions, sir, if you could let me know the volume split between India and U.S. line pipe business?

Percy Birdy: Sure. So basically, the volume -- sales volumes that we have reported, India plus U.S. put together is about 290,000 tons. And India will be close to about 170,000 tons and balance is U.S.

Miraj: Understood. Okay. So secondly, we've come up with this announcement of putting up a DI plant in the Saudi unit. Wanted to understand a couple of things over here, for the money that is to be invested, will we be putting any equity up there which would lead to our stake getting increased.

And secondly, what would be the assets going forward for this? I know that it's still a long way from your, just to get a brief understanding on that part.

Percy Birdy: So Miraj, our announcement is referring to Middle East region, not to any particular country. And we are looking at 2 options and exploring both the options simultaneously. And it will not be through the East Pipes company, the associate company. This is on our own on Welspun Corp.

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So we see the DI market in the region as a very strong market and a very growing market, comprising of 4 to 5 large economies in that region. And that is what is driving us to enter that market.

Miraj: Understood. Sir, I was also looking at the FX financials in Q3 and 9 months, we've done a pretty good set of results over there. But when I look at the cash flow generation, cash flow from operations, it has been negative to -- and in fact, it has increased, if I were to look at for 9 months. It is currently at SAR 488 million negative. So what would be the reason? Where is the money being getting stuck over there? Is it because of larger trade receivables? Or what would be the reason for this?

Percy Birdy: So EPIC is doing phenomenally well. As you can see that all the P&L numbers, their revenue growth, their bottom line operating margins, all are phenomenal. And even their outlook with a strong order book. So they are booked for more than 2 years.

Now your question on the -- probably on the cash flow side is because of that strong order book. Obviously, they have to invest into the working capital as well. So that's the reason why you are seeing this, but as these orders start getting executed, you will see the cash flows coming through and then the cash flow will catch up with the EBITDA numbers.

Miraj: Understood. And on the current order book that we have, if I were to look at the bid book, which is coming down and the order book also sequentially, it has come down. I wanted to understand on the U.S. side of business, are we expecting any large order in the Permian basin to be booked?

Percy Birdy: So our U.S. order book at the end of December stood at almost 206,000 tons, which will take care of our H1 for the calendar 2024. Then for the second half of calendar 2024, there are a couple of opportunities. And we expect that these will get concluded in a phased manner over the next few months. So we are very confident

that we will secure the business continuity in U.S.

Miraj: But those won't be reflecting in the bid book now? Is that the right understanding?

Percy Birdy: Yes, yes. But let me say that the U.S. our business outlook is extremely positive because of the drilling activity in the Permian basin and the gas that needs to be evacuated from Permian basin to the Gulf Coast ports from where U.S. is exporting LNG to all over the world, largely through the Western Europe P&L as well.

So for U.S., they have attained the peak position when it comes to the global LNG market. And obviously, U.S. is not going to surrender this business position. So for us, as a line pipe manufacturing company, we see that there will be more than a couple of new gas pipelines that will be coming up. And we are the largest line pipe manufacturing company in the U.S. So we will obviously get our fair share of the market as and when these orders are awarded.

Miraj: Understood. Last question ...

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Moderator: Excuse me, sorry sir to interrupt, May I just request you to follow up the queue as several participants are waiting, please. The next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Yes, sir, just from your opening comments, for the Saudi market, if you could give what kind of opportunity in front that you see in the line pipe over the next 5, 6 years, considering the water and the historical oil related spend that they do. And what is the -- what was the line pipe's annual market for Saudi?

Percy Birdy: Sure. So the Saudi market is -- I mean, in 1 word, if you have to say that is really looking phenomenal. Both for line pipes, we have water applications as well as the oil and gas applications. So EPIC, our associate company has an order book which goes beyond 2 years, and that's a very strong position. And not only this, but the outlook also continues to remain very bullish over there, with their Water Department Ministry announcing a huge focus on the Vision 2030 and investing heavily in improving the water infrastructure.

So the Ministry of Environment, Water and Agriculture, they recently announced an allocation

of USD 80 billion towards water projects within the coming years. And they are expecting 90% of water demand to be met through desalinated water by 2030. So all this is appearing very positive to us, and it's getting mirrored in the order book that EPIC is carrying also.

Just to add some time back, EPIC got SAR 1 billion of order from SWCC. That's for the water pipeline. So in a nutshell, it's a very positive outlook in Saudi for our associate company.

Pritesh Chheda: Okay. Can I conclude 1 thing here that water was not a large demand generator until, let's say, 2, 3 years back and now because oil and gas infra spends have been continuous for them, right?

Is that a conclusion which we can take or...

Percy Birdy: No, that is not the correct conclusion. So if you see over a longer period of time, let's say, about 6, 7 years, -- then probably in Saudi, the water and oil and gas demand gets almost equal. But each year is different. So I can tell you in the last 3 years in Saudi, we have been able to get more orders on the water side.

If you go back prior to 3 years, when we had some very large orders in oil and gas side. So -- but by and large, you can say that the market is equally divided between water as well as oil and gas. And as far as our EPIC's order book is concerned, we have a healthy mix of both.

Pritesh Chheda: Okay. Will the market be significantly bigger than what you have experienced annual market size will be significantly bigger than what you have experienced all these years in your Saudi business considering Saudi's focus, higher focus on water spend?

Percy Birdy: So Saudi is clearly having the Vision 2030 when they are doing this capital allocation and these

budgetary announcements. And it will continue to remain as a very growth-oriented market. So we are very positive about it. No doubt.

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Pritesh Chheda: And my last question is on the India market. What will be the India line pipe market volume growth rate over the next 3, 4 years in your opinion?

Percy Birdy: So in the India line pipe, we broadly have 3 categories. We have the domestic oil and gas, then we have the domestic water and then we have the exports. In different years, the mix obviously keeps changing depending on the type of projects that come on the table. We see as of now, a very good potential for more export orders. So that is where the margins are also very high and it helps the P&L in a substantial way.

In the domestic oil and gas, also, there are a few projects that are coming up, but more so on the CGD front. So on the City Gas Distribution, we see that the demand will remain robust. That's for the ERW pipes. And we will continue to get our fair share of the market here.

In the domestic water as well, there's a lot of focus on irrigation and pipelines and state governments are also really increasing the spend supported by the central government. So there also, we see a very good traction on the domestic water side. So all the 3 aspects in the area line pipe business are looking positive to us.

Pritesh Chheda: Okay. In this, can I conclude one thing that in India, the water and the oil and gas is where it must have been extremely slower volume growth incrementally? A lot of the India growth will be turbocharged by the export policy?

Percy Birdy: No, it's not like that. I think all the 3 are contributing to the growth. But exports are obviously better at the margin side.

Moderator: The next question is from the line of Vikash Singh from PhillipCapital.

Vikash Singh: Sir, I just wanted to understand this quarter's EBITDA per ton drop. While we have done much bigger volume in India, still the EBITDA per ton got dropped. So is anything specific in the number, which has led to the decline despite better volumes?

Percy Birdy: See, Vikash, now India EBITDA per ton, that number is not really visible from the published results but I'll tell you why. The India standalone results that you are seeing are including even Welspun Metalloys Limited now because now the legal merger has been completed. So Welspun Metalloys is where we have the hot metal production and also the peak sales. So hot metal goes into the DI pipe manufacturing.

So because of this, you cannot really calculate the EBITDA per ton for the line pipe business of India. But let me tell you the answer to your question. In India, we typically do anything between 5.5 lakh tons to 6.5 lakh tons, 7 lakh tons per annum in the total line pipe volume. And the average EBITDA per ton works out to close to INR10,000 a ton. So obviously, each year is not identical. But by and large, this is the set of numbers.

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So like if it's a 6 lakh ton volume in India, then that would translate to about INR600 crores of



EBITDA. This, of course, comprises of the exports business and domestic water and domestic oil and gas. And we are pretty much on the similar lines, Vikash, even in the current year.

Vikash Singh: Understood, sir. Sir, my second question, pertains to our order book basically, especially in India, since probably we are entering in the election season. And at the same time, 4Q is the high -- best execution period as well. So do we see that we would face a little bit challenges in 1Q FY '25 or 2Q FY '25 because now order book addition temporary could drop down because new orders would be -- new order would not be coming while our execution, it would be very strong. Percy Birdy: No, Vikash, we don't see any of those type of issues. So our order

book is, as we said, 5,75,000

tons as of now. You can say a little drop U.S. is about 200,000 -odd and the balance is in India. And we continue to add more orders to this as well. So -- and this anyway gives us visibility easily for the next 6 months or so.

Vikash Singh: Understood, sir. And sir, just last question regarding our capital allocation. So given that U.S. continuously announcing new CapEx, including the MoU signed on the Sintex side. So what is the total CapEx we are expected to spend in FY '25? And how does our best movement would look like?

Percy Birdy: So I'm very glad, Vikash, that you asked this question because we wanted to talk on this anyway. See, the capex is that we have already announced as of now, they are approximately adding up to about INR1,800 crores. And these are already in the public domain. These will be spread over at least 2 fiscal years, 2, 2.5 fiscal years. So it's not like we are doing all the capex immediately. By and large, the capex is focused on 2 areas. One is clearly Sintex. And our game plan for Sintex is a very large strategic vision for it. We had announced our capex of INR800 crores for Sintex Telangana sometime back. And our strategy is to enter into our plastic pipes business using the Sintex as a gateway.

And we are looking at as a pan-India presence. So we are not only looking at Telangana, but we are looking at multiple locations across India, where we'll be evaluating, setting up manufacturing facilities. So that's 1 area where you will see capital investments going in, in plastic pipes and Sintex.

The second area where our investment focus will remain is DI. So we believe that ductile iron pipes have -- is one of the sunrise industries and in India also and even in the Middle East region. So we have announced capex in India for expanding our DI capacity at Anjar.

Moderator: Ladies and gentlemen, management line has been disconnected. Please stay connected. We're connecting them. Management line has been connected. Please go ahead, sir.

Percy Birdy: Okay. Yes. Vikash, you are there?

Vikash Singh: Yes. I am, sir.

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Percy Birdy: So we're answering your capital allocation question. So we spoke about...

Vikash Singh: You were on the DI side and then suddenly you got dropped.

Percy Birdy: DI side also, we have announced capex of INR300 crores for expanding our DI capacities at Anjar. And we also announced about the Middle East region yesterday for about INR500 crores. So that also adds up to about INR800 crores. So you can say roughly INR800 crores in DI and INR800 crores on Sintex and plastic pipes. So we are looking at about INR1,600 crores plus maintenance capex of about INR150 crores. So close to about INR1,800 crores spread over 2 to 3 years. That's our plan. And with the strong free cash flows that our businesses are generating, we don't see this funding of this as any issue.

Vikash Singh: Understood, sir. And sir, just lastly, on the ABG Shipyard...

Moderator: Excuse me, sorry to interrupt, sir. As several participants are waiting in the queue, please follow back in queue for further questions. The next question is from the line of Bhavik Shah from MK Ventures.

Bhavik Shah: My question was on ABG Shipyard. So I just wanted to understand, we invested around INR650 crores to INR700 crores there. What kind of money you have made from the scrap sales till now? And what kind of money is still pending to be received from the sales? And what are we thinking there? What is your plan of action there?

Percy Birdy: Sure. Bhavik, as we have said in the past as well, our first priority is to monetize these assets. So we have come close to 60%. 60% of this has already been liquidated. We have monetized this as well balance also, we'll be able to do it in the next 3, 4 months. So...

Bhavik Shah: Can you quantify the amount, how much

is like -- what's amount you have got till now? What's the amount you're expecting to be received?

Percy Birdy: As I said, it's about 60% plus has been already done, and the balance will be done in the next 3, 4 months. And at the end of it, we would be able to collect more than what we had invested --

so it is a positive to the bottom line.

Bhavik Shah: Okay. And sir, do you have any other assets over there like land bank or anything which we are planning to sell there?

Percy Birdy: What I was telling you was for the other metal assets, which were there and we are liquidating. But of course, there is the land bank there. There is the infrastructure there. So all those assets in a way, become free of cost on our balance sheet because we would have already monetized whatever we had invested by just liquidating the metal scraps. So that removes any load on our balance sheet completely. And we will decide what to do with these land bank and these assets. So we are looking at multiple options.

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As of now, we don't have any plans to announce. But please be assured that there is no weight coming on the balance sheet because the complete investment will be monetized.

Bhavik Shah: Right. Sir. And just on the Sintex front, what is the plan? Like can you just elaborate a little bit over there like when are you going to enter the market or anything?

Percy Birdy: So we already announced about the Telangana project, and it's going to be now pan India presence. There will be other locations also getting added. We will, of course, ration out our CapEx in a very judicious manner. And we'll be entering the plastic pipes market in the near -- foreseeable future.

Bhavik Shah: Okay. So like any plans to like what are the timelines -- any timelines in place?

Percy Birdy: So these are obviously greenfield expansions. So they will take at least 12 to 18 months horizon to get into the market.

Moderator: The next question is from the line of Bhavin from Enam Holdings.

Bhavin: Yes. Bhavin here from Enam Holdings. Congrats on overall good set of numbers and continuous ramp-up in new businesses like DI Pipes and Sintex and all that. A few questions. First, on the DI pipes Middle East project, INR500 crores project for 150,000 tons. So will this be backed by blast furnace for pig iron or you are just putting up a DI pipe plant there?

Percy Birdy: So Bhavin, as of now, what we have announced this amount that you are seeing, it's an approval taken from the Board, okay, for further exploration. We are actually having 2 options that we are looking at and simultaneously working on them. But to answer your question specifically, it's not the blast furnace route. It's basically the DI. Will get fine tuned later on.

Bhavin: Will you be procuring steel from open market?

Percy Birdy: Yes, yes.

Bhavin: Second, on again, the Slide #42, where you have given targets for FY '26. So the DI pipe side assume 450,000 is this assuming Indian volumes and Middle East is not considered there.

Percy Birdy: Correct. That's India. So as you know, we had capacity of 4,00,000 tons in DI, and we are adding 1,00,000 ton with the Anjar expansion. So capacity becomes 5,00,000 tons.

Bhavin: Right. And line pipes volume includes Saudi volumes, or these are excluding Saudi volumes?

Percy Birdy: I think Bhavin you know we are -- basically, we are talking about India and U.S.

Bhavin: India and U.S. only in that slide. Okay. Okay. And last question on -- I missed out on the U.S. plant current order book?

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Percy Birdy: So U.S. plant order book is at about 200,000 tons odd at the end of December. And this will take care of H1 for calendar 2024. Then for the second half of the calendar 2024, there are a couple of strong opportunities and expecting that these will also

get concluded in a phased manner.

Bhavin: So we are at 2,00,000 tons dispatches would be including Quarter 4 and first half of next year, so over 3 quarters?

Percy Birdy: We are talking of the H1 calendar 2024.

Bhavin: The H1 calendar 2024, so the next 2 quarters. Okay, okay. And these are largely spiral orders -- includes some ERW orders also?

Percy Birdy: Both. Both. Both put together.

Bhavin: And already, I think your bid book is strong, so you are confident that you will be able to get orders, which will take care of second half.

Percy Birdy: Yes, yes. We'll secure the business continually.

Bhavin: Last one on the DI pipe order book, which looks very strong. And if you have seen other players also, which are reporting very strong numbers and strong order book. So I'm assuming this 2,54,000 order book is for next 2 to 3 quarters, will it get executed?

Percy Birdy: Yes. Potentially, yes. See, it is not the demand, which is a constraining factor. So demand is very

robust. And if you want, we can increase our order book even today as we speak. We are being cautious as our production is getting ramped up. And that ramp -up is now clearly visible in the numbers. So the efficiency is improving, the quality is improving, the rejection rates are coming down.

Bhavin: So backed up on coking coal on this because you have a blast furnace for In dian facility. So how is the coal tie -up done or procure?

Percy Birdy: So these are all the commodity and we purchase it from the suppliers. So these are market prices.

Bhavin: So normally, we have 1 month inventory or we keep large inventory there.

Percy Birdy: Generally, the market practice is 3 months inventory.

Bhavin: 3 months inventory. Okay.

Moderator: The next question is from the line of Miraj from Arihant Capital.

Miraj: Sir, more or less, my questions have been answered. I just want ed 1 more und erstanding on the Nauyaan shipyard side if we planned anything for that asset? Going ahead any business that we've planned?

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Percy Birdy: No, Miraj. We are evaluating various options. But as of now, nothing has been planned.

Moderator: The next question is from the line of Pranay Gandhi from Green Portfolio.

Pranay Gandhi: So on a very general terms, I wanted to understand that considering the fact that the order book for EPIC is already booked for the next 2 years. So are we looking at some sort of expansio n.

The underlying reason for this question is that generally, even if we get a new order, it would be served beyond 2 years, and they will certainly be clients who would want the order to be delivered sooner. And in a way, we are losing out on those orders . So how do you see that side of the business?

Percy Birdy: See, Saudi is that way, a very mature market, and the key customers like whether it's Aramco or whether it's SWCC, when they come out with projects and they put them out for bid and invite the quo tations, they also look at the capacities, which are existing in the kingdom. And then they come out with those projects in a very judicious timed manner. And these are all long -term projects. So some of them go over 2, 3 years as well.

So it's not a market, which gets overly crowded like suddenly a spate of projects will come up and capacity will not be there. It doesn't happen like that because of the maturity of the market and the maturity of the customers.

Pranay Gandhi: Fair enough. And so since w e are already on the track of exceeding the revenue target for this year, how do you see business shaping up of sales in the next 2 to 3 years in terms of the volumes or the revenue?

Percy Birdy: So I think over the next 2 to 3 years, we see our line pipe business holding steady and continuing to grow in India, U.S. and Saudi. We see exponential growth coming from our new businesses.

So that is the DI pipes then also th

e stainless steel, Sintex. These will be the future engines of growth for Welspun Corp.

Pranay Gandhi: Okay. And sir, could you please put a number to it if possible?

Percy Birdy: So I think our investor presentation already gives you that. I think there is a slide, which gives you visibility rather projections till FY '26. So if you look at that, the line pipes is showing projected at about 1.2 million tons for FY '26. DI is projected at about 4,50,000 tons for FY '26. Stainless steel pipes is projected at about 8,000 tons for FY '26 and stainless steel bars at about 65,000 tons for FY '26.

So I think we have put out a broad vision for the next 2 years. We don't have a specific guidance to give you as of now. But clearly, growth is a way of life at Welspun Corp. And you will continue to see the company growing.

Moderator: The next question is from the line of Nafez Alabbas from Ajeej Capital.

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Nafez Alabbas: My question basically was just answered by the previous caller. What we really wanted was a ballpark figure for the utilization at your Saudi entity or associates. Just to understand the capacity for winning projects on the short term. I mean are they in the high 90%, let's say 60%, 70%, just a rough numbers, just for us to understand.

Percy Birdy: So your question is for capacity utilization at the Saudi associate?

Nafez Alabbas: Yes. But j ust a ballpark number, if you don't want to give the figure. Just to know, let's say, they are in the 50s or the high utilized, just to understand.

Percy Birdy: Yes, yes. Now that they have an order book going beyond 2 years, obviously, they will be in a

very good capacity utilization number.

Moderator: The next question is from the line of Radha.

Radha: Sir, in the PVC pipes that we are looking to expand, I wanted to understand whether we are looking to supply more to the agri segment or the non -agri?

Percy Birdy: Both these segments will be addressed. So the entire market for the plastic pipes, and we are looking at OPVC, we are looking at UPVC, HDPE, the complete gamut of plastic pipes is our target. And it will be a pan -India presence. So it will be not just Telangana, but we'll be setting up operations at a few more locations as well. And the objective is to really enter the market in an impactful significant manner.

Radha: Okay. And sir, secondly, Sintex water tank business. So could you tell us when can we see significant pickup in the utilization in the water tank business?

Percy Birdy: So the water storage tanks business, which is the traditional business of Sintex, it has also been doing well. They have been showing growth as well there. And along with the plastic pipes capacities that we'll be putting up at pan -India locations, we will be obviously putting up WST capacities as well. So there are a lot of benefits when you can combine water storage tanks as well as plastic pipes together in terms of logistics and shipping costs and all. So both the areas of WST as well as plastic pipes will be growth areas for Sintex.

Radha: Sir, lastly, given that we are trending in the Middle East region for the DI. So you mentioned that demand is very strong on this is \$80 billion opportunity coming up. So could you tell us what is the total size of demand that will be generated for the DI pipes in India? And what that will be adding any addition to the current demand scenario in the Middle East region.

Percy Birdy: So the DI market in the Middle East region is growing rapidly. And we see that the current local players who are there, they are not able to cope up with the quality and the output that the demand is requiring. So it's actually quite a few imports coming in to that region from other countries.

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So we see that by setting up a DI facility inside the Middle East, we

will be able to at least

immediately replace the imports and able to get a quick market share. And since there is growth there, we'll be able to scale up our operations also rapidly.

Radha: Overall the local players you are talking about?

Percy Birdy: There are quite a few local players there in different -- there are 3, 4 large markets inside Middle East region. So those are mostly domestic as well.

Radha: To answer the customer that will be targeting for DI, will it be similar to the extra customer?

And these are -- will this benefit for us in terms of approval cycle given that in the customer profile could be similar?

Percy Birdy: The East Pipes Company is a completely separate business of line pipes and the DI pipe that we are talking of Welspun Corp on its own is also completely separate. So we don't see them really mixing anything with them. There might be some synergies in terms of customers, which, of course, we will leverage on those synergies. But otherwise, the DI pipe business will be completely different venture from the existing East Pipes Company.

Moderator: The next question is from the line of Dinesh Kulkarni from RDST .

Dinesh Kulkarni: Congratulations on a good set of numbers. I have a question on the DI pipes in the Middle East.

Can you just explain the market here? Like how big is the market? And where do you see it's going in the next 3, 4, 5 years? And what could be a targeted market share you are looking at?

Percy Birdy: See, the water infrastructure market is quite strong, not only in KSA, but in the Middle East region also. If you talk specifically of KSA just as an example, then the Vision 2030 also has been investing heavily on improving the water infrastructure. And we already spoke about the Ministry of Environment, Water, Agriculture, which announced allocation of USD 80 billion recently.

So I think all these are very strong signals that are coming up in terms of the water business. DI pipes as well as for line pipes. Line pipe is getting catered by East Pipes company, there is new DI business, which we will set up somewhere in the Middle East through our own wholly -owned subsidiary.

Dinesh Kulkarni: And do you need any debt on this further, like or this is enough for the time being, what you expect?

Percy Birdy: Sorry, do you need any?

Dinesh Kulkarni: Have you to raise any other capital equity or debt capital apart from this INR500 crores which you are investing right now?

Percy Birdy: No, I think this INR500 crores includes debt and equity both. So this is the project cost.

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Dinesh Kulkarni: Okay. And then what kind of an asset turn you're looking at in the next year...

Moderator: Excuse me, sorry to interrupt, sir. We request you to return to the question queue for follow-up questions. The next question is from the line of Aasim from DAM Capital.

Aasim: Yes. Just 1 clarification. The CapEx number that you talked about INR1,800 crores, for Sintex, it was INR800 crores. Can you just elaborate more what are, INR800 crores will be spent on, any breakup within that?

Percy Birdy: Sure, sure. So see that INR800 crores was announced some time ago, which was for the plastic pipes in Telangana. Now we are looking at in a different way. We are looking at setting up a pan-India, so there will be multiple locations, not just Telangana. Telangana will be one of them. And cumulatively speaking, we'll be spending an amount close to this, but not just Telangana, it will spread over into different products, all plastic pipes, so whether it is UPVC, whether it is OPVC, all inclusive.

Aasim: So actually 4, 5 plants, we'll be spending INR800 crores in total?

Percy Birdy: Yes, you can say that, pan-India.

Moderator: Ladies and gentlemen, due to time constraints, we take this as a last question. As that was the last question, I now hand the conference

over to Mr. Sailesh Raja from Batlivala & Karani Securities Limited for closing remarks.

Sailesh Raja: Yes. Thank you all for attending the session. We especially thank the Welspun Corp team for their time. Percy sir, would you like to make any closing comments?

Percy Birdy: I think -- thank you for arranging this call, and thanks to all the participants for attending as well. And I hope you have answered all the questions. If you have any further queries, please feel free to contact Goutam or Salil and will be really happy to assist you in this regard. So all of you to have a great day ahead. Thank you.

Moderator: On behalf of B&K Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q3 FY 23 Earnings Conference Call

February 03, 2023

Management: Mr. Vipul Mathur - Managing Director and CEO, Welspun Corp Limited  
Mr. Percy Birdy - CFO, Welspun Corp Limited  
Mr. Gaurav Ajjan - AVP and Head – Investor Relations and Strategy, Welspun Corp Limited  
Mr. Salil Bawa - Head, Group Investor Relations, Welspun Group

Host : Mr. Abhineet Anand - Emkay Global Financial Services

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Moderator : Ladies and gentlemen, welcome to the Q3 FY2023 Earnings Conference Call of Welspun Corp hosted by Emkay Global Financial Services. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Abhineet Anand from Emkay Global. Thank you and over to you Sir!

Abhineet Anand : Thanks Jarvin and a very warm welcome to everybody. Today we have the post results conference call for Welspun Corp. I will hand over the call to Mr. Salil Bawa, Head of Group Investor Relations. Over to you Sir!

Salil Bawa : Thank you Abhineet. Good morning to all of you. I welcome all of you to the Q3 FY2023 earnings call of Welspun Corp. Present along with me today on this forum are Mr. Vipul Mathur - Managing Director and CEO, Mr. Percy Birdy – Chief Financial officer of Welspun Corp. I also have with me my colleague Gaurav Ajjan who leads Investor Relations for Welspun Corp. You must have received the results and investor presentation of the company, which are also available on the BSE and NSE as well on the company's website which is [www.welspuncorp.com](http://www.welspuncorp.com). As usual we will start the forum with some remarks by our leadership team. We will then open the floor for your questions. During the discussion we may be making references to the presentation which has been uploaded. Please do take a moment to review the safe harbor statement in our presentation. Should you have any queries that remain unanswered after this earnings call, you can reach out to us anytime. With that let me hand over the floor over to Mr. Vipul Mathur – MD and CEO for Welspun

Corp . Over to you, Sir!

Vipul Mathur : Thank you Salil. Thank you very much and good morning everyone . Welcome to our Q3 FY2023 conference call. I sincerely appreciate for taking time to attend this call and I hope all of you are doing well. Let me run through you the key highlights of our performance during this quarter ended 31st December 2022. We commenced operations in our US facility and have also started dispatches. As you know , we have a strong outlook and order book in the US market. We are also ramping up sales for our state of art ductile and TMT plant which got commissioned in this quarter. We have also received possession of the specified assets of ABG ship yard. As we are committed to ESG , we have published our maiden sustainability report and tax transparency report in this quarter. As regard to order book , we have a very healthy order book of almost 928,000 tonnes and an active bid book of 1.7 million tonnes.

For the quarter the production and sales volume in line pipes for our total operations including Saudi was at 330,000 tonnes and 281,000 tonnes respectively. For India

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Page 3 of 22 operations, the sales volume was at 126,000 tonnes , for US operations the sales volume was around 38,000 tonnes and for our Saudi operations the sales volume was around 118,000 tonnes.

Let me give you some views on the outlook and brief update as to where do we see the three geographies in which we are present for the next quarters to come. Let me first talk about the pipe vertical. In the pipe vertical where we predominantly produce line pipes , the line pipe business has seen a robust performance with a global sales volume of 281,000 tonnes and an EBITDA of Rs.202 Crores for the quarter. The production in the US has significantly ramped up and the dispatches against the project have started in Q3. The full impact of this will be seen in Q4 FY2023 onwards. It is expected that 2023 will be another strong year for the oil and gas industry as consumption is expected to increase. According to IEA , global oil demand is set to rise by 1.9 million barrels per day in 2023 to a record high of 101.7 million barrels with nearly half the gain from China following the lifted of COVID restrictions. In addition , the EU will need to buy a lot more gas to refill its storage and will continue using oil products that is no longer available from Russia. Global oil prices have forecast to average around \$80 per barrel which is a fairly healthy level and should spur further investment in pipeline. For India , the Ukraine crisis has reaffirmed the importance of energy security as governments around the world are trying to secure gas pipelines at affordable prices. The EU is pivoting away from Russia to other regions to secure the gas it needs. The current environment along with the reasonably high energy prices will lead to a robust capex cycle in the oil and gas infrastructure globally. We are seeing a strong revival in various pipeline projects and are in active discussion for several export orders across the world with a focus on Europe, Australia, South America, South East Asia and Middle East . The government of India has also set a target to raise the share of natural gas in the energy mix to 15% by 2030 from currently 6.2%. Various steps have been taken by the government in this direction including expansion of natural gas grid, expansion of city gas distribution network and setting up LNG terminals. PNGRB has authorized approximately 33,000 km length of natural gas pipeline network across the country. Out of this 21,000 km length of natural gas pipeline are operational including 6600 km of partially commissioned pipelines. In addition there are 12,000 km of natural gas pipeline which are under construction. We have seen a healthy demand from PSU, oil and gas companies. The overall capex target for FY2022 -2023 is Rs.111,350 Crores for which Rs.77,000 has been spent in April to December 2022. We expect a steady demand from these companies to continue for several years. There has been a revival in the water sector with a cooling of in the steel prices in the quarter compared to the previous year. We have seen increased demand across the states of Gujarat, Maharashtra, Tamil Nadu, Karnataka, Madhya Pradesh, Punjab, and Rajasthan. There are several schemes planned by both the central and state governments to ensure optimal sustainable development, maintenance of

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Page 4 of 22 quality, and efficient use of water resources to match the continuously growing demand across the country.

As regards US, Europe energy cr

isis is expected to keep the LNG market tight for the next few years supporting cash flow generation for the US LNG players. Rising global demands for natural gas is a growth opportunity for US LNG producers , but delivering on

opportunity will depend on timely construction of natural gas pipeline infrastructure to support new US LNG supply. In 2022, the EU imports of LNG hit 101 million tonnes which was a 58% surge compared to 2021 as Russian gas exports to EU got shutdown. Meanwhile, China reduced their domestic demand in 2022, allowed Chinese importers to redirect their contracted LNG volumes to the higher price European spot market and help Europe to avoid major shortages. A potential recovery in the Chinese market in 2023 will bring back the risk of natural gas supply in Europe. European demand may accelerate LNG capacity expansion in the US, this in turn would spur further capital allocation for constructing new pipeline capacity to connect the largest US gas producing regions like the Permian Basin to the new export infrastructure. Our HSAW plant in the US is fully booked till December 2023. The current business environment is extremely conducive and we are in active discussion to book new orders beyond 2023 for our spiral plant.

Saudi Arabia, we have seen a very strong performance in our associate company East Pipe with a 266% Y-o-Y jump in revenue and operational profit of 61 million during the quarter. The outlook for oil and gas sector in Saudi Arabia is encouraging. The master gas system phase 3 is being planned by Saudi Aramco for transfer of gas from east to west in Saudi Arabia. Saudi Arabia is also trying to speed up conversion of number of power plants from oil to natural gas. In that perspective, Saudi Aramco is extending the existing master gas system to western province in order to supply the power plants located there. The planned new pipelines and distribution network to be operated by Saudi Aramco will add to the existing Saudi pipeline capacity. Apart from above, Saudi Aramco is also keenly focused in developing their offshore infrastructure and are rolling out a 10-year plan in terms of development of their offshore infrastructure. This will also mean a substantial increase in the demand for the pipes to come. SWCC is also investing in increasing its capacity to desalinate, transmit and store water to meet the increasing demand and further enhance water supply security. Today Saudi Arabia can store 21 million cubic meter which is equivalent to 2.2 days of current municipal water demand. Projects are ongoing to expand storage capacity by 14% and the expansion to a further 225% is planned to reach seven days of strategic storage by 2030. On desalination around 9 million cubic meters per day can be produced today. The market share of SWCC is around 66% of the total current production capacity and projects to increase desalination capacity by 60% are under construction. More over Saudi Arabia plans to increase desalination capacity by 17.4% by 2030. Given the vast geography of Saudi Arabia, transmission of desalinated water to its demand center

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Page 5 of 22 is of key importance. Today around 13.9 million cubic meters per day can be transported across the country. The capacity is currently being increased by additional 56% and a further expansion of 44% is planned by 2030. Thus both Saudi Aramco and SWCC put together are showing a very robust sustainable demand for the next few years. Our associate company Epic recently announced signing contracts for supply of steel pipes for water transmission with a total order value of around 570 million Riyal with NEOM and Petro Jet Company. The huge thrust on oil and gas and water infrastructure will result in a strong demand for pipelines as we expect to win more orders in due time to come. Let me now shift to another vertical which is our steel vert

ical. The pig iron and the DI pipes. During the end of the quarter, we announced the commissioning of coke oven through Welspun Metallic Limited a wholly owned subsidiary of the company. The coke oven has a production capacity of approximately 210 tonnes per annum, which will primarily be used in the blast furnace for manufacturing of hot metal. This will help with continuous supply of high quality coke at a very competitive cost to run the plant efficiently. This is a significant milestone in our quest to manufacture high quality DI pipes. The coke oven is built with a latest technology adherence to the highest safety and environment standards. The EBITDA in this quarter for the steel vertical showed a loss of Rs.34 Crores as compared to the previous quarter which was at a staggering 293. We are ramping our production in calibrated manner to ensure that we deliver pipes of the highest quality to our customer. In the month of January 2023, our production has already touched close to 10,000 tonnes of DI pipes. The removal of 15% export duty on pig iron has also given a boost to selling of pig iron in the market in both domestic and in export market. We expect the financial performance of the business to significantly improve in the subsequent quarters. As the pig iron sales will also get ramped up as the prices for the pig iron also firming up and so is our capacity on the DI pipes has also significantly ramped up and we produced in January 10,000 tonnes of pipe which is a sort of milestone in a startup DI company if we see any historical data. To make provisions of portable tap water supply to every rural household of the country by 2024, government of India in partnership with states is implementing the Jal Jeevan Mission, Har Ghar Jal. With an estimated outlay of 3.6 lakh Crores. As on 20th



January 2023 out of 19.36 Crores rural household in the country, 10.96 Crores household are reported to have tap water supply in their home. Overall the demand environment is extremely robust and as on date we are already having a backlog of close to 88,000 tonnes of order valued at Rs.665 Crores .

I now shift my focus to the billet and the TMT bar. Our newly commissioned state of the art plant has started dispatches of TMT bar. The initial response has been extremely encouraging with a healthy traction both in the B2B and B2C sector. We are creating a unique and industry first digital platform for distributors, dealers, retailers and influencers. This will have a socioeconomic impact and will also help to analyze early trend buying patterns of the consumer in every region. This can help our production and make supply

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Page 6 of 22 chain operations more effective while staying customer centric. Our key target for the TMT bar will be the state of Gujarat where we estimate an annual demand of 3 million metric tonne per annum driven by the spending on housing and construction of this approximately 2 million tonne is manufactured within the state and while 1 million tonne is procured from outside the state. Thus it opens up a huge opportunity for us to capture this market from our production facility.

I also draw your attention to our subsidiary Welspun Specialty Solutions Limited. WSSL has recorded a turnaround in performance and they turned cash positive in this quarter. Going forward , the company expects its improved performance to sustain on the back of several new customer approvals, additions, development of new products and penetrating new market. Pipe volume higher by 45% for Q3 FY2023 and 70% for 9 month FY2023 both compared to the corresponding period in the previous year. The total income was 175% higher for Q3 2023 compared to the previous year. EBITDA for Q3 stands at Rs.9.4 Crores versus a loss of Rs.1.6 Crores in Q3 of FY2022. The total order book of WSSL for stainless steel bars stands at 2134 tonnes amounting to 60 Crores and for tubes and pipes ,

the order book stand at 1426 metric tonnes amounting to approximately 100 odd Crores. The Finance Ministry has approved a gazette notification for antidumping duty on stainless steel, pipes, and tubes chapter 7304 imported from China. This is expected to significantly improve business prospects for our plant and for all the mills in India. The BIS standard for seamless pipes and tubes which is BIS 17875 has also been introduced which is favorable for integrated players like us. The company has received accreditation certificate by BIS for wider range of product and sizes .

Let me also give you some other updates with respect to our acquisition on ABG and Sintex. First about ABG . The company has received a position of the moveable asset properties for the liquidator of ABG. Further the company's wholly owned subsidiary Nauyaan Shipyard Private Limited has received the possession the partially built ships, equipment and metal scrap acquired under WCL which is estimated to be over 150,000 tonnes. It is estimated that the metal and metal scrap not required for the business purpose will be disposed over next 12 to 15 months. We have already initiated the proceedings with respect to that and we expect to see significant cash flow coming in from this sale on a quarter on quarter basis for the next couple of quarters. During this period , we will also evaluate new business areas like defense, green field, offshore wind, oil and gas structures to ensure optimal utilization of the asset. As regards to Sintex, Welspun growth strategy entails creating a diversified product portfolio , repurposing business to add new target segment expanding its offering to add both B2B and B2C market and making well consider strategic acquisition. In this regard , we are in the process of acquiring Sintex BAPL non convertible debentures with an outstanding value Rs.1231 Crores for a purchase consideration of 421. This is already accomplished. The whole process as you know it was

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Page 7 of 22 under IBC is nearing completion and we are hopeful that it should be over in next couple of months , on or before Q1 FY2024.

ESG , Welspun published its maiden sustainability report for FY2021 -2022. The report is significant in helping WCL comprehensively reporting its sustainability performance across the environmental, social and governance domain. The report also highlights the progress made by WCL over its sustainability goals and in alignment with the global framework like the GRI, UNSDG, and FAFCB standard. In addition , we published our first ever tax transparency report. It is essential that we explain not only our compliance with tax laws and disclosure requirements and guidelines , but also our overall approach that sets the context for tax liability. The voluntary disclosure through the report demonstrates that we strive to uphold the highest standard of transparency and governance. With this , I would

like to conclude my opening remarks. I will be happy to take any questions. Now the floor is open for you guys.

Moderator : Thank you. We will not being the question and answer session. The first question is from the line of Abhishek from Arihant Capital . Please go ahead Sir.

Abhishek : Hello Sir this is Abhishek . Congratulations on good set of numbers. Two questions, one is why is the debt increased and it is because of the capex which we are ongoing through and when we are going to see the debt kicking out. Second question on the S intex BAPL side are we seeing any challenges because as per initial commentary it was supposed to be completed sometime in January and now we are talking about Q1 so what is the reason for the delay and what is the current state of S intex.

Vipul Mathur : As regards to your first question , you are absolutely right the debt has increased because of the cap

ex cycle we have gone into. We have invested into our steel making facility, our DI making facility, our TMT , acquisition of ABG and the acquisition of NCD for the S intex BAPL so these are the key factors for our debt increase at this point in time. As these companies will start operating , as they are ramping up the production as you see the DI pipe company is ramping up significantly. The steel plant is doing extremely good job. The TMT business is also in the process of stabilizing. ABG acquisition has also taken place and the scrap sales will start in next couple of days and once S intex also comes on board you will see the gradual reduction in debt which will start happening and we have already said that it is our endeavor that we would like to again come back to debt free level in the next three financial year so we are absolutely focused on that. We have devised a clear road map for that and we will be continuously monitoring and working towards that. As regards to your second question with respect to S intex BAPL. It is a regulatory process. We are expecting that it can get over even before 31st March , but just to be a little bit on caution side I am saying if it might slip by few weeks here and there it is quite possible because we have no

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Page 8 of 22 control on the regulatory process but as regarding the process I think it is moving absolutely in the right direction and we are very , very hopeful and we feel convinced that this transaction will get closed ASAP.

Abhishek: And can you throw some light on the ABG what was our thought process now once we acquire ABG and what is plan our action going forward and any point of time we see any kind of opportunity like mainly a technical tie up with any global player at any point of time do we see this kind of opportunity for ABG also.

Vipul Mathur : See ABG as you know is a wonderful asset. Our first priority was to take the asset under control , that mission has been accomplished number one, Number two then we have embarked on a journey of seeing what is lying there, what is of use to us and what is not use to us so we have also completed that exercise. Now what is not used to us we have created a separate team which is completely focused on disposing of those things so we would like to bring in that cash flow into our plate. On the business side we are already discussing with few reputed companies and consultants that what should be the best way ahead for us or the road map for us which is value accretive. We are exploring quite a few options. Option number one happens to be ship building, ship repair. We are also looking at offshore marine sub structure. We are also looking in terms of can this facility be converted into where we can have some green steel making facilities so all these options are up on the table and at this point in time , we are exploring each and every option absolutely in detail so as to come out with a clear cut road map for the next 3 to 5 years ' time that what will be the best sustainable offering and which will be value accretive so this is a work in progress and as we will move forward we will keep you apprised about the same.

Abhishek: Sir I have few more questions but I will come in the queue Sir. Thank you Sir.

Moderator: Thank you. The next question is from the line of Vikas Singh from Phillip Capital. Please go ahead.

Vikas Singh: First of all congratulations on some of this smaller business unit turn around. We were waiting for this for a long time. Sir I want to understand one thing. What we have seen in the last couple of quarters or prior to that our India order book has not been growing in a significant way while if I look at some of your competitors they have added orders at a much faster rate than you , so just wanted to understand our strategy with respect to India are mills we purposely keeping this mills free

or we are just looking for higher margin order so

what is our strategy here.

Vipul Mathur : Vikas thanks for the compliment on this turnaround. Well our turnaround is both in the smaller and the larger companies both. The steel setup is a large set up and it is a great turn around there as well so I take that compliment. As regard to the India pipe business , as you

Page 9 of 22 know we have asset in Anjar, we have assets in Bhopal and Mandya right. These are three operating assets what we have in India. Primarily our strategy is that from our India assets we are trying to do majority of the water business and a significant portion of the oil and gas business and CGD business. I think so from a volume perspective we are seeing a consistent volume across all. The oil and gas business if you see we have a consistent order book, from the CGD business also we have a consistent order book and even from the water business we have a consistent order book. So in our Indian essence which are servicing the Indian market there is a very consistent approach we have been following, number one. What we have been holding back is our longitudinal pipe business which is predominantly our export business and that business is a high margin business so what we are always trying to blend the Indian business and the export business together so that we are able to make a higher EBITDA margins so this is what our strategy has been. This is what our strategy is and likewise this is what our strategy going forward so at this point of time I think all the mills which we have in our Indian asset are operating, none of them is idle and I can say looking at the business prospect and volume I think so they will continue to work on quarter on quarter basis.

Vikas Singh: Unders tood Sir. Sir in terms of our bid book basically which geography has a higher percentage in this bid book if you could just give us some insights into it.

Vipul Mathur: Right now if you see from a bid book we have sort of active bid book of almost close to 1.7 million and today of course Middle East seems to be leading the pack. We are seeing a significant business potential which might be emerging from Middle East. We are also seeing a significant business coming up from Europe and we are also seeing a substantial business coming from South East Asia and Australasia so these are about three areas which we are completely focused on and if you see our track record we have been extremely active and extremely successful in these three areas and fortunately these three regions are showing a very very strong demand over the next couple of years coming through and that is getting reflected in this bid book.

Vikas Singh: Sir just a small further clarification here. Given we have mill in Saudi where India holder only have 35% of the waited so this bid book are these larger part bid from the Indian mills or larger portion would still go to Saudi and India mills have to wait so just wanted to understand. Because I believe this 1.7 million tonne bid book is for the entire group and not including Saudi as such.

Vipul Mathur: We are not taking Saudi here. This is purely what we are talking, 1.7 million tonnes we are purely talking which could be a potential bid book addressable out of our Indian assets.

Saudi is over and above there. Saudi is a very localized domestic market and with our presence out there, you know that we are doing extremely well out there and the prospect

Page 10 of 22 looks even better in the years to come but this 1.7 million bid books refers to the addressable market which we are looking to service out of India and of course US.

Vikas Singh: Understood Sir. My third question with respect to your capital allocation policy. Since now we have got the debt of roughly about 1800 Crores are we just looking to

stop right here or

there are further plans which are on the pipeline and what kind of debt take out we would witness as per your internal assumption by when.

Vipul Mathur: See this 1800 Crores of net debt what you are looking at this point in time is because of all the green field projects or the acquisitions what we have done and all these acquisitions we have discussed and deliberated in details in our past meeting that they were all thought through acquisitions and once we have made this acquisition over a period of time this will start yielding benefit and it will lead to an incremental growth into the earning of Welspun Corp so that was the whole genesis behind it. Answering your question at this point in time we are pretty much done with our capex cycle. We have clearly set our platform together. We now have a fully operational pipe vertical. We now have a fully operational steel vertical. We have acquired ABG and we have Sintex so these are the four verticals which we were determined to get into. We have got into that. We have put our skin in the game and beyond that at this point in time we are not thinking anything more other than that. Only operationalizing them and ramping up their operations and making money on that.

Vikas Singh: Understood Sir. Sir one just last question if I may pitch in. Sir could you just give us US specific performance details what kind of EBITDA per tonne they have done this quarter.

Vipul Mathur: In this quarter they have produced and run a dispatch close to 38000 tonnes of sales they did and because they only started production sometime since September so while the production started the production ramp up happened and then we have made a dispatches of

almost 38,000 tonne and the bulk of the order we would start seeing the dispatches happening from Q4 onwards going up to Q3 of next financial year, so the next four quarters you will see order book getting completely executed. In terms of earning they made a modest turnover of almost close to \$7 million around Rs.55 odd Crores in this particular quarter by the sale of almost close to 38,000 tonne.

Vikas Singh: Thank you Sir. That is all from my side and congratulation on turn around on some of the entity and hoping for a better future.

Moderator: Thank you. The next question is from the line of Yash from Sushil Finance . Please go ahead.

Yash : Good morning Sir. I have couple of questions. Firstly congratulations on gross margins which have improved significantly in the previous quarter and the previous years. My first Welspun Corp Limited  
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Page 11 of 22 question is could you throw some light on other income. There has been a substantial fluctuation happening quarter on quarter and secondly there is a line item other expenses which have increased from approximately 140 odd Crores to 358 Crores year on year so if you could throw some light on the bifurcation of the other expense which is major two component or major two heads which are having those expenses at the beginning.

Vipul Mathur : If you see our other income in the two sequential quarter. I think in the quarter before that in quarter two we had the sale of asset at Dahej and it was close to Rs.104 odd Crores which came from the sale of our Dahej plant, also there was a mark to market earning in the other income which was close to Rs.43 odd Crores so all put together this was close to Rs.160, Rs.170 odd Crores of other income. That is why you saw that other income higher in the Q2 in comparison to the Q3.

Percy Birdy: Other expenses includes of course lot of expenses which are apart from the materials and the manpower cost and as you know we have lot of businesses which are ramping up so WML , WDI, and ATMT all these are new businesses and all the production expenses everything is ramping up so going forward quarter -on-quarter numbers will be very difficult to compare for all of you

because of the newer businesses which will be ramping up , but on the whole I think these are all the numbers which are on the predictable lines as we add these new business. We expect these new businesses to start contributing to the bottom line in the next few quarters .

Yash : Okay and a followup question on the gross margin side of the EBITDA level , EBITDA gross margin do we see the same level maintaining going forward and have you the observed increase in raw material prices completely or do we see something happening in this quarter as well?

Vipul Mathur: I think whatever hit we had on the raw material side which was predominantly on the coal which everyone knows across the industry that hit came , so we also had that hit in the Q2. I think so that was almost fully absorbed in Q2. A residual impact of that is seen in Q3 , but with that I think so this history of any raw material impact coming into play I think so it is all completely addressed so moving forward the gross margins across the businesses are likely to go up only and as the businesses are ramping up, as their performances happening, as dispatches and sales is happening and the market looks very promising I am very confident that the gross margins over the next subsequent quarter is going to be better than what we have seen this quarter .

Yash : Sir just last one question sorry the government contracts and other contracts which we have so do we have a price escalation clause in those contracts going forward or like some of your competitors are have requested the government for a price escalation clause so are we also opting for the same or how is it or was it already in place?

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Page 12 of 22 Vipul Mathur: The quantum of government contracts in our Indian business is only restricted to the business what we do with the PSU in the oil and gas sector right and that business is a fixed price contract and where we always do a sort of a bidding on a back -to-back basis so I think so we they are fully secured contracts for which even the raw material is completely taken care of so I do not think so there is any impact on that number one. Number two when it is for the DI pipes, the DI pipes also has some component of direct contracts with the government and most of the government contracts now have been modified on a price escalation basis so they are index based pricing now which is available and to that extent we are completely insulated on the DI side of it. Earlier it was because only on the pipes side of it. Now on the DI side of it whatever is the government contract they are index based so from a raw material perspective I think so on both the fronts the steel front and the pipe vertical front we are completely insulated .

Yash : Okay thank you for answering.

Moderator : Thank you. We have the next question from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Thank you for the elaborate answer. I joined a bit later so sorry for any repeated questions but firstly Sir if you give me the debt numbers as on December on a consol basis?

Percy Birdy: So Mr. Kapoor our debt number at the end of December on a consolidated basis net debt stood at about Rs.1800 Crores so this is up from September quarter, which was about Rs.1600 Crores so we are up by about Rs.200 Crores largely driven by the project capex and we are approaching now the fag end of completing all the project capex so by this March will be completing most of the capitalizations as well so you may virtually say that this is the peak level that we are witnessing right now and going forward we will see improvements as our working capital will also get released more and more and project capex are also coming to an end.

Saket Kapoor: Sir and what is our capital working progress as on December 31, 2022 and what is going to be likely for March 31, 2023?

Percy Birdy: The capital work in progress is basically an entry which it will get capitalize and go to fixed asset but I think your question may be more towards the capex cash flow so I think as we stand today may be another Rs.100 Crores odd figure could be there pending for payouts towards the projected capex?

Saket Kapoor: Sir how much we are going to capitalize March 31, 2023 what is the working CWIP as on December 31, 2022?

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Page 13 of 22 Percy Birdy: So by December we had capitalized things like the coke oven was capitalized. The sinter is capitalized so the bulk capitalizations are done. On the DI side also some of the NIM have already been capitalized. Some capitalization will happen in Q4 as well but this is by and large just a balance sheet entry between CWIP to fixed assets and by March 31, 2023 we will complete all the capitalizations majority of it.

Saket Kapoor: When we look at now the new businesses and the profile of the company it is totally different than what we were only subjected to a line pipe company Sir so going ahead as the things get aligned how will the revenue profile look like if you could give a ballpark percentage means what would be the contribution from the various segments going ahead Sir?

Vipul Mathur: See as we say that you know now we have two verticals the steel vertical and the pipe vertical. The pipe vertical will continue to be our mainstay number one and as you know that we are seeing a very super tailwind on the businesses both in the domestic and the global market so pipe business will continue to be our main stay and our new businesses which are embedded into the steel vertical. I think as they are ramping up they will also start contributing to that. If I have to say I think in terms back of the palm number if I have to throw, I think so the ratios will still be close to 60% of our earnings and revenues would still be coming and our margins will still be coming from the pipe business and the balance would be coming for the next two years will be coming from the steel businesses and other businesses. I am currently discounting in this. The Sintex part of it because it will be improper to comment on that at this point in time because we will like to make a very judicious call and judgment and give a clear guidance when we are in a absolute control of things so all what I am saying about this 60:40 ratio is more on the current businesses on which I have full control of.

Saket Kapoor: Sir what has been our investment to this Sintex part and the other vertical how much have we invested and what is the outlook going ahead? How will these investments will start accruing to the P&L going ahead? What is the timeline for it?

Vipul Mathur: So Sintex is close to Rs.420 odd Crores. That is the amount we have currently invested into that at this point in time and as Mr. Percy said that now we are done and as I also said we are now done with our capex cycle so all the capex which was supposed to happen has now happened in the steel vertical, DI pipe, the TMT mill, the ABG shipyard, and the Sintex so I think so we are pretty much done with the capex cycle and this is what the numbers what we have disclosed broadly will remain the same now.

Saket Kapoor: Sir in particular to the investment in Sintex and ABG shipyard how are these two assets aligned to our business model and the total investment of Rs.429 Crores you mentioned for Welspun Corp Limited  
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Page 14 of 22 Sintex? For ABG how much investment has gone through and what is lined up and how are these two assets going to gel with our total business profile?

Vipul Mathur: As Welspun Corp aims to diversify its portfolio, we had been a large B2B player and we

wanted to create a platform and wanted to have a large B2C presence and that is the rationale of bringing Sintex

into play and we do not have to talk about this particular brand.

I think everyone knows about what sort of a brand pull it currently enjoys so Sintex will be leading our B2C play so synergistically from a pipe company no synergy but as Welspun Corp is trying to become a conglomerate so on one side they will manage the pipe business. On the other side we will manage the steel business. On the third side there will be a shipyard and the fourth side we will have the Sintex. Coming back to the shipyard business we see a huge synergy into that business because that is also a sort of fabrication job. Shipbuilding or ship repairs and anything which you do on the offshore asset or an offshore platform is more than less like a fabrication business and it is very synonymous and very close to the business what we do on our pipe side of it in our pipe vertical and it seems to be a very high growth area at this point in time and on top of it the acquisition was fairly reasonable so all put together that made a very interesting proposition for the ABG Shipyard and we are very hopeful that over three to five years' time we will make a complete turnaround of that and in between that whatever is our acquisition cost we will like to mitigate it to the non surplus items which are there and by virtue of liquidating that so it makes a great synergy for our business.

Saket Kapoor: Two small points our investment in ABG is total what amount have we spent as of now?

Percy Birdy: So we have put in about Rs.700 Crores plus GST so far and majority of it is of course for the scrap that we have got more than 150,000 tonnes including the partially completed ships and we will try and monetize these assets as quickly as possible so that will of course limit our investment exposure and as far as the business plan is concerned we will take our time. We will do our due diligence and then we will come up with a complete proposal as to what do we do with these assets and how do we use them for our business growth.

Saket Kapoor: Sir one more question then for Sintex and ABG, Sir these two stories have been the leverage stories of the two promoters wherein they could not manage the business for one or other reasons and for ABG it was a capital intensive part and not to quote what was wrong being done by the promoters whether or not and for Sintex also it was exposure towards the government projects and receivable issues. So what are the two learning stories and compelling reasons for which other than getting things at a discount what would have made you people believe that these two are the potential to put the management bandwidth since that we have a large pie in the pipe segment and we are also expanding. We have already expanded in the DIP which is itself offering a lot of business opportunity so

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Page 15 of 22 trending towards these two unrelated segments what confidence and how is your management bandwidth there in these two verticals at the time and energy that we spent would generate the same ROE and ROC that the pipe segment in totality is what garners to?

Vipul Mathur: I think so you asking couple of questions there Mr. Kapoor. Number one why were they not managed nicely by the erstwhile promoter, I do not think so I intend to comment on that.

There could have been various factors and so be it. As regards to Welspun, number one it is not that they were available to us at an attractive proposition. They were a completely thought through stories, thought through acquisitions and which clearly will be the next engine or fuel for our growth. Sintex is our play coming to the B2C is our play for the B2C segment and we are completely focused to turn it around. We have a clear strategy around that and we know that what type of brand it is, what can be leveraged from this particular brand, what is the penetration it has, it

it has more than 800 distributors and 13,000 retailers.

To create a platform and to have a platform like that into a B2C place is commendable. I think so one is the brand and other is the network and then it could be leveraged into so many other things so that was our whole contention of getting into Sintex and we are very confident that it will be a clear turnaround story. ABG why it is not operated well, I think so also it has to do with the timing part of it. Probably at that in point the government businesses what was happening, the government or the PSU business was not very encouraging. Today if you see this government's focus on Make in India Atmanirbhar Bharat India and all that all the defense shipbuilding has to happen in India. I think so there is a huge potential of shipbuilding which is going to be there in the defense sector itself. If you see that all that government shipyards have an order book of more than seven to eight years, but their demand and the appetite of the government in terms of putting more ships into the water from a defense perspective is so high that there is a lot of business which is expected to come back to the private sector and this is one of the genesis of which for us to look for the ABG Shipyard. Not only this is a genesis but if you see the freight corridor across India the water transportation in India and the corridor the economic corridor for the

freight for the shipping lines across India that has significantly gone up . It is almost tripled over a period of time so that necessitates a huge need for timely ship repairs so this asset could be a potential a global asset in terms of ship repairs as well . Thirdly , this asset is the only asset where offshore structures and offshore drilling rigs it was compatible to make. The way things are panning out at this point in time, the way the offshore story, the oil and gas story in offshore, the offshore structures story in offshore, and the drilling rigs business globally, I think so this is one particular asset which has the competency and the capability to do that so all put together when we have seen ing, we are seeing a great potential into that and that is the reason we ventured into that withstanding that the acquisition cost was a fairly reasonable so just to tell you Mr . Kapoor that it is no knee jerk reaction . It is absolutely thought through with a proper diligence and with a clear road map that we have put our hands into this game.

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Page 16 of 22 Saket Kapoor: I will come in the queue Sir. Thank you for the opportunity.

Moderator : Thank you. We have the next question from the line of Radha from B&K Securities . Please go ahead.

Radha: Good morning. Thank you for the opportunity. Sir the first question in the line pipe business could you give us a break up of that 2,18,000 tonnes of sale for this quarter India, US and Saudi?

Vipul Mathur: Good morning Radha. I think for our India the sales was 1,26,000 tonnes. For our US operation, it was as I said it was 38,000 tonnes and for our Saudi operations it was 1,18,000 tonnes so that was the sales for this particular quarter Q3.

Radha: And also the break up for the order book Sir 928 breakup?

Vipul Mathur: I think the break up is very evenly split it. We have almost close to in excess of 300,000 tonnes of business in India, more than 400,000 tonnes of business in US and close to 200,000 tonnes of business in Saudi so that is the broad breakup. That brings us to close to 952 almost a million tonnes of business at this point in time.

Radha: Sorry I could not get you? How much is it in US and Saudi?

Vipul Mathur: US is more than 400,000 tonnes and Saudi happens to be close to 200,000 tonnes.

Radha: Okay Sir this India EBITDA per tonne has jumped significantly in this quarter so could you give us the reason for that?

Vipul Mathur: As I have al

ways said EBITDA per tonne is a factor of a product mix. In this particular quarter, we have a very favorable product mix number one. We have very profitable orders which got executed and that is the reason you are seeing a high EBITDA per metric tonne for our Indian business. Moving forward even for the subsequent quarter the way the product mix looks to us, looks pretty decent at this point in time and I hope that we should be able to maintain the same EBITDA per tonne in the subsequent quarters if not improve upon further.

Radha: Okay Sir and in the Saudi business you said you have a 2 lakh tonnes of order book just now so out of that is the entire order book pertaining to the water segment?

Vipul Mathur: Yes currently yes. Currently approximate 200,000 tonnes of the water is businesses purely the water segment yes. You are right.

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Page 17 of 22 Radha: Okay and Sir last there is a sharp correction in gas prices so is this expected to impact the order book position or new tender in the US business?

Vipul Mathur: It should rather improve. We see that they have gone to an abnormally high level and that is where the consumers have started feeling the pinch and we were seeing a little slowdown especially on the CGD side of it. I think so with the sharp correction which is happening I think so the projects on which some rethinking was happening. Probably that will be over and we would see fresh business opportunities coming up on the table so I will see that as a positive rather than a negative.

Radha: Okay Sir and in DI Sir could you tell us how much of coking coal inventory we have in terms of months ?

Vipul Mathur: I am sorry.

Radha: Sir in DI business how much coking coal inventory we have currently?

Vipul Mathur: In DI business we do not have the coking coal inventory. It is in our steel business we have the coking coal and we have defined the product. We have defined that the bulk raw material has to be always covered up to a particular limit. We have set internal goals that what will be our goal that we need to carry for iron ore and what we need to carry for coal so we have set internal targets and we are well within that. On the DI business it is purely a DI pipe.

Radha: Sir from the consol business how much EBITDA per tonne are you expecting for the next one year or so?

Vipul Mathur: As I said EBITDA per tonne is a factor of product mix and the product mix keeps on changing on a quarter-on-quarter basis. It is very, very difficult to predict at this point in time that what is going to be the product mix for the next quarter. All what we would have a visibility for the next quarter. Let us say we will have a visibility for Q4 but while we will have a booking till Q3 of the next financial year but there will be some new orders which will come and at what margins they will come, and what profitability they will have so that will keep on changing but the way things look like at this point in time, I think so the market seems to be extremely buoyant. I think so this EBITDA per tonne whatever we are showing in this particular quarter, I think so this cycle should sustain.

Radha: Okay Sir. Thank you Sir. That is it from my side.

Moderator : Thank you. The next question is from the line of Bhavin Chheda from Enam Holdings. Please go ahead.

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Page 18 of 22 Bhavin Chheda: Good morning Sir. Overall congrats on a good recovery in this quarter and strong order book across US and Saudi. Sir two to three questions? First on the leverage level so how much capex would be pending and can we assume this gross debt and net debt levels are at peak level or the same would peak out by March 2023 if Percy is there on the call?

Vipul Mathur: Good morning Bhavin. I think Percy is there. As Percy said that we have only a residual capex projected capex which is left o

ut which could be in the vicinity of Rs.100 Crores to Rs.150 odd Crores. That is the residual projected capex which is left out and it will all be done on or before March 31, 2023 so we will be done with our capex cycle so there is nothing beyond that.

Bhavin Chheda: Residual will be of Rs.100 Crores to Rs. 150 Crores obviously you are generating strong EBITDA which means that leverage will come down or we will need incremental working capital for US order book and all that?

Vipul Mathur: The leverage will come down Bhavin for sure and as regard to the US part of it the working capital, I think so that is fully secured and fully in place. I do not think so there is any need for any incremental working capital for our US operations so we have adequately covered ourselves there.

Bhavin Chheda: Sure and in terms of the order pipeline also I think you have mentioned somewhere bid book of 1.7 odd million so is there some kind of a geographical break up in that bid book how much would be US, Middle East and India just percentage terms would also be fine?

Vipul Mathur: So as I said Middle East seems to be having a significant which is almost one third of the business seems to be coming from the Middle East, then US and then South East Asia and Australasia so it is in that particular three regions that we are seeing.

Bhavin Chheda: Sir I am saying bid book of 1.7 million?

Vipul Mathur: Bid book.

Bhavin Chheda: Yes bid book of 1.7 million? That would be also a similar breakup in line with the order book breakup?

Vipul Mathur: It is pretty much close to that. You have seen in the US side of it, it is pretty much close to that. You may say that.

Bhavin Chheda: Okay and Sir DI pipe breakeven should be there by Q1?

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Page 19 of 22 Vipul Mathur: The DI pipe has ramped up significantly. I think so in the Q3 they have just started and they were ramping up their performance but to just give you some reference point that whatever they produced in totality in the whole quarter in Q3 they produced almost close to that they are producing first month itself so you can assume that what type of a ramp up it is happening almost close to 10 - 12,000 tons .

Bhavin Chheda: So what I am saying so pig iron prices are also going up and DI pipe prices are going up after the export duty have been scrapped so the EBITDA break even part we should be there by Q1 FY2024 based on the order book and current pricing scenario obviously the same?

Vipul Mathur: It is fair to assume that. Absolutely fair to assume that.

Bhavin Chheda: Okay thank you and best of luck Sir.

Moderator : Thank you. We have the next question from the line of Surabhi Saraogi from SMIFS Capital Markets Limited. Please go ahead.

Surabhi Saraogi: Just one question Sir. Can you give some outlook or guidance regarding the revenue and profit for the next quarter and the next financial year?

Vipul Mathur: Surabhi generally as a policy we do not give any guidance, but all what we are trying to help you to understand I think so we have a robust order book at this point in time a



confirmed order book and across all the three geographies India, the US as well as the Saudi. All of these are extremely profitable orders at this point in time and on top of it we are also seeing a huge tail wind across all the three geographies in terms of US, in terms of India, in terms of Saudi so I think so the A ) the order book is good. The order book is profitable and the demand projections what are looking are looking extremely encouraging but they need to be converted into businesses and opportunity and that will determine what will be the revenue earnings and all that stuff so we always fall short of giving a guidance but I think so if you do a sort of a metrics around these three data points, it should be able to give you a satisfactory answer that the company is definitely positioned to grow from here on.

Surabhi Saraogi: Okay and Sir one more question last quarter you mentioned about an order regarding carbon capture pipeline in the US so any update on that front?

Vipul Mathur: Yes so we have this carbon capture order from the US. This order is at this point in time of course the production of that order was supposed to start sometime in May of this year. It looks like they are having a little bit of a regulatory hurdle at this point in time and they are in discussions with us that can we potentially delay the start of that particular order and there are provisions into the contract. It looks like they are very hopeful to resolve that particular matter so we are engaged with them but they do have a provision to request us to

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Page 20 of 22 delay the start of this particular order , but in terms of carbon capture project I think so they are gaining a lot of traction in the US at this point in time not only about this particular project which is slightly into a regulatory hurdle for land acquisition and all that which is very common which happens across all over the world but the demand and the number of projects what is being discussed in carbon capture a number of projects are being discussed in the US at this point of time and one happens to be the Navigator which seems to be one of the largest project coming up immediately after this existing project what we have so to your question that what is the potential and what is the outlook for carbon capture, I think so it is looking extremely promising. Of course as it is a new business and there are always certain regulatory hurdles around any businesses which is not very uncommon so there is a little bit of a hurdle this order is also facing at this point in time but it is just a matter of time that they will all get resolved and we will do that and in any case we were not supposed to start before May so we will see that how it pans out from here on.

Surabhi Saraogi: Okay that was helpful.

Moderator : Thank you. We have the next question from the line of Ankush Mahajan from Axis Securities . Please go ahead.

Ankush Mahajan: Thanks for the opportunity Sir. Sir this quarter the employee cost is quite high and despite good gross margins and other expenses are also on the higher side so would you throw some light Sir what is the reason behind it and how is the outlook for upcoming quarters?

Vipul Mathur: Other expenses I think so in the earlier part of this call Mr. Percy did explain why the other expenses are going up because all the new businesses have started production. They are getting ramped up so that is where the expenses they are going in comparison to the last quarter when all these businesses were not there so it may not be a direct correlation and so is the case with the employee cost. I think so with the new businesses coming in, all the new verticals getting created, and new employees also joining in, the headcount significantly going up that is what is getting clearly reflected in our employee cost , but they are absolutely on the projected lines. They are absolutely within our budgeted parameters and they are absolutely in our closest radar in terms of evaluation at any point in time.

Ankush Mahajan: Sir any outlook on EBITDA margins consol EBITDA margins in the upcoming quarters?

Vipul Mathur: As I was just telling Surabhi just before you, I think we do not give any guidance around that. We are very clear that first and foremost Ankush our order book is there, confirmed order book is there almost close to a million tonne of an order book is there which is to get executed over the next four quarters time number one. Number two all of these order book is a very profitable order book so that is the second point and the third as we have been talking the demand pipeline is looking also very strong as we speak we are contemplating

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Page 21 of 22 orders in the US. We are contemplating new orders in Saudi. We are contemplating some high margin orders in India so all three of them that the new order book which is likely to come is going to be very profitable. The existing order book which is already profitable and already the order book for the next three to four quarters, I think so these three factors should give you a clear sense that we are absolutely into a sort of a good space at this point in time and which will only improve from here.

Ankush Mahajan: We agree with you that there is a good order backlog and even the execution is strong that we are looking in the numbers so just in terms of the profitability that somewhere we are lacking so just wanted to understand that?

Vipul Mathur: If you see EBITDA per tonne has been improving and in this Q3 also it has been significantly higher in comparison to the other quarters and it was a factor of a product mix and I think so in the subsequent quarters also when very profitable order will be performed or executed you will see that quarter-on-quarter basis the margins probably is going to be similar if not better.

Ankush Mahajan: Thank you Sir.

Moderator : Thank you. The next question is from the line of Abhishek Jain from Arihant Capital . Please go ahead.

Abhishek Jain: Thank you for taking up my followup questions. Sir two questions. Firstly is there any inventory loss in this quarter? If yes what will be the quantum and the second question would be a bit skeptical, but do we have any exposure to any other companies from Adani Group in terms of business just a skeptical question? That is it. Thank you?

Vipul Mathur: To the inventory loss, I do not think so that we have anything called inventory loss in this particular quarter number one and number two answering your question with Adani I think so we have limited exposure with them in terms of order which we do keep on getting from them for supply of some ERW pipes or water pipes with them. That is a business exposure what we have. Nothing is more than that. It is a business transaction as usual and in any case at this point in time it is very, very insignificant.

Abhishek Jain: Okay thank you.

Moderator : Thank you. Ladies and gentlemen that was the last question for today . I now hand the conference over to the management for closing comments. Over to you sir.

Vipul Mathur: Thank you gentlemen. Thank you very much for taking time out today morning to hear us out and to hear the growth story of Welspun Corp. I greatly appreciate all the in-depth

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Page 22 of 22 questions what you asked and I am sure that me and my team would have given to your satisfaction , but in case if you have any follow up questions or you need further more clarity you can definitely reach out to Mr. Percy the CFO and Gaurav Ajjan from our investor relation and I would like to thank that the trust and the confidence you have always shown into Welspun Corp and as Welspun Corp moves from a standalone pipe company to become a conglomerate I think so your trust and your patience and your support in this journey will be very, very appreciated and that support you have always extend to us in the past and thank you very much and we will continue to communicate with each other and keeping you abreast about what all developments are happening at our place. Thank you very much and had a good day please.

Moderator : Thank you very much. On behalf of Emkay Global Financial Services that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Welspun Corp Limited  
Q4 FY 23 Earnings Conference Call

May 31, 2023

Management: Mr. Vipul Mathur - Managing Director and CEO, Welspun Corp Limited

Mr. Percy Birdy - CFO, Welspun Corp Limited

Mr. Salil Bawa - Head, Group Investor Relations, Welspun Group

Mr. Gaurav Ajjan - AVP and Head – Investor Relations and Strategy, Welspun Corp Limited

Host : Mr. Abhineet Anand - Emkay Global Financial Services

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Results Conference Call of Welspun Corp Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhineet Anand from Emkay Global Financial Services. Thank you, and over to you, sir.

Abhineet Anand: Thanks, Michelle and good morning to all the participants. I'd first like to thank the management for giving us this opportunity to host the call. And I will now hand over to Mr. Salil Bawa, Head - Group Investor Relations, Welspun Group . Over to you, Salil.

Salil Bawa: Thank you very much, Abhineet and good morning to all of you. I welcome all of you to the Q4 FY '23 earnings call of Welspun Corp. Present along with me today on this forum are Mr. Vipul Mathur, Managing Director and CEO; Mr. Percy Birdy, Chief Financial Officer of Welspun Corp Limited. I also have with me my colleague, Gaurav Ajjan, who leads IR for Welspun Corp. You must have received the results and investor presentation of the company, which are also available on the BSE and NSE and on the company's website. As usual, we will start the forum

with some opening remarks by our leadership team. We will then open the floor for your questions.

During the discussion, we may be making references to this presentation. Kindly do take a moment to review the safe harbor statement in our presentation. Should you have any queries that remain unanswered after this earnings call, please feel free to reach either of us. With that, let me hand over the call over to Mr. Vipul Mathur, Managing Director and CEO of Welspun Corp. Over to you, Mr. Mathur.

Vipul Mathur: Thanks, Salil, and good morning to everyone. Welcome to our Q4 FY '23 conference call. I really appreciate you all taking time out today morning to attend this call, and I hope all of you are doing well. As customary, I will first take you through the key highlights of our consolidated performance during the quarter and the year ended 31st March 2023. As Welspun Corp, we once again achieved a coveted 1 million ton global line pipe sales in FY '23. This is the eighth time in the 10 years -- last 10 years that we have breached this mark. This is only a clear reflection of our very stable and consistent performance in our line pipe business.

The revenue from operations stands at INR9,758 crores. It's a growth of almost more than 50% on Y-on-Y basis. EBITDA for this quarter is around INR483 crores and for the FY '23 stands at INR805 crores. We have also completed the acquisition of Sintex BAPL and the specified assets of ABG Shipyard. We are fully in control of these 2 assets.

On the sustainability side, we have been ranked in the top 7% in the steel industry in the DJSI Corporate Sustainability Index. On top of it, we also have a very strong order book of almost 1.1 million tons -- our global order book of 1.1 million tons valued pegged at INR14,600 crores. If I move to the quarter performance, for the quarter, the production and the sales volume in our Welspun Corp Limited

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line pipe business, for our total operations, including Saudi, was 374,000 tons and 345,000 tons, respectively. We achieved a sales volume of 200 -odd thousand tons in India. Out of U.S. was close to 30,000 tons and from Saudi operations, close to 100,000 tons.

Let me also give you some update and our assessment of the market outlook as we see for each -- as we see the key drivers for each of our businesses. As you know, Welspun Corp is now a

conglomerate having interest in line pipes, in steel, in shipyards, in stainless steel, so it's a very diversified and that's the reason we want to give you a very clear market -- our assessment of the key market drivers for each of the business.

First, coming to the line pipes. The line pipe business has seen a robust performance with a global sales volume of 345,000 tons in Q4 and almost more than 1 million tons in one year. The overall environment for the oil and gas capex is very favorable across the world. In the beginning of April, Saudi Arabia and the OPEC+ oil producers announced oil output cuts of around 1.6 million barrels per day. The pledges bring the total volume of cuts by OPEC+ to almost 3.6 million barrels per day, which is equivalent to 3.7% of global demand. OPEC+ has been expected to stick to 2 million barrels per day cuts already placed in the year 2023.

These cuts are -- clearly reflecting the stability in the oil market. If you see the oil market is completely range bound between \$70 to \$90 per barrel at this point in time and for the last considerable time. The IEA also said the world oil demand is growing to -- set to grow by 2 million barrels in 2023 to a record of 101.9 million barrels, driven mostly by stronger consumption. Oil market balances are set to tighten in the second half of 2023, with the potential for a substantial supply deficit to emerge. On one side, being the production cut on the other side, the demand staying strong, I think so we are very confident, and we feel that this range bound oil -- the prices of oil will complete -- will stay range bound.

On the gas prices, we have seen that there has been a little softening, but then the demand has been extremely high. As regards to India, the target has been set to increase natural gas consumption from 6% to 15% in our energy mix by 2030. The vision of One Nation, One Grid provides for all necessary infrastructure in this regard. The length of the gas pipeline network in 2014 was around 14,000 kilometers, which has been increased to 22,000 kilometers. In the next 4, 5 years, the gas pipeline network in India is expected to reach 35,000 kilometers.

India is the world's third largest consumer of crude oil and depends on imports to meet over 85% of its requirement. According to the International Energy Agency, India's oil demand could rise from 4.7 million barrels per day in 2021 to 6.7 million barrels by 2030 and 7.4 million barrels by 2040. The country currently has a refining capacity of 250 million tons, and there are plans to increase at around 450 million tons per annum over the next few years as India's oil demand is expected to rise.

Energy scenario across the globe is also changing due to the geopolitics resulting in stock export demand. In the export market, we are in at -- all what I said until now was for the domestic side of it. We see that the domestic demand is going to be strong. We are contemplating that the investment in the oil and gas infrastructure will continue to happen as it has been happening for

the last 4 years. And we see for the next 4 to 5 years, this demand is bound to be there in the infrastructure space.

On the export market, we are in active discussions for several other orders across the world. As you are aware, we recently announced the award of an export order to one of the countries in the Middle East. It is approximately 83,000 metric tons. This pipes will be supplied for offshore production and transportation of gas, which will accelerate and enhance LNG export infrastructure in one of the largest LNG producing and exporting country in the world. There also has been a revival in the water sector by the strong pent-up demand after subdued growth over the past 2 or 3 years. Our wide geographical presence within India, which means our presence in West, Central and Southern India

a, along with a very robust supply chain is optimally

-- will help us to cater to this emerging demand.

Coming to U.S., which is also one of the main stay in our earnings. We are seeing that a record LNG exports from U. S. has helped soften the blow to Europe from sharply lower Russian pipeline natural gas supplies in 2022 and will remain a vital energy source for the continent even in 2023. Rising global demand for the natural gas is growth opportunity for U.S. LNG producers and -- but delivering on this opportunity will depend on timely construction of natural gas line pipeline infrastructure to support new LNG gas supplies.

At this point in time, our spiral plant is fully booked until December of 2023. The current business environment is very favorable. We are seeing a lot of tailwinds and we are in active discussions to book new orders beyond December 2023, and we are very optimistic around the same. Coming to Saudi Arabia. I'm sure you all are noticing the exponential growth which is happening in Saudi Arabia. Today, Saudi Arabia has the highest annual growth rate among the world 20 biggest economies in 2022. And according to the latest data of OECD and have plans for a huge growth in infrastructure projects. Saudi Arabia is expanding its maximum sustainable oil production capacity to 13 million barrels per day by 2027.

In this regard, Saudi Aramco is greatly expanding the capacities of its offshore oil fields, which is a crucial element of its strategy to boost the country's oil production. Its own capital expenditure in this year is expected to be between \$45 billion to \$55 billion, with capex increasing throughout the decade for the next 10 years. In their recent quarter results, Saudi Aramco reaffirm the intention to move forward with their capacity expansion program. The long-term outlook remains unchanged as they believe oil and gas will remain a critical component of the global energy mix for the foreseeable future. Saudi Arabia is also expanding its gas production capacity and aims to achieve a 50% growth in the gas production by 2030. So both oil, network, oil production and network and gas production network continues to be a key focus attention in Saudi Arabia. And as you are aware that recently our associate company in Saudi has signed a contract with Saudi Aramco for a supply of large-diameter steel pipes which is valued at almost INR4,000 crores. This is one of the single largest order our Saudi company has won from Saudi Aramco, and it represents a major share of the first package of Master Gas Phase 3 Program.

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With this order in place, our plant is booked for the next one year, if not more. We are also seeing a robust demand in the water sector with multiple lines to carry desalinated water to be awarded shortly out of which we are, in any case, poised to win some more orders in due course of time. The water company, SWCC, is investing in increasing its capacity to desalinate, transport and store water to meet increasing demand and further enhance water supply security. Given the vast geography of Saudi Arabia, the transportation of desalinated water to its demand center is of very key importance. Today, around 13.9 million cubic meters per day can be transported across the country. This capacity is currently being increased by additional 56% and a further expansion by 44% in 2030, which means there will be almost 100% capacity expansion between now and 2030. This was my outlook for -- on the pipe side of our business, the pipe vertical.

Now I would like to draw your attention to the steel side of our business. We have seen -- as you are aware that we have commissioned our blast furnace and our DIP plant. We have seen a steady ramp-up in our Hot Metal production, almost achieving our target production levels. Whatever we have targeted for, we have almost reached that product

ion levels. All ancillary facilities

around our blast furnace like Sinter, Coke Oven, PCI, and Oxygen plant have also reached their targeted production levels and aptly supporting the Hot Metal production.

There has been a steady ramp-up in the volumes across the full production range and on expected lines in our DI pipes business as well. The quality and the timely deliveries are well accepted and highly appreciated by the customers. To make provision of potable water supply to every rural and urban households of the country by 2024, Government of India in partnership with states is implementing the Jal Jeevan Mission.

The impetus of water supply infrastructure is continuing with the JJM receiving an allocation of almost INR70,000 crores in the Union Budget of 2023, significantly higher than INR50,000 crores, what was allocated in the last fiscal year. For the DI, as you are aware, it is a business of all about approvals and accreditation. I am very pleased to say that we have already received all necessary approvals and accreditation in the state of Gujarat, Rajasthan, Maharashtra, Madhya Pradesh, Chhattisgarh, Uttar Pradesh and Punjab, which are our top priorities areas in any case. We are seeing consistent demand from all the states coming up and I have already supplied and have a track record of supplying pipes in most of these states now. It is very clearly reflected in our performance. We have a strong order book of almost 140,000 tons valued at more than INR1,100 crores. And we are aiming that this year, we should be producing and -- selling anything between 175,000 to 200,000 tons of DI pipes, which will almost be 45% to 50% of our capacity utilization. It will be -- it is a ramp. This is a ramp-up. We are currently in a ramp-up journey. We are in the first 2 quarters. And as you would have seen, our quarter-on-quarter ramp-up has been absolutely on the expected line. I think so in the next 3 to 4 quarters' time, we will be there in terms of delivering the guidance what we are giving in terms of execution.

As regards TMT bars, our newly commissioned state-of-the-art plant has started ramping up dispatches. The key target market is the state of Gujarat, where the estimated annual demand is close to 3 million tons. Within Gujarat, we have seen a healthy demand in the area of Kutch  
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where our plant is located. This will be one of the key priority market for us due to our strong presence. We intend to be a strong player in the B2C segment and our brand Welspun Shield, has been extremely well accepted in the Gujarat market. We are now considered as a Tier 1 suppliers within the producers of Gujarat on the basis of quality and service.

We have also created a unique and industry-first digital platform for distributors, dealers, retailers and influencers. This is not only creating a positive socio-economic effect, but also helping us with a deeper penetration in the market to achieve our B2C goals. Our product has successfully expanded -- has successfully reached to 24 districts and 69 Talukas across Gujarat through 120 dealers and 6 distributors. This is bound to grow in subsequent quarters. Our target is to reach to every district and every taluka of Gujarat by the end of this financial year.

I'd now like to draw your attention to our company Welspun Specialty Steels, which is our stainless steel part of the company. The stainless steel business has seen a surge in demand in sectors like defense, petrochemicals, nuclear reactors and process industries. There is a strong potential in Europe and North America. Further, the anti-dumping duties on stainless steel pipes and tubes for cheap exports from China have come into effect, which has significantly improved the business prospects for Indian mills like us.

In the SS Bars business, the company has started offering expanded product range f

rom 50 to

200-millimeter to 25 to 350 -millimeter diameter. We are also working in further expanding this range. This range is a very unique range, which we possess and puts us into a very coveted position. Further, the Make-in-India initiative by the government of India is providing further impetus to this business. We have seen a strong turnaround in the performance, both operational and financial and I'm pleased to report that WSSL is an EBITDA -positive company in the last - in this financial year.

The current order book of this company stands at almost 3,500 metric tons, which comprises both of bar as well as pipes and is pegged at INR155 crores. The company has also received all certifications with respect to its Blooms and Ingots, Bars and seamless pipes and tubes. These certifications will cover the entire spectrum of their product offering into the market. This is an extremely favorable development for an integrated players like WSSL.

I am also very glad to inform that the company has booked its first order for a very high-value Nickel Alloy Grade 6625. As you know, this is a boutique business. And as you know, what's in the value chain, what are the value-added products you are servicing and 6625 is considered to be one of the most stringent and difficult and cash-accretive value grade of the product. And this company has -- our company has been able to book the very first order in this particular grade. The company has also booked and supplied pipes and tubes order in other high-value grades like Alloy 800H, 8825 and Monel 500, etcetera. The company expects its improved performance to

sustain on the back of several new customer approvals, accreditation, development of new products and penetrating into new markets.

Let me also now draw your kind attention to our recent acquisitions, which is about Sintex and Nauyaan Shipyard, which is erstwhile ABG. So let me just throw a little update on that as well.

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As I said, we have taken full control of the asset at Sintex BAPL. Sintex continues to be a national brand with premium positioning. It is the best known brand of water storage tanks in India, and the brand connect is synonymous with water tank. When you talk water tanks, it is Sintex. The company enjoyed a very robust distribution network of 900 distributors and 13,000 retailers. They stay intact and are going to act as catalyst for our growth.

The current market share of Sintex in water tanks is estimated to be above 9%. Every effort is now being made to increase this market share in FY '24 by re-energizing the distribution network, the product and brand positioning, bringing in supply chain efficiencies, reenergizing of a dealer and distribution network. We are extremely excited about its prospects in the subsequent quarters and years to come.

Nauyaan Shipyard, which is the erstwhile ABG Shipyard. As you are aware, we took the full control of that asset. And as I reported earlier, we are in -- currently in the process of liquidating the scrap, which is there. So we are moving steadily to monetize the scrap, which should be mostly completed by the end of this financial year. This will result in a steady cash flow. During this period, we will be incurring a very minimal fixed cost.

Further, I want to make it clear that we are not exploring any capital-intensive options like ship building. Instead, we are exploring options with respect to ship repair, ship recycling. In this regard, we are in discussions with various established companies in the world and doing our internal -- and doing a comprehensive assessment, which I expect to complete in next 2 quarters' time.

The endeavor will be to come up with a low capex, noncyclical business, high return and value-accretive proposition basis which we will formulate our business plan for the next financial year. So what we are trying to do

is, 3 things. Number one, we are trying to liquidate the scrap, so it gives us steady cash flow, number one. We have restricted our outflow -- our fixed -- we are keeping a very strong check on the fixed cost outflow. We are not doing any major -- we are not doing any capex at all and we are working in terms of finding out a value proposition and -- for which an exercise is being done, and we will be done in the next 2 quarters' time.

I also want to draw to the ESG initiatives which the company stands by. As you are aware, the company lays a strong emphasis on sustainability and governance and has been ranked in the top 7% in the steel industry. The DJSI score, which reflects this -- recognize this initiative has now significantly improved from 41% to 57% in FY 2022.

As regards on the balance sheet side of it, we have seen a sharp reduction in our net debt by almost INR700 crores in the quarter from -- on our debt -- net debt as on March '23, and it stands at around INR1,140 crores. Further, it will be our endeavor to utilize cash and it's further -- utilize cash in further reduction of gross debt. At the same time, we will also focus -- our focus will also be to utilize the free cash flow that we're going to generate over '23, '24 to reduce -- further reduce our net debt. We are confident to make a significant reduction in the same as well. Looking at this performance, looking at the various companies which are now under the Welspun fold, right? We are -- I think it is fair on the market side to expect that what sort of a guidance

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we are putting in place. Typically, when we were a stand-alone type company, we were always hesitant in doing that. But I think in order to bring confidence and give clarity to the market, we have worked out, and we are giving you a broad guidance for the FY 2024.

We are expecting our top line to be close to INR15,000 crores, which will be a growth of almost 50% from the current top line. We are also hopeful of achieving an EBITDA of close to INR1,500 crores, which will almost be a growth of 90% to 100% than our current levels. Our strong focus is on return on capital employed, and we are optimistic of generating a return of 16% plus in this FY 2023. We are also very focused that this year, we are not going to do any capex except for our maintenance capex. Our -- we will turn our strong focus in the performance of Sintex, DI pipes and WSSL. These are all the 3 new companies, which has come into our court and we will lay our maximum emphasis and time allocation in respect of growing these businesses.

Having said that, the focus on the pipe company will always be there, and it is, in any case, a very steady state and a consistent EBITDA producer -- driven company. Further, we will work on sustainability and to improve our DJSI score from current 57 to at least 60 plus.

If I summarize of all what I have just communicated, a, first we achieved a 1 million ton sales in the line pipe, 8th time in the tenth years -- 8 times in the last 10 years. We have a strong order book of almost 1.1 million tons valued at INR14,600 crores. We have provided a guidance for FY '24, which shows improvement on all key metrics, including turnover, EBITDA, ROCE, and also on the net debt side of it. We have ranked on the top 7% on the steel industry on the DJSI's Corporate Sustainability Index, and we will continue to improve our scores on that. We have completed our acquisition of Sintex BAPL and ABG shipyard. There will be no capex other than the maintenance capex in this current year.

The investments made in all these new businesses are -- will start accruing and we'll see the benefit over the next quarters in the subsequent years. The demand outlook for all these new businesses is extremely healthy, but works need to be done to scale them up from operations and cost point of view. We are f

irmly working towards 'Har Ghar Se, Har Dil Tak Welspun' by expanding channels within Sintex and TMT business. On the Sintex, we -- as I said, we are working in terms of improvising the supply sales, operations, brand, sales channels, marketing, dealer network.

They are all being worked upon, reinvigorated. The brand pull -- it is a national iconic brand.

The brand pull is good. We are now almost 60 days, close to 60 days into the acquisition of business. And the first impression what we are getting is very, very favorable. The early signals are extremely positive, and we are enthusiast about the prospect of this particular business. With this, I thank everyone for attending this call, and we'll be happy to take any questions if you have any. Open the floor for the questions, please.

Moderator: We have the first question from the line of Miraj from Arihant Capital.

Abhishek Jain: This is Abhishek Jain from Arihant Capital, Congratulations on good and improved set of numbers. Sir, I just want to understand what will be the sustainable inventory going forward

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because I can understand because of entering into new business and -- so how much inventory we are going to see on a sustainable basis, how much inventory we are going to keep it?

Vipul Mathur: Abhishek, I think so it's a very interesting question you have asked. We have seen an inventory increase in comparison to the last financial year. But you have to understand this inventory increase is because the growth in all the businesses. The major inventory increase is in our U.S. business, where we are executing a large order and the entire inventory has been procured and sitting with us. And it is already a paid up inventory in any case. But now we have also started execution of that order, and we will see now a gradual reduction coming up in -- on the inventory side of it in the U.S.

Further, we have inventories in ABG, which is almost valued at INR500 crores. As I said, that the scrap sale process is already on. And the moment -- as the process will continue, you will see a reduction in the inventory coming there. In WML, WDI, of course, the nature of the business is that you have to have maintained an inventory level of iron ores and fluxes and coal and all that stuff. So it's a fairly normal inventory level of almost INR500 crores will be maintained and it is pretty regular in nature.

On the WSSL side, we have inventory of close to INR200-odd crores, but this business also has an order book of almost close to 4 months' time and then inventory levels need to be maintained. On the pipe side of it, we have an inventory of close to INR1,000 -odd crores, I think, which was on account of the export orders, what we have and as the export orders are now getting executed, so this will also start to go down. So we have to understand that the size of the balance sheet, the size of the operations have almost tripled, so I think so that is where you will see that there is inventory which is -- there has been a high inventory. But this is all against order and all -- as they and -- they start getting executed over quarter -on-quarter basis, you will see a gradual reduction happening there.

Abhishek Jain: Sir, my second question is, as per our understanding, we can generate a healthy amount of cash flow in the next 3 years. So can we assume the next 3 years, we can be -- we can achieve at least a net debt free kind of status?

Vipul Mathur: We can expect what, sorry?

Abhishek Jain: Net debt free. What's your debt free status?

Vipul Mathur: Abhishek, you have been following this company for a long time, right? As Arihant Capital, we know that you have been following this company. Our focus always has been to leverage our balance sheet very, very correctly. This is not the very first time that we will be doing this. Our strong focus remains on bringi



ng our net debt to absolutely minimalistic level. We are absolutely on that track. I think so all the business es, all the new -- old businesses, which is the pipe business and the new businesses, which are all shaping up and growing, I think so you're right, we'll generate sufficient cash flow and our endeavor would first be to reduce our gross debt at the company level.

Abhishek Jain: Sir, I have Miraj here, we have one more question. I wanted to understand if you could give new highlights on the Saudi order that you've spoken of, which is INR4,000 crores, if you could give  
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us what the volumes would be for that? And how many more orders can we expect in the Phase 3 as since this is the first order in Phase 3.

Vipul Mathur: So right now, coming to the Saudi part of it, this order, as you know, is from Saudi Aramco. It is for a project called Master Gas Phase 3, right? I think so the -- this Phase 3 order will be happening in 2 parts, one in this financial year and the other in the next financial year, right? For this financial year, I think they have mostly placed their orders, and we have got our line shares around that, right?

So -- and this will get -- this will -- and see that we will have a continuous run for almost 1 year. On top of it, we are also expecting some orders coming up from the water sector. And we will be absolutely looking those orders very, very closely so that we have a business continuity even after 4 quarters. So I'm very sure that we will be able to do that. Then it will be followed by Master Gas Phase 3 second phase. So I think there is a clear business continuity case in Saudi business for at least the next 2 or 3 years' time.

Moderator: The next question is from the line of Nirav Shah from Geecee Investments.

Nirav Shah: Congratulations on very strong profitability during the quarter as well as the deleveraging. So a few questions. Firstly, we are seeing that while the EBITDA has increased, our U.S. volumes haven't -- I mean, they've remained almost flat on a sequential basis. So the last part of the increase is coming from India line pipe operations as also DI is in the ramp-up phase. So if you can just give a broad breakup of the EBITDA during the quarter, that would be really good. And if the EBITDA is led by India line pipe operations, was it because of some, one of marquee high-margin orders or it's a sustainable number? That's the first question.

Vipul Mathur: So Nirav, coming to your first question, U.S. operations are U.S. mill is under full production mode at this point in time. Of course, in this particular quarter, the dispatches was slightly on the lower side, but that they were as planned and as decided, right? I think so from this quarter onwards, you will see the major execution of the order what we have in hand will start and that they will start getting reflected into the quarterly numbers. As you know, we already have an order book of close to 400-odd thousand tons in the U.S. business at this point in time. And we have almost a firm visibility of the -- firm business in hand till December of this -- till the December of 2023.

In this particular quarter, I think to the India operations, the large -- the major chunk of the EBITDA came from the Indian operations because the product mix in India was very profitable. They had in the kitty, some very remunerative export orders which got executed. And moving forward, I think so the blend of the orders, they are building up in their own -- in the Indian kitty is also looking very favorable to me. And I think so we will see the benefit of that coming in the subsequent quarters as well. But as you know, these are just also to add a word of caution that it is also about the product mix on a quarter-on-quarter basis...

Nirav Shah: And that changes depending upon execution.

Vipul Mathur: That changes o

ur blend a little bit, yes.

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Nirav Shah: Got it, sir. Second question, I mean, you've given a broad indication of how the -- why the inventory has moved. But just coming to the U.S. operations of the INR5,000-odd crores of inventory, INR5,700 crores. How much would be sitting in U.S.? And also the payables have increased because of -- I'm assuming because of U.S. operations as well. So on a net working capital basis, will we see a reduction in the working capital at U.S.?

Vipul Mathur: So to your first question, I think sort of this INR5,700 crores, the large chunk almost close to INR3,400 crores, INR3,500 crores is sitting in U.S. only. And as I said, it is an inventory against an order. One, it has already paid up inventory because the payment terms are favorable there where you are paid upon buying the inventory. And more importantly, as you know, we are into the -- as the dispatches will start, you will see in the subsequent quarters, this inventory position going down.

Nirav Shah: Okay. And lastly, before I come back in the queue, sir, what's the scrap inventory in terms of tonnage that we are holding as of March at ABG.

Vipul Mathur: As I said earlier, I think that the total overall scrap was close to 150,000 tons in ABG. That's what we have told earlier as well. And that is what we are in the process of liquidating and it is in a very steady manner. It is getting liquidated. But it will take almost at least 3 more quarters, if not 4, before everything will stand liquidated. So it will give us a sort of a steady cash flow for the next 2, 3 quarters and more importantly, Nirav, we have to understand that we have kept, as I said earlier in my call -- in the earlier part of my call is that we are keeping our fixed cost at a very, very low level. At this point in time, we are not pumping any money whatsoever in ABG so that just to give you the comfort.

Nirav Shah: Yes. And we mentioned that this year will be only maintenance capex. So on the entire operations with the addition of new businesses, what will that number be?

Vipul Mathur: Yes. Typically, when we used to do a maintenance capex when we only had a pipe business, it used to be in a vicinity of close to, like, say, INR70 to INR100 odd -crores. I think that this time, it could be close to INR250 crores, INR300 crores. Looking at all the businesses put together.

Moderator: The next question is from the line of Vikas Singh from PhillipCapital.

Vikas Singh: Congratulations on a very good set of numbers. Sir, I want to understand our bid book, which have increased basically 46% on a quarter-on-quarter basis. So what are the new geographies where you are seeing the new green shoots and some insight into the European market because after war, it was touted at a very good market but nothing has come from there as of yet. So if you could just give us some insight into that?

Vipul Mathur: Vikash, the growth in the bid book is largely driven from 3 regions. Number one, Southeast Asia, we are seeing an exponential demand in the Southeast Asian market, one. Two is the Middle East market. We are seeing a very buoyant Middle East market and at least economies in Middle East, which is Saudi and Qatar are absolutely firing up. So we are seeing a very pent-up demand from these 2 economies. And of course, third is also coming from our U.S. because we are seeing a lot of -- there's a huge traction in the U.S. market as well in the oil and gas sector. So this bid book increase of 46% is a reflection of the pent-up demand in these 3 geographies.

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Vikas Singh: Understood, sir. And sir, my second question basically pertains to, sir, what is the out of 1.1 million of total order book, what is the outstanding Indian order in terms of tonnage?

Vipul Mathur: Yes. So right now, as I said

, we have almost close to -- we have close to almost like 400,000 tons of an order book in our U.S. entity. We have almost close to 250,000 tons of an order book in our India entity, and we have close to 475,000 tons of an order book in our Saudi entity. So that is the breakup of the 1.1 million.

Vikas Singh: Okay. Sir, coming to Saudi operation, that is the most strong order book geography right now. So just wanted to understand the incremental cash flow, which would be coming from executing those orders basically. What would be the utilization of the same?

Vipul Mathur: So first, I would say that, a, Saudi order book and U.S. order book both are very strong. Saudi is at 475,000 and the U.S. is equal to 400,000 to almost close to 400,000 tons. Both of them have a very strong order book. And thirdly, coming to the Indian order book, at 250,000, we are still in very active discussions for some new orders, and this will also significantly grow up in subsequent quarters. So that's one.

Coming to the cash flow. As you know, we are a 35% stakeholder in our Saudi entity and still the largest shareholder. Whatever the earnings which will there in the proportionate, they will flow back as the dividends to us, and that is what we are estimating to come in FY 2023.

Vikas Singh: So effectively, that money would come in the form of dividend to us. Understood, sir. Sir, just one last question. In terms of basically overall visibility side, you have talked to us in the U.S. that it's very good etcetera. But then next year, usually, U.S. is going -- U.S. would have an election. And we have seen the election usually would be a little bit weaker. So has U.S. already started getting any signs because we are already in the middle of the 2023, so just some thought process on that, whether it would be the similar pattern or this time, it could be different because of the energy needs requirement?

Vipul Mathur: Vikash, we are seeing a little -- we are seeing a fundamental shift in the U.S. situation at this point in time. It is like oil and gas, I think, has been clearly identified as a key priority area, irrespective of the political dispensation. Be it the Republicans, or be it the Democrats, they have all clearly understood that oil and gas is going to be the major mainstay. So earlier, as it used to make a significant impact during the election year, we are not anticipating any such thing in this -- at least in this -- in the coming years.

And that is -- that sort of account, that is also bringing a confidence with all the E&P and the midstream producers out there because it is not agnostic, whichever political dispensation is in

place. And that is one of the reasons we are seeing a steady inflow of inquiries coming up from the U.S. So to your question that the election year -- the next year election, is it going to slow down the whole process, we feel that it won't make much of an impact.

Vikas Singh: Understood, sir. And sir, just on your views on the European demand, when we expect that region to start picking up on the pipeline's order?

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Vipul Mathur: See European demand will majorly now come in terms of the new energy businesses. There will be quite a few projects which will come up for carbon capture and hydrogen. And as you know that we have -- as Welspun, we are aggressively working in terms of -- that we are ahead in the curve in terms of our new energy businesses. So we will see that demand is coming up in the next 2 or 3 year s' time on the new energy side of it.

As regards to oil and gas demand, I don't -- I think so it will be a muted demand because all the Russian gas is now completely supplemented by the U.S. supplies. And that is why we are seeing a huge traction of creating a gas pipeline infrastructure in U.S. so that they can pump in more and more gas and export more and more to the world.

Moderator: The next question is from the line of Aanchal Bagaria, an Individual Investor.

Aanchal Bagaria : Congratulations, sir , for a good set of numbers. Sir, can you -- actually, this question was already asked. I just want to get some more insight on this. The EBITDA proportion segment -wise, if you could give -- throw some light on that?

Vipul Mathur: I think so let's stay to the consolidated EBITDA. And I think so a one -on-one interaction, we can have a little more detailed breakup around that. But for this call, let let's keep it on an average EBITDA, please.

Aanchal Bagaria : Okay. And sir, can you provide some insight on lik e what are our raw m aterial sourcing strategies, et cetera, currently?

Vipul Mathur: Raw materials, Yes, sure. As you know, on the line pipe business side of it, we are one of the largest line pipe producers in the world. We have a very robust supply chain and sourcing strategy in place. we are one of the top 3 players in the line pipe globally at this point in time, which means we play in an absolute niche segment of the line pipes where approvals and accreditation are extremely difficult. There are just 1 or 2 players in that particular segment in which we operate. And that also demands that our supply chain correspondingly has to be extremely robust, so which is -- we have almost a sort of a relationship with just about every steel mill in the world, and w e have done extensive business with them.

So on the pipe side of it, our supply chain raw material sourcing strategy has been extremely robust, and that has been one of the key factors for our success in the past years. On the -- coming on the other side o f the business, which is the steel side of it -- of the business, it is the sourcing of iron ore or sourcing of the coal, these are commodities. And we are now a large buyer of these commodities. We are now an international buyer in these commodities. We h ave -- they are absolutely established players in this particular field. These all commodities are index -based commodities. So we have also now -- we started -- we are completely plunging to those, and we have now established a very, very efficient and a r obust supply chain system of our iron ore and coal as well.

On the scrap side of it, scrap is again a commodity. We are again buying scrap. That is the third raw material which we buy or the 4th raw material which we buy. And for that also, we have establi shed sources from which we are sourcing the scrap. So on the raw material side of it, I

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think so we have laid a lot of emphasis. We have completely streamlined the process, and we have an absolute robust supply chain system now in place.

Aanchal Bagaria : And sir, just one last question. Like what is the market outlook pertaining to the steel side of the business, like the WML, WDI business, et cetera, what is the market outlook for the future that you are looking upon?

Vipul Mathur: Yes. As I said earlier in my call, the business looks very promising. What it matters to us is the DI pipe business. And as you see, the Jal Jeevan Mission is going full go at this point in time.

There is a huge pull in the -- huge requirements across pan -India in this particular segment. I think so we are seeing a sustained growth for our next 5 to 7 years' time. And I think -- so there's a great demand, which is going to be there. It is -- we will have to take our own share out of that particular demand, and we are very confident around that.

Aanchal Bagaria : Okay. And sir, anything about WML on the Pig Iron side of the business?

Vipul Mathur: Pig Iron is not a product which we want to sell. Our whole purpose of having WML is to

supplement the DIP. Our focus is to ramp up our DIP and convert entire Hot Metal into DIP, right? But it is a process, it is a journey. It takes its own time. And you see on a quarter -on-quar

ter basis of what significant improvements have been made. And I'm sure that in subsequent quarters also, we will be absolutely ramping up to our fullest potential, right? So as our DIP business will continue to ramp up, our Pig Iron business, which is -- it will continue to go down. We are not focused about Pig Iron, we are focused about DIP.

Moderator: The next question is from the line of Abhishek Ghosh from DSP Mutual Fund.

Abhishek Ghosh: Just a few questions. I don't know if maybe Percy can come here to just reconcile. I'm just looking at the cash flow statement. And if I see from the September balance sheet, you have reduced as far as the net debt is concerned, but there is a meaningful increase in the net working capital while you also generated some operating cash flow, but the entire increase in net working capital does not get offset by the own cash generation because the increase in inventory is far higher. So if you can just help me reconcile how has the net debt come down? Is it because of consolidation of Sintex assets? Or what is it, if you can just help me understand that?

Percy Birdy: Yes, Abhishek, this is Percy here. So net debt has come down indeed from -- if you look at from the December quarter, which was about INR1,800 crores to now about INR1,100 crores in March '23. And this is, of course, thanks to the strong EBITDA numbers also. So we had INR483 crores of EBITDA for this current quarter. And there has been some working capital unlocking also that has happened. So some of the export orders in from India, which have started getting executed. So there also, we have had some unlocking. And this unlocking will happen in the next fiscal year as well as we go forward.

So I think it's a mix of various things. Sintex acquisition also has been completed. You are right, and that has also turned out in a favorable way than what we had anticipated 1 year ago. So I think it's a mix of all these things. EBITDA, unlocking our working capital and the acquisitions getting completed. All these have resulted in a reduction in our net debt. It's a substantial

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reduction, almost INR700 crores in 1 quarter. So I think it's a very good number that we have demonstrated.

Abhishek Ghosh: So just one clarification. The inventory levels in December quarter were already at similar levels from that of March.

Percy Birdy: Yes, December was very similar to March. You're right. If you compare with March '22 versus March '23, then yes, you will see there's a substantial increase, but that's, of course, various reasons we know. Our U.S. was hardly anything in March '22. And most of the revival in U.S. has happened in this last 3, 4 quarters. So that's the reason.

Abhishek Ghosh: Okay. Okay. And just in terms of how much of consolidation of cash has happened because of Sintex coming into the business?

Percy Birdy: So Sintex, as a company, they have cash on the balance sheet. Some of that cash, of course, will get utilized because the CIRP balances will get paid out. So that will come down. But otherwise, they have sufficient cash on the balance sheet to carry out their operations, business, their marketing, their brand spend, whatever is there, some balancing equipment that they need to arrange. So they have a very comfortable position as of now.

Abhishek Ghosh: Okay. And just in terms of the overall guidance that you have given about INR15,000 crores of top line on FY '24 and if you look at the current net working capital, it is broadly at about INR4,200 crores, just to get an understanding for that INR15,000 crores of top line, what will be the net working capital requirement?

Percy Birdy: So I think there is a substantial growth, 50% growth in the top line that we have guided from INR10,000 to INR15,000 crores. And you're right that there will be some working capital also that will be required to

fund this growth. But we have seen some of the numbers like inventory numbers as of March '23, are also at a reasonably high level, and we will also see some unlocking of working capital happening.

So I think on the whole, it will balance out, some of the old inventory will get unlocked. And depending on how we get new orders and how we are able to reinforce our order book, we might have to get in some more working capital infused as well. On the whole, I don't think there's any going to be a very major increase or decrease. We should be able to deliver decent sized free cash flows.

Abhishek Ghosh: Okay. Okay. And just one more thing on the overall domestic pipe business, there's been a sharp increase in profitability, if one can help even going forward as this expectation of large amount of water orders coming through because also you have commissioned the new plant in Bhopal and other things. How -- and typically, water projects are relatively lower margin business. So

how should one look at the margin profile as far as the domestic business is concerned?

Vipul Mathur: I think it will -- the domestic market -- the domestic business is a blend of export and domestic, right? And this blend also includes execution in the oil and gas, execution in water. And third is the export. So it is a blend of these 3 things. So this blend keeps on changing. It is a project

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business at the end of the day, Abhishek. This blend keeps on changing on a quarter -on-quarter basis.

In the last quarter, in this quarter, fourth quarter, it was extremely favorable. Moving forward, on a year -on-year basis, I think so it e vens out. But on a quarter -on-quarter basis, it changes. So it's very difficult to say that is the performance going to get repeated in the next -- similar performance is going to get repeated in the next quarter, very difficult to answer because it is all dependent on the plan. I think a project company to that extent, will have a challenge like that. And probably rather than looking at quarter -on-quarter, let's look on the year -on-year business, please.

Abhishek Ghosh: Exactly, sir. So on an annual basis, your product mix will largely whatever margin shift and one should look at it from that perspective.

Vipul Mathur: Correct. Correct. Correct.

Abhishek Ghosh: Okay, sir. And just one last thing on the DI pipe perspective. You have seen a very good inflow over there. What's the status in terms of stabilization of the unit, you've also broken in even as far as EBITDA is concerned, but any just current update in terms of how are the ramping up of the new plant is happening?

Vipul Mathur: No, it's absolutely on track. It is absolutely on the expected line. I think, sir, we are very focused on the quality and serviceability apart from production, I think we are bucketing it into 3 zones and all the 3 buckets, which is production, quality and serviceability, I thi nk, ramping up completely on the expected line. It's a journey. It's not going to happen overnight. We will -- to reach our fullest potential, we would still need a couple of more quarters, but it is absolutely on expected line. Rather much better than wha t we had expected.

Moderator: The next question is from the line of Ankur Agarwal from RC Wealth Solutions Private Limited.

Ankur Agarwal: Congratulations sir for good set of numbers. My question is regard your target for INR15,000 crores top line and INR 1,500 crores EBITDA . In March quarter, you have got INR4,000 crores and 12% , so that means your margin will reduce in coming year compared to the March quarter?

Vipul Mathur: Ankur, good morning. I think so this is the broad guidance what we are giving at this point in time. It is just -- it's a reflection of the intent of the Management . It is -- do not read too much into that, that it will go down or go up. I think so it is -- at

the end of the day, it will be a quarter -

on-quarter performance and the fina ncial year performance, which will matter to us. But in terms of giving a guidance -- guideline that how are we seeing what direction the business is going to move, it is just -- it is only a reflection of that. So I think the let's read to that extent onl y at this point in time.

We are hoping that it is our internal target to deliver better than this in any case that is what our endeavor would be and we are very hopeful around that because all the businesses, the pipe businesses or the steel, our DIP busin esses or our WSSL business and our Sintex business, all the 4 businesses, as you see, are seeing a huge tailwind at this point in time. And to the extent we will be able to leverage it, these numbers will only improve from here. So I think so let's

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leave i t at the guidance level at this point in time. And let's evaluate on, let's say, half yearly and yearly basis, please.

Ankur Agarwal: How much capacity utilization it presents in pipe business?

Vipul Mathur: The capacity utilization would be close to -- our U.S. capacity utilization will be almost close to 80%, 85% or let's say 100% because they have a confirmed order book for everything for the spiral mill.

In our Saudi business, our capacity utilization is 100%. In our India business, our capacity utilization, average capacity utilization, because we have longitudinal mills, we have spinal mills, we have ERW mills, so I will say that our average capacity utilization will be close to 50% to 60%.

Ankur Agarwal: This means the top line can add more subsidies ...

Moderator: Sorry to interrupt Mr. Agarwal, I would request you to kindly re -join the queue. There are many other participants who are waiting for their turns.

We have the next question from the line of Hemish Shah , an individual investor.

Hemish Shah : Yes. So when you give the guidance of this INR1,500 crores of EBITDA, does that include the what you expect to receive in the scrap of ABG Shipyard and your Saudi operations, both?

Vipul Mathur: No, no, this is not -- this is excluding Saudi, number one. And of course, this is including the margins coming out of the scrap sales, yes.

Hemish Shah: Okay. Okay. And. I just want to understand from the broad perspective of over the next 2, 3 years, what will be your cash utilization look like? Because if you generating around INR1,000 crores of free cash flows every year, what will be the priority areas?

Vipul Mathur: See, we have always followed a very prudent capital allocation policy, right? We have -- our focus has been very clear that, a, number one, we have to invest in our growth if we have cash. Number two, we have to create reserves; and number three, we have to reward our shareholders. I think so we are -- these are our 3 pillars on which we always have utilized and, of course, delivered our balance sheets and all that stuff. So this is the broad framework under which we have always worked and we will continue to work in that particular framework. For us, all these 4 pillars are equally important.

Hemish Shah: Okay. And one last question, now that you have many businesses under one umbrella. Will there -- are you looking at any demerger in the medium-term, let's say, the next 3 to 5 years of any of the businesses?

Vipul Mathur: We are -- at this point in time, we are only focused on growth. These are all new businesses, all startups with huge potential. We are -- at this point in time, our fullest energy is dedicated in terms of growing these businesses. We are not exploring any other options at this point in time.

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Hemish Shah: Okay. And how much of your sales on the DI side will be to -- will be from the group company, Welspun Enterprises?

Vipul Mathur: Negligible because

I don't -- it could be very negligible. I don't think so that they are so active into this water distribution network. I think so they are more on the infrastructure side of it, roads and building and highways and -- so they are doing something on the water, but I think from a sales perspective, will be very negligible. But anyway, whatever it will be, it will be completely on a un-scale basis.

Moderator: The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Coming again to the DI pipe of the story. Sorry, I missed your utilization numbers and your order booking for the segment, what are the quantities that we are going to execute for this year?

Vipul Mathur: Saket, you're talking about DI, right?

Saket Kapoor: Yes sir. DI pipe.

Vipul Mathur: As I said, we have an order book at this point in time of close to 140,000 tons of -- in the DI business. And this is why it designed and I think so there is enormous potential to even increase this order book, but we are calibrating it with respect to our execution capability. As I said, we are working on 3 parameters. One is productivity, other is quality and third is serviceability. These are the 3 key fundamentals on which we are working on it.

And we think that this order book reflects -- is a very healthy order book at this point in time, one. Two, to increase the order book is going to be extremely easy. We can always do that. And at an appropriate time, we will again enter the market and increase it once we are -- once our -- the ramp-up which is happening at the right pace, we are able to accomplish our targets around that.

Saket Kapoor: And sir, our capacity for the DI pipe is? what is the number?

Vipul Mathur: 400,000 tons.

Saket Kapoor: 400,000 tons, correct sir. And with the lower coal and iron ore prices currently, do you think that there is a strong tailwind in terms of this DIP segment and wherein I think the realizations have also moved up, so if you could -- hence, the EBITDA pattern from the DIP segment, there is an incremental chance of having -- approaching higher margins. Is that understanding correct?

Vipul Mathur: That's a fair understanding, but you have to see -- you don't have to see on a month-on-month basis, you have to see on a year-on-year basis. Because typically, what you have is a raw material inventory of 2 to 3 months. So at some point in time, you will have a higher price inventory and then now the commodity prices have slowed down -- come down. Then you will buy a new inventory, which will be topped up by with a low price inventory, so the blend -- you will be able to see the blend advantage over a year's time. So -- but yes, the reduction in the commodity prices on the year basis is going to definitely help.

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Saket Kapoor: Sir, in the Saudi part, what portion we have got from the new city of NEOM sir, any order booking we have done from there? And what is the pillar from that geography?

Vipul Mathur: We have booked a significant portion of our orders coming out of NEOM. And as you know, that our Saudi mill is the largest and the best producing mill in the KSA and like the same is the case in Saudi and the same is the case in India. But -- and that is why we have the opportunity of servicing requirement under NEOM, there is a substantial requirement we are servicing at this point in time for that particular city.

Saket Kapoor: Right. And lastly, sir, for the seamless segment in the -- I think for the -- do we have a presence in the seamless pipe and the premium thread business also?

Vipul Mathur: No, we are not in carbon steel seamless. We are stainless steel seamless and we do not have -- we are not present into the thread segment. But having asked this question, I must say that this is a turnaround story of the group, a company which has been a perpetually loss-making company

and this year, they have -- they're coming -- they are absolutely EBITDA and cash - positive and with a very -- extremely great future. They are doing extremely well.

Saket Kapoor: You are talking about the Welspun Specialty Steel?

Vipul Mathur: That's right. I'm talking about Welspun Specialty Steel. I'm sure you have seen their financials.

Saket Kapoor: Yes. Sir, I just go through them. Sir, lastly, on the share of profit and loss JV part. Percy sir, if you could...

Moderator: Mr. Kapoor, I'm sorry ...

Saket Kapoor: Ma'am, if I could just complete, with your permission.

Moderator: Okay sir, please continue but this would be the last question.

Saket Kapoor: Yes this is the last, I will join the queue. For the share of profit and loss from the joint venture and associates if you could give more colour how is this going to shape up? And what are the key components of that? For the year, it is INR76 crores profit and for the quarter, it is INR29 crores.

Vipul Mathur: This share of profit is coming primarily from our Saudi entity. As you know, they have a robust order book, a very profitable order book, and I'm sure this is bound to increase as we executed.

Moderator: The next question is from the line of Vikas Singh from PhillipCapital.

Vikas Singh: Sir, just a small clarification. I mean, that 250 KT order book India, you're saying, that is exclusive of that 140 KT of DI or it is inclusive?

Vipul Mathur: Exclusive, we are talking pipe, line pipes.

Vikas Singh: Yes. And sir, secondly, on a previous participant's question, so is it that you have told us that the Sintex has closer to INR700 crores cash and consolidation of that would have brought down our Welspun Corp Limited

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debt or is different basically? Because net working capital still seems to be on a higher side. So that's what we wanted to understand.

Percy Birdy: Yes. So Vikash, substantial of the cash, which was on the Sintex BAPL balance sheet has been utilized for payment of the consideration, the settlement of the lenders as well. Some part of the cash has been retained on Sintex balance sheet also because as we -- as the business grows, as they rebuild the brand, they will obviously need some of the cash for the business purposes, their expansion and growth and working capital financing also. But the short answer to your question is majority of the cash has been utilized for settlement of the creditors.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Congratulations sir on a strong set of numbers. I just wanted to understand, would it be fair to say that the -- I mean you are targeting a revenue of INR15,000 crores for the entire year. It will be more skewed towards H2 of the year considering the ramp up that is being done by the company?

Vipul Mathur: Vignesh, you are right. See this will be more skewed towards Q3 and Q4. Because generally, if you see in the project business, the Q1 is always a sort of a muted quarter, right? And then you start building up in Q2 and it reaches to its pinnacle around Q4. So that's the way it happens. And it is across all the B2B businesses, we are not agnostic to that. So -- but we are more than confident that we'll hit this number.

Vignesh Iyer: But even if we say that the Q1, Q2 is muted, on a Y-o-Y basis, we would be seeing a strong set of execution, right?

Vipul Mathur: Absolutely. Absolutely. Absolutely.

Vignesh Iyer: Right. So sir, second question from my side would be on this. The associate company of yours, which is in Saudi, which has received an order of, if I'm not wrong, INR4,000 crores. what would be the execution time line of that order?

Vipul Mathur: So this order will start getting -- right now, they are already having some pending order books, which they are going to execute till September. And this new order will come

into execution

from September, then we'll go to, let's say, May or June to the next year.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Vipul Mathur, MD and CEO of Welspun Corp Limited for closing comments. Over to you, sir.

Vipul Mathur: Thank you very much, gentlemen, all of you for attending this call today. I think so we tried to give you as much as information possible to quell any doubts or any questions you may have.

But still, if you think that anything is still left unanswered and you really want to, you are more than welcome to circle back to us and Salil and Gaurav and Mr. Percy will be more than happy to answer all of your questions.

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I just want to reiterate that this company is absolutely on the cusp of growth, all the businesses, the line pipe businesses, which is our mainstay, the steel businesses, the Sintex business and our WSSL businesses, all the businesses are poised to growth. I think so the performance of the last quarter is a complete testimony to that. The market pool is there, the demand is there. And I'm sure all the operating parameters and processes are in place. The complete leadership team is in place. The complete bandwidth is available, so -- and we are seeing also a tapering of the commodity cycle, which should help. All these factors put together, I think, so it's putting the company into a good position.

And you will see -- you will continue to see superlative performance moving forward in the subsequent quarters. And we will come back to you on a quarter-on-quarter basis to give you an update around that. But -- and we are very optimistic and confident to the guidance what we have given this time to the market, and we look forward for your continued support. Thank you very much for joining us today.

Moderator: Thank you very much, sir. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Vipul Mathur: Thank you.



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"Welspun Corp Limited  
Q1 FY2024 Earnings Conference Call"

August 07, 2023

Management: Mr. Vipul Mathur - Managing Director and CEO, Welspun Corp Limited  
Mr. Percy Birdy - CFO, Welspun Corp Limited  
Mr Samir Joshipura - CEO , SINTEX BAP L Limited  
Mr. Salil Bawa - Head, Group Investor Relations, Welspun Group  
Mr. Goutam Chakraborty - Head – Investor Relations , Welspun Corp Limited

Host : Mr. Abhineet Anand - Emkay Global Financial Services

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Moderator : Ladies and gentlemen, welcome to the Q1 FY2024 results Conference Call of Welspun Corp hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhineet Anand from Emkay Global Financial Services . Thank you and over to you Mr. Anand !

Abhineet Anand : Thanks Mitchell e. Good morning everyone. I would first like to thank the management for giving us this opportunity to host the call. I will like to hand over it to Mr. Salil Bawa, Group Head Investor Relations. Over to you Sir!

Salil Bawa : Thank you Abhineet. Good morning to all of you. I welcome all of you to the Q1 FY 2024 earnings call of Welspun Corp. Present along with me today on this forum is Mr. Vipul Mathur, Managing Director and CEO. I am also joined by Mr. Percy Birdy, Chief Financial Officer of Welspun Corp , Goutam Chakraborty has just joined the IR team and will lead investor relations for Welspun Corp and he is also along with me today here . You must have received the results and investor presentation of the company which are available on the BSE and NSE as well as on the company's website. As usual, we will start the forum with some opening remarks by our leadership team. We will then open the floor for your questions. During this discussion, we may be making references to the presentation which I just referred to. Please do take a moment to review the safe harbor statement in our presentation. Should you have any queries that remain unanswered after this earnings call, please feel free to reach any one of us. With that, let me hand over the floor over to Mr. Vipul Mathur, MD and CEO

of Welspun Corp. Over to you, Mr. Mathur

Vipul Mathur : Thanks Salil. Thank you very much and a very good morning to all of you who are joining this call for Q1 FY 2024. At the very first, let me thank all of you for attending this call and I hope you and your families are doing well. I would first like to take you through some key highlights of our performance for this quarter at the start of this financial year FY 2024. The Q1 has shown a very robust performance and it has actually set up the tone for a very strong FY2024 performance for the year. Some of the key highlights being we have seen a consistent improvement in the sales volume of our line pipe business both in India and in US. We have a very strong pending order book, unexecuted order book of almost close to 645,000 tonnes valued at something like Rs.8600 Crores. We have seen a very steady improvement in our DI production and sales. We have seen a strong operational and financial performance in our stainless steel pipes and bars business. In our building material category, this is the very first quarter when we have been operating our building material which is primarily Sintex and we have seen a very steady ramp up in the Sintex segment in terms of sales.

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In terms of financials, our consolidated revenue from operations for Q1 FY 2024 rose 3X on Y-on-Y basis to Rs.4069 Crores in comparison to Rs.1322. Our EBITDA for quarter jumped 4 times Y-o-Y to INR 418 from INR 102. PAT surged by 40 x Y-o-Y to INR 165 Crores from INR 4 Crores. Our net debt got reduced by Rs.303 Crores and currently stands at Rs.835 Crores at the end of this coming quarter. On the ESG side of it, we are progressing in line with our stated goals and targets. We have also published our BSR report during Q1 FY 2024 and which has also been vetted through a third party assurance PWC. I am su

re you would

like to know what are the key drivers, which are driving our businesses. As you know that we are now operating under two verticals, one happens to be our pipe vertical and the second happens to be our building material vertical. Let me first talk about the pipe vertical. In the pipe vertical, our first category is line pipes. For this quarter, line pipe sales volume for our India and USA operations was at 185,000 tonnes against 99,000 metric tonnes in the corresponding quarter of the previous year, registering a growth of 89%. For India operations the sales was at 104,000 tonnes as against 92,000 tonnes in Q1 of FY 2023 and in US operations, our sales volume was 81,000 tonnes as against 7000 tonnes in Q1 of FY 2023. So we have seen a significant jump in our US execution. The overall environment for the oil and gas continues to remain very favorable across the world as global upstream oil and gas investment is set to increase by 11% to an estimated 530 billion in 2023 -2024. In the latest publication, the IEA predicts that the world oil demand will grow by 2.4 million barrel per day to 102.3 BPD in 2023. It is a new record high. On the supply side, total oil supply is likely to reach a record high of 101.3 million barrels and 102.3 million barrels in 2024 so both the demand as well as the supply are seeing a very, very strong demand at this point in time. Also the oil prices have been stable and range bound and they have been between \$70 to \$90. The global market is likely to be in deficit in the second half of 2024 which can continue to support the prices. This overall oil and gas scenario will have its impact on our Indian operations as well. Let us talk about the key drivers in India. With strong GDP growth projections, India is likely to overtake China in terms of global demand growth in 2027. India's oil demand is expected to rise from 4.7 million barrels per day to 7.4 million barrels by 2040. The government targets to increase natural gas pipeline coverage by more than 54% to 34,500 kilometers of pipeline by 2024-2025 and will like to connect all the states with the transnational gas pipeline by 2027. So far, around 33,600 kilometers of natural gas and 13,700 kilometers of petroleum product pipelines have been authorized. In order to further expand the reach of natural gas in the country the nodal agency, which is PNGRB, has finalized eight geographical areas, including northeast and J&K. India's present refining capacity at 253 MMTPA is projected to increase by almost 56 MMTPA by the year 2028. So the oil pipelines, the gas pipelines and the city gas distribution networks remains a key strong focus for our growth. Apart from that, our export outlook also appears very strong with our key focus on markets like Australia, Europe, Southeast Asia and Middle East.

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Upcoming hydrogen hubs and carbon capture projects are likely to drive future demand for pipelines in H2 and CO2 applications. US, the rising global demand for natural gas is the growth opportunity for the US and it is projected to account for over half of the global supply increase in 2023 -2024 to become the world's largest LNG exporter. Oil supply from the US will continue to remain strong with its shares likely to be around 45% of the incremental rise

to reach a global total of 105 million barrel per day by 2028. So US will play a very strong role in terms of both exporting oil as well as gas and would become one of the largest LNG exporters in the world. They are actually on track. As you know, LNG exports from the USA will remain a vital source of energy for Europe and Southeast Asia market. Our plant in US at this point in time is completely fully booked till the first quarter of 2024 and we are seeing a very strong demand for SO product in the US market with quite a few businesses lined up in terms

of finalization at this point in time. Coming to Saudi Arabia, the growth prospect of the country remains strong and has plans for a huge growth in the infrastructure project. Saudi Aramco raised its upstream spending by almost 24% to US\$ 29 billion and plans further increase to boost its crude oil capacity to 13 million barrels per day by 2027. They continue to believe that oil and gas will remain critical component of the global energy mix for the foreseeable future. Apart from oil and gas segment we expect a significant demand for line pipes will also be there from the investment made on water desalinization projects. The desalinated water capacity of 13.9 million cubic meters per day is currently being increased by 56% and a further expansion of 44% is planned by 2030. In order to support this expansion for this water desalinization project, the government is likely to spend almost close to \$15 billion for this. As we have mentioned earlier, our associate company Epic has recently signed a contract with Saudi Aramco for supply of large diameter steel pipes totally valued at \$1.8 billion. This order will start execution in Q3 and Q4 of FY 2025. As you are aware the plant is having a capacity of approximately 300,000 tonnes per year and is now more or less booked with firm orders for next one and half to two years. In this quarter, they had executed an order, the sales for which will get recognized in Q2. Looking at the delivery conditions and the terms of the contract, so while their production and operations were full go but it is only the sales recognition which is getting shifted to the second quarter. Coming to the DI pipes, I am pleased to inform that there has been a consistent improvement both in production ramp up and sales of DI pipes. The DI pipe market is expected to grow at a strong CAGR of 13 to 15% in India on the back of huge investments that the Government of India intends to do in the water infrastructure projects. We are talking about the scheme called Jal Se Jal in which the Government of India has already committed more than Rs. 70,000 Crores in their union budget of 2023. In the next few years, the DI pipe is likely to account 1/4 of the pipe market share in India. We have fully geared to become a key player in the domestic DI pipe market and have been consistently ramping our production capacity. Our immediate focus market remains west, central and north India. Also, we are strategically exploring export opportunities in the key markets of Middle East and Africa.

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We already have a strong order backlog of almost 150,000 tonnes, which shall keep our plant completely booked for the next three quarters. Out of the total projected demand for FY 2023-2024 where the consumption could be close to 2.6 million tonnes almost 1.5 million tonnes of the requirement of the demand will be coming into the market where we are, where we have the influence. So we see a huge growth potential for next couple of years in the DI P market. Let me also update you about our company Welspun Specialty Steels Limited. The operation and financial performance at WSSL continues to be strong and it is a complete turnaround story. We have been adding new customers and also have made forays into international markets like Philippines and USA. We have also made successful inroads in Southeast Asia and mean market. We are expanding our customer base at this point in time. I am glad to share that we have also successfully developed S30432 (Super 304 H) grade steel as well as boiler tubes including creep testing which is being done in this country for the very first time. We have booked the first order for supercritical 66 25 grade for instrumentation tubes. We are confident that successful delivery of critical grade will pave way for more opportunities in high value added products segment. We expect

our performance to

significantly improve on the back of new grade development in critical category, geographical expansion, territorial expansion and our focus on sustainability and excellence initiatives. I am happy to share that we are pursuing our goals in terms of sustainability and green steel and WSL has now access to a green power the supply for which has commenced in May of 2023. The current order book stands at almost 3800 tonnes, valued at Rs.150 Crores. This company has been a complete turnaround story in the last two quarters and we see a huge and great potential for the product what we are offering into the market. Coming to the building materials vertical where we have our national iconic brand Sintex sitting there. Coming to our building material segment, let me first talk about Sintex our national iconic brand, which has a market share of 23 to 25% at its peak level. Right now we are in the

driving seat for last one quarter and our focus is to realize our market plan realizing our market for our water storage line by aggressively bringing influence on retailers, distributors, plumbers, and customers. We are also restructuring our route to market for institutional product focusing both on B2G and B2B. Along with the existing product portfolio including water storage tanks, interior liquid storage solutions and electrical boxes, we also plan to enhance our product basket to adjacent categories like pipe fittings and adhesives. This will provide us greater opportunity for future growth. At this point of time these are in discussion stage. While WST market, which is the water storage tank market in India is likely to become double from the current market size of 9 to 10,000 Crores. The plastic pipe market is likely to become 60,000 Crores by 2025. On the back of this along with our experience team and strong focus we are confident to increase our market share substantially from the current level in times to come. On the TMT bar which is also as a product it is sitting in our building material category. Our newly commissioned plant has been ramping up steadily and the utilization levels are improving on a sequential basis.

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Higher finished product volumes will gradually reduce the intermediary product sales there by improving the contribution for this segment. We are getting a strong traction of our brand Welspun Shield as a tier one supplier in the B2C management in the Gujarat market. Our innovative initiative for creating the digital platform which compares distributors, dealers, retailers and influencers has been helping us a deeper market penetration to achieve our B2C goal. Just to let you know, our product has consistently been delivered and supplied and right now it is covering 27 districts out of 33 and 95 taluka out of 252 talukas across Gujarat through our dedicated 152 dealers and seven distributors. This network is rapidly expanding and shall give us deeper penetration in times to come making us a leading brand in the Gujarat market. ABG shipyard as I have mentioned earlier in my earlier calls as well, we have been disposing of metals and metal scrap which will result into a steady cash flow. We are keeping our fixed cost at absolutely minimal level. Further, we are reiterating we are not exploring any capital intensive investment options on this particular asset. We are confident of fully monetizing by the year end and thus leaving, without having no stress on our balance sheet whatsoever. On the ESG initiative while our strong focus is both on the financial and then operational performance and customer centricity and technology, we also have been specifically focused on ESG initiative, In Q1 of 2024 we have published our BS R report and also we have done a third party assurance of ESG data in the BS R report by WPC. Our long term sustainability goal

Is are to achieve carbon neutrality from 10% in 2024 to 100 % by 2040.

TO achieve water neutrality in this connection, we have also already taken some significant steps in terms of tying up with renewal power and at this point in time, we already have almost close to 10 megawatts of renewal power distributed across our business segment. From our balance sheet perspective, we have been very sharply focused in terms of our net debt and gross debt position. Last financial year, our net debt stood at Rs 1138 Crores which by the end of the quarter has been reduced by Rs. 300 Crores and standard 835. We are absolutely looking at the business prospect and the free cash flow we are more than confident that we will be able to achieve our guidance which we have released to the market. In nutshell we are talking about our two verticals which is a pipe vertical and the building materials vertical and both these verticals at this point in time are poised for a leap growth in times to come. With this, I would like to end my submission and open the floor for any discussion. Thank you.

Moderator : Thank you very much Sir. We will not being the question and answer session. The first question is from the line of Abhishek Gosh from DSP investment Managers. Please go ahead Sir.

Abhishek Gosh : Hi Sir thank you so much for the opportunity. Sir just couple of questions in the domestic line pipes segment if you can just help us understand, while you have spoken about overall demand momentum to be strong between oil and gas and water segment, how you are seeing the overall traction and your present visibility of the order book.

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Vipul Mathur : Good morning Abhishek I think both oil and gas and water are showing a very very strong traction in the domestic segment at this point in time. Let us say India, our total order currently stands at something like 315,000 tonnes out of that 315,000 tones, 110,000 tonnes is in the oil and gas segment and the balance happens to be in the water segment and this I am talking purely from a line pipe perspective.

Abhishek Gosh : Yes, okay and Sir, how should one look at the broadly execution timeline for these orders.

Vipul Mathur : This order book will get completely get executed within this financial year?

Abhishek Gosh : Okay so these are less than 12 months.

Vipul Mathur : Yes.

Abhishek Gosh : Okay great, Sir also in terms of the US operations, we have seen that doing very well in the current quarter and you have spoken about order book being there about 1Q FY20 24. Can you also help us understand and articulate in terms of how should one look at the demand trajectory beyond that, what is happening at the US oil and gas capex, just some colour there will be helpful to get confidence around the sustainability of this order book.

Vipul Mathur : Correct. That is a good question Abhishek. I think so if you see US has completely realized their position in the global oil and gas market. They are poised to become one of the largest LNG exporters in the world. They have positioned themselves as one of the alternative so from a geopolitical positioning point of view, this is what their overarching vision is. Now in terms of activities on the ground, we are seeing a lot of traction which is happening in order to maintain this. The largest basin is the Permian Basin, they are continuing to drill heavily on those basins. They are continuing to evacuate oil out of that and they are collecting the gas which they are exporting to the world market. They are exporting that. At this point in time if we speak they are at least talking of two major oil pipelines and at least four major gas pipelines which will come from the Permian Basin. Of course they are all going to come in a sequential manner but that is the potential at this point in time we are clearly seeing when we are

interacting with various ENP as well as the mid stream operators across US.

Abhishek Gosh : Okay so the visibility beyond next two, three quarters, I am saying more from a 12 to month perspective it is kind of coming through for you guys for the US operations that is the way one should understand?

Vipul Mathur : I would rather put it this way that from a US perspective if we see I think there is a clear visibility of next five to seven years how much we will be able to bring capitalize upon it is

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our ability but from a market perspective I think there is a clear visibility of next to five to seven years.

Abhishek Gosh : Sir in that context, what will be your market share in US now?

Vipul Mathur : We would be almost 22 to 23% of the market share.

Abhishek Gosh : Okay so then it is fair to assume that if the market expands or if market demand momentum continues, you should be able to get this retain your market share is that a fair assumption or are there a lot of supplies coming in.

Vipul Mathur : We are the largest player. We are one of the largest players in the US. We are the player which has a track record of executing large projects. If you look at the Permian basin out of the four pipelines which are functioning, three and half pipelines have been supplied by Welspun so that puts us into a clear leadership position and I am sure this pattern should continue in times to come.

Abhishek Gosh : Great. Sir the other thing is around Sintex. Through the last four, five years we have seen a lot of competition having come into that segment while the core brand continues to be very, very strong, but how are you now looking to re-energize the entire brand in terms of execution, touching base that distribution again, how should one look at it and also an extension into the adjacent product using the same distribution you spoke about plastic pipes and other things, how should one look at it?

Vipul Mathur : So I will give you a brief answer to that and I will also leave the floor for my colleague Samir to give you a more deeper insight to that but having said that this brand still enjoys that pull number one. Number two while of course, there are multiple players who have come into this segment when the company was spread and that is why the market share went down from almost 20-25% to 9-10% at this point in time. However, having said that for the last 90 days and our team have been on the road and they have been interacting with various stakeholders including dealers, retailers, influencers and all those people I think the brand, recall what we are observing is significantly higher. It is all about the re-energizing the whole channel. It is all about doing everything correctly in terms of putting up the right systems, policies, and the distribution network and I think we are more than confident that we will see a significant ramp up in our market share. Is it going to happen in one year the answer is no. We are not going to capture the market share or regain the market share of 25% in one year time but it will be definitely at much faster pace than anticipated for two reasons that the brand recall has been good and the quality has never got compromised even during the period of distress. So our sales at a high level is very clear that we need to keep a very sharp focus,

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keep on re-energizing the market and extend the product offering and that is where the value accretion will happen in this particular company.

Samir Joshipura : Hi so Vipul you caught most of it but I would probably add few more pointers here as you rightly said the trust on the brand continues to remain very strong which is evident from the pole as well as the price premium we still command in the market. The second thing is yes there we

re certain damages to our route to market, our channel, channel partners the way in which we are operating, which we are correcting now. In fact last three months we did engage and experts in this field with us to actually redesign the entire programme and Q2 onwards we are going to launch them. Most of the programme to correct those path would be retailer, be it distributors, be it influencers, be it certain system, be it our team itself. So we are making those changes we should start showing results in Q3 onwards and having said that, even if you look at Q1 we are seeing the improvement in the numbers. Regarding your second question about adjacent category yes while we focus on execution in water tank, we do realize that there are opportunities considering the strong brand in adjacent categories so we are evaluating those categories and we would probably concretize our plans in next couple of quarters and come back to you.

Abhishek Gosh : Just one last question in terms of the Saudi operations that have seen major disappointment in terms of both I think volumes and profitability, any colour there Sir would be helpful thanks.

Vipul Mathur : Abhishek disappointment is not an appropriate word, I think so we have to clearly understand that Saudi, let us say just to give you overarching situation Saudi produces close to 300,000 tonnes of pipe on a year on year basis. I am talking of an average. At this point in time with their order book, they are almost booked for close to two years so that is sort of strong order book what they are enjoying at this point in time. Right, now in this particular quarter they were executing one particular project while the production and everything happened but from a contractual point of view the sales could not have got recognized in this particular quarter and that is getting reflected into the quarterly results. It is not by virtue of non performance. It is just by virtue of a contractual obligation by virtue of which the sales is not getting recognized in this particular quarter. It is just a matter of time it is going to be recognized in Q2 but I think so if you look at overarching thing the company is absolutely poised in one of the best situations it would ever have been, having an almost close to order of almost two years at this point in time, confirmed order book at this point in time. So I think the next two or three from a Saudi perspective are going to be absolutely record breaking years is that what I would suggest from the table.

Abhishek Gosh : Great Sir. That is very clear so it is just a timing issue is essentially what you are saying.

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Vipul Mathur : It is only a timing issue.

Abhishek Gosh : Great Sir. That is very very clear and thank you so much. Wish you all the best. Thanks.

Moderator: Thank you. The next question is from the line of Vikas Singh from Phillip Capital. Please go ahead.

Vikas Singh: Good morning Sir and thank you for giving me the opportunity. So my first question pertains to operation. This is the second consecutive quarter where we see EBITDA per tonne close to almost Rs. 15,000 so just wanted to understand what are contributing to it and if this strength would continue, what are your thought process?

Vipul Mathur : Good morning Vikas. See all through Vikas we have always been saying EBITDA per tonne is the basket what we are executing in that particular quarter. In this particular quarter I think so we had some orders they were very less orders which got executed and that is how this EBITDA per tonne happens and historically if you see we have always been maintaining an EBITDA per tonne close to Rs. 10,000 per tonne on a year on year basis. Some quarter it is high, some quarter it is more but on average we have always been maintaining that and I think so moving forward this will only go into

the north, not south from here because on the line pipe side of it we are at this point in time discussing much more critical orders or more critical applications with more fortune 500 clients so I am very sure that this is only going to improve from here.

Vikas Singh: Understood Sir. Sir my second question pertains to our DIN Sintex operations. Have we been able to reach EBITDA or PVT level breakeven or if not what is the timeline our internal targets to that target.

Vipul Mathur : So let us talk about the DI. DI we are absolutely EBITDA positive at this point in time. We have reached to that. I think we did close to some 29 odd thousand tonnes in the last quarter and

half it we have done it in the very first month of this second quarter, so that much gives you the sense at what speed we are ramping up our operations at this point in time. It is absolutely on track and in line with our expectations that is on the DI side of it. On the other side of it also we are seeing a correction on the commodity side as well which is with respect to coal and all that stuff. I think so that benefit should also start coming in to our P&L in Q2 and Q3 ?

Vikas Singh: Understood Sir and for Sintex Sir.

Vipul Mathur : Sintex it is just a first quarter Vikas. My request would be to give a little more timing space for us to get into that, but in any case they are EBITDA positive. To answer your question they are EBITDA positive , but what sort of scalability we are talking in the subsequent quarter

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is something which is a work in progress and I think so we will be absolutely more than fair

in our subsequent calls giving you the clear headway where the company is heading for.

Vikas Singh: Understood Sir. This pertains to your Saudi operation your remark that we have a two year of order book so how we are managing the commodities there in terms of steel supply back to back booking if you could give us some insight into it.

Vipul Mathur : Vikas as a policy we never keep our steel open number one but it is also a fact that when you have almost a two year of order book it is not practically possible to book entire steel so at our board, we have done complete risk analysis around it and almost 70% of the steel we have strategically covered, 30% of the steel we have deliberately left it open knowing fully that we would have still four to six quarters in which we can take a call. This is our colour at this point in time by booking at least 70% of the steel .

Vikas Singh: Understood Sir. That is all from my side and all the best for the future.

Moderator: Thank you. The next question is from the line of Nafez Alabbas from Ajeet Capital . Please go ahead.

Nafez Alabbas : Thank you gentleman for the opportunity. Again sorry to bother you but is it possible to share the volumes that was sold during Q1 for the Saudi operation, also for the project that have been awarded. I know you might not want to share the margin but should we expect an improvement or in line with the recent quarters, just a rough estimate would be really appreciated thank you very much.

Vipul Mathur : Good morning Mr. Nafez as you know, I think for the largest chunk of the order what we have at this point in time is from Saudi Aramco and that numbers are in public domain . I think it was close to 1.8 billion Riyal apart from that we also have some residual orders which we are currently executing that and I think they should get over by the end of Q2 so these two things put together, the residual order that is the new Saudi order gives us a very clear visibility of the next one and half years to two years is what I am talking about number one . I think so from a profitability perspective Mr . Nafez I think we will come on a quarter on quarter basis because it is also the product mix as to what we are going to run in this particular quarter

and how they are going to get executed and how much sales is going to get recognized and all that stuff so it is a factor of various variables at this point in time. . I think so it will be best left that we can discuss the profitability of that on a quarter on quarter basis.

Nafez Alabbas : Great. Thank you. But just for the volume, just announced like the Q1 of this financial year just a rough estimate of the volume that was reported.

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Vipul Mathur : Mr. Nafez we will have to respect the world exchange because all that I can speak at this point in time which is public disclosure at Saudi and that has a policy there we have not disclosed the volume side of it, not that it is a very proprietary information, but I would like to be absolutely in compliance. I hope you got the kind understanding please.

Nafez Alabbas : I understand, let us say in Q1 last year you said in the call that the volume was roughly like 58,000 tonnes. I just want to see like what they do this year so far not for the project that are for one and half years but what was already booked in Q1 results.

Vipul Mathur : Mr. Nafez I would suggest that we can discuss that a little bit around it and I think so I will be more than happy to give you all relevant information which might satisfy you please.

Nafez Alabbas : Okay thank you very much.

Vipul Mathur : I appreciate that Sir. Thanks for your kind understanding.

Moderator: Thank you. We will take the next question from the line of Sailesh Raja from B&K securities . Please go ahead.

Sailesh Raja : Thanks for the opportunity Sir. My call got disconnected in between. Sorry if my questions are repeated, so my first question is on Sintex so last year Sintex reported 57 Crores EBITDA.

Can you please share the volumes reported in FY2023 and also can you give us guidance for

FY2024 Sir.

Vipul Mathur : Good morning Sailesh . I think so from a volume perspective, I think so my colleague Samir will be in a much better to answer that question what was the volume achieved in the FY2023 but let us also state when Welspun took over we were only one quarter into it and we will be more happy to talk about this particular quarter and the subsequent quarters, so in terms of this particular quarter they have done almost close to 3500 tonnes of water storage tanks and this number and you must have heard on the call earlier as we are all focusing in terms of market expansion we are more than confident that these numbers on quarter on quarter basis will only eventually grow.

Sailesh Raja : Sir my second question on elections historically if you see the order booking will be lower, people will start protesting I think laying of pipes so how do you see next year in terms of new order intake.

Vipul Mathur : I think that is a good question Sailesh but one thing which we also have to understand at this point in time that earlier that used to be the case where an electoral here will slow down the thing but now that is not a trend we are seeing at this point in time. There seems to be

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reasonable understanding between the ENP companies, the mid stream companies and the investors out there that is irrespective of the political spectrum, the oil and gas will continue to be a priority sector and there would not be any politico disruptions created around it that is the sense we are getting. So at this point in time when we speak we are not seeing any slowdown per se but it is subjective things have to be washed around but when we look at the inquiry flow, when we look at the discussions what were happening with our various customers we are not getting this willing at this point in time.

Sailesh Raja : If you see the active account in US it has come down to 650 from 750 reported from four months back what could be the reason Sir.

Vipul Mathu

r : See today one of the reasons for that account is coming down is also that they do not have capacities to evacuate gas right. On one side while they would have sufficient capacity on the oil transportation or to move the oil but they still have a lot of work to do in terms of developing the evacuation of the gas, today if you keep on drilling and you keep on producing oil and when you have no scope to flare the gas what would you do. It only slows down the whole process and that is what it brings on the table that this process will further accelerate more gas pipelines which will come up from Permian basin into the gulf coast.

Moderator: We will move on to the next question which is from the line of Naysar Parikh from Native Capital . Please go ahead.

Naysar Parikh : Hi thank you. Can you give a sense of the revenue breakup including how much was from scrap sales in this quarter?

Vipul Mathur : How much was from the scrap sales?

Naysar Parikh : Sorry ABG shipyard.

Percy Birdi : See the total value of the scrap that we would be disposing off could be anywhere around 700 to 800 Crores and this is getting spread over roughly about five quarters. So I think it would be fair to assume that around one fifth of that value would be getting disposed of. Every quarter and we are reasonably confident that by March 2024 we would have completely monetized the entire scrap at the location .

Naysar Parikh : So this quarter would have around 150 Crores is that fair.

Percy Birdi : Around that yes.

Vipul Mathur : 100 to 150 Crores would be the range I would say Mr . Parikh.

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Naysar Parikh : Got it and second question is on the stainless side. We were just expecting a huge ramp up over the next couple of years so can you just talk about that segment, what are the areas that we are focusing on and in particular what kind of traction are we seeing.

Vipul Mathur : So I said that WSSL which is our stainless steel is a complete turnaround story and it is driven on two principals, number one the domestic market is very buoyant number one. Number two there is a lot of efforts which have been done in terms of the curbing the cheaper imports which are coming, making India initiative and all that stuff has significantly helped , number three because of the energy crisis, the European market demand has gone up and a lot of Indian products are now going into the European market and now four is how much you are going up in the value chain.

So I think that we are focusing on the all four pillars at this point in time . Today almost 50% of our product is hitting the European market number one. Number two of course the



Government of India initiative, make in India is helping us a lot but number three more important is the value added chain we are trying to develop the value added grade which is helping us and it is going to help us significantly in future and top of it we are the only integrated players. We have our own steel and our own pipe and that gives me a complete flexibility to speed up my value added proposal. So I think these four factors put together has completely turned around this company and this is what will be the basis and the fundamental for further growing it in subsequent quarters and years.

Naysar Parikh : Got it and just the last question from the profitability perspective what percentage of EBITDA would be from line pipes and VDI pipes can you just give rough breakup of the profitability.

Vipul Mathur : You are talking about the Q1 profitability.

Percy Birdi : So Naysar basically the DI side for this quarter had a breakeven level so at an EBITDA line there is not a significant amount so majority of the profits are coming up from the India and the US pipe business obviously as we go forward the DI is ramping up rapidly and they will start contributing in a very sizeable way to the

consolidated EBITDA of the company.

Naysar Parikh : I mean I am just trying to understand around 418 Crores of EBITDA if you look at for the quarter that would include the scarp EBITDA as well and line pipe so 300 Crores of line pipe is that fair.

Percy Birdi : See WSSL is already in the public domain, so they have already announced the result. WSSL EBITDA for this quarter was 23 Crores so out of our 418 Crores 23 Crores is already known to you then there are a few smaller numbers which are there around 20-30 Crores which come from other income but the pipe is more than 300 Crores.

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Naysar Parikh : Right understood. Thank you Sir.

Moderator: We will take the next question from the line of Abhishek Jain from Arihant Capital. Please go ahead.

Abhishek Jain : Hi, this is Abhishek Jain from Arihant Capital. Sir two questions. Congratulations on good set of numbers. I am going to understand on the specialty stainless business right now what is the target EBITDA because last two quarters you have done very well. What is our next three years what kind of numbers we are aspiring going forward and also on the EBITDA per tonne I will be looking for your guidance on the same sir. Second thing sir on the DI pipe side because most of the companies are posting a decent thing right now. Do you think there is a possibility we may see a 2 lakh tonne number which we have talked earlier in the call can we do much better than those numbers.

Vipul Mathur : So answering your question on DIP first I think so the way things are progressing at this point in time Abhishek. We should be close to the guidance what we have given in terms of achieving the production and sales. A) in terms of order book, there is no issue of an order book. There is an order book of almost three more quarters for the full of the financial year you have the order in place. It is all about execution and the way we are ramping up I think we should be able to touch or exceed or close. We should be close to that guidance that is something anything between 175 to 200,000 tonnes. So we are pretty much there. We should be there in terms of DIP. Coming to this WSSL, WSSL let us say for the last two quarters in a steady manner it is growing. The potential for the next two or three years I think our internal assessment very clearly tell us that is a business which can potentially grow at a CAGR of almost 20 odd percent that is the way we are looking at it and also coupled with that is our stainless steel bars business also because we are producing steel as well which is bars and that also has a significant potential at this point in time and there is a significant requirement which is coming up from the European market and the domestic consumption and all that stuff and that also has a potential to grow almost 70-80% CAGR business, so, this is what our internal estimates are currently telling us and which is what we are tracking and this is what we aspire to achieve in times to come over next two to three years.

Abhishek Jain : The EBITDA per tonne guidance if you can give Sir.

Vipul Mathur : We will have to work that out Abhishek. At this point of time it is all about the product mix again. EBITDA per tonne guidance will depend as to what is my geography and what are my product mix and as we are now inching towards value added grade. I think this is constantly going to get changed. We get into a very sort of very steady state business model which I am sure over next one or two years time when we will get then it will be much more prudent to

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give you that particular guidance however at this point in time I think we should see only from a growth perspective and a profitability perspective and I can reassure you that both

growth and the profitability is going to be there on qua

ter on quarter now.

Abhishek Jain : Sir I have few more questions I will get back in the queue Sir. Thank you Sir.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments . Please go ahead.

Vignesh Iyer : Thank you Sir for the opportunity. My question is on the Saudi side of the business . The capex that country is planing on the water desalination project if you could just give us an idea we are trying to tap into and get some business from there as well. Does it require any certification prerequisite to get some orders from the same business and how is our competition like for the same.

Vipul Mathur : So Mr. Iyer I think in the Saudi market we have been very active in the oil and gas and the water side of it. If you see for the past two years we have been doing primarily almost 85% or 90% of our business was on the water side of it so all the criteria which are supposed to be met and we have already met and we are one of the largest play er at this point in time in that particular market serving both oil and gas and water so for us there is nothing called prerequisite , we tick all the boxes and we are one of the pole players. In terms of water investment you are absolutely right they inten d to invest additional \$14 to \$15 billion over a period of time and we will definitely get our market share out of that. Today we definitely enjoy more than almost 25% of the market share in that particular country and I think so being into the pole posit ion there is no reason why we should not be getting that. Having said that yes, the competitive landscape is wide. There are three or four equally good producing facilities and they also get their own market share but among all of them I think if we have to summarize we have got the largest share, the most profitable share and I am sure this trend will continue in future as well.

Vignesh Iyer : Sir if you could just give me an estimation as to what would the business size be from this upcoming capex for the n ext few years.

Vipul Mathur : There is no additional capex. We are not doing any capex there.

Vignesh Iyer : The country that is investing into water project what is the estimated size of business that could come over the next few years.

Vipul Mathur : I thin k the way we see that almost t he water is coming from SPCC or SWPC looks like that they might be doing close to million tonnes on year on year basis and there is sufficient

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capacity which is there in Saudi Arabia which is competent and capable enough to ad dress this particular demand. We being one of the largest there so we will have also have our market share around that.

Vignesh Iyer : Thank you Sir. Sir one last question from my side. I am going to this presentation and the 18 slide in the presentation of your guidance FY2024 when you guide for a estimated EPS at 26.8 does it include the contribution that is coming from Saudi.

Vipul Mathur : It does.

Vignesh Iyer : Okay thank you. That is all from my side. All the best.

Moderator: Thank you. The next questio n is from the line of Pranay Gandhi from Green Portfolio . Please go ahead.

Pranay Gandhi : Sir, I just wanted to briefly understand what are the business plans with yard? Are we looking to make any further investment and what kind of revenues do we plan to generate from this division?

Vipul Mathur : Pranay i n my opening statement, we made it very, very clear that at this point in time our focus with respect to AB G shipyard is simple that we want to liquidate all the assets what is there at this point in time so that we are absolutely cost agnostic. That is the only focus at this point in time we are working with . We are maintaining a very minimal cost at this p

oint in

time in the fixed cost and number three we are not putting any, capital investment in that shipyard at this point in time. We are not doing that. On the other side, we are looking at various options , plans this and that, but they are all more in exploratory state. In terms of are we committing any money in the next foreseeable future , the answer is no.

Pranay Gandhi : Thank you Sir and I know you gave that amount but somehow I happened to miss it. What is the start value and by when can we expect all to be to start ed.

Percy Birdi : It is spread over four to five quarter.

Vipul Mathur : I think the Q1 of the next financial year we should be pretty much done, almost of it will; be done in this financial year, there could be some spillover which can go to the Q1 of the next financial year.

Pranay Gandhi : And Sir could you share the amount again pl ease.

Vipul Mathur : So it was like close to Rs.700 to 800 Crores that is the generation which is likely to happen.

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Pranay Gandhi : Thank you so much Sir.

Moderator: Thank you. The next question is from the line of Bhavik Shah from MK Ventures . Please go ahead.

Bhavik Shah : Congratulations on a good set of numbers. Sir I have just one question how much have we sold these scrap in ABG shipyard and where do we recognize the revenue for that? How do we do it?

Percy Birdi : So it goes under the operating revenue Bhavik and roughly it will be anywhere between about 120 to 150 Crores per quarter.

Bhavik Shah : We do not have any cost on the account of that.

Percy Birdi : No of course we had purchased it also at the cost only from the liquidators. So what I am telling you is the top line the sale value . We are selling it at higher than the cost only so there will be a bottom line contribution also coming up.

Bhavik Shah : Okay right and so how much inventory do we have left with of this scrap?

Percy Birdi : See we started disposing it from March 2023, so we have been moving at a very fast pace and though we have officially said it will take five quarters and that is June 2024 quarter, but we are internally targeting to finish everything by March 2024.

Bhavik Shah : Okay March 2024 and Sir how much EBITDA contribution can we expect coming this year from that the remaining one?

Percy Birdi : You are saying how much EBITDA from disposal of scrap?

Bhavik Shah : Yes.

Percy Birdi : Maybe close to 100.

Bhavik Shah : 100 Crores for FY2024 right.

Percy Birdi : Yes.

Bhavik Shah : Okay Sir thank you and all the best.

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Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Thank you for this opportunity Sir. Firstly, coming to this EBITDA part of the story, so guided for 1500 Crores EBITDA in your presentation earlier also and this quarter also so is this from the operational part only from the line pipe segment that you are factoring in and not for the scrap and the other income that we put on account of Sintex and other entities going ahead.

Percy Birdi : Mr. Kapoor this is consolidated. When we are presenting a consolidated number, even the guidance is consolidated so this Rs.1500 Crores EBITDA guidance which has been given is based on consolidated basis.

Saket Kapoor: Okay so we are factoring in the EBITDA from the scrap, we are factoring in the other income component for everything. And Sir if in your presentation going ahead if you could provide us the EBITDA especially from the pipe segment separately that would suffice a lot of our queries . The number of 418 is not optimum to the pipe segment in totality. So going ahead if that would be segregated so that that would be a very efficient way. Sir other than that in the other expenses line item we found increase from 486 Crores to 647 Crores.

So if you

could explain what is the reason for the Q-o-Q jump in the other expense line item?

Percy Birdi : Yes Saket. The current Q1 Saket is where all the operations are ramping up in a big way . As you know US has ramped up in a big way and all the new operations DI, TMT, we have got numbers of Sintex , everything has come in so obviously all the numbers will show a sharp jump. As you correctly said in other expenditure there is a sharp jump but so is there a sharp jump in the top line as well so I think that is why because of all the new businesses and ramp up all the numbers will be sharply higher than the previous quarter .

Saket Kapoor: But Sir Q-on-Q, how will you explain because Q-on-Q the jump from March quarter, the revenue run rate was 4070 Crores. So visa-a-vis it is flat only Q-on-Q but since then I am comparing these numbers on a Q-on-Q basis Sir.

Percy Birdi : Yes so we have got new operations there, for example Sintex has also got added from this quarter onwards and remember ultimately it is a project business Saket so every quarter will not be uniform, it will be different.

Saket Kapoor: I was just referring to any one of the item that has been put in other expenses.

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Percy Birdi : There is no one off item. It is a pure function of two items. One is the project mix that keeps changing every quarter and secondly, now the new businesses are all ramping up, so they will all start adding larger numbers to the consolidated.

Saket Kapoor : On the loan point. Congratulations on net deduction in debt of 35 Crores what is currently on working capex requirement and what is the cost of fund for the term loan and if you could just provide the break up between term loan and the working capital.

Percy Birdi : I will give that to you offline Saket ji. The borrowing cost is somewhere close to 8%. It ranges between 8 to 8.5. Sometimes short term funds are even lesser than that. You can take an average of 8% as the cost of funds .

Saket Kapoor: The blended cost of funds .

Percy Birdi : Yes, correct.

Saket Kapoor: Sir there was also one update from the income tax department about some demand rates from Sintex and I think so we directly mentioned in the reply also that what steps are we going to take and writing down the reply to CPC, so any update on the same has it been adjusted adequately.

Percy Birdi : I think there is no further update from our press release. We are very confident that we are absolutely okay. We do not expect any impact to come on our financials.

Saket Kapoor: The order book we have, what is the executable period the pending order was of 645 KMT. What should be the execution for the current year?

Vipul Mathur : Mr. Kapoor most of it will be executed within this year. There could be a minor spillover which can go to the quarter one of the next year, but I think more than 85 -90% will get executed within this year itself.

Saket Kapoor: Within this year itself. If we annualize the number for 185 that works out to around 740. So the lower execution going ahead or there will be some significant factor because if we take the current quarter run rate of 185 KP that translates into 740 on annual number. Our order book is there for 635 then there will be this order also that we will be receiving in this specially. Is it on a conservative basis this 45 number that is my question?

Vipul Mathur : It is a realistic one. It is a cyclical business, it is a project business. It is a blend. What guidance we have given is a blend out of our experience. We are sure that Mr. Kapoor we should be able to that . Of course our endeavor would always be to improve upon it and I think so in any Welspun Corp Limited

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case the first quarter generally in India a little muted quarter. I think so the production ramp up and the

dispatch ramps up will also happen in the subsequent quarter , but overall if you look at it I think so whatever guidance what we have given, we should be able to do that and if you look from a first quarter perspective we have been able to meet the expectations for the guidance that we have given.

Saket Kapoor: And one more point considering the tax related if you can give some understanding. Why are the tax rates have been higher and what rate are exactly the tax incidence is going to be on and then on this presentation in the expenses line item Sir we generally find that the other expenses are generally marked at the lower end and finance costs are just below the depreciation. So if it is not for any particular reason, please try to reduce from depreciation and then the line item being finance cost in other expenses as the last line item . If it is not for any other purpose being done, so that gives you a clear picture.

Vipul Mathur : Point taken Mr. Kapoor. Let us evaluate the merit of it.

Saket Kapoor: And Sir for the tax part kya rate abhi.

Percy Birdi : Mr. Saket our effective tax rate is about 25%. It of course keeps varying from quarter to quarter, you have to also be mindful that there are some operations like WSSL where we do not create a deferred tax asset yet and also there are some operations like the new DI business which are in separate legal entity. Which are in a lower tax rate also, so to that extent you will have quarter to quarter fluctuations but if you were to look for a long term guidance for a tax rate, I would say somewhere between 25 to 28 percentage will be our effective tax rate.

Saket Kapoor: And Sir what is the advance tax number for this quarter ? How much actual tax rate we have paid.

Percy Birdi : I think we can take those numbers offline. Those are not in the public domain anyway Mr. Saket.

Saket Kapoor: And Sir for note number seven if we could understand the rationale for this merger part of Mahatva Plastic with Sintex BAPL and Sir this Sintex this entity issue what was the total gross which we have got in other income of 54 Crores so what have been the gross from the sale of NCD and the other income posted if the consolidated number is 49.51 Crores in your note you have mentioned 54 Crores so what is the mess off, yeh 6 Crores ka kya hai.

Vipul Mathur : Mr. Kapoor what I will suggest I will ask Goutam who is listening to this conversation. He

will get connected with you offline and he will be in a better position to address all your queries, what you would have with respect to the balance sheet. Will that be OK?  
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Saket Kapoor: Yes and I wish Goutam Sir as IR person, all the best to him.

Moderator: Thank you. Ladies and gentlemen that would be the last question for today which is from the line of Abhishek Jain from Arihant Capital. Please go ahead.

Abhishek Jain: Thank you for the chance again Sir. I just have a couple of quick questions. First is that I think this might have been repeated already, but I just wanted some clarity on this that if I see the order book and the bid book quarter on quarter there is a dip in both so I just wanted to understand I believe there is obviously no structural change in the long term story, but any reason for this to happen in Q1, is Q1 just a bit weak in terms of order bookings I just wanted to understand that first.

Vipul Mathur: Abhishek most of these businesses are project based businesses, you will see that cyclicity part of it in any case. I think so what we will have to stick around is the fundamental part of it. Are we seeing any fundamental softening down in the market that is the moot question on the table and probably that is not the case what we are at this point in time looking at. If you look at all the growth plains, all economic trends all of that, the market opportunities, I

think

they are all very clear indicators that both the oil and gas market and the water which are all sitting into our pipe vertical, I mean absolutely the demands seems to be fairly robust in times to come. So I do not think there should not be any undue concern around that.

Abhishek Jain: Understood Sir. Sir another question on the US side, the carbon capture project that we had earlier has it started yet or is it yet to start?

Vipul Mathur: There are some land requisitions issues going around at this point in time. They are under discussions there and it has yet not started so once those acquisitions will be completed that is the time that the production and delivery will start.

Abhishek Jain: Okay Sir in the earlier question you had mentioned that in US there are some pipelines expected come, so is there any of that reflecting in our bid book right now or they are yet to come, we are yet to bid also for that?

Vipul Mathur: They are getting reflected in the bid book. At least in the bid book they are getting reflected.

Abhishek Jain: Okay Sir my final question, inventory levels currently could give us what are the inventory levels on the books right now because last quarter our inventory had shoot up to 5500 Crores could you give us some view what is it right now?

Vipul Mathur: We can give a view but it has significantly improved from that point of time. As we said that inventory was against the order which was getting built up in America and now when we are

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into an execution phase that inventory is getting depleted so we can get you the numbers please.

Percy Birdi: It is tapering off, yes Abhishek.

Abhishek Jain: Okay thank you so much and Sir just one point I wanted to ask that in the stainless steel business we used to earlier give the breakup for bars and pipes order book so could we get that again or are we not disclosing those figures now?

Vipul Mathur: Right now here for the presentation purpose, we have put it in a consolidated basis, but that is something which we can always share. I think so from a bar perspective we are close to 2500 tonnes and pipe is like close to 1200 tonnes all put together close to 3800 tonnes is what I mentioned.

Abhishek Jain: Perfect. Thank you so much for answering the question Sir. All the best for the future.

Moderator: Thank you. As that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you sir.

Vipul Mathur: Thank you gentlemen for joining us for our Q1 FY2024 call today morning. I am sure that me and my team would have been able to answer most of the questions but having said that if there are certain questions which remain unanswered and you want to have some more details you can definitely reach out to Salil and Goutam around that. On the other side I just want to reassure that the company is standing on cusp of growth at this point of time. We are seeing both oil and gas. We are seeing water, domestic. We are seeing Saudi. We are seeing America. We are seeing stainless steel and DIP business apart from Sintex. All these 6-7 verticals, 6-7 products in which we are working I think so there is no debate or dispute or any ambiguity that all of them are seeing significant amount of tailwind and your company is absolutely favorably positioned at this point in time to capture around that and we are sure that in subsequent quarters you will see much improved and better performance than what

you have seen in this particular quarter and we will be able to deliver on the guidelines what we have released to the to the market. Thank you very much for joining and stay fit, stay safe thank you.

Moderator : Thank you very much Sir. Ladies and gentlemen on behalf of Emkay Global Financial Services that concludes this conference. We t ha

nk you for joining us and y ou may now disconnect your lines.

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"Welspun Corp Limited  
Q2 FY2024 Earnings Conference Call "

November 09, 2023

ANALYST : MS. VIKASH SINGH – PHILLIP CAPITAL INDIA  
PRIVATE LIMITED

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR &  
CHIEF EXECUTIVE OFFICER – WELSPUN CORP  
LIMITED

MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER –  
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MR. GOUTAM CHAKRABORTY – HEAD – INVESTOR  
RELATIONS – WELSPUN CORP LIMITED

MR. SALIL BAWA – GROUP HEAD – INVESTOR  
RELATIONS – WELSPUN CORP LIMITED

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Page 2 of 22 Moderator: Ladies and gentlemen, good day and welcome to the Welspun Corp Limited Q2 FY2024 Earnings Conference Call hosted by Phillip Capital India Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Singh from Phillip Capital India Private Limited . Thank you and over to you Sir!

Vikash Singh: Good morning everyone . On behalf of Phillip Capital , I welcome you all on Welspun Corp Q2 FY2024 concall . Now I hand over the call to Mr. Salil Bawa, Group Head, IR for Welspun Group. Over to you Salil.

Salil Bawa: Thank you Vikash and good morning to all of you . I welcome all of you to the Q2 FY2024 earnings call of Welspun Corp. Present along with me today on this forum are Mr. Vipul Mathur , Managing Director and CEO, Welspun Corp Limited , Mr. Percy Birdy , Chief Financial Officer, Welspun Corp Limited, and also along with me I have Mr. Goutam Chakraborty who leads IR for Welspun Corp. You must have received the results and investor presentation of the company which are available on the BSE and NSE as well as on the company's website . As usual we will start the forum with some opening remarks by our leadership team . We will then open the floor for your questions. Please note during the discussion , we may be making references to the presentation which has been shared earlier . Please do take a moment to review the safe harbor statement in our presentation . Should you have any queries that remain unanswered after this earnings call, you can reach out to any one of us. With that let me hand over the floor over to Mr. Vipul Mathur, MD and CEO, Welspun Corp. Over to you Sir.

Vipul Mathur: Thank you Salil. Thank you very much and good morning to all of you . Let me welcome all of you for our Q2 and H1 FY2024 earnings conference call . I greatly appreciate you attending this call today . I hope you all have been keeping well . I would now like to start the discussion with the key operational and financial highlights of the Q2 and H1 FY2024 followed by business updates and then we will have an interactive session .

Some of the key highlights are Welspun Corp demonstrated a very strong performance in Q2 and including H1 FY2024 and some of the salient things are the sales volume for our line pipe

business in India and USA for H1 FY2024 rose by 57% on Y-o-Y basis . Our associate company Epic in Saudi Arabia as you know has a confirmed order book exceeding two years . Also I am pleased to inform that the execution of the recent Aramco order which was valued at SAR. 1.8 billion has also started . We are seeing a very steady improvement in our DIP production in sales and in H Y2024 sales volume grew by 24x on Y-o-Y basis to 73,000 metric tonnes. During H1 , our stainless steel bar sales volume rose by more than 3x on Y-o-Y basis and we did almost close to 8,400 metric tonnes while stainless steel pipes and tubes sales volume grew by 46% on Y-o-Y basis and we did close to 2,500 metric tonnes .

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Page 3 of 22 On the building material side we are seeing a very steady improvement in our market penetration both for our Sintex and TMT bar segments . In Sintex the water storage tank sales volume for H1 FY2024 rose almost 16% and we did close to 7,100 metric tonnes and our TMT bar sales volume also rose significantly and we did close to 50,000 tonnes of TMT business in H1.

As regards financials , our consolidated revenue from operations for Q2 FY2024 and H1 FY2024 stood at Rs. 4059 Crores and Rs.8129 Crores respectively . EBITDA for Q2 FY2024 jumped more than ten times and it is at Rs.5 01 Crores for this particular quarter . PAT for H1 FY2024 significantly rose to Rs.550 Crores and I will explain a little more in detail about this in our subsequent conversation . As we have indicated the company is absolutely focused in terms of financial prudence and diligence and as in line with our guidance the net debt got reduced by Rs.520 Crores in this particular quarter and currently our net debt stands at Rs.315 Crores. As you know we have a very strong focus on ESG rating. There are certain key initiatives which we have taken on the ESG which I am pleased to report . Our focus has been on increasing our share of renewable energy across all the segments and across all the businesses . We are completely aligned with the UN sustainable development goals through various social initiatives and programs . We have a very strong focus on governance . Almost 55 % of our directors on the board are independent directors with a very illustrious and diverse track record background . The female directors on our board are almost close to 38% .

Now let me give you the key drivers and the outlook for our two business verticals , the pipes and the building materials . In the pipes let me first talk about the line pipes . For the quarter the line pipe sales volume for our India and US operations stood at 202,000 tonnes against 148,000 tonnes in the corresponding quarter of the previous year registering a Y-o-Y growth of 36% . For H1 FY2024 line pipe sales volume for India and USA was at 387,000 tonnes as against 247,000 tonnes of that previous year registering a growth of almost 57% on Y-o-Y basis . As you know globally oil and gas industry outlook has been very positive with rise of demand in foreseeable future with significant capex and strategic investment supply is also getting aligned . According to IEA the investment in oil and gas is set to reach to the level of around 800 billion and will likely to remain at a similar level till at least 2030 . While the IEA in its latest world energy outlook 2023 estimated that global oil demand to see a steady growth reaching to 101.5 million barrels per day by 2030 but OPEC has shown a very strong outlooks and expects global oil demand to reach 112 million barrels per day both . Both IEA and OPEC if you analyze are showing a very strong traction and growth in the oil and gas sector till 2030 . According to the IEA starting from 2025 a huge surge in LNG project is set to start off with addition of 200 billion cubic meters per day liquidation capacity by 2030 which is equal to almost half of today's global energy supply . Most of these capacities will come between 2025 to 2030 . As per IEA, in the "Stated policy scenario " , around 190 billion is expected to be invested each year to develop upstream gas between 2022 to 2030 and a further 40 billion is expected to be spent each year on LNG infrastructure . While the clean energy is also going to be in focus as per IEA under the net zero emission scenario , the projected spending will be around 100 billion each year in hydrogen transportation infrastructure by 2050 .

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Page 4 of 22 The key drivers in outlook for our business in India, despite global microeconomic challenges ,

Indian economy remained absolute resilient . As per IMF 's latest world economic outlook, India GDP is likely to grow at 6.2% in 2023 and 2024 as well . India's oil demand is expected to rise from 4.7 million barrels per day to 7.4 million barrels per day by 2040. India's natural gas demand is also likely to almost quadruple to 4.1 million barrel equivalent per day . India also targets to reach its refining capacity of 9 million barrels per day by 2030 . The government targets to increase natural gas pipeline coverage by 54% by 2024-2025 and to connect all the states with the trunk natural gas pipeline by 2027. Recently if you have noticed , the government of India has concluded the 11th CGD round of bidding increasing the potential to cover almost 98% of the population and 88% of the geographical area under the CDD which is the City Gas Distribution .



Around 12,000 km of pipeline is approved and currently under construction . The current share of the gas in the country 's energy mix is slated to increase from 5.8% to 15% by 2030 . If you would have noticed , CGD, today when we have concluded the 11th round of the bidding, the work which are currently getting executed are of the fifth and the sixth round of bidding at this point in time which means it gives a very , very clear headspace for the CDD expansion to grow in times to come . Both central and state governments have strong focus on irrigation projects and water transportation through line pipes that has a huge potential . Export markets are looking extremely promising especially the Southeast Asian market , the Australian market and the Middle East market where Welspun has a significant dominance and presence . As you would have noticed Welspun Corp recently received one of a very prestigious order for almost 61,000 tonnes for supply of pipes for one offshore production and transportation in the Middle East. It is one of the most stringent orders which has ever been placed and which will be executed by Welspun positioning Welspun Corp as the leader in the oil and gas pipeline industry .

Let me now give you an outlook on the USA. The outlook in the USA stays very, very strong with the rise in natural gas production . Natural gas exports from USA is at 20.4 billion cubic feet per day in H1 of CY2023 and has been the highest when compared to the same corresponding period last year . The LNG export rose by 4% to 11.6 billion cubic feet per day which makes USA the world largest LNG exporting country. During the same time natural gas pipeline exports to Mexico and Canada increased by 4% to almost 8.8 billion cubic feet per day . As regard outlook as I mentioned that USA has now become the largest LNG exporter . They have completed five new natural gas pipeline projects which are bringing the gas from the Permian Basin to the Gulf Coast taking the take capacity to almost 4.18 billion cubic feet per day . This capacity will be doubled over the next few years time which results in at least multiple Permian gas pipelines going to come up in the near future . Thus, we continue to see a very strong demand for our SS pipes in the US market . Our total order book remains strong at 240,000 tonnes at this point in time and we are very confident on booking new orders to ensure continuity of our business . We are seeing a clear business opportunities and those opportunities now would need to be converted into business with us being leading player in America in the US market . I am sure that our track record suggests that we should be able to capitalize upon these emerging opportunities .

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Page 5 of 22 Let me also brief you about Saudi Arabia . As you know the Kingdom of Saudi Arabia has brought in a very strong focus on increasing the oil production, transportation of gas, water desalination and other projects like oil to chemicals . Thus the outl

look for the line pipes which

will be used across all these segments as I have mentioned remains very strong . As per Saudi Aramco they expect to award contracts for at least 14 more new pipeline project between 2023 to 2025 . This might be a business opportunity of close to 12,000 kilometers that has a potential to be awarded between 2023 to 2030 . The country is also heavily investing in their water desalination projects which are close to approximately \$14.58 billion . The Kingdom of Saudi Arabia has announced an \$80 billion investment in their water infrastructure of comprises of desalination plant and the corresponding infrastructure . The corresponding infrastructure entails line pipes as well a significant procure of line pipes so there are substantial pipeline of large scale projects both in oil and gas sector and water sectors in the Kingdom of Saudi Arabia present a remarkable prospect for associate company EPIC. As you are aware EPIC is the largest pipe producer at this point in time and one of the most respected pipe manufacturing company . Today it is clearly getting reflected that they have a clear order backlog of more than two years and they are also in contention for few more orders which are currently being discussed and which possibly will give us a clear visibility of three years or more . The vision of Kingdom of Saudi Arabia which is called Vision 2030 is very clearly articulated and I am sure if you would have seen through it clearly highlights the potential the Kingdom offers to the local manufacturers . EPIC being one of the key local manufacturers is likely to benefit the most out of it . The longstanding and strategic relationship with our key business partners resulting into better positioning both in the local and the regional market is considered as integral component of EPIC 's growth and development . As I said that we have a confirmed order book of almost more than two years and we are favorably placed in few businesses which will get converted into orders in due course of time . We are seeing a clear business visibility of more than three years and at this point in time , we have just started the execution of the Aramco order which we have announced a couple of months back which was valued at \$1.8 billion .

Let me now shift my focus to the DI pipes . As you are aware DI pipes is one of our key focus area of growth . The DI pipes segment ramp up has our ramp up has been on the expected lines with Q2 sales volume growing by 15x on Y-o-Y basis and 68% on quarter-on-quarter basis . The government's strong focus on improving water infrastructure in the country through initiatives like Jal Jeevan Mission have only created a very strong demand for DI pipes in the country and this demand is likely to stay there for next couple of years . Additionally with the progress of

AMRUT 2.0 which is the urban infrastructure development and other such initiatives . DI pipes demand is expected to remain strong for the next five to seven years on the back of this positive strong demand outlook and significant demand supply mismatch in the smaller diameter , we have decided to slightly expand our DI capacity by additional 100,000 tonnes in order to take Anjar DIP capacity at 500,000 tonnes . This I need to clarify when we have set up this DI project , we had a hot metal capacity of 400,000 tonnes and correspondingly we have put the DI capacity at 400,000 tonnes . Fortunately by our technological initiatives and our operating process and parameters we have been able to significantly improve our hot metal production to 500,000

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Page 6 of 22 tonnes . Now this is a positive change which has happened . From the set up of 400,000 tonnes, we are now producing 500,000 tonnes that is leaving a little bit of a mismatch and to that extent we are increasing the capacity of DI pipes by additional 100,000

tonnes as this being a value added

product . Based on the quality and serviceability established with our customers in our existing DI pipe capacity , we have established ourselves as one of the most credible DI pipe manufacturers in the country . We are also now seriously exploring export market in the Middle East and Africa where we see great opportunities . Our order backlog at this point in time stands close to 250,000 tonnes valued at approximately Rs.2,000 Crores. This gives us a very clear visibility of at least one year if not more .

Let me also brief about our stainless steel business which is our joint venture company Welspun Specialty Steel Limited. WSSL has witnessed a clear turn around in the last couple of quarters backed by integrated manufacturing process and diverse product offering . The company has a unique presence in its addressable market segment . The company has successfully developed super authentic 9 04 L bars as well as pipes , nickel alloy 8 00 bar as well as pipes , critical heat exchanger tubes, and ultra low cobalt stainless steel bars for nuclear power application . We are clearly focused on the value added segment in this company . Also we have made our foray in the US market and the first shipment has already reached . As you are aware that we have a significant presence in the Indian market , a dominant presence in the European market and now with our foray into the US market , we are only broadening our spectrum. I am happy to share that the greenhouse emission footprints are available for all products at WSSL. This is going to be a game changer as you are aware that with our presence in EU market and the US market , we are pioneering this initiative . At the end of H1FY24, the WSSL order backlog stands at almost 4,500 metric tonnes for the steel valued at Rs.170 Crores. We are confident that the business performance shall further improve on the back of several new customer approvals, accreditation , development of new products and penetrating new markets . Also I must highlight that the policies the Make in India initiative and the government policies are also dissuading the cheap imports coming from other countries and also the investment which government is making in terms of the power plants thermal power plants, the nuclear power plant and in the defense where these pipes found significant importance in play is further going to boost our growth . Till now I have covered about our pipe vertical .

Now let me draw your attention to the building materials . Since x, let me now talk about the Sintex . Our existing business has been ramping up very steadily with Q2 FY2024 growing on 25% on Y-o-Y basis and 10% on quarter -on-quarter basis . Our growth is faster than the market growth as we are in the middle of changes that we are making in our ecosystem so that our growth rate increases further . Some of them have already been rolled out while the others are in pipeline . We are also augmenting our talent pool to meet this challenge . Our entire focus is on water storage tanks and on reenergizing our retailers, distributors, plumbers, and customer segment . Our journey of changes shall continue through Q3 and Q4 which means the H2 of this year . The retainers loyalty program launched in Q2 is already showing significant traction in the very first few months of being rolled out . This is also being enhanced by making the brand present

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Page 7 of 22 significantly in the market through products , communication as well as an in person meets . The new product launch in Q1 Sintex Hero has been accepted very well by the market . Considering its success we are looking at reviewing our product portfolio to increase our appeal to our customer . In summary our growth journey is continuing as planned and shall continue to garner more momentum, speed and share in times to come .

T

MT bars , we have seen a consistent improvement in our sales of our Welspun Shield TMT bar with Q2 FY2024 sales volume at 28,000 registering a sequential growth of almost 40% . Higher TMT sales as you would notice is directly resulting in reduction of our intermediate product which is billet which was a non -profitable segment. Market penetration has been progressing

well with 98% districts are now being covered in Gujarat and with 213 dealers connected. Our marketing approach to our innovative digital channel to address B2C segment has been paying off.

The Navyan Shipyard the erstwhile ABG Shipyard, we have been disposing of the metals and the metal scrap which is resulting into a steady cash flow. As I have told earlier we are keeping our fixed cost at a very, very minimal level. We are not exploring any capital intensive investment at this point in time. We are confident of fully monetizing this asset that is having no stress whatsoever in our balance sheet. This was our earlier stated position. It remains the same. I will also like to draw your attention to the ESG initiative which are very critical and core to Welspun growth journey. You all know that we are very focused on our ESG intervention across all the three areas that is environment, social and governance. We are currently ranked in the top seven percentile of the companies in the steel sector globally. As far as environment is concerned our long-term sustainability goal is to achieve carbon neutrality gradually from 10% to 100% by 2040 and to that extent we have been taking various initiatives for that. Number one, we are going ahead with the installation of renewable energy at Anjar, Bhopal and Mandya. We have also recently signed up an understanding with MRPL which is a subsidiary of Welspun new energy wherein they will provide round the clock, renewable power they will be generating from wind and solar and which will be used for our operations making our Anjar facility utilizing 55% power as RE Power by the physical year 2026. It is a momentum towards achieving our goal of carbon neutrality of 2040 but also it will be significantly saving us the per unit cost of the power. Welspun will hold almost 22% in this entity MRPS and our investment is capped at Rs.44 Crores. At the WSSL level where also we are very focused on exports in the European and the American market, we have tied up for RE power through a third party agency and currently we are getting 3 megawatt wind and 2.5 megawatt solar. The share of renewable energy has already reached 30% of our total energy consumed in the month of September and this journey will continue. We are also focused at the company level on zero waste to landfill and water neutrality by 2040. In case of our social initiatives, we are aligned with the UN sustainable development goals through various social initiatives and programs as far as governance is concerned where we play a very strong emphasis. We have seen a very strong compliance with all statutory requirements and policy. Here I would like to highlight that there is no pledging of any share at the promoter's level. All the companies in the Welspun Corp call are professionally managed

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Page 8 of 22 under a well defined structure under the supervision of the board. There is no cross holding which is the relation between any of these companies. The board itself comprises of persons with illustrious and diverse background and with 55% of them being independent directors out of which 38% being female directors. All the key committees are led by the independent directors. Coming to the financial highlights, one of the significant achievement was that during this quarter we have reduced our net debt by more than Rs.500 Crores and it currently stand at Rs.315 Crores on September 30, 2023. If you see, we

are close to achieving our target or the guidance what we have given for FY2024. We have also reduced our gross debt by Rs.855 Crores during the quarter. You will appreciate that we have been walking the talk as far as the guidance is concerned.

With this I would like to summarize by highlighting that both our business verticals which is the pipes and the building materials are performing in line with our expectations. We continue to explore options in Sintex and DI pipe segment in existing and new locations in Europe for our growth. We see a strong business outlook for our line pipe business in all three geographies which is India, USA and Saudi Arabia. Also as I mentioned, it is already backed by a committed strong order book at this point in time. We are expanding the DI facility as I told earlier to bridge the mismatch between the hot metal and the DI pipes capacity this being the valued product. Sintex as you are aware is absolutely on a growth path at this point in time with the water storage tank businesses taking the lead. Our emphasis has been on expanding our market and reenergizing our distribution network. The TMT bar segment is also steadily growing and also on the ESD side, we have made significant efforts where the need lies are moving. We are doing which the impact of which is now being seen on the ground. With this, I would like to thank for your patient listening and hearing and I open the floor for any questions whatsoever you may have please. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Darshit from Robocapital. Please go ahead.

Darshit: Thanks for taking my questions and congratulations on excellent results so my question was that say in the coming two to three years where do you see Sintex business going in the form of say revenue and PAT? Any internal targets or general overview will be fine?

Vipul Mathur: Good morning. I can understand your excitement about Sintex and very well so. As you know we have now been into this seat for almost let us say seven to eight months two quarters effectively

and we have now the chance of deep diving into the business , the models and everything . What it is very clearly reflecting that this company offers a huge potential to us both in the water segment business or the water storage tank business and other allied businesses as well . At this point in time, we are working on two strategies number one. Two, first and foremost consolidate our position and to get back our market share so that is one part of the strategy we are working . The second part of our strategy is to keep exploring what are the new growth options and newer growth locations where we should be focusing on . As we will crystallize that I think in the Welspun Corp Limited  
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Page 9 of 22 next two quarters, we will be able to crystallize our future growth strategy as well and which we will roll out sometimes later in the next financial year so these are the two parallel initiatives we are driving at this point in time but in next two to three years , I can assure you this company will get back to its peak glory and it will have multiple product offerings and it will have a Pan India presence and it will also be one of the most revered company into the B2C segment that much I can assure you please .

Darshit: Okay great to hear that and you specified that you are only going to do maintenance capex so what amount would that be ?

Vipul Mathur: You talking with respect to Sintex or you talking with respect to .

Darshit: In general for the whole firm?

Vipul Mathur: So right now, our intent is all about the maintenance capex what we have given the guidance . Only one thing which has changed since our last conversation is that we are doing an expansion of capacity in our DI

P. To that extent the capex will be there and I hope you will understand that there is no point producing 500,000 tonnes of hot metal and producing 400,000 tonnes of DIP because that loss of 100,000 tonnes if it can be productively used for the valued product like DIP, I think so that will bring much more revenue and earnings so other than that I think so we are very conservative in terms of our capex . The rest all is going to be a maintenance capex as what we have given the guidance .

Darshit: Okay but what would that amount be just a range ?

Vipul Mathur: In the maintenance .

Darshit: Yes maintenance ?

Vipul Mathur: Maintenance is close to what Rs.200 odd Crores that is what we looking at .

Darshit: Okay and finally yes that answers all my questions . Thank you for your time and Happy Diwali.

Moderator: Thank you . The next question is from the line of Miraj from Arihant Capital . Please go ahead .

Miraj: Thank you for opportunity. Congratulations on a great set numbers Sir. I had a few questions ?

Starting with first one that Saudi Arabia that are order book has gone beyond two years now just want you to understand that booking order it is obviously a positive thing but the tenure of delivery is stretched beyond two years now ? Does that involve a lot of raw material volatility risk? I wanted to understand how our strategy over here was to minimize the raw material volatility risk ?

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Page 10 of 22 Vipul Mathur: So Miraj as you very rightly said that with our two years of an order book as a policy the raw material is completely hedged and is only a pass through for us . Whatever confirmed orders we have at this point in time , we have already covered the raw material . We have a backup for that raw material . You must understand , we are one of the largest buyers of the steel in the world for the API grid. We have a absolutely robust understanding and with all the key steel suppliers with whom we buy this so at this point in time whatever order we have, we are almost covered . I would say almost 80% to 90% of our raw material stands completely hedged.

Miraj: Right and I like you were explaining for the Permian Basin that five new projects have been completed right now so what is the opportunity in terms of new orders coming from there so if I am not wrong there were four more orders to be announced in Permian Basin taking a total to nine orders if you could just highlight if we are in lead position in any of the orders in Permian Basin right now and what will be the size in terms of volume ?

Vipul Mathur: So you if you see the Permian Basin continues to grow and it is very clearly getting reflected by the LNG share which the US is gaining in the international market. At this point in time there are three operational lines. The fourth is getting into operation and fifth is under construction . That is the way it is currently standing . The way the things are looking at in terms of drilling and in terms of gas exploration , there are at least four more line if not more which are going to come up in Permian Basin in subsequent years . We are expecting the next Permian line to come sometimes around the Q1 calendar year quarter of the next year and out of the four pipelines what are being constructed , we have supplied almost three pipelines . As you all know Welspun Corp is the leading place in the North American market and I think so we would have a play in that upcoming Permian projects as well . Apart from that we should also be mindful that along

with these pipelines there are multiple lateral pipelines which do come up along with that and those business opportunities are also up there on the table however these are all projects and these are all opportunities. We will have to bid and we will have to secure them so that part of the work is pending but considering that we have doing

fairly okay and we have been getting a percentage share of that particular market, we are very optimistic and confident that we should be able to maintain that .

Miraj: Understood Sir and Sir on the inventory side ? I will get back in the queue Sir.

Moderator: Thank you . The next question is from the line of Siddhart Shah from Emkay Ventures . Please go ahead .

Siddhart Shah: Yes Sir thank you for the opportunity and congratulations for a good set of number . Sir my first question is on Sintex again ? You have kind of highlighted your plans and everything but can you crystallize the capex plan for next two or three years in Sintex ? A broad range also be very helpful ?

Vipul Mathur: Siddhart as I said our right now our focus more is on expanding our base right . Also in tandem we are also exploring what are the other products which we should be bringing in that Sintex

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Page 11 of 22 fold. Now that discussions, that market study and that outlook is all being currently studied at this point in time . Now that we will be able to crystallize these road map in Q3 and Q4 of this year that means in the H2 part of this year we will be able to completely crystallize that and based on that we will be able to roll out our capex plan . It will be slightly early to throw a number and without knowing as to what we intend to do and where do we intend to do and how do we intend to do . I think kindly be a little patient and give us in the next subsequent call as we will crystallize the capex , we will completely come and share that with you but having said that I wanted to assure you that as a brand , it still stays an iconic brand in terms of its market reach . It has a great market reach. It has a great product recall and there are multiple growth opportunities which can be embedded in to the system and which is what we are very , very minutely analyzing and evaluating at this point in time .

Siddhart Shah: Sure Sir that is very encouraging to hear. Sir broadly can we say that apart from this DI pipe expansion majority of the capex will be towards Sintex only in next two years ?

Vipul Mathur: DI pipe expansion I am sure you understood it is a necessity and it is a beneficial necessity . It is a good necessity to be honest . I would not like to say that as a capex it is something which is good which has happened and it is giving us an incremental opportunity to capitalize upon it so I think for DI pipe expansion you will understand that but in this financial year apart from this I do not think so that we are going to do any major capital investment anywhere .

Siddhart Shah: Sure Sir and my second question was on ABG Shipyard so for that all set also by when can we expect some plant and second is how much is the scrap still lying with us if you can quantify that value or quantity that would be very helpful ?

Vipul Mathur: So as Siddhart I have already shared in the past as well ABG is a very strategic investment for us number one . That continues to be the case . It is a very strategic investment for us number one . It will get completely monetized let us say by the end of this particular year . All that was there scrap and everything is all getting liquidated . I think so 50% of that is already liquidated . 50% of that will happen so the complete liquidation process should get over by the end of this particular year which means that I would have a very high quality strategic asset in my hand number one at no cost or stress on my balance sheet . We are very clear that at this point in time , we are not going to do any major capex in ABG Shipyard for a simple reason that we are very, very mindful and cautious of our capital allocation and we are seeing the tractions happening in the Sintex and we are seeing the tractions happening on the DI side of it which is where we have currently primarily f

ocusing our energies on.

Siddhart Shah: Sure Sir. Sir last question is on overall debt guidance ? I think we are on track to become debt free very soon now because this 50% scrap is still there and EBITDA also is very strong and we are not doing any major capex so any guidance on the debt part or if we generate suddenly significant cash flows how will that be distributed ? Any guidance from that Sir?

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Page 12 of 22 Vipul Mathur: Siddhart we have given a very clear guidance at the start of the year. All what I wanted to give the comfort that we are absolutely on track with respect to that and the numbers are clearly reflecting that . We will state our guidance and we are confident of achieving those numbers .

Siddhart Shah: Sure I understand and thank you so much for the opportunity and all the best . Thank you.

Moderator: Thank you . The next question is from the line of Ashutosh Somani from JM Financial . Please go ahead .

Ashutosh Somani: Thanks for taking my question . Great set of numbers . Sir just a quick question on the thought process a round the stake sale in the Saudi Arabian business given that there is a strong order book there and the business is generally doing well we have have sold some stake so what is the current stake and any future guidance towards this?

Vipul Mathur: So Ashutosh good morning . I think so probably it is a little bit of a lack of communication or understanding number one . There is no stake sale which has happened in Saudi . We have not done any stake in there . Percy can you just explain the whole transaction so th at you kindly bring that clarity on the subject please.

Percy Birdy: Sure so Ashutosh very quickly , our economic interest of Welspun in the Saudi entity as we call it EPIC it remains the same. E arlier also it was 31.5 % and even after this transac tion which we have released now, it remain s the same at 31.5% economic interest . The only thing that has changed is we had the holding through a Mauritius company so India owned 90% of the Mauritius company and we had a minority investor in the Mauritius holding comp any. That investor has exited from the Mauritius company okay so now th at investor is out of Mauritius and he is having a direct stake in the East Pipes Saudi company so very simply put there is no economic interest change for us . It is a cash flow neutral transaction for us however in accounting terms , we have to follow the accounting standards and that is why in the books of Mauritius there is a gain that has been accounted which you are seeing in the P&L as well and the share buyback has been done for th at 10% minority shareholder in the Mauritius . This is all coming in our notes to accounts which is just below the results but suffice it to say from a from an investor and analyst point of view , our economic interest remains the same at 31.5 % no change .

Ashutosh Somani: Thanks so much for the clarification on this transaction and structure . Thank you so much.

Moderator: Thank you . The next question is from the line of Sumangal Nevatia from Kotak Securities . Please go ahead .

Sumangal Nevatia: Good morning Sir and congratulations on good good s et of numbers. M y first question is with respect to the DI market it is relatively a new business area for us so just want to understand how is the acceptance of our product s, how is the competition and are we qualifying for all the tenders  
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Page 13 of 22 so overall how are we placed in the market current ly and how are we looking at it over the next two to three years ?

Vipul Mathur: Good morning Sumangal. I think so that is an interesting question number. See DI market is growing expone ntially at this point in time and all the indicators are very clear tha t this is going to be the play for next five to seven yea

rs if not more . Right now all what we are seeing is nal se  
jal scheme . Then it is being followed by AMRUT 2.0 where right now it is in the rural part of it, then it will be in the urban part of it and as any matured economy will have eventually it will move towards sea width and then it should also move towards wastewater treatment so I think so this is the road map where in which all the DI pipes are going to be utilized and this is our confidence th at it is going to stay for next five, seven and 10 years time. Coming back to our production and coming back to our acceptability , I think so it is a very clear testimony of 250,000 tonnes of an order backlog of almost Rs.2,000 Crores is a very clear indic ation that the product has been accepted well. More than the product it is the customer service which is very well appreciated and that comes with Welspun standards . This industry has b een fairly fragmented . The servicing in this industry has been suboptim al at sub par level. I think so with Welspun facilities coming up the things have eased out and the serviceability has improved so and the good part is we are dealing with the same set of the customers where our principal company is a pipe compan y is also d ealing with so in terms of the regions , we are seeing a huge traction of business opportunity and potential coming up in Madhya Pradesh and Rajasthan which are clearly the addressable m arkets when we are located in Gujarat so we feel very bullish about it and that is the reason and our acceptance has been good , the product has been good , the service has been good and the order backlog has been good so that is giving us the tremendous amount of confidence that we should now also bridge the mismatch of our ho t metal versus DI capacity which we just announced yesterday .

Sumangal Nevatia: Understood Sir. Sir is it possible to explain I mean are there very low entry barriers in this because we have seen a few players entering and ramping up capacities because of the very strong outlook so one is that and second I understand this business requires the ramp up is relatively more gradual so is it possible to share what sort of volumes are we looking at FY2024, FY2025 and FY2026 some sort of guidance to appreciate?

Vipul Mathur: So you are right. I think the competitive landscape has also got intense . There is no doubt about it. New capacities are getting added but it is also a clear reflection betw een the supply and the demand mismatch and that is why the r amps are ha ppening number one . Number two in terms of in terms of the guidance , currently our installed capacity is almost close to 400,000 tonnes . Our first endeavor and our endeavor is to ramp up to that particular level so I think so in the next

three years time let us say in the next let us say 24 to 30 months time we should be there in terms of our 100% capacity including our expanded capacity . It is the full impact of our enhanced capacity in FY2026.

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Page 14 of 22 Sumangal Nevatia: Got it and Sir just last one is it possible to share some unit metrics I mean what sort of say EBITDA per tonne or something do we make in this business ?

Vipul Mathur: I mean we generally do not do that but nevertheless you guys are veterans of this particular industry. You analyze all the DI manufacturers which are standalone DIP manufacturers . For you to do a reverse calculation and working should not be very difficult and whatever those numbers are, we are there if not better from them.

Sumangal Nevatia: Got it Sir understood . Thank you so much and all the very best .

Moderator: Thank you . The next question is from the line of Abhishek Ghosh from DSP Mutual Funds .

Please go ahead .

Abhishek Ghosh: Thank you so much for the opportunity Sir just couple of questions on the US part of it while you spoke about strong prospects as far as de

mand is concerned but in that region are you seeing new supply coming in or that is pretty much stagnant how is the supply addition as far as the US market is concerned ?

Vipul Mathur: Abhishek that is a good question . Actually what has happened in US is that while the demand seems very consistent but there seems to be a consolidation which seems to be happening in the industry there. There were two large players which have now exited the business and these are all public information so I do not mind sharing . Number one was if you would see there was a company called Stuff which was producing large diameter spiral pipes . They have completely exited business. Number two we have a company called Everaj was a Russian owned entity in Canada and they have a great influence in the North American market including US so for the reasons they have completely become dormant so there is a significant consolidation which is happening there . Two of the established players have walked away and on the growth side of it, the growth stays there so I think so it is great situation to be in US. There are great prospects around that but as you also know Abhishek that it is a project business right . Project business required bidding, competitiveness all that and then securing that business . That element of work is yet to be done for our new business and our business continuity out there but I am sure that we have a track record. You have seen our performance out there . We have done some very signature projects out there . The inherent comfort and the confidence of all the EMP players or the midstream players on what does well Welspun Corp brings on the table so I am sure all those things are extremely positive and we are very optimistic that you will continue to see a growth in the US market both in the US market as well as in Welspun Corp .

Abhishek Ghosh: Great. Thank you so much for that detailed explanation . That is helpful . Sir just coming to the recent export order that you have announced that you have won of almost about 61,000 tonnes from the Middle East? I just wanted to get some clarity around it in terms of is it for oil and gas or water and is it also emanating from the fact that there is a very strong demand that you are seeing in the export side of it and that is why beyond EPIC in the Middle East you will cater to

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Page 15 of 22 that market through the Indian operations is that the way you are looking at it ? Some thoughts there will be helpful Sir?

Vipul Mathur: Abhishek first and foremost I would like to correct you . This 61,000 tonnes of an order is not for our Saudi entity . This is not for EPIC .

Abhishek Ghosh: No I understand? That is what I said it is from the Indian operations so that is what I said yes?

Vipul Mathur: This is for our Indian operations number one . Number two . This is for oil and gas application .

This is destined for a country in Middle East and it is for gas application . What I am trying to say this project is a very unique project in itself . It is one of the most stringent specifications under which this project has been awarded to us that if till yesterday Welspun was one of the top three Mills in the world . Post execution of this order , I will not be hesitant to say that Welspun would be the number one mill in the world so that is the criticality of this particular order and that is the trust the customer and the client has in terms of our capability to execute this particular order so it is a very landmark signature order what we have . Of course when it will come to execution we will talk about that a lot more there . From a demand perspective I think so we are seeing a great demand at this point in time in exports for a simple reason that you see the prices of the oil are pretty much ranged bound. They are all between anything between \$80 to \$100 nu

number one . If

you analyze any report they are all suggesting that this price is going to be ranged bound for the foreseeable future . Number three the demand for the gas is going to only grow up from here so

which these two factors put together are clearly indicating that both oil demand and gas demand and correspondingly the pipelines for these is going to stay strong and that is what is getting clearly reflected in the bid book and the projects what we are seeing which are coming up on the table. As I mentioned we are seeing a great demand coming up in Middle East at this point in time, southeast Asia and Australasia region and these are the regions where India has a dominant position and Welspun has a dominant position so we have been successful in capitalizing on those opportunities and looking at this new demand which is going to come up, I am sure we will get out of that as well.

Abhishek Ghosh: Okay Sir just two other questions in terms of oil and gas demand is very strong but like for Saudi you mentioned there is lot of thrust on water desalination and other things also? Are you also seeing that kind of order inflow for export markets for the Indian operations at least beyond oil and gas for water also coming through or any thoughts there Sir?

Vipul Mathur: I do not think so. I do not think that there will be a great potential for any export of pipes for water application anywhere because water business is purely a domesticated business. It has to be addressed domestically. Saudi also if you see bearing one or two projects in which the pipes have been exported and that to by default almost 95% of the demand which is being catered with Saudi Arabia is through a domestic producer only so that is the case everywhere so answering your question that do we see any demand that the pipes will get export for water, the answer is no. However for the oil and gas as I said earlier the demand stays very, very strong in all the Welspun Corp Limited  
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Page 16 of 22 three regions Australasia, Southeast Asia and Middle East. There we will see multiple opportunities coming up and as industry everyone seems will get benefited out of that.

Abhishek Ghosh: Great Sir. Sir just one last question in terms of given the demand buoyancy that one is seeing around oil and gas globally India also you have good oil and gas border projects coming through would you need one more carbon steel kind of capacity addition? Any thoughts on that or it is still some time away?

Vipul Mathur: Addition of what.

Abhishek Ghosh: Carbon steel capacity Sir?

Vipul Mathur: No I do not think so. There is sufficient capacity which is available at this point in time. I do not see that there would be any need for any capacity addition. Some relocation of capacity is here and there can happen but addition is definitely not something which is going to help or is the need of the hour that way.

Abhishek Ghosh: Got that Sir. Thank you so much for answering my questions and wish you all the best. Thank you so much.

Moderator: Thank you. The next question is from the line of Saaresh Raja from B&K Securities. Please go ahead.

Saaresh Raja: Thanks for the opportunity Sir. My question is on both DI and Sintex? We will start with DI Sir we are the only DI player having manufacturing facility in the Western market and our target market is Northwest and Central region so could you please talk about demand supply dynamics specific to these two regions? Every year on an average how much investments is happening from government side and what are the key upcoming projects we are getting on to get more orders? Also how competitive we are in terms of pricing over somebody bringing products from Eastern region so basically want to know what is our right to win over here?

Vipul Mathur: Thanks Saaresh. Saaresh your first question with respect to

demand as I mentioned, we are seeing a demand across Pan India. Let us say there is a huge demand in the West, Central and the Northern part of India which is a very good market. There is a huge demand which is there is also in the South which is not our primary area of focus at this point in time and also the East which we are right now overlooking for a simple reason that when the demand in our addressable area is so very significant why should I be cannibalizing on my freights and taking punt on my net sales realization so we are very clear and very focused in our area of influence number one. As regards to the numbers just to give you an example. In Madhya Pradesh itself at this point in time there is a crystallized demand of more than two almost close to 2 million tonnes. As again is that only half of the pipes have been procured at this point or let us say awarded. Out of that half only 30% of them are converted into an order and are under the execution phase so you can well imagine there is a 2 million tonnes of demand in Madhya Pradesh only half of them let us say Welspun Corp Limited  
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Page 17 of 22 million tonne is being awarded. Out of that million tonne only to the EPCs number one and then out of that only five only 600,000 to 700,000 tonnes has got converted into business. Out of that only 50% 300,000 to 400,000 tonnes has been executed so if you see the whole value chain you can very well imagine that what is the upside which is available and the period of that upside. Nothing is going to happen. This demand will be there for next two to three years to even



finish of this . This is the part one . Then there are multiple projects again which are going to come up. The same is the case in Rajasthan so we are very, very optimistic and confident and the demand itself is supporting this optimism and confidence . The Gujarat, Madhya Pradesh, Maharashtra and Rajasthan itself will be generating so much of a demand to keep us busy for a significantly long time . Secondly your question was with respect to the competitive landscape . Yes the competitive landscape is getting intense . There is no doubt about it . People are adding capacities and they are adding capacities because this is the case in every region . This is also happening in East. This is also happening in the South so everyone is seeing that capacity, everyone is basically trying to maximize their production and capitalize upon this opportunity. Now whether there would be any major transgressing which will happen what is the interest of a company in the East or in the South to come and sell in West or in Central when he has a full year market in in his own region itself so I am not seeing that is going to happen . It could happen in few isolated cases for some strategic reasoning but are there going to be a major , major transgressions from industries in the East and the South to come in Central or the West or the companies in the West will going East and the South the answer is no . I do not see that because it does not make any economic sense .

Sailesh Raja: Okay that sounds true Sir. My second question on Sintex my native is down south small town near Madurai here so last month I noticed few trucks carrying full of Sintex tanks since we are aggressively selling the volumes in every nook and corner a great approach to your team so what more steps we are taking to increase the scale of this particular division ? Can you explain in little more detail and within the existing product so how fast we can fill at least 50% of the total capacity ? First half we have reported just 17,000 tonnes so how much we are targeting in the current financial year and next financial year ? This is my first part of question in Sintex ?

Vipul Mathur: Okay so first and foremost it is always good to hear from outside in perspective that you could see

the Sintex tanks in Madurai so at least what we are telling you that we are making aggressive effort on the ground . At least it is a clear testimony to that . It is very clear . It is a very concentrated effort is currently being made at this point in time to make our presence felt on a Pan India basis. Sintex as a brand always had that presence . It was only in the last few years because of the financial scarcity and fund scarcity this market share went down . Our strategy and all the efforts at this point in time as I have mentioned earlier as well is now towards making our presence felt, reenergizing the networks and all that and this exercise will continue to go number one . The way our expansion will happen right the way we will continue to expand our market share, the direct resultant of that will be that our throughput will also keep on increasing . I think so we are very clear. We have a very clear cut business plan for the year at this point in time. We are absolutely on track in respect of achieving our annual business plan . We are highly  
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Page 18 of 22 optimistic and yet cautious because we want to build this company for a long term play. We are not a company in a hurry at this point in time . We want to rebuild this company brick by brick and block by block with very strong and sound fundamentals and all that in terms of re energizing the network, addressing the plumbers or the retail network, what sort of a policy should be there, how can we make the consumer feel the benefit of Sintex. I think these are all fundamental questions which we are trying to address at this point of time . You will have to understand it is a journey. We have embarked on this journey . The two quarters is very clear to us that there is a big pull around it and I think so we will continue to work on that so kindly give us more time in terms of giving you specific that what I am going to do in the second year and in the third year let us let us have some breathing space and let us have some time but I can assure you one thing that all steps are now being taken to bring this company absolutely back on track and I think so this two quarter performance itself is a clear testimony that we are on the right track .

Sailesh Raja: Okay sir thank you Sir. Sir what is the year depreciation figure in Sintex and what is the current capital employed including working capital Sir?

Vipul Mathur: I am sorry. Come again please.

Sailesh Raja: I wanted to know what is the current ROC in this division at 20% utilization level so what is the yearly depreciation figure and current capital employed in this division including working capital ?

Vipul Mathur: Sailesh what we can do, we can take this a little offline. I think so I have taken note of you . My people will reach out to you to give out these numbers. They may not be so handy available with me at this point in time .

Sailesh Raja: Okay Sir. Thank you Sir. All the best .

Moderator: Thank you . The next question is from the line of Vikash Singh from Phillip Capital Private Limited . Please go ahead .

Vikash Singh: Sir just want to understand given the Saudi outlook is very strong and many of the mills there are fully booked for a couple of years would the new orders inflow would be satisfy by India and Indian players would benefit in current scenario or is there is still more capacity available in

that region and so just wanted to understand that perspective ?

Vipul Mathur: Vikas one thing you have to very clearly understand is that Saudi is a very, very matured market number one. They operate within their guiding principles. One of their key guiding principle at this point in time is their domestic content which means that any business which is going to happen in Saudi has to happen domestically so that is the case in this pipe business also, so while there are multiple opportunities and potentials there but the business will only be meant for the established local players. It is not going to happen that it is going to get outside and people from outside are going to supply that. It will be very adventurous. It is not going to happen. When I

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Page 19 of 22 say that they are a mature market they completely calibrate that what are the capacities available and when do they require the projects so basis that they are making their award decision. There the government or the buying authorities which are primarily two which is the water is SWCC and the oil and gas Aramco. These are organizations which completely analyze before they make any procurement decisions so they have given us a clear visibility of an order book for two to three years' time, it is with a broad consensus that this how the projects are going to get executed. This is how you need to deliver the pipe, this is how things will work out so it is not that everyone is working in isolation that is not the case. That is the beauty of a matured economy like Saudi. It is a very synchronized and calibrated effort which goes there.

Vikash Singh: Understood Sir and Sir just one more question what is our India order book as of now out of total given we are heading for a n election year? Post election there usually we have seen a little bit of dull period so just needed your thought process on that how we plan to utilize post-election capacity? Obviously DI would remain good but what about our capabilities?

Vipul Mathur: So Vikas so today our unexecuted order book is close to close to 374,000 odd tonnes here in India number one which is good enough for couple of quarters. One thing and I completely understand your point that being an election year but election has nothing to do with exports either way so we are seeing a significant traction on the export side of it so that business stays completely insulated and that will continue to work. All that what would have is a minor disturbance which may happen is in the domestic market and especially in the water sector because oil and gas is also agnostic to anything. It is the only the water sector which is the state subject if you see that they generally get impacted but if you see from a timing perspective our presence is in Gujarat, our presence is in Madhya Pradesh, and our presence is in Karnataka. All these state elections would be done by the time the national elections would come up so we are not anticipating any major disturbance because of the national elections which are going to come and they might impact our domestic business so I hope you understood what I am saying a) export does not get impacted. The oil and gas business domestic does not get impacted. All what gets impacted to some extent is the water business and by national elections by the time they will happen all the other state elections the disturbance would have been over by that time in the states where we are active so pretty much we are not forcing or forecasting that things are going to go too South in our domestic business.

Vikash Singh: Understood Sir. Thank you for answering my questions.

Moderator: Thank you. The next question is from the line of Miraj from Arihant Capital. Please go ahead.

Miraj: Thank you for taking the followup question. Sir I just had a couple of questions. Firstly if you could just give us the volume breakup between India and USA for the quarter and second on the same part is that have we started the carbon capture project in USA?

Vipul Mathur: Right so let me address the carbon capture first while we give you the breakup for the order. As I said the order book is close to 610,000 tonnes. We have 370,000 tonnes in India and almost

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odd tonnes unexecuted in America at this point in time so that is the pending book and in terms of what we would have done in this quarter, we will just share but in terms of carbon capture, I think so one carbon capture pipeline in US per se is seeing at this point in time a little bit of a headwind. What is happening carbon capture as a project out there requires a massive right of way acquisitions. Now the difference there is that in the oil and gas when you do a right of way acquisition for the oil and gas you are protected under an imminent domain act there which means that the government will intervene into that and will ensure that you will get a free right of way access so that is the imminent domain under which it gets covered. Carbon capture pipeline or carbon capture when they were being discussed I think erroneously the linkage to imminent domain act is yet not established which means all the companies which are currently in the process of executing carbon capture pipeline are seeing certain challenges in certain areas in terms of getting the ROW so to that extent the carbon capture projects existing one and the future

ones have slowed down a bit there but it is just a matter of time . They have understood that what is the issue into the whole system and it is such a big thing for them that there is such a huge incentive around that which is the US government is putting around that it is a matter of a legislation which they have to clear it up . I think so it will be a matter of time when this issue will get addressed but as we speak there is definitely a slowdown in terms of carbon capture pipeline projects what were being discussed but I believe that it is more of a legislative issue and should get plugged out very soon .

Miraj: Understood Sir and the volumes for India, USA and Saudi also meanwhile I had another question ? This quarter we did a sustainable DI pipes volume of 15,000 tonnes per month that is as you had guided earlier so going ahead do we still expect to maintain it at 15,000 tonnes per month for DI pipes or do we think that we can ramp up further and for the same if you could give some highlight on what we will do in TMT bars what would be the sustainable output per quarter over there?

Vipul Mathur: So on the DI side of it I think it is a journey as I said . We are ramping up on a quarter-on-quarter basis or rather month on month basis. I think this quarter, Q3 we will be at a very different level .

Our endeavor is to get to the peak capacity of 30,000 tonnes per month that is what we are aiming for and I am very sure that by the end of this financial year , we will be able to reach to that production capacity so these numbers will change on a month on month basis Miraj to be very clear and even for October I think the month which has passed by I think so we are seeing that type of growth which is happening so that will happen . On the TMT side of it we are going to be anything between 15,000 to 20,000 tonnes a month production that is what we are intending to do . We have already reached to around 12,000 to 13,000 tonnes. I think so we will reach to our peak capacity in next one or two months and that is where we will like to sustain ourselves .

Miraj: Understood right got that and sir my final question as the Saudi Arabia subsidiary is also doing good? Welspun specialty is also doing good ? The outlook for them going ahead is also exceptional . We are also bringing our net debt down and we have also guided to bring it down but any thoughts on increasing our stake in these entities ?

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Page 21 of 22 Vipul Mathur: Not really at this point in time . I mean see today we are still the largest shareholder in EPIC and we will continue to be the way number one and I think so Mr . Percy also clarified about that little confusion which happened that we divest

do . Neither we are divesting . At this point in time we are the largest shareholder . We will continue to be the largest shareholder at this point in time number one . Number two in respect of WSSL we are still the majority shareholders . We will continue to be the majority shareholders there so we are neither increasing nor decreasing . Our focus is more in terms of scaling of this company to the next level altogether and you see all the companies WSSN since the Welspun Corp has come in the focus has been absolutely in terms of its growth, growth and growth and you are seeing that in the last six quarters how they have been performing. Our focus will continue to be for growth, earnings and rewarding our people .

Miraj: Understood. Sir on the inventory side, we have meaningfully brought down our inventory levels to almost Rs.3700 Crores from Rs.5,700 Crores on March 31 so right now what would be the breakup between segments for inventory? I mean the US would be a major chunk right the inventory and if you could just throw some light on what is the breakdown and going ahead will it come down or will it be maintained every quarter at this level for executing further orders ?

Vipul Mathur: On March 31, we have seen a very inflated inventory because and most of it was sitting in the US but it was a paid up inventory so as we are executing those orders right that is where the inventories are coming down and as the orders over the next two quarters they will get executed .

You will see a further reduction in the inventory level in the US side of it. In terms of inventory at the India level I think it is very, very manageable . It is well controlled at this point in time so in subsequent quarters you will only see a reduction in the inventory level from what you are seeing today .

Miraj: Understood right and Sir on the Sintex side our current utilization is roughly 20% we did in the two quarters that went by tonnes and volume so what we expect to be a sustainable level in terms of volume for full year ?

Vipul Mathur: Sintex we are restarting the whole process . We want to restart this process with sound fundamentals right so that is why as I said earlier that we are ramping it up very slowly not slowly gradually but steadily . That is what the principle we have embarked upon it at this point in time. Gentlemen you guys have to be a little patient in terms of Sintex. Everyone understands it is a great company. It has a great product offering . It is a brand. It has a product recall and it is only going to grow from here . All what we are trying to do is to bring this growth in a very , very steady manner and so these are a little early days in terms of capacity utilizations and all that stuff. This capacity utilizations are only going to grow and grow up from here but correspondingly the dealer network, the distribution network, the plumber network, the policies , the branding , and the consumer mindset these are the big large ticket areas we are emphasizing

and working on . If that pull if that trust comes back then ramping up this production capacity is in our ha nd either way . We can do it very, very quickly but that ecosystem which will facilitate this ramp up and sustain this ramp up for a longer durat ion of time I think so that is where our  
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Page 22 of 22 strong emphasis and focus at this point in time is . This is what we have been doing for the last two quarters and as I said this is what we will continue to do for next two quarters more .

Moderator : Sorry the curren t participant has left the queue . The next question is from the line of Abhishek Ghosh from DSP Mutual Funds . Please go ahead .

Abhishek Ghosh: Yes Sir just one followup question just through your presentation we were looking through your active bid book on the line pipes part of it which in Q 2 FY2024 has seen meaningful impro

vement so you have kind of hinted at it in terms of exports being strong and other things but any comments there Sir? Is it only export led or India oil and gas for water just some thoughts that will be helpful Sir thanks ?

Vipul Mathur: It is primarily export primarily export . India business is f airly static Abhishek . India oil and gas business is static . India water business will grow but India oil and gas business is pretty much static . This bi d book what you are seeing is basically export led, huge traction seeing across.

Abhishek Ghosh: Okay got it Sir. Very helpful . Thank you so much Sir.

Moderator: Thank you . Ladies and gentlemen that was the last question for today . I now hand the conference over to Vikash Singh for closing comments .

Vikash Singh: On behalf of Phillip Capital I would like to thank Welspun Corp for giving us the opportunity to host them . I would hand over the call to management for any closing comment . Over to you Sir.

Vipul Mathur: Thank you Vikas. Thank you very much for hosting this call today and thank you very much for all the participants who took the time out to hear to us and giving us the chance to answer all your questions . I just want to reiterate that Wels pun Corp is absolutely on a growth journey . All our entities which are the pipe entities which are in India, Saudi Arabia or the US are showing very strong performances and they will continue to show strong performance . Our DI business is ramping up beauti fully well . The market is into a tailwind at this point in time and we are trying to capitalize upon that . Our steel business is doing phenomenally well and more importantly our Sintex business is showing a great brand recall and a great pull . I think so w ith all these things Welspun Corp is sitting at a cusp of a significant growth in future and our results and our performance is a testimony to that . The only caveat is that on one side we have a B2C business and on the other side we are still also have a B 2B business the project business and project business have their own element of uncertainties which you understand but given that we are in the pole positions in most of the economies we will be able to and our track record suggest that we have been able t o pull up things so we are absolutely confident that we will be able to perform and give you very stellar result s in subsequent quarters to come . Thank you very much for your interest and patience and we wish you all the very best . Thank you .

Moderator: Thank you. On behalf of Phillip Capital India Private Limited that concludes the conference c all. Thank you for joining us and you may now disconnect your lines.

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Welspun Corp Limited  
"Q4 FY '24 Earnings Conference Call"  
May 31, 2024

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER – WELSPUN CORP  
LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER –  
WELSPUN CORP LIMITED  
MR. ASHISH PRASAD – CHIEF EXECUTIVE OFFICER ,  
SINTEX BAPL  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATIONS – WELSPUN CORP LIMITED  
MR. SALIL BAWA – HEAD, GROUP INVESTOR  
RELATIONS – WELSPUN GROUP

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL

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Moderator: Ladies and gentlemen, good day. And welcome to Welspun Corp Limited Q4 and FY '24 Earnings Conference Call, hosted by PhillipCapital (India) Pvt. Ltd.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Singh from PhillipCapital. Thank you. And over to you, sir.

Vikash Singh: Thank you, Steve. Good morning, everyone. From the management side, today, we have with us Mr. Vipul Mathur, MD and CEO of Welspun Corp; Mr. Percy Birdy, CFO; Mr. Salil Bawa, Head, Group IR, Welspun Group; and Mr. Goutam Chakraborty, Head, IR, Welspun Corp.

Without taking any much time, I'll hand over the call to Mr. Salil Bawa. Thank you. Over to you, Salil.

Salil Bawa: Thank you, Vikash, and good morning to all of you. I would also like to inform that we also have Mr. Ashish Prasad, the CEO of Sintex BAPL, who had joined us for this call.

You must have received the results and investor presentation of the company, which are available on BSE and NSE as well as on the company's website. As usual, we will start the forum with some opening remarks by our leadership team. We will then open the floor for your questions. During the discussion, we may be making references to this presentation. Please do take a moment to review the safe harbor statement in your presentation. Should you have any queries that remain unanswered after this earnings call, please feel free to reach out to any one of us.

With that, let me hand over -- the floor over to Mr. Vipul Mathur, MD and CEO, Welspun Corp. Over to you, Mr. Mathur.

Vipul Mathur: Thank you, Salil. Thank you, Vikash. And very good morning to all of you. Thanks for joining our Earnings Call for FY -- Q4 and FY '24. As customary, let me start my discussion with the key operational and the financial highlights for Q4 and FY '24, followed by a business update.

And then we can possibly have a very detailed interactive session as you may wish.

So the key highlights of this particular quarter has been it has been a very robust performance for FY '24. It has surpassed all the guidance's what we have given to the market. It has been a

historic high performance of the company both in terms of our operating revenue as well as in EBITDA. All the new businesses are ramping up significantly. And I am also very pleased to inform that the Welspun Corp has been ranked in the top 5 percentile in DJSI ESG rating. As far as financial performance is concerned, as I said, this year, the company recorded the highest -ever revenue and EBITDA and a ROCE of 20%. Some of the highlights are the total income for FY '24 increased by 74% on Y -on-Y basis, touching INR17,500 crores. The FY '24 Welspun Corp Limited  
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EBITDA stands at INR1,800 crores , which has more than doubled over the previous year. It's 2x of the last year.

PAT for FY '24 jumped by more than 5x to INR1,110 crores , backed on robust operational performance. Our net debt got reduced to INR387 crores at the end of FY '24 compared to INR1,138 crores , in FY '23. Our ROCE, as I said, has improved to 20% compared to 8% in FY '23.

Our revenue, EBITDA and PAT for Q4 FY '24 stood at INR4,460 crores , INR413 crores of EBITDA and INR268 crores of PAT, respectively. In FY '24, we also witnessed the strongest -ever operational performance by the company; strong volume growth recorded in all the business entities line pipe, DI pipes, stainless steel bars and pipes and Sintex.

If we talk about each entity. The sales volume of our Line Pipes business in India

and U.S.A.

for the FY '24 rose almost 49%. And we clocked almost 980,000 tons, a little less than 1 million tons, of sales. Our company EPIC in Saudi Arabia almost did worth 350,000 tons of sales. The performance of our DI pipe continues to improve. Our FY '24 sales volume rose 5x. And we sold close to 200,000 tons of DI pipes. The stainless steel bar sales volume grew by 132% on Y -on-Y basis to almost 16,000 tons.

On the building materials side of it, our WST sales, which is our tanks volume and Sintex, grew by 11%. And we clocked almost 14,000 tons of sales in FY '24. While on TMT bars, our sales volumes, we sold almost -- close to 121,000 tons, which is a 7x rise on a Y -on-Y basis.

So if you see from a financial perspective and from an operational perspective, it has been a sort of a record year for Welspun Corp. Now with respect to the outlook, how is FY '25 going to look like and how the next 2 or 3 years going to pan out, I would like to draw your attention to that, but let's talk about India oil and gas business.

See the India oil and gas business. Demand has been very, very steady. We are seeing a demand recovery in terms of creating a gas grid pipeline. And we expect almost 10,000 kilometers of gas grid pipeline is likely to be installed over the next 2 to 3 years time. City gas distribution expansion across all the geographical areas which have been awarded, I think -- we still believe that 50% of the work is still left into that.

And there will be a huge demand of pipelines which will be coming from that as well. Recently, you would have seen that the central government has sanctioned a scheme for development of pipeline infrastructures for injection of compressed biogas into the city gas distribution system. We are very closely evaluating that and this seems to be a very big opportunity also on the horizon.

Over and above, our signature longitudinal pipe business, which are always used for very critical applications for offshore and gas transmission, is seeing a robust demand globally. And we have a dominant presence in the Middle East, Australian and Latin American and the Southeast Asian markets. We are seeing a lot of traction in the business coming from these markets. And we are very -- we are more than confident that the export market, which is one of our prime focus, will stay very, very robust in this year as well as years to come.

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We are also seeing emergence of hydrogen pipelines and carbon capture pipelines, including ammonia transmission, so these are the new areas where we are seeing that the work has already started. And as a company, we are deeply engaged with that and we see that as an emerging opportunity. And we would possibly see some breakthroughs in this year, as well in the next financial year as well.

If we talk about the water sector. This sector has been growing exponentially in India. The demand for irrigation and the demand for pipelines for irrigation purpose is unabated . We are seeing a lot of traction coming from states like Gujarat, MP, Rajasthan, Tamil Nadu and Karnataka who are putting up a huge network of pipeline for irrigation. And all these states are having a massive industrialization and urbanization, which is also adding up to these pipelines .

The Jal Jeevan Mission has also ensured that the last -mile delivery of this potable water continues and it continues to support a strong demand. So this was all about India oil and gas and India water. I am sure that you will be very keen to understand as to what is the U.S. market offers to us. At this point, U.S. is one of our focus market. As you know, that we are one of the largest player in the U.S. market with almost a market share of 20% to 25% -- we are absolutely a pole player in the U.S. market.

We have just concluded one of the major Permian pipelines order which we just got executed.

The Permian Basin, as you know, is still very, very active. U.S. is still striving to become -- continue to be the largest LNG exporter. They are drilling like no other business into the Permian Basin and which means that there are at least 2 to 3 more pipelines which are going to come up in the Permian Basin.

Having said that, one of the pipelines is likely to be awarded by the third quarter of this particular year -- end of the second quarter or the third quarter -- or the start of the third quarter of this particular year. They just completed 1 pipeline in the March of 2024. And the next pipeline is likely to be awarded by September 2024.

We are very, very actively pursuing that particular pipeline. We are in absolute pole position in respect of that. And I am more than confident that, given our impeccable track record and executing almost 3 pipelines out of the 5 pipelines what has been executed, we are definitely one of the serious contenders into this particular pipeline project.

Having said that, we already have a confirmed order booking till quarter 3 of 2024 and with this pipeline coming into an award. And apart from this pipeline, there are 1 or 2 large projects which have also been in discussion. I am sure that we will see a clear business continuity for Welspun for next 4 to 6 quarters. I am very optimistic about that. And I just want to communicate very clearly that I see no concern whatsoever with respect to our U.S. operations.

Let me now move on to Saudi Arabia. As you know, our company in -- EPIC in the -- Saudi Arabia is doing phenomenally well. We have a controlling interest in that company. We are absolutely in the driving seat on that company. If you see, the performance of that particular company, I think they have recorded a PAT of INR600 crore in this financial year, FY '24. It was -- there has been a very strong performance which has been delivered there by company.

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We are almost 32% shareholder of that particular company, and we are in the driving seat out there.

We -- at this point in time when we speak, they have a confirmed order book of more than 2 years, so I am very sure that their performance over the next 8 quarters is going to be very sustainable but more than that, I think the market also is very buoyant. Saudi Aramco is investing heavily into their pipeline. Of course, we recently heard that they are trying to go slow a little bit but I don't think so that is the case.

All the major pipeline projects, what they have announced, they are going ahead with that the latest one being the Master Gas 3, where they are investing and in which they are -- already orders are being -- getting released. And we would also be one of the recipients of this particular order in Saudi Arabia. So Aramco is going all out in terms of putting up the pipelines. And we are -- being in a pole position, we will definitely be getting our share from their businesses which is going to come up.

Apart from that, the water company which is SWCC and SWPC, those who are responsible for transmitting the desalinated water to the habitants, I think so they are -- the demand for their pipelines is extremely huge. And that is what is reflecting into our order book when I say that we have booked for more than 2 years at this point in time.

So we see multiple projects from SWCC and SWPC going to come up in near future as well but the beauty of those projects is that all these projects are meant for local Saudi manufacturers only. And they calibrate depending upon the capacity which is available in the market, so all what it -- can be inferred out of this is that we are seeing a potential not only for 2 years for which we have a confirmed order book but at least 3 to 5 years further down the line where SWCC and SWPC will continue to build massive pipelines.

Let me also give you an update

about our DI pipe business. As I said, this is -- this was the first

full year of our business. We are -- we recorded 200,000 tonnes of sales in this particular year.

As you know, our capacity is 500,000 tonnes. We have done 200,000 tonnes in the first year.

The demand for DI pipes continues to be very strong, I think, so there is no doubt whatsoever in anyone's mind that the Jal Jeevan Mission, the Nal se Jal scheme, the AMRUT scheme, the wastewater management scheme all these signature scheme which are being funded by

government of India are going -- are driving this demand.

And they are going to be there for the next 5 to 7 years time. We already had an order book of more than 325,000 tonnes, which makes us -- which means that we are almost booked for 9 months in this financial year.

Having said that, the demand -- the way the demand seems to be emerging, I think so there is a clear demand for next 5 to 7 years time. And that on -- in the backdrop of that demand, we have enhanced our capacity from 400,000 tonnes to almost 500,000 tonnes and further expanding it to 600,000 tonnes. And we expect that we will be having -- we will be touching, our capacity utilization, close to 70% to 80% in this financial year. That's what -- the aim we have set to

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ourselves. So DI pipes is -- there is a huge tailwind around the DI pipes requirement and as -- and we will -- we intend to ride over that.

Let me also move your attention to our company Welspun Specialty steel, this company. I am happy that Welspun Steel has achieved a complete turnaround during FY 2024, witnessing the first year of consistent profitability. We are now qualified by BHEL and NTPC for the supercritical boiler tube grades. This is for the first time for any indigenous company which is integrated in nature to get qualified. So we are the only one integrated facility which are qualified by BHEL and NTPC for their supercritical boilers.

As you know, the sector like power and defence, they are growing exponentially in India. The Make in India, the Atmanirbhar India policies are necessitating that the pipes for all critical applications have to come from Indian sources only. And we being the only integrated facility and accreditations what we are now getting and also the supercritical grade what we have developed over a period of time, I think so that is driving sort of a robust growth for our company WSSL.

Let me move on to our building material vertical. I will give you a brief overview as to what is happening on the Sintex and also what is happening on our long products. I have my colleague Ashish also joining on this particular call. And then we can have a detailed discussion with him as well as to -- and he can give you more granular details with respect to as to what is happening on the Sintex side but having said that, I think so it has been a great year. It has been a great first year for Sintex. We recorded a sale of almost INR635 crore FY -- in this financial year. The sales have grown by 35% on a Y-on-Y basis. The FY '24 looks also a very decent year for us. We are expected to grow much more than the market. We are very confident that this -- our water tank business, which is gaining a lot of traction. We have been focusing on reviving the channels. At this, we are happy to share that we have grown our retail network by 30% on Y-on-Y basis and consolidated the distribution network.

Our engagement program with retailers and influencers who are the key influencers in this game have been redesigned and creating a lot of interest. You will have recently noticed that we also sponsored the women IPL league. So we are invested a lot in the branding.

We are also going to Brass tacks. We -- there were almost 1,300 plumber meets and 1,000-plus distributor and retailer meets which was conducted and it is just about building the confi

dence.

As you know, Sintex has a huge brand recall. It is still a product which everyone -- which is on everyone's tank. And I am very sure that, as we move forward this business is only bound to grow.

Over and above this, as you will have noticed, that we have announced a capex which will be spread over almost 2 years, where we are going to invest heavily into the pipes business. The pipes business -- and when I say pipes, they could be CPVC, UPVC, HDPE and OPVC pipe, so we are covering the full range of pipes. And we are investing almost -- INR2,300 crore over the next 2 years into this particular business. There is a huge exponential demand for this business

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in times -- over a period of time and that is necessitating us to put our foot into this domain. We will talk a lot about it in our subsequent part during the question-and-answer sessions.

As regards TMT. This is one particular business which is purely driven by the infrastructure. As you know, we are producing close to 300,000 tonnes of -- we have the capacity to produce 300,000 tonnes of TMT. We are more focused into Gujarat. Gujarat, as you'll see is one of the - major industrialization seems -- is happening in the Gujarat infrastructure project. That seems to be happening, and we have been able to get a lot many approvals and accreditations for this. So our TMT sales which is under the brand Welspun Shield has grown exponentially. A little --



we sold almost -- 120,000 tonnes of TMT in this financial year. I am sure that in the current financial year, FY '25 and '26, we will also be touching close to 70%, 80% of our capacity utilization.

On the balance sheet side of it, this was purely on the business overview. Just to recap ; I wanted to highlight our confidence in U.S. market, the continuous growth in the Saudi market, the exponential opportunities which are available in the DIP market, Sintex absolutely well on track. And now we are adding new products, like plastic pipes, which are going to re define the complete growth strategy of this company. And our TMT business and our Stainless Steel business, they are all poised to grow. All our businesses, all the 5, 6 businesses what I mentioned, are absolutely firing full cylinders.

Their performance was getting reflected in FY '24 results as well. If you see, from INR 10,000 crore revenue, we reached to a INR 17,000 crore revenue; and from an INR 800 crore EBITDA to almost -- INR1,800 crore EBITDA. It is a clear reflection that all the businesses are firing full cylinders.

I see that this trend will continue in FY '25. And I looking at the fundamentals which are shifting in the industry, where we are seeing the sustained growth we -- going to happen for the next 5 years to 7 years , time, I am sure , that the -- all our products and all our companies in our portfolio will fire full cylinder and deliver and meet the expectations.

As regards -- we are also very mindful of our balance sheet. If you see, there is always a strong focus with respect to managing our debt. And I am very happy to report that, when we started our year, we had a net debt of INR 1,138 crore. And we -- through financial diligence and prudence and strong operational performance, we have been able to bring down our debt to INR387 crore.

This will continue to be our focus area. We will -- if you see, our debt -to-equity ratio is -- debt-to-EBITDA is close to 0.2-0.25. Even in FY'25, we will ensure that the balance sheet stays strong. And our bad debt to EBITDA, will -- should not be exceeding anything -- it has to be less than 0.5, so that's the sort of internal controls and -- which we are operating. And I'm sure , that we will be able to monitor that.

It is in the backdrop that -- of our strong performance in FY'24 and the way all of our businesses are performing at this point in time. We have given

you the guidance for FY '25 as well. This

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guidance is absolutely based on solid fundamentals and rationales, and we are more than confident that we should be in a position to deliver this guidance.

If you -- if someone -- if you have to believe me: We gave you the guidance in the last year; and we -- what we promise, we deliver. I think you will take it on the face value that, when we are giving you this particular guidance, it must be based on strong fundamentals. And I -- we are very confident that we should be able to deliver this as well, if not exceed.

With this, gentlemen, I will take a pause here. And I would leave the floor for any question -and- answers which any of our esteemed investors would have. Thank you very much.

Moderator: The first question is from the line of Nikhil Chandak from JM Financial. Please go ahead.

Nikhil Chandak: I had just one question. So , the outlook, as you shared, is very strong and positive. Just curious.

Why is the guidance so flat? Like, if I look at the top line guidance and the EBITDA guidance, that's almost flat to down versus '24. The guidance for '25 is almost flat to down versus '24. So why is the guidance so muted? I'm wondering.

Vipul Mathur: See. In FY '24, we have taken a quantum leap from almost INR10,000 crore to INR 17,000 crore of turnover. And also we have taken a quantum leap in terms of EBITDA, from INR 800 crore to or INR1,800 crore, while our guidance was something like close to INR 1,500 crore. Here we -- while -- we are very clear that the markets and the demands are all going to be robust, but we just want to see that the curve we -- the ramp -up in the curve is smooth.

We do not want to give anything which is out of the back . It is very early in the year at this point in time. And I am sure that, as we move, getting to -- or further down the years, in the subsequent quarters, and more -and-more clarity will emerge, I think so this will only go for an upward revision. At this point in time, it is just a guidance given based on the fundamentals what we are seeing.

We are seeing that at least there will be the growth, and the demand will be more or less the same. This is -- the presumption is that, but having said that, we have confidence that, as we get into the Q2 and the Q3's of this financial year, we will see a fundamental shift. And maybe, if that necessitate for us to revise it, we should be able to do that.

Moderator: The next question is from the line of Nirav Shah from GeeCee Holdings . Please go ahead.

Nirav Shah: Sir, I have 3 questions. First is on the DI pipes. Sir, in the opening remarks you mentioned that, on the order book of 328,000 tonnes, you have visibility of 9 months, so can we infer that our

annual volumes will be upwards of 400,000 tonnes just based on your opening commentary?

Can you just clarify that, please?

Vipul Mathur: Yes. See. At this point in time, you will see that we have a capacity of 400,000 tonnes. It is getting expanded to almost 600,000 tonnes by the end of this particular year. We have an order book of almost 328,000 tonnes. We are expecting -- and there is a huge tail wind in this particular thing, so I, we are expecting that we should be using close to -- almost 70%, 80% of our capacity utilization at this point in -- that's what our -- so that's the ramp-up plan.

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If you see, that we are coming from a 200,000 tonnes of delivery in the last financial year. And we are striving for almost 70%, 80% capacity utilization in this financial year, I think. So that's a quantum leap and a quantum jump what we are suggesting at this point in time. And the business is in a ramp-up mode.

I would not like to put a number that we are able to touch 400,000 tonnes or 500,000 tonnes, but I am very optimistic that, the way

the businesses have -- the business has been ramping up, we should be very close to the numbers what you are suggesting.

Nirav Shah: That's very encouraging. Sir, second question is on Saudi operations. In your opening commentary again, you mentioned volumes of around 350,000 tonnes, if I heard it correctly.

And the implied EBITDA per tonne for the year, it comes closer to \$250 a tonne. And I believe Q4 will be much higher at maybe \$330 to \$350 a tonne, based on just the numbers.

So we've always guided for a sustainable EBITDA per tonne range of \$200, so while -- maybe this year and next year may be higher than the average, but what's the number you are indicating for FY'25? Can it be closer to FY '24 EBITDA per tonne or maybe Q4 EBITDA per tonne? Just some color on that?

Vipul Mathur: Our guidance with respect to Saudi has always been that it should be close to \$200 per tonne. I will maintain my guidance to that. These are project-based businesses. Sometimes the product mix, the market conditions play a major role into that. We have been very -- I think so the area to focus is the operational performance.

The way they have ramped up their production and the way they have been delivering the projects is exceptional, I think, so in terms of the EBITDA per tonne, guidance will be close to 200,000 tonnes, but you also know that, in the past, we have always delivered much more than that. But that's also a factor of the steel pricing and all that stuff, so we will see how things will pan out in the next financial year.

But the -- what you have to recognize is that they have a confirmed order book of more than 2 years. What you have to recognize, that there is almost -- the steel market is pretty much flat at this point in time. We are not seeing any exponential volatility into the steel market, so we have all reasons to believe that we will be delivering at least this EBITDA, if not more.

Nirav Shah: But are we covered on steel? For how many quarters would we be covered on the steel for the next coming -- we have an order book of 2 years...

Vipul Mathur: To a large extent, we are covered. We have gone into very strategic alliance with some, our steel partners. And we have structured very strategic deals with them, which to a large extent, I would say, almost 85%, it insulates from any steel volatility.

Nirav Shah: That's very encouraging to hear. And the last question is -- before I come back in the queue is on the capex. For '25 and '26, how much are we spending? And what is the split of that INR 2,350 crore of capex that we are envisaging to spend on Sintex? How much will it be split into '25 and '26 separately? Yes. That's from my side.

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Vipul Mathur: All put together, what we are looking -- see there are 3 capex which are announced in -- which are already announced. Number one is about Sintex which is almost -- INR2,500 crore. Then there is our DIP expansion project. And then there is our DIP expansion in the Middle East, so these are the 3 capex which are announced.

I think -- so the largest of -- let's say, the DIP expansion in India, the entire capex will happen in this year because we are seeing that, in the very fourth quarter, that capacity will be completely available to the market. As regards the capex in the Middle East where what we have announced, around INR 500-odd crore, the DIP capex in the Middle East, it is going to be get spread over the 2 years, time. And likewise, the Sintex capex which we have announced of almost -- INR2,300 crore is going to be split over the next 2 years, time..

Nirav Shah: So this year, we can be spending somewhere close to INR1,700 -odd crores ?

Vipul Mathur: We will be anything between INR1,500 crore s to almost INR 2,000 crore s of capex in this financial year.

Nirav Shah: Got it. Great, sir. That's from my side. I have more que

stions. I'll come back in the queue, sir.

Thank you.

Moderator: The next question is from the line of Aasim from DAM Capital.

Aasim: Hi. Two questions. First is on the DI pipes opportunity that you spoke about. Very bullish comments, but since you also mentioned OPVC while talking about Sintex, so I wanted to know where OPVC stands vis-à-vis DI pipes when it comes to water supply? As you know, over the last two, three quarters, almost all plastic pipe companies have either announced capacities in this space or are evaluating it.

And almost all of them have hinted at it would be a substitute for DI pipes. So I just wanted to understand, is there any threat of replacement, not now maybe in the longer term? Or do the two products can't coexist side by side or they have different usages in the water supply value chain altogether?

Vipul Mathur: So first and foremost, I think -- so Aasim, it's a good question. OPVC is primarily for all -- for small diameters, literally let's say from 60 mm to let's say up to 200 or 250 mm, out and out is 300 mm. It will definitely overlay with certain quantities into the DI pipes, but it is going to be over a period of time. Is it going to be an imminent threat tomorrow? The answer is no.

But eventually, whether in certain sizes that OPVC will have influence on DI pipes, especially 100 and 150 millimeter, I think so the answer is yes. Having said that, is it going to completely replace the DI pipes? Again, it is not possible. The answer is no. It is not, but there will be definitely some influence of that which will likely to come into the DI space, especially in the low diameter. But that is going to happen not today. It is at least two to three years away.

Aasim: Okay. So it's the smaller diameters that it can eventually replace it, not the larger ones?

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Vipul Mathur: Not replace it, no, not replace it, Aasim. Let me stand correct. If I told you replace it, no. It will interfere into that domain. It cannot -- the demand in this particular segment is so high and so huge and that terrain under which the DI pipes are being used, in all the possible terrains, OPVC probably may not go, so I don't think so that it will make replace it. But it will definitely make a sizable dent into that particular market.

Aasim: Okay, understood. Second question is on Sintex in particular. So the growth that was -- that has come this year and I assume all of it is tanks because I remember Sintex once upon a day used to have PVC doors and all, but the growth in FY'24, is there an element of market share gains that has already come to you guys? Or is it pure market growth? And going into FY'25, what is the expectation on volume and value growth? And would -- again, are we in a position to start retaking market share that we may have lost to other branded type players who have also set up tanks business?

Vipul Mathur: Ashish, would you like to take this?

Ashish Prasad: Sure, sure. Thank you, Vipul, for giving this opportunity. Now in terms of when we see water tanks, if you look at it, at the peak of its time, Sintex had a market share which was over 20%.

And we have shared with you before that we had lost -- because of the entire CIRP, we had lost our position and we had gone to 9% to 10%.

Now while the market shares are not formally calculated in this segment, we believe that as we are focusing on strengthening our go-to-market and we are reenergizing our channel partners, we can focus on sales and distribution. We are able to recoup some of those market shares.

Aasim: Okay, great. Thanks for answering my questions.

Moderator: Thank you. The next question is from the line of Dinesh from RDST Capital.

Dinesh: Sir, can you hear me?

Vipul Mathur: Yes, we can.

Dinesh: My question is like we acquired ABG Shipyard, right? And there was a news somewhere aro

und

six months ago that we're going to sell off some of land to monetize it further. I just wanted to know any update on that. And what's the net gain of this? Because as far as I remember, we are going to sell off almost all assets, then what remains in this asset after that, if you could please?

Vipul Mathur: Dinesh, ABG is an entity on which we have -- we are only currently focusing on liquidating our scrap. And we have told that there was quite a bit of a scrap. We are in the process of liquidating. And it is in the back end of which is happening at this point in time.

Beyond that, our entire energy is currently focused in ramping the new businesses which are our DI pipe business, our stainless steel business, our Sintex business, our complete energy and focus is on those particular business. ABG is completely in the backyard at this point in time.

As we have told, as we have said very categorically, we are not doing anything on the ABG. We are not going to do any capex there. Only focus there is to liquidate all the scrap what we have, and that's pretty much. So that is where we stand.

Dinesh: Okay . So what was the net gain out of this? Because then the question is like what was the rationale behind doing all this deal then. That is still not very clear in that case.

Vipul Mathur: No. At that point in time, we see that it has an intrinsic value, number one. We got -- we had plans around that particular asset. It is a matter of time. And we decided that, at this point in time when we are so heavily capex -ed on the other side of the business, that should get our less attention . So we have just put it at the back burner and we are focusing on our new projects what we have done . But having said that, whatever we have invested into that particular asset, I think so through the sales and all that stuff, we have recovered more than that, in any case, so it is not creating any drag in my financial statements, please.

Dinesh: Okay, got it. Just one basic question here. I just want to know like the kind of growth we are expecting for the next two, three years and the kind of capex we are doing. My question is like are we expecting any improvements in our overall margins, EBITDA margins from here on from the current levels ?

Vipul Mathur: It should, definitely. I mean I think all of us are only striving towards that. First and foremost, we all fundamentally have to understand that there is a potential growth for the next three to five years ' time, number one. And if that is the way, if everyone sees that way, we should -- we are absolutely present in the right sectors at this point in time. And our endeavor would always be to improve our margins, and I think so there exists a potential to improve them. There's no doubt about it, Dinesh.

Moderator: Sorry to interrupt, sir, but the current participant has been disconnected. We'll move on to the next question. It's from the line of Miraj from Arihant Capital.

Miraj: Just a couple of questions. Firstly, sir, I wanted to understand that our gross margins have come down. Is this purely because of the fall in steel prices? Or is there -- is this because there's some blended value coming in as well because of the other businesses? This is the first part.

Vipul Mathur: Miraj, you're talking on the stand-alone business ?

Miraj: Consolidate basis , sir.

Vipul Mathur: Miraj, we are into a project business, number one. What blend you are running in that particular quarter also has a significant influence around that. And that is the reason we have always been suggesting that the company should be looked -- rather on a quarter-on-quarter basis, it should be looked on a FY-to-FY basis. That's the way we should be looking at the company.

And with no way so much of our product portfolios we have integrated into our system, I think so it will be more

appropriate to see on a year-on-year basis because there is always an abnormality on a quarter-on-quarter basis. So in this particular quarter, what you might have seen is a little

bit of an influence of the blend what has been used and especially on the large diameter pipe, but I think so that's not an area of concern.

Miraj: Understood. Secondly, sir, just if you can tell me the breakup of volumes between India and USA for Q4 ?

Vipul Mathur: The volumes between India and USA . Percy, could you just ...

Percy Birdy: Yes, sure. You're talking about sales volumes, right ?

Vipul Mathur: Yes.

Miraj: Yes, sir, sales volumes.

Percy Birdy: So I think for this quarter, we were close to 300,000 tons, both India and U.S. put together. And I would say we were close to about 20% would have been U.S. and balance would have been India.

Miraj: Okay, understood. Sir, just the next question, I wanted to understand that -- since we are expanding in Middle East with the DI pipe facility, just a question, maybe a very vague question, but I wanted to understand was it not possible for us to expand through EPIC? We put more money there and integrate this facility within EPIC itself. Was this something that is not possible?

Vipul Mathur: See EPIC is in a different business altogether. They have -- the lines of business are very, very different at this point in time. They are purely into the large-diameter pipes, and then they are purely into the oil and gas sector with Saudi Aramco. The user in case of DI and all that stuff in

the Middle East market is very different, so it would not have been possible to go through the EPIC route. And we wanted to go 100% on this particular entity.

Moderator: The next question is from the line of Dhruv Rawani from Shreeji Finserv.

Dhruv Rawani: Sir, can you just share your views on the OCTG pipes in India specifically?

Vipul Mathur: Shreeji, we can't hear you. Can you could -- be a little louder, please?

Dhruv Rawani: Sir, views on the OCTG pipes in India.

Vipul Mathur: Shreeji that's not the product we have in our portfolio, so it would be inappropriate for us to comment on that, please.

Dhruv Rawani: Okay.

Moderator: Mr. Dhruv, does that answer your question?

Dhruv Rawani: Yes, yes.

Moderator: The next question is from the line of Radha from B&K Securities.

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Radha: The first question was what is the order book for U.S. in volume terms.

Vipul Mathur: So as I said, we are -- we currently have an unexecuted order book of almost close to -- let's say, 80,000 tons to 100,000 tons, 80,000 -odd tonnes which is pending. And I think so that will take us through till the quarter 3 of this financial year.

Radha Agarwalla: Okay. Sir, second question was in your opening remarks you mentioned that SWCC is preferring the local pipe manufacturers over imports. So that is for the HSAW, but on the DI, what we hear is that, the local manufacturers in Saudi, their plants are not as efficient. And hence, there is a lot of export opportunities for India in the DI. So given that same company SWCP would also use DI as well as HSAW, then I can't connect the dots between why the demand for HSAW will be more for the local and why would they prefer DI from imports?

Vipul Mathur: So Radha, the fundamental is that they would ideally like to have a local manufacturing for catering the demand. And that is what -- because in the large diameter there are established players. So -- and the demand is being met by them, so the whole business will be contained within domestic itself on the large diameter, SWCC and SWPC, first.

Second, the DI pipes in any -- for DI pipes, the buying authority is -- in any case, it's not SWCC or SWPC. And, it is another company, called NWC, the National Water Company. And there

the

procurement happens through the EPCs, not directly, so the procurement methodology is different, number one. And number two, the procurement route is also very different. So authorities are not -- both of them are different.

Now because that there -- the efficiency of the local mills probably is not as good as they should have been. That's my understanding. And they have not been able to cater to the requirement as what is the demand and as what it is likely to emerge. That is the reason that imports of DI pipes are happening, but at some point in time when local capacities are there and they are able to meet the demand, meet all the requirements, I think so the import of DI pipes will completely stop. That is our understanding of the subject.

Radha Agarwalla: So sir, is that much capacity coming up for DI in Saudi as much as is required? Because if imports are going to come down, the capacities have to be efficient and adequate, for imports to come down in Saudi?

Vipul Mathur: Sorry. I didn't get your question, ma'am.

Radha Agarwalla: Sir, you mentioned that they do prefer local manufacturers in DI, so -- but currently what we understand is the current capacities of DI in Saudi are a bit inefficient. And hence, they are preferring imports over domestic manufacturers, so in future, if these curtail the import, then we would need adequate capacities to cater to the demand in Saudi. So are there more capacities coming up in Saudi other than the ones that we have announced? Is it significant...

Vipul Mathur: I am not aware of any other capacities which are likely to come up there. I'm not aware of that one.

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Radha Agarwalla: Okay. Sir, lastly, just a clarification. So you said NWC is the company that is majorly ordering for DI pipes. And SWCC is for the HSAW pipes, so SWCC would also be through EPC route...

Vipul Mathur: No. They -- generally, SWCC buys directly. And then they know way the pipes contracts to the EPC contractors, so their buying methodology is very different.

Radha Agarwalla: So they don't demand DI.

Vipul Mathur: They don't. See. The purpose of NWC is -- both of them are under the -- both of them are government entities. One of them is for the bulk transmission of the desalinated water. And the

other agencies is responsible for distribution of that water, so the purpose and the role of the two agencies are very different.

Moderator: The next question is from the line of Vikash Singh from PhillipCapital.

Vikash Singh: Sir, I just wanted to understand one thing out of this year, INR1,800 crore EBITDA. We got a sizable portion from the sale of steel inventory as well, so on a like-to-like basis, if we adjust for that, what was the core business EBITDA for this year? And how does our guidance look in that light?

Vipul Mathur: First and foremost, Vikash, I don't think so in INR1,800 crore the sale of scrap had any sizable contribution. I think so the sale of scrap possibly had a contribution of maybe around INR100 - odd crore. Over and above that, there were some one-off earnings which happened which was with respect to some -- even we have some insurance claims coming out. So all put together, we have like, let's say, INR150 -odd crore of exceptional profit sitting into our EBITDA. Rest all of that is operational profit only, EBITDA only.

So then I -- if I have to just simplify that: Under INR1,800 crore of EBITDA, what we have shown, it is INR150 crore is sitting as one-off item which is nothing else but INR100 crore of sales coming from -- profit, EBITDA profit, coming from sales of scrap; and some INR50 -odd crore, some insurance claim or something like that. So rest all that is purely operational EBITDA.

Vikash Singh: Understood, sir. Sir, my second question pertains with our steel business, especially TMT. As you pointed that -- Gujarat market is essentially

10x than what is our current capacity, so are there any plans on that side also in terms of us putting steel capacities, TMT?

Vipul Mathur: See. I -- first and foremost, I think so the -- a, in the Gujarat market, what we have seen, there is going to be a huge industrialization which is going to happen, so the -- and the infrastructure development is going to happen. So both industrialization and infrastructure development are going to happen over the next 5, 7 years time in Gujarat.

And we all know that -- what other projects which are going to come up. So demand for TMT is definitely going to go up there. Our first aim is that, whatever capacities we have, we service to that fullest capacity. We have not yet reached to the fullest capacity. I think, during the last year, we did close to 120,000 tons, so we are almost at 50 -- almost 50% capacity utilization.

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Our first aim is to get to almost -- 70%, 80% capacity utilization. And then we will see that what need to be done around that, but -- or anything further need to be done around that or not, we'll evaluate at that point in time. Our first aim is to go -- get to 70%, 80% of capacity utilization of our current level.

Vikash Singh: Understood, sir. Sir, thirdly, on our INR2,350 crore capex in Sintex. Given that this money would probably go from the pipe business earnings basically, so -- how should we look at the debt moving for the next 2 years given our cash inflows would still be strong?

Vipul Mathur: Vikash, as I said, this investment is all going to happen over the next 2 years, number one, right?

And so -- and number two, all our businesses are generating sufficient free cash flow. And also I mentioned that we are keeping a very close eye on our debt-to-EBITDA. And we have almost internally taken a call that we will not let it exceed at -- more than five at this point in time.

Rather, we would like to keep it even down.

So I don't think so that it is going to put any stretch on our balance sheet per se, but these investments, as you understand, are imperative. They are absolutely for fueling our growth. And I think so, the benefit of this, we would start seeing in FY '26, '27.

Vikash Singh: Understood. Sir, one more question, on the DI side basically. Like you said, that you have strategic initiatives to manage the raw material costs. In terms of DI, iron ore and coking coal doesn't have any forward context tax. So, have we managed to do something in that regard to actually cushioning down the erratic movements in any of these materials because these tools have been pretty volatile in past 2, 3 years?

Vipul Mathur: I would say that the coking coal has been a big disruptor into the market in the last 2 years. Iron ore is more or less range bound, anything between \$80-\$110. So it is pretty much range bound.

And that doesn't move the needle too much, to be honest. Now what moves the needle is the coke. And I think so, in terms of we have -- we are -- we have very strategically captured this aspect and we have literally a firm order book in our hand. We have -- also, on the back side, more or less, we have covered ourselves with the coking coal. So we have -- for this financial year, broadly we have insulated ourselves with any volatility if it happens.

Vikash Singh: Understood. And sir, just a couple of clarification. In Saudi, well, the DI capacities which we should be putting it would be induction furnaces, right? So we would be buying pig iron and then converting it into pipes.

Vipul Mathur: Pretty much.

Vikash Singh: Understood. And lastly, sir, 1 lakh additional capacity in DI without any capex . So I just wanted to understand exactly what changes we have made to achieve that.

Vipul Mathur: We did some optimizations on the size and the layout and on the machines. We have the flexibility available. And when we put tha

t into -- originally, we thought that this -- it will be complementing -- it will be even as close to 100,000 ton s, but when we have optimized the design , layout and the machine designs, it is giving us that pleasant -- it is enhancing by another 100,000 ton s. So it is nothing else but engineering, nothing more than that.

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Moderator: The next question is from the line of Vineeth from HSBC . Please go ahead.

Vineeth: So my question is the capex which is going into the pipes business, plastic pipes business. So that, when it would start producing like operational or something, it would take 2 years. Or because you said it would be spreading out 2 years, so...

Vipul Mathur: So as we're speaking, we are already -- we have already started investing into that. I think so we should see the operations coming up in the first quarter of FY '26.

Ashish Prasad: That's right, yes, yes.

Vineeth: And can you just elaborate, please?

Ashish Prasad: Yes. So the groundbreaking has already started at 2 of our locations. We are moving in. And we expect that, in the H1 of FY '26, we will be there. And we'll try for first quarter.

Vineeth: And presently, what is the capacity for the tanks, steel business at this time?

Ashish Prasad: So one of the changes which we are trying to do in our outlook is we are trying to move our conversation from capacity -- we have sufficient capacity, so we are moving our conversation from volume to value . And that is why, if you see, our value growths are ahead of our volume growths. We are trying to drive profitable growth. And we are trying to reinforce and reinvigorate the brand, and we are trying to premiumize the market.

Vineeth: May I know, like, what is the present capacity utilization for the Sintex ?

Percy Birdy: I think, in today's terms, roughly we should be close to 40%.

Ashish Prasad: Yes. Around 40% is our capacity utilization here.

Percy Birdy: So capacity is not a -- really a constraint. And as, I think, Ashish said it correctly, it was the higher value chain that our focus is.

Moderator: The next question is from the line of Mahesh Wadhwani from Paras Healthcare . Please go ahead.

Mahesh Wadhwani: I joined the conference late, so forgive me if the question is repetitive, but my question was on Sintex again, like the previous speaker. The question is how do you project Sintex' growth plan ?

When is it likely to be EBITDA positive? And by what fraction is it likely to -- so say hypothetically 5 years later. What will be the fraction of Sintex business in overall scheme of things?

Vipul Mathur: So let me answer the first part of it, the Sintex business being EBITDA positive. It is EBITDA positive in this financial year . So the business is generating sufficient profits, sufficient margins.

And it is EBITDA positive even as of FY '24 and likely to continue like that. It is all about the new investments which are happening; as Ashish just explained, that we are investing.

We are making all this capex investment which are going to get spread over the next 2 years ' time, and the benefits of that investments, you will see start coming up from the -- most likely

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Q1 but rather H1 of 2026, preferred from Q1 2026. And that is where we will start seeing these new investments also contributing into the growth strategy of Sintex .

Mahesh Wadhwani: And what fraction is it likely to be in 5 years ? according to your projection? And according to your projections, what fraction is it likely to be in next 5 years?

Vipul Mathur: See. First, if we see, the growth in the -- the major investment seems to be happening -- is happening in the pipe size of our business, right? That is where we are investing that. The pipe size of the business is INR130,000 crore market segment. We are -- I am not saying t

hat we are

the only one, but we have to also...

Vipul Mathur: Can you hear us, please?

Mahesh Wadhwani: I can hear, yes.

Vipul Mathur: Yes, okay. So this segment is a INR130,000 crore segment, number one. I am not saying that we are the only one, but we have to also understand that there is a fundamental shift which is now happening that from people -- there is a complete -- people are moving more towards brand,

right?

And as Welspun and as Sintex, when we are getting into it, there is a huge brand recall. I am sure that we will be able to size up a significant share of that particular market, right? We would be one of the top 4 or 5 players into that. We are very clear that we have a distribution band, we have a retail network.

We have all that ingredients which are required to grow this particular business. I think so we are very optimistic that, over the next 5 years' time, it is not -- our top-line or -- could be 3 x to 4x from as of we stand today. So that's what we are looking at. And we are taking some steps one by one at this point in time, and I think so, with the time, things will pan out very clearly.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Mr. Vikash Singh for their closing comments.

Vikash Singh: On behalf of PhillipCapital, I would like to thank Welspun Corp management for giving us the opportunity to host them for today's call. Without taking much time, I'll hand over to Vipul, sir, for any closing remarks. Over to you, sir.

Vipul Mathur: Thank you. Thank you, gentlemen, all of you who joined the call today. I think so we have tried to answer all, if not most, of the questions what you have raised. And having said that, if you have any doubts or clarifications whatsoever, you can definitely reach out to Mr. Percy or to Salil or to Goutam for any further clarification, but I just want to reemphasize on one thing.

I think so, as investors, you have maintained the trust and faith on our ability and on our deliverance. And as an organization, whatever we have promised, we have always delivered. It is not -- even the last year guidance, if you look at it, what we promised, we have delivered that. We are sitting -- as an organization, we are sitting at the cusp of growth and exponential growth. All our businesses, be it the U.S. business, be it our DIP business, be it our India pipe business,

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be it our stainless steel business, be it our Sintex business, be it our TMT business, all these businesses where we are currently invested in; all these sectors are fundamentally growing. And there is no doubt or ambiguity around it.

As the segments are growing as we are into a leadership position into that particular segment -- and we have seen that -- in the last year, we have been able to capitalize upon that. I see no reason why that, in the subsequent years, we will not be able to leverage that potential of growth. So I, we are very confident on delivering what we are promising. And we always appreciate your support.

Thank you very much.

Moderator: On behalf of PhillipCapital (India) Pvt. Ltd., that concludes the conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Vipul Mathur: Thank you.



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"Q1FY25 Earnings Conference Call "  
August 08, 2024

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER –WELSPUN CORP  
LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER –  
WELSPUN CORP LIMITED  
MR. ASHISH PRASAD – CHIEF EXECUTIVE OFFICER –  
SINTEX BAPL  
MR. SALIL BAWA – HEAD – INVESTOR RELATIONS –  
WELSPUN GROUP  
MR. GOUTAM CHAKRABORTY – HEAD- INVESTOR  
RELATIONS – WELSPUN CORP LIMITED

MODERATOR : MR. ASHUTOSH SOMANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to Welspun Corp Limited Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Ashutosh Somani. Thank you and over to you, sir.

Ashutosh Somani: And welcome everyone to the call. I'll first thank Welspun Corp for giving JM Financial the opportunity to host today's call. Without much ado, I'll hand over the call to Mr. Salil Bawa , Group Head, Investor Relations to introduce the management. Over to you, Salil.

Salil Bawa: Yes. Thank you, Ashutosh and good morning to all of you. I welcome all of you to the Q1 FY '25 Earnings Call of Welspun Corp. Present along with me today on this forum are Mr.Vipul Mathur our Managing Director and CEO; Mr. Percy Birdy, Chief Financial Officer of Welspun Corp; Ashish Prasad, CEO of Sintex BAPL and Goutam Chakraborty, Head Investor Relations for Welspun Corp.

You must have received the results and investor presentation of the company which are also available on the BSE and NSE as well as on the company's website. As usual, we will start the forum with some opening remarks by our leadership team. Post that, we will open the floor for your questions.

During the discussion, we may be making references to this presentation. Please do take a moment to review the safe harbor statement in our presentation. Should you have any queries that remain unanswered after this earnings call, please feel free to reach out to any one of us. With that, let me hand over the call over to Mr.Vipul Mathur, MD and CEO of Welspun Corp. Over to you.

Vipul Mathur: Good morning, everyone. Let me welcome you all for our Q1 FY '25 earnings conference call. I sincerely appreciate you attending today's discussion. Let me start the discussion with giving you some key operational and financial highlights of Q1 FY '25 followed by the business update, and then we can have an interactive session as suggested by Salil.

The key highlights of these calls are: our performance has been consistent, profitability has improved. We are accelerating our foray into the plastic pipes business. The margins have improved on a better product mix of export orders and contribution from the new businesses, and our annualized RO C rate we have been able to maintain over and above 20%.

Let me give you some operational and financial highlights for the quarter. The total pipe volume

including the line pipes in India, U.S., and the DI pipes rose by almost 8% to 229,000 metric ton. The total order book for the line pipes in India and U.S. remains strong almost close to 0.5 million tons. Our DI pipe order book remains extremely strong at close to more than 300,000 tons providing a clear visibility from the next 3 quarters. Our stain less steel volumes rose by Welspun Corp Limited  
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57% on to 4,700 tons on Y -on-Y basis and the pipe volume saw a little dip and our order book stands at 6,790 metric tons almost valued at INR 300 crores.

In our building materials, the TMT sales volume grew up by almost 175%. The Sintex volume -- the Sintex revenue for the quarter rose by 14%. In this quarter our EBITDA margins improved back-to-back by the better, by the product mix of export orders and the contributions coming from the new businesses. If you see our consolidated PAT goes by almost 50% on a Y -on-Y basis by INR 248 crores. As I mentioned earlier our annualized ROCE is at around 20 %-odd. Let me just give you a flavour of where -- how the market is looking

to us for all the segments

of the business and the verticals we are presenting. Let's start with the first, the India oil and gas business. First and foremost, I am very delighted to inform that Welspun Corp has become the first Indian pipe mill to produce an API grade X65 ERW pipes for transporting hydrogen. This is an important achievement for future business growth opportunity and sustainability.

As we all know that the market will be moving in times to come more towards carbon capture and hydrogen pipelines, and this significant achievement puts Welspun Corp into a significantly full position. This has been done in a joint venture with the local steel company, Tatas, and we are very, very proud of this particular development.

On the demand side, we are seeing a very robust demand of almost 2.7 million tons of line pipe projects in the next 2 to 3 years with major demand coming from the large PSUs like GAIL, IOCL, ONGC, HPCL and BPCL. We have seen in the past years, in the last 1.5 years that the projects have been on a little bit on a slower side. But now I think so they are coming at -- this process is now getting accelerated, and we are seeing a huge traction coming up of this oil and gas pipeline network, which will be created in the country.

We also are seeing a very, very strong potential in the export market, especially in the Southeast Asian market, the Australasian market, the Latin American market and the Middle East market. If we talk about the water sector, we are -- there is a huge opportunity, which is now going to come across with respect to interlinking of rivers. And that should kickstart a significant high demand from next year onwards.

The irrigation pipeline demand is growing steadily and expected to continue in the coming year as well. The Jal Jeevan Mission continues to support strong demand for the pipes. States like Gujarat, MP, Rajasthan, Tamil Nadu and Karnataka are exponentially increasing the water pipeline networks for irrigation, industrialization, and for urbanization purposes.

As regards to U.S., our outlook for the U.S. market stays very, very buoyant. As you all know, that we have an order book until the quarter 3 of FY '25 for this financial year. And I can share that we are very, very favorably placed to book some new orders and that will ensure business continuity beyond '24 -- financial year '24 as well.

These are -- if you remember -- if you heard me in the last call, I said that we have bid for certain projects. And now in this particular call, I am saying that we are absolutely favourably placed to get these orders and it is just a matter of time before these orders will be hitting into our order book. U.S. will continue to be the major driver for the global oil production outside OPEC.

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U.S. crude oil production is likely to go up to 14.5 million barrels per day in calendar year '30 with Permian production expected to increase from current 5.2 million barrels to 7.5 million. So Permian is going to be the main stay in U.S., and that is where the whole optimism we have about our U.S. continuity. The natural gas production from the current level of 104 B CF per day is expected to increase to 18 B CF per day by 2030 with Permian contributing to major portion of the incremental supply. USA continues to remain as the largest LNG exporter at 13 BCF per day with an additional 10 BCF per day capacity under construction.

We also see future opportunities in hydrogen and carbon capture pipelines. Out of this, at least two or three pipelines in the Permian region we see -- we are seeing, definitely one of them is going to get finalized in this calendar year itself. As regards Saudi, our associate company, EPIC, as you know has a confirmed order book of more than 2.5 years, that comprises both for water and oil and gas segments.

The Q1 FY '25, EPIC

has received multiple contracts from Aramco for a value exceeding 1.65 billion SAR which are expected to contribute to the financial performance due starting at Q4 of FY2025. On the water segment as well the demand remains robust backed by a massive investment outlay on the water structure. We see a strong demand for pipelines for the next 5 to 7 years backed by both oil and gas and water under Vision 2030 of KSA.

After line price, let me move on -- let me give you some flavour on our DI pipes. The demand continues to remain strong in the DI pipe segment. As you know we have a strong order backlog of almost more than 300,000 tons back debt almost close to INR 2,500 crores which gives us a very clear confirmed order visibility for the next 9 months.

Even if you look at the recent Union budget, the Jal Jeevan Mission, Har Ghar se Jal scheme has been made significant allocations in the scheme. At this point in time, around 78% of the rural households has got tap water. But still, 100 million households are yet to be connected comprised in both in rural and urban areas. So there is a huge potential for the next 5 to 7 years' time in terms of connecting water at each and every house.

The Swachh Bharat Mission also aims to provide solid and waste management across all the villages and is going to get implemented by funding to Jal Shakti Department. So this is the next growth area after this water connectivity we are seeing that they will be the waste management mission will start under the Jal Shakti Department.

Over and above Amrut 2.0 has a total outlay of almost INR 300,000 crores and almost INR 77,000 has been allocated so far. Amrut is all about the urban infrastructure. So all in all, we are looking at a huge traction in the Jal Jeevan Mission, which is on the rural side. We are looking at a huge traction on business in Amrut which is the urban side. And then we are also seeing a huge traction coming around the sewage, the solid and the waste management processes under Swachh Bharat Mission. So these three will -- are going to be the mainstay for the growth of our DI business, and that gives us a clear visibility for at least 5 to 7, if not 10 years from here on.

As you know, in recognition of this growth opportunity, Welspun is further enhancing its capacity from 500,000 tons to 600,000 tons without any additional capex which we have already

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made a disclosure for that. As regards our stainless steel bars and our pipe business, I am very, very glad to share that Welspun Specialty Steel packed the very, very prestigious order for NTPC Talcher project, a BHEL tender for pipes of almost 1,400 tons and which has to be supplied for this quarter.

This is a very prestigious breakthrough, which has come for our company in order for supplying this very super specialty pipes for NTPC Talcher project. Our current order book stands at almost close to 7,000 tons valued at more than INR 300 crores. Further, the geography, territory and customer-based expansion continues, new grade development and introduction continues there by enhancing the product range capability and offering.

Alloy K500, a new high-value nickel-copper grade order book from a German customer is under execution. Welsonic 50 and XM 19 are some new high value-added grade orders, which are produced and delivered successfully. And these grades have been completely commercialized.

As a strategy, we continue to focus on penetrating into newer markets and customer acquisitions, developing and delivering new value-added and critical products, strategic cooperations and securing approvals and accreditations, nurturing innovation and digitalization of our process.

As you all know, this business is all about niche, new -- so our emphasis is very heavily leaned towards R&D and new product development. We have been able

to develop some very boutique,

call it, grade of alloys, and that is what is going to be the way forward and which will create a value accretiveness for this particular company.

As regards to the building material vertical, let me first talk about Sintex. I'm pleased to share that back on the exponential growth opportunity in plastic pipes market in India and with an effective to fast track our entry, Sintex BAPL has decided to acquire Weetec Plastics Private Limited at an enterprise value of almost INR 85 crores. We take plastic in the manufacturers, CPVC, UPVC, and SWR pipes, fittings and water storage tanks with a combined capacity of almost 20,000 tons. This is -- this facility is located in Raipur, Chhattisgarh.

This acquisition is primarily driven, and we will talk a lot more about it in the Q&A session, if you have any questions around it. And Ashish is there to give you all the answers. But this acquisition is clearly defining for accelerating our market entry in business into the pipe segment. It is also aligned with our strategy and our growth objectives, which we have clearly outlined for Sintex. It is -- also, it is a state-of-art facility with a strategic location, offering us an opportunity to test the market for CPVC, UPVC and PVC range of products.

For the existing business of our Sintex, our focus remains on strengthening the channel. We are -- the work is underway for capability building of existing distributors and counting newer in the area of white spaces, also deepening the engagement with the influencers. The company's focus will remain on profitable growth, along with continued investment in business development and brand building. We are expecting a faster than the market growth. All in all, if you see Sintex as we see, is on a growth path, and on a quarter -on-quarter, they have been -- we are seeing a positive traction and acceptance of our product coming into the market. I will also briefly touch about our other product, the TMT rebars which is in the material building

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section. The infrastructure push by the central government remains the key driver. With rapid urbanization, there's a significant increase in residential and commercial construction activity. Also schemes like Pradhan Mantri Awas Yojana, we have almost 3 crores additional houses are planned for providing affordable houses, and various infrastructure development programs are driving this demand. The growth awareness -- the growing awareness and enforcement of quality standards in construction materials are pushing demand for high-quality TMT rebars which offers better performance and safety which is the USP of Welspun and it is branded in the Welspun Shield.

Apart from that, we are also seeing a lot of traction coming up into the -- on the B2B side of the business as well and where we are seeing a strong demand coming up in the region of Kachchh where a lot of industrialization seems to be happening. So the B2B and the B2C put together is going to be the key growth driver for our rebar business which is located in Anjar. I would also take this opportunity to highlight that as to how Welspun Corp has evolved over a period of time. If you see our revenues over FY '22 where we have -- we were just a standalone pipe manufacturing company and have done capex in terms of all the Greenfield capex in terms of DIP, Sintex and the TMTs and the SS you will see that the results of that have started coming in 2 years' time.

So if you see from a top line perspective, how our top line has moved from a INR7,000 crores top line to INR 17,000 crores top line in 2 years' time, and how our EBITDA has moved from INR1,000 crores EBITDA to almost INR 1,800 crores EBITDA and how our ROCE has moved from 13% to 20%. It is a very clear reflection that all that investments that we have made and the capital

allocation we have done in terms of our Greenfield projects and acquisitions in the past have started paying dividends. And this is a journey which we will like to continue and build upon that and creating value for our stakeholders.

Lastly, our sustainability journey also has been progressing well, and we have been taking -- and we have been recognized both by DJSI and CRISIL, and we are sitting in the top 4 or 5 percentile in the sustainability tax, is also a very clear reflection that apart from the group, which these companies focus, sustainability is getting an equal attention and we are making a steady head around that.

With this, I would like the moderator to open the floor for any question and answers, if any one of you have. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Good presentation, sir, on simplifying all business segments. So on the U.S. business, my question was on any de -- bottleneck in terms of demand? Is it relating to approvals from the government, which are getting delayed because of the elections or has there been any change in the economics of the capex for putting up the pipeline? What is causing the delay?

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Vipul Mathur: Deepak, good morning. First and foremost, I don't think so there's any delay with respect to this impending political elections out there. I don't think so that is any of any concern. It is a cycle. Typically, what happens in U.S. when you have completed a one major project of a Permian, it takes around 2 more -- 2 quarters before they come back with a new project. And we just completed a project in March of this financial year, the last financial year. And we are now -- right now into the 6 months period, where the new projects have been conceived, developed, bidding, and the awards are going to take place. So it's a process which is taking time. I think, so fundamentally, there is nothing wrong with respect to the U.S. Fundamentally, their upcoming elections have no impact on that. Fundamentally, the Permian Basin is very, very strong. The growth potential in that basin is huge -- it offers immense

potential out there.

So fundamentally, all those things are in place. It is just a process which is taking -- which makes this sort of a time. And we are very confident that in the last quarter, we had participated in certain projects. In this particular quarter, as I said in our opening remarks, we are not very favorably placed in getting some orders around that.

Deepak Lalwani: Right, sir. And given the high cost nature of that geography, can you indicate the breakeven level in terms of volume that we should do to be profitable there?

Vipul Mathur: See, typically, let's say, instead of looking at the breakeven side of it, what we always endeavor is that we tried to close -- we always try to do close to 300,000 tons. Because the U.S. is one of our major contributor to our top line and to our earnings as well. So -- and also, the demand and the potential is so very huge out there that we are almost, we are very confident that on a sustained basis, we should be able to close anything between 250,000 tons to 300,000 tons of business in U.S.

Deepak Lalwani: Okay, right. My next question was on the DI side. All the players in the DI ecosystem in India are making higher margins and have good order books. Reason being that the demand is more than supply today. So can you help us with some numbers on the demand in the states we cater to for FY '26? Because this year is already in the books. So is the situation persist in FY '26 in terms of demand? And the margins also, if you can give some guidance, given that the supply addition is happening in the industry. So if you can illustrate on

margins with supported by the demand numbers?

Vipul Mathur: Deepak what we see that the demand in the DI pipe industry in the Pan -India basis should be anything in the vicinity of 5 to 6 million tons, number one, right? And which was -- which used to be 3, 3.5 million tons. So there is a significant uptick on the demand side of it, number one. Number two, in respect of the markets which are addressable for, let's say, Welspun. We are on the West. We have interesting markets like Gujarat, Rajasthan, MP, Jammu and Kashmir and, typically, the markets on the Western side. Out of that 6 million to 5.5 million, 6 million tons, at least 1/3 of the demand is on this particular side of the market. So there is a clear visibility of almost 2 million tons of demand, which is going to be here, which is going to be in this addressable market where Welspun is likely to operate.

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And we're being one of the largest players in that, we will definitely have our piece of the cake into that, number one. The second part, with respect to the margins. See today, there, the margin profile is a little different. It is much better. We have seen the commodity pricing getting softer and all that stuff. So typically, everyone seems to be looking at a margin of something like anything between 16% to 18%.

But going forward, I think so on a steady -state basis, my assumption that would be that the margins would be anything between -- should be around 13% to 15% margin business. So right now, while the margins looks very good for including us and for all of us. But moving forward FY '26, '27, it looks like that I think the best way to calibrate margins would be around 15% - odd.

Deepak Lalwani: Understood, sir. Sir, in the SAW pipe business, what could be the split of oil and gas and water which you could provide?

Vipul Mathur: See, in the -- on the SAW pipe business we have, let's say, in our -- we have an order book of -- as I said, we have a close to an order book of almost 0.5 million tons at this point in time. And in terms -- and that generally, the split around that will be close to almost 50 -50.

Deepak Lalwani: Okay. Understood. So on the oil side, the 3.7 million tons that you're talking about in terms of potential demand, where is this forecast coming from? Is it relating to the refining capex or distribution or exploration? And are these tenders already floated in the market that is giving you this confidence? And if you could provide a sense of any sensitivity to oil prices that can possibly give a challenge to this demand going forward?

Vipul Mathur: See, these two points -- see, first and foremost, there is still a lot of work to be done in completing the gas grid in India. I think -- so we still feel that more than 20,000 -odd kilometers is still to be completed. I'm leaving East for the time being. Still, almost 20,000 -odd kilometers need to be - pipelines need to be complete in order to complete the whole gas grid in India. That demand - and this has to happen in any case. And this is where we are seeing that the major demand is going to come from in India. Apart from that, there is a huge demand, which is going to come up from the CGD segment.

So these are the two driving segments from an Indian perspective. And the company -- and it is like IOCL and the GAILs of the world, who are going to do this capex. And we have seen that for the last 5, 7 years, they have been doing on a consistent basis. We have a strong indication and a feeling that they are going to accelerate this process over the -- from now onwards through

the next 3 to 4 years' time.

Apart from that, if you see, there is also a huge export potential, which is available at this point in time. Today, if you look at the crude pricing, they are hovering around very, very range bound. They are all around \$80 to \$90, in that range. Some d

ay today you might say it is USD 78, but that's momentary.

But typically, if you see the average, they have been hovering around USD 80 or plus. And that is a very, very decent number of a crude price and which is putting all the projects back up on

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to the trial. And that is getting -- clearly is getting reflected in the types of the bids and the types of the projects which are getting announced.

So we are going to see -- we are seeing a lot of traction in the Middle East. We are seeing a lot of traction in the Southeast Asia and the Australasia region. And we have been extremely, extremely busy from the -- on the export side of it for the last 3 or 4 years. And we intend -- and we are expecting that this trend will continue for the next 3 to 4 years.

Deepak Lalwani: Okay, right. Sir, on the water projects, the pipes ...

Moderator: Mr. Deepak has been disconnected.

Vipul Mathur: Okay.

Moderator: Thank you. Our next question is from the line of Pavas Pethia from Birla MF. Please go ahead.

Pavas Pethia : Sir, I want to understand there in terms of Sintex moving from storage to pipe solution. Are we already rolling out products they already kind of filling started? When can we expect other products to start contributing?

Vipul Mathur: So on the Sintex, the product -- the water storage tank product is a very signature project and which is already being rolled out and is already into the market. We have been gaining market share on a quarter-on-quarter basis. And I think so the company has been doing incredibly well from a loss-making company in -- when we acquired this, and in the 1 year' time, it is becoming a profit-making company. That itself is a testament that what efforts have been done in terms of making a complete turnaround.

So our tank business, I think, is doing significantly well. Of course, there's a lot of work still to be done. And as I said, that we have a lot of channel partnering and branding exercises are being done. So we will see a lot of traction and uptick coming on our tank business, but in terms of -- now we are trying to accelerate our presence into the pipe business.

And as we recently announced that we have acquired a company called Weetek and that will be -- that will accelerate our presence into the pipe business as well. I have Ashish also here to -- Ashish, if you can, kindly add something if you can add to this, please.

Ashish Prasad: Thank you, Vipul. I think in terms of our business, I think we are very delighted to share that yesterday, we announced the Weetek acquisition, we believe Weetek acquisition will allow us to fast forward our entry into the pipe business. And we believe that as we complete the transaction over the next 6 to 8 weeks, we should be in a position to thereafter start building the work for getting into test marketing.

Pavas Pethia : Some kind of numbers, sir, in terms of, say, ex storage solutions, what could be the figure for Welspun in FY '26 for Sintex, FY '27, how you are looking at some visibility or some growth plans there?

Ashish Prasad: So at this point of time, our idea would be to do the foundational work. And our communication with the market has been that we will be expecting a faster growth rate than the market growth

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rate. Second is in the pipe business, we see ourselves that we will be a challenger brand. we will challenge the players in the current pipe industry, plastic pipes industry. So let's see, we're doing the foundational work. We will -- we are hopeful that every quarter, we should be showing an improvement in our performance.

Pavas Pethia : Okay. And sir on line pipes especially on export how big is the contribution from export in the standalone operations right now?

Vipul Mathur: I'm sorry, your voice is breaking, please.

I didn't get your question.

Pavas Pethia : Sir, in line pipe business, your exports from India, how big is the contribution from exports in terms of margin?

Vipul Mathur: A significant contribution comes from exports. This is what is Welspun's mainstay. Today,

Welspun Corp line pipe business enjoys just about -- it's one of the top two or three companies in the world, which has all the approvals and the accreditations, and is what that helps us to leverage our brand value. And there is a significant slate which comes into and our profits from the exports business. Significant portion comes from that.

Pavas Pethia : But has that significantly changed in last 2, 3 quarters might has this become a disproportionate by overall into operations?

Vipul Mathur: Not really. Not really, nothing disproportionate. I think, so, it's a fairly steady state business.

And on a quarter -on-quarter basis, if you look at it, it's just the product mix, which keeps on changing sometimes we have a domestic oil and gas and water and a little of export. In some quarters, you have higher exports, a low of domestic oil and gas.

So this product profile keeps on -- the product basket keeps on changing on a quarter -on-quarter basis. But when on a year -on-year basis, I think so it has a very significant contribution to our earnings.

Pavas Pethia : And just lastly on this. One of your peers got a big order, were we also kind of going for this deal from East Asia, somebody not a big order in line pipe business. Were we there in that...?

Vipul Mathur: I'm sorry, I'm not aware of that. Which one are you referring to, please?

Pavas Pethia : Sir, Man, got some big orders in line pipe business. Are we also kind of going for that order?

Vipul Mathur: We must -- we definitely would have anticipated in that particular project. I'm very sure that we would have participated in that. But that necessarily does not mean that you participate into every project and win each of the projects. And also, we are very mindful the profitability and the margins, we are very, very conscious of that fact.

We do not want to operate on the lower end of the business. And Welspun Corp philosophy has that we always want to operate on the niche products and niche markets. So all those considerations goes before we do any competitive analysis for a particular project.

Pavas Pethia: Okay. Thanks. That's all from my side.

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Moderator: Thank you. The next question is from the line of Vikash Singh from PhillipCapital. Please go ahead sir.

Vikash Singh: Sir, my first question pertains to the very high export mix in this quarter in the India execution has we done with that order or we would see that after some part of that order flowing into 2Q as well and so keeping our margins on the higher side?

Vipul Mathur: Vikash, as you know, that we have -- as I was just answering the early question, it is all about the blend. We have a very favourable blend of a domestic order, domestic oil and gas order, domestic water order and export order. On a quarter -on-quarter basis, it keeps on changing. In the last quarter, yes, it was very high of the export component which was into that particular plant.

But -- and I think so in coming quarters also, we have a very, very strong order book with respect to exports, and they will get executed in the subsequent quarter. The proportions of that percentage can keep on changing a little bit there. But there will be a portion of -- a significant portion of exports, which will always be there in all the next -- all the quarters in this financial year.

Vikash Singh: Sir, just a follow -up on this at current order book of 400 Kt. How much is in India and what percentage of this is the export orders?

Vipul Mathur: We can give that breakup separately Vikash.

Vikash Singh: Sure, sure, sir. Sir, my second

question pertains to Sintex. You have given the volumes. Sir, and as we can see that the last 4, 5 quarters in terms of tonnage it seems higher kind of a very consistent. So just wanted to understand how the revenues have been grown over this period, revenues and margins.

And given that Sintex is not fully ramped up, still, we are going aggressively on the other segment. So I just wanted to understand our strategy. Do we expect that what has not happened in the last 1 year would happen in the next 1 year in terms of volume growth in Sintex?

Vipul Mathur: Ashish, will you take this?

Ashish Prasad: So on the volume growth, I think there's a typo error in the sheet. I just want to clarify to everyone. So our volume growth is 11 % in the quarter, and our value growth rate is 14%. So that's one clarification. I think we've been consistently if you know Sintex is a turnaround story over the last 15 months we've been working around in doing foundational work.

And we are growing quarter -on-quarter and we are growing on profitability. At the same time, investing around on strengthening our channel program the distributor, the dealer program and the user program. And we believe that foundational work gives us the confidence that we are creating the right foundation as we get into the pipes business. So that is what gives us confidence that this is an area to invest into and to build our business .

Vikash Singh: Sir, just a follow-up. For that INR 22,000-plus crore capex, how much we have -- anything we have spent so far?

Vipul Mathur: At this point in time, Vikash, we have just -- this INR 2,200 crores or INR 2,300 crores announced capex, as we have told you, that it is spreaded over 2 financial year. In this particular financial year, we would see around close to 40% of that capex to happen and the balance going into the next financial year.

Vikash Singh: Understood, sir. Sir, just one last question. We haven't given that debt number this time. So would you like to give us that?

Vipul Mathur: Debt number, I think, so I mean, we -- I think the best way to look at the debt numbers would be on a half yearly and on a yearly basis. There would always be some cash flow mismatches here and there. But I think so we are pretty much mindful of that. We are pretty much -- it is very much into control. And I think so we can share that with you offline on this. But I think the best way to look would be on a half yearly and on a yearly basis, please.

Vikash Singh: Understood. Sorry, sir, if I can just take in one more question. Just from the understanding purpose, all of our DI pipe contract of that 300 kpr fixed price contract, and there is no indexation benefit in case of the severe change in the raw material prices has to be filed on, on gain?

Vipul Mathur: There is a small component. I'll correct you here, Vikash. There is a small component in which they are linked to the index, the WPI index. But that particular portion is small. But the good part is that index has -- the index has started going up. So actually, in terms of your net NSR margins, it is only going to positively impact. But largely, the large portion of that is a fixed price. And to the correspondingly, on the back-end side, we have almost covered our raw material. So pretty much we have -- pretty much, to a large extent I would say, that we have locked in our value addition and the margins.

Vikash Singh: Okay. So my question basically was to the one that the recent fall in the coking coal and iron ore prices, will we get the benefit in a significant way or in a minor way. So you said that we have covered the raw materials. So not much of the benefits we can expect?

Vipul Mathur: I said, largely, I have covered. I have -- and coal is something that is -- we will always take the positions on to that. But it should

o happen that the benefit may not come in the next quarter, but it will come in the subsequent quarter. So it's sort of a dynamic situation, Vikash. But we all -- we are absolutely mindful that this is a commodity product, and we continue to keep taking position with respect to that.

The whole benefit, if you see -- if you compare the coal from 2 quarters, we are seeing the benefit coming in this particular quarter. Now if we take a position today, the benefit of that is going to start coming in the 2 quarters down the line. So I think this is how the -- this is the nature of the business. This is how it will happen.

We cannot say that the coal price is better today. So my prices are going to see the reflection of that or the margin improvement reflection in this particular quarter. That's not going to happen.

You will go and see the inflection point in the subsequent quarters after that. So -- but answer

question, we are completely mindful of the market. We do not miss out any opportunity. Nor anyone does that. And you will see a continued growth in terms of volumes and profitability in the DIP segment.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha : Sir, my question was with regards to the INR 2,300 crores capex that we have announced for Sintex. So I wanted to understand that initially, 1 or 2 years are spending in the marketing and sales side could be higher. So how do you expect the 20% ROCE to move for the next few years? What is the breakeven capacity for this capex? And what is the payback period that you're expecting?

Vipul Mathur: See, Sintex is a work-in-progress now, right? And we have to -- first and foremost, we have to be fundamentally clear that it is a signature brand, a right acquisition in place. And if you see the last 15 months performance on a quarter-on-quarter basis, we've been growing. We see a huge potential in that, both in the water side segment business and in the ever exponentially increasing like pipe segment.

So we have now put our foot in -- we have put -- we rather make our presence spread in both the segment. That's what we're trying to do. In terms of further accelerating this process, we are going to do this capex over the next 2 years' time. Of course, the benefits of that, it is a journey.



We will have to be a little patient. In 2 years, 3 years' time, the fullest potential of Sintex will be exploited and will be brought up on the table.

But until that time, are we going to be a profitable company? Yes, the answer is yes. Are we going to capture, regain the market share? Yes. Are we going to be a dominant player into the pipe segment? The answer is yes. I think this is where you will have to keep the faith and trust on Welspun's ability and brand Sintex. And I'm very, very sure that this is going to be a very, very clear turnaround story. We're bringing sustainable value creation for all the stakeholders in Welspun.

Radha: Okay, sir. Sir, when do we expect to -- given that you mentioned 40% capex this year, 60% in FY '26. So when do we expect to start commercialization for this particular capex? And will it be in particular phases? Could you explain a bit on that?

Vipul Mathur: Yes. This -- as I said, this capex is spread over 2 years. And I think so the commercialization part of the commercialization would happen in at least 2 or 3 phases, number one. The first phase will get commercialized, let's say, by the end of this year itself, when we will do that. Over and above this acquisition of Weetech will further accelerate our progress. This is an opportunity which came our way and we latched overhead. So that will further accelerate. So part of that commercialization you will see happening this year, and then the subsequent happening in the next year.

Radha : Okay. And

sir, you mentioned that in 2 to 3 years, we'll see incentives doing very well. So do you expect since commercialization is starting from end of this year, so by FY '27 or FY '28, do you expect to reach peak utilization for these new capacities that you're adding?

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Vipul Mathur: We should. Definitely we should expect that.

Radha: And sir, lastly for the U.S you mentioned that we have bid for an order which is expected to convert into order book in a few quarters. So could you give us some sense on what is the size of the order that we have bid for?

Vipul Mathur: I think so this is fairly -- I don't think that it will be very appropriate to share at this point in time, at this point in time. I think so we will make a requisite disclosure as and when it gets metalized. All what I wanted to give you a comfort and the confidence that we are absolutely spend -- we are almost in a full position there. And no sooner that gets metalized we will do a complete disclosure to that please.

Radha: Okay sir. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.

Shweta Dikshit: My first question would be what is the current line pipe active in bid book in terms of tonnage?

Vipul Mathur: Bid book, the bid book is almost close to 2 million tons at this point in time. And this is, of course, spread across all the geographies at this point in time. So as I said earlier, that we are seeing a significant traction both in the oil and gas sector and the water sector and the bid book has been improving. And this and this is happening pan-global basis, right?

We are seeing a huge traction coming up in the Middle East. We are seeing a huge traction coming up in Southeast Asia. So almost, almost 2 million tons plus is an active bid book at this point in time.

Shweta Dikshit: Okay. Sir, next question is, could you throw some light on the performance of capex this quarter. Have you seen a significant growth on a Y-on-Y basis, but essentially, the performance has dropped. So what was the reason behind this despite being a healthy market and a good order book.

Vipul Mathur: So as you know, EPIC is having us offer confirmed order book exceeding for more than 2.5 years at this point in time. And again, I think so we have to be clear that line pipe companies can't be just on a quarter-on-quarter basis. If I have to give you an answer, they produce something in Q3, which they invoice and dispatch in Q4. So that is where you are seeing a higher turnover and all that stuff.

But when you see on a year-on-year basis, I think so they have done more than 330,000 tons of production. And I am sure that in this financial year, also they will be doing the same, if not exceeding, and the type of order book, and the profitable order book, what they have. I'm sure that they will be delivering a very, very significantly profitable results even this financial year as well.

Shweta Dikshit: So okay. Understood. Sir, last question is on the WPPL acquisition. Could you share some insights on how the consideration of INR 85 crores. How are we arriving at that kind of valuation

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for this at which because if I look at it standalone turnover, it was around INR99 lakhs in FY '24. And so what kind of margins or what is the current run rate in terms of financial performance? And how are we expecting to for it to grow post acquisition?

Vipul Mathur: See INR85 crores enterprise value, which is the right after complete due diligence, number one. As we said, it is a brand-new setup. It is a relatively new setup, which has been acquired, and a very state-of-art setup which has been acquired. It has a strategic intent and objective behind it. We would -- this transaction will

get consummated or get cleared probably in 6 to 8 weeks' time, as my colleague Ashish just mentioned to you.

This will help to accelerate our process -- presence in the pipe segment we are keenly eyeing for. Apart from our water tank businesses, the pipe business, we have always been saying that we would like to make a presence spread. And this is absolutely in terms of with our strategic thought processing and for the acquisition of this company.

Now in terms of growth, I think so we will have -- there would be challenges. We will have to go -- we will have to get to the market. But first and foremost, we have to be clear that the market size is big, number one. Number two, we have a brand called Welspun, we've a brand called Sintex.

And that would help us in terms of leveraging the market. But of course, the challenges of integrating, production, ramp-up, getting to the market, it is going to be a journey, and we are very confident we will be able to maximize the leverage out of this particular acquisition.

Shweta Dikshit: Sir, and if number one -- or any return on investment kind of anything that you have evaluated in terms of what could be the payback period of this investment?

Vipul Mathur: As a threshold at a corp level here we do not do anything which has ROCE of less than 18% to 20%. So that is our internal threshold. And we are very confident that any acquisition or any investment which we will make we are doing will always exceed this threshold. So will be this.

Shweta Dikshit: Okay. Thank you so much sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Miraj from Arihant Capital. Please go ahead sir.

Miraj: Just a couple of questions. To start with, on the EPIC side, Middle East, as you've mentioned over and over again, we are seeing extremely strong demand over there. Our order book is also reflecting the same 2.5 years of order book. I was just going through some releases of EPIC right now. Over there, we have declared -- the company has declared roughly 1.5 of dividend. Earnings were roughly 3.2 per share. Please correct me if I'm wrong over here.

I just wanted to understand that why can't we add some more capex over here in EPIC to expand our capacities. And since our outlook over there is extremely robust, we can actually do some more capex over there instead of declaring dividends. And also the second reason why I'm saying this is that the amount that is coming in from the dividend being declared over there for us is, is Welspun Corp Limited  
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decent, but I think it would be better. So more capex is done over there to service the entire demand. That's my first question, sir.

Vipul Mathur: I think that's a good observation you are making. I must say that. And you must understand it's a listed entity. It has an independent Board. It has an absolutely independent management. Of course, we're, but Welspun being the largest shareholder we have an active participation into that.

And I had this -- and we continuously evaluate all the options at every point in time. We also see that whether internal capex is a good capex or any M&A is a good thing to do. So there are multiple options which we keep on exploring around that. And as and when we see that this is the right sweet spot in the right timing. We have never hesitated in terms of doing that. So I'm not -- so we are completely mindful of this particular aspect. We know that how the market is evolving. And if anything needs to be done at any point in time, we will take a very definitive decisive intervention at that point in time.

But answering your question, all these options are always being explored at our Board when we look at EPIC.

Miraj: Understood. The follow-up to that, sir, I believe that you must be getting this all the time, but I wanted to understand if there are any plans to

increase our shareholding in EPIC?

Vipul Mathur: You are putting a good thought. I must put it this way. I mean, as I said that at this point in time, if you really ask us, the answer is no. Not that we are in -- is that something we are contemplating? The answer is no. But it all depends on the opportunities and what is our strategic

goal and interest around that.

But at this point in time, no. There's no need for us to do that, to be honest. I must, also, there's no need at this point in time. Because at the end of the day, we are the largest shareholder to that. We have almost all the say in that decision-making literally. So there is no need. And when the market is, and our partners are excellent partners what we have there, the balance partner. And the balance shareholding is with the public. So I don't think so that there's any -- we are thinking any need to tweak this at this point in time.

Miraj : Understood. Okay. Sir, secondly, in the Middle East side, we had announced some time back, we are putting up a DI pipe facility over there through Welspun. If you could just throw some light, how is that progressing? Where has the capex reached over there? And by -- when will the facility be available?

Vipul Mathur: So this -- I think the progress has been extremely satisfactory. The market, as you all know, is extremely, extremely buoyant, and it is going to be -- it is going to further grow from here and when we are talking -- we are very, very positive about that particular market. We have got all the requisite approvals in terms of making that investment. We have all the assets, which includes the land and everything where we intend to set up. That has all been done.

Now it is that we are -- right now, we are into a sort of a design stage, design engineering stage at this point in time. We are committed to have this facility in 15 to 18 months from now.

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Miraj : Okay. 15 to 18 months. Okay. And the Anjar facility for DI pipe, which you mentioned that the capacity we are going to keep from 500,000 tons to 600,000 tons at no cost. So sir, when will this entire 600,000 be available? Because if I'm not on 500,000 is also some time away?

Vipul Mathur: No, no. 500,000 to 600,000 tons is more to value utilized through the process engineering part of it. That is the reason it is coming without any additional capex. We are -- I think so by the end of the quarter 3, this facility should get -- should be installed and commissioned. And we should see how -- then there would be some ramp-up period, but I will see -- I believe that the full benefit of this expansion we would see in the coming financial year.

Miraj : Okay. Understood. And sir, just mainly on our performance, this quarter that we've done, our margins have grown sharply, very commendable performance. I wanted to understand that is this just a factor of cost savings because I see other expenses have gone down. And although our sales is -- sales also down but other expenses has mainly gone down. So what is the main factor? Is it because of any high-value products that are incrementally sold or is it just because we've seen a lot of cost savings? Just wanted to wrap my head around it?

Vipul Mathur: It's all about the product mix, what we have, as I said earlier in this call. See at the end of the day, it is all about product depends what is the product mix which is coming up in this particular quarter. In this particular quarter, we have a large component of an export order, which was a very, very highly profitable order. So that is getting reflected into the earning.

We still have the -- on the export side of it, we still have a very high profitable orders in the subsequent quarter then. How they will have integrated into the quarter-on-quarter basis is to be seen. But my -- as I would again suggest, I think so you should look

at the company on a year -

to-year basis rather than following it on a quarter-to-quarter basis.

Because it's difficult to answer that how much is the water, how much is the oil and gas, and how much is going to be exported in the next quarter. It's a very dynamic situation. So it becomes a little difficult to track. But probably the best way would be to look at on the year and what are the volumes we are doing and what is the EBITDA per tons we are making.

Miraj : Understood. Understood. And sir, on the volume front, if you could just give a bifurcation what was the India volumes and U.S. volumes for the quarter?

Vipul Mathur: I said we will -- as I said earlier, we'll share that with you separately, please.

Miraj : Okay. Okay, sure. And the Sintex volume, sir, the clarification that you just gave on call that the volume growth is actually 8%. So the figure given in the presentation is incorrect, due today, it was?

Vipul Mathur: I was reflecting one segment of the business. They need to be connected, we will -- that's an error on our side, typo error on our side. We will get it corrected and uploaded.

Miraj : So understood. No, no, that's fine. And sir, just 1 last question before I get back in the queue. If you could just let me know the acquisition that you were doing in Sintex, so Weetech. Could you let me know the gross block for that entity right now?

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Vipul Mathur: What will that, Percy?

Percy Birdy: So basically, it's a new manufacturing facility and the enterprise value has come close to about INR75 crores. Sorry INR 85 crores is the enterprise value and the block also reflects this enterprise value.

Miraj: Gross would be close to INR 85 crores?

Percy Birdy: Yes.

Miraj: Understood. Okay. Thank you so much for answering my question. Sir I will just get back in the queue.

Moderator: Thank you. Next question is from the line of Mihir Dhami from Sharekhan. Please go ahead.

Mihir Dhami: Sir, on the margin front, you said the margins increased because of large export order. In general, can you give the breakup as in which segments, how much margin and which are the higher margin segments in general in your portfolio?

Vipul Mathur: I'm sorry, can you just repeat, please? My apology, I didn't hear you correctly.

Mihir Dhami: Sure. Sir, just in your business, which segments are higher margin in general? And how much margins do they have? That is what I want to?

Vipul Mathur: Typically, if you look at it, the oil and gas are much better margin businesses, number one. And water are slightly or relatively lower than that. But so that has been traditionally the story, and I mean that is even delivered at this point in time. And in export orders are definitely even much higher than that. So I would say oil and gas, followed by water. That is the sort of a margin category where you -- one has to see.

Mihir Dhami: Okay. Okay, sir. And also I wanted, on the revenue front, I wanted the breakup of volume and realization that you said you will be able to share that separately.

Vipul Mathur: We will be able to share that with you offline on that, please.

Mihir Dhami: And one more question. On the share of associates, last year, there was a loss. And this year, there's a good profit in that. I just wanted to know which business does that involve?

Vipul Mathur: That is primarily our associate entity EPIC in Saudi.

Mihir Dhami: Okay. All right. And on the guidance front which you have given in the last quarter that is maintained for this year, right?

Vipul Mathur: We are more than confident to maintain that if not exceed that and I think for the first quarter, results are the clear testimony that we are setting up the direction and the tone for that.

Mihir Dhami: Okay. All right. Thank you so much.

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Moderator: Thank you. The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: You mentioned that the Sintex plants will come in this end of the year. So which geography and which product category if you can explain? Is it building material or is it agricultural pipe that you're going to put first? And also the plan of thought as a challenger brand Ashish, if you could speak a bit on who will we be competing with?

Is it the organized or the large organized players? And does this mean that initial years, we'll have to give more dealer margins, higher working capital as the challenger brand. And yes, a bit on this, please?

Ashish Prasad: Deepak this is Ashish. I think we'll start answering your questions. So amongst our facilities, we believe we will start from the facility in Bhopal to start off with. And that will come in fast, first of the block at the end of this year. In terms of our positioning, Sintex, if you would all know is a premium position brand. Distinctly, we -- even compared to -- in the water tanks business, we are distinctly premium, and premium to even some of the traditional competitors, which we will face in the plumbing industry.

And we intend to carry on that premium positioning into the pipes business. And we believe there is an opportunity to work around on that and maintain that same positioning, which can help us -- which is much more consistent with what we are going to do. The other thing which you would want to tell you is that our focus is on buildings and infrastructure.

So we are going to continue to focus around on that. And we will take on the leading brands in the category as a challenger. And while we believe there is an overall wind of change, where it is moving from unorganized to organized, and we will certainly gain around from that, but you will take up our leading competitors in the plumbing industry.

Deepak Lalwani: Okay. Right. So sorry, so you mentioned that you will maintain your premium standpoint. So in terms of EBITDA margin, if you can indicate what EBITDA per ton one should be expecting?

And is it -- let me complete. So also the -- in this, when you -- I understand you also have an existing dealer base. But when you're recruiting new dealer base, is it fair to assume that you wouldn't have to give more margins and higher working capital, because you're new to this business, right? So just wanted to understand from that perspective.

Because the B2B business, it takes time to build up. And do you have a standpoint, but yes, some

thoughts on that.

Vipul Mathur: Thank you, Deepak. I think, clearly, like you said, these are challenging things for us to execute upon. So that's why we are focusing around on the foundational work. We believe Sintex to be a B2B2C brand, and we have a strong consumer franchise, which we believe will be at our side. But obviously, we understand industry, the plastic pipe industry has been working in a particular way for last 25 years. As we move into that, we will have to contend with those challenges. And we feel the foundational work, which we are doing right now allow us to build a meaningful challenge to the market.

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Moderator: Due to paucity of time, this was the last question. I now hand the conference over to Mr. Mathur for closing comments. Please go ahead, sir.

Vipul Mathur: Thank you very much for attending this call today morning. Greatly, sincerely appreciate all the participants taking time, and I think it has been a very meaningful interaction. I hope me and my team would have given all the answers to the best of your satisfaction. We are taking away points that we will address offline. My IR team will reach out to you and give you all the clarity.

However, should you have any further clarifications and you need to seek any

further

information, kindly feel free. It's a very, very transparent company we run here, as you all know, and we will be more than willing to share any information as what we can share with you at any point in time. But once again, thank you very much, gentlemen, and greatly appreciated your participation. Thanks a lot.

Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2025

Welspun Corp Limited  
Q3FY'25 Earnings Conference Call

February 06, 2025

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND CHIEF  
EXECUTIVE OFFICER , WELSPUN CORP LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER ,  
WELSPUN CORP LIMITED  
MR. ASHISH PRASAD - CHIEF EXECUTIVE OFFICER ,  
SINTEX BAPL  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATIONS WELSPUN CORP LIMITED  
MR. SALIL BAWA - HEAD, INVESTOR RELATIONS  
WELSPUN GROUP

MODERATOR : MR. ANIRUDH NAGPAL – JM FINANCIAL INSTITUTIONAL  
SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good morning and welcome to the Welspun Corp Limited Q3 F Y25 Earnings Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal the operator by pressing "\*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anirudh Nagpal from JM Financial Institutional Securities Limited. Thank you. And over to you.

Anirudh Nagpal: Thanks, operator, and welcome everyone to the call. I will first thank Welspun Corp for giving JM Financial Institutional Securities Limited the opportunity to host today's call.

So, without much ado, I will hand over the call to Mr. Salil Bawa – Head , Investor Relations, Welspun Group to introduce the Management . Over to you, Salil.

Salil Bawa: Thank you, Anirudh and good morning to all of you. I welcome all of you to the Q3 FY25 Earnings Call of Welspun Corp .

Present along with me today is the Senior Team of Welspun Corp, which includes Mr. Vipul Mathur, Managing Director, I have Percy Birdy, Chief Financial Officer and Ashish Prasad, CEO of Sintex BAPL , I also have Goutam Chakraborty, who heads Investor Relations for Welspun Corp .

You must have received the "Results " and "Investor Presentation" which are available on the stock exchanges as well as on the company's website.

As usual, we will start the forum with "Some Opening Remarks by the Leadership Team," post that, we will open the floor for your "Questions. "

During the discussion, we may be making references to the presentation.

I would request you to take a moment to review the Safe Harbor statement in our presentation. Should you have any queries that remain unanswered post the earnings call , please feel free to reach out to anyone of us.

With that, let me hand the floor over to Mr. Vipul Mathur, M.D. & CEO, Welspun Corp . Over to you.

Vipul Mathur: Thank you, Salil, and good morning, everyone.

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Let me welcome you all for our Q3 FY'25 Earnings Conference Call . Thanks for attending today's discussion. I wish you all a very Happy and Prosperous 2025.

Let me start the discussion with "Some Key Operational and financial Highlights of the Q 3 FY'25" followed by "Business Update" and then we can have an "Interactive Session."

The "Key Highlights " of this quarter were :

We showed a very resilient performance with improved profitability on a sequential basis. The nine

month performance run scale indicates that we are on track to beat the full year guidance comfortably consecutively for the second year in row, we have a robust order book in excess of Rs.15,000 crore s, strong focus on core geographies and core products improve visibility in all core geographies including India, US and KSA , all the projects which have been announced are on track and are progressing well , our annualized ROC run rate maintained at more than 20% , leverage ratios at very comfortable levels.

Let me give you "Some Operational and Financial Deep Highlights of the Quarter ":

The line pipe sales volume in India and US rose 16% on quarter -on-quarter basis to 235,000 tons.

The total order book for the line pipes in India and US is at a robust 866,000 tons.

Our DI Pipe order book also continues to remain very strong at approximately 350,000 tons, providing visibility for the next four quarters.

Our Stainless -Steel business volume rose by 28% on quarter -on-quarter to 5 ,000 tons on YoY basis, while pipes volume falls 16% on quarter -on-quarter basis to 1 ,000 tons. But the order book remains stable at 4 ,400 tons worth Rs.185

crore s.

In the building materials, our T MT sales grew by 51% on a quarter -on-quarter basis to 62,000 tons for this particular quarter .

Our Sintex revenue remains stable despite all the market s volatility on a quarter -on-quarter basis and currently stand at Rs.143 crore s.

As far as our consolidated performance is concerned, in Q3 F Y'25, our EBITDA sits at Rs.478 crores, which shows a consistent improvement on a quarter -on-quarter basis for the last three quarters.

I would also like to highlight here that for the nine months, our consolidated EBITDA stood at Rs.1,356 crore s against our FY '25 full year guidance of Rs.1,700 crore s. This is clearly indicating that we will surely surpass our guidance for the second consecutive year and against all the global challenges and concerns.

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EBITDA margins remain fairly stable at around 13%, which is also in line with our overall performance roadmap.

Our consolidated adjusted PAT stood at 297 crore s for the quarter.

The ROCE for the nine-month period stood at 15% against our full year guidance of 20%.

The net debt was reduced to Rs.104 crores at the end of December quarter and the net debt -to-EBITDA stood at an extremely comfortable level of just 0.06X.

Now, before giving you an "Overview " of our business :

Let me touch upon the "Macro Scenario Briefly" :

According to the latest World Economic Outlook by the IMF, the global GDP growth is projected at 3.35% both for FY '25 and FY'26. This is primarily unchanged as higher projection for the US has offset the downward revision in some major European economies . Forecast for India growth remains unchanged at 6.5% both for FY '25 and FY '26.

Also, let me point out here that the recent upward movement in US D/Rupee is not detrimental to our business.

Now , let me give you an "Overview of our Business" :

Let me first start with the "Pipe Solution Vertical" :

As I said in the line pipes , our total order book for India and USA stands at almost 866 ,000 tons, valued at around Rs.12,000 crores plus.

As regards the "Business Outlook" :

In case of India, in the next two years , we see a potential of 2.5 million tons of line pipe demand coming primarily from large P SUs like GAIL, IOCL , ONGC , HPCL and BP CL, including green hydrogen and carbon capture pipelines.

The petroleum industry recently set a target of 183 BCM gas for 2030, which is 2.8X the 2023 -24 actual and will yield about a 12% gas share by 2030 .

Indian natural gas pipeline network is expected to increase by 10,000 kilometers , adding to the current operational network of almost 25,000 kilometers as per PNG RB's latest announcement.

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On the "Export Front":

We are seeing a very significant demand coming up for L-SAW pipes for critical applications for deep offshore , sewers service , where Welspun has an impeccable track record and has a market leadership position.

We are also seeing a market potential building up for carbon capture and hydrogen pipeline, especially in Europe and Australia in which also we are much ahead in the competitive landscape. We have secured qualifications for Australia hydrogen pipeline project after successful completion of our testing program.

We have been emphasizing a lot on our development for the new energy, which is carbon capture

and hydrogen , and as I mentioned earlier, we are in a significantly better position in the competitive landscape.

As regards the "Water Sector" :

We see a huge opportunity in India for large diameter pipes being used in the water sector. These opportunities are likely to come up from the interlinking of rivers, where the push from center and the states is significant. We are seeing projects in MP like K en-Betwa and PKC , in Rajasthan project like ERCP , and in Maharashtra Wainganga to Nalganga. These will kick start pipe demands from t

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next financial year. States like Gujarat , MP, Rajasthan, Tamil Nadu and Karnataka are exponentially increasing the water pipeline network for irrigation, industrialization and urbanization. For the next one, two, three years are going to be extremely , extremely high d emand -driven in a market for the water sector.

After India , let me talk about the USA. Our announcement in Q3 with respect to the new orders what we have secured has significantly improved our order book position in the US . Further, the visibility in US has also significantly improved after the new administration which has come in which is completely f ocusing on deregulating the oil and gas sector.

Our large order wins of Q3 FY'25 reinforce our credibility and demonstrate our pole position in USA and currently our mill is only booked for six to seven quarters.

We are seeing a traction on many other projects at this point in time and we stand to benefit o ut of the few projects which are likely to come our way.

As regards our Saudi Arabian entity, in the water sector, we are seeing a very robust demand which is persistent, and a very strong visibility is likely to continue for the next four to five years' time .

Consistent focus on improving water structure has been there with an expected rise in population

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over a period of time and infrastructure being built , need for the wat er transportation and distribution is going to significantly i mprove further.

On the "Oil and Gas" side:

Saudi Aramco oil production capacity expansion is backed by strong military allocation of spending almost \$10 billion per year for the next year. This gives us the belief of a very strong demand of lin e pipe in the oil and gas sector to continue .

Master Gas Phase -III is also driving demand for the spiral pipe, and we anticipate that very shortly the Master Gas Phase -IV program is also likely to be announ ced.

Our associate company , EPIC , which is the largest and which is in the pole position in the Saudi Arabian market having a market share of more than 30% , have confirmed order book of more than 2.5 years at this point in time.

As regards Saudi, you must be aware that we have announced of setting up also longitudinal plan t in the Saudi . This is a Greenfield project of 350,000 tons which is being set up by Welspun on the wholly -owned subsidiary and it is backed by a very strong do mestic demand and export opportunity.

You would have also noticed that we have recently signed an Mo U with Saudi Aramco for this L- SAW pipeline. We are hoping that this plan t to be operational in the fourth quarter of FY'26.

Coming to the "Update on our DI Pipe Division. " The demand continues to remain strong for the DI Pipe segment. We have a strong order backlog of almost 350,000 tons , valued around Rs.2,700 crore s.

The projects under JJM, Irrigation, Industrial, Sewage S ector and various Augmentation Sch eme are the key demand drivers. The latest Union budget has enhanced the total Jal Jeevan Mission outlay to Rs.67,000 crores for the next financial year and the mission also has been extended till 2028. There were little concerns about the fund availabilit y in the past few quarters and I think so with this announcement and with this outlay , this issue stands address ed and stand behind us now.

The Amrut 2.0 projects and the Smart City project s across India continue to support demand. The Swachh Bharat Mission Gram in, aims to provide solid and waste management across all the villages .

Even the national river linking projects are also likely to help demand for DI Pipes .

All put together, we conti nue to see a very robust demand for the DI pipes for the next three to five years . Our order book remains strong and keep us busy for the next four quarters.

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You would have also noticed that we announced setting up a Gre

enfield plant of DIP Greenfield plan t

in Saudi. The genesis is that we see a very strong demand scenario in the water distribution sector in the market of Saudi Arabia. A US \$80 billion has been allocated for development of water infrastructure under the vision 2030 umbrella.

Today, the marke t is being significantly serviced by imports. By putting up this DIP Greenfield project in Saudi Arabia, we intend to immediately capitalize upon the opportunity of import



substitution. We will be ready with this Greenfield facility in the very first quarter of FY'27.

As regards our SS Bar and Pipes business, our order books stand at 4,200 MT, valued at more than Rs.185 crores. We remain sharply focused on buoyant domestic Indian market which is steadily growing and offering significant opportunities especially in the value-added segments like clean energy, defense, outer space, power gen, shipbuilding, public infrastructure and nuclear. I am sure you would have seen in the recent budget announcement, the emphasis being laid for the development of nuclear power plants.

In line with that, these core sectors will require very, very high quality, specialized pipes. Welspun Specialty Steel has been on a journey in terms of augmenting their R&D capability and have recently developed some very special grade like Super 304 L and T91SS Boiler Tube for supercritical power plants.

We are the first Indian company to receive the order from BHEL to be produced and supplied in a fully integrated manner under one roof which means we made our own steel, we rolled the steel into bar and from those bars we made our own pipes and those pipes are now being supplied to BHEL for supercritical power plant. For this development and for this achievement, we were also recently felicitated by BHEL.

Let me now move on to our next growth story, "Sintex":

As you know, we have been consistently working on strengthening our distribution channel through constant focus on improvising composition of distributors, retailers and plumbers.

We have also launched various campaigns for brand building, campaign, "Saaf, Safe, Sahi" has landed extremely well with the customers.

We have launched 4P advantage campaign to boost visibility in select markets.

Our strategy is to remain on the premium segment, and I am happy to share that the premium play has been very well accepted and our premium portfolio has been showing a growth rate of mid-teens in Q3.

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Our new distribution management system and Salesforce application implemented toward achieving the one app per stakeholder vision.

I am also pleased to inform you that we are going to launch our Plastic Pipes in Q1 of FY '2026. We are foraying into plastic pipes in a big way. We are seeing that as a big market, and we are seeing the demand for these pipes is going to be huge in years to come.

We are also launching our O-PVC Pipes from our Bhopal manufacturing plant along with the pipes and fittings, and also we have started our factory for pipes and fittings for buildings in Chhattisgarh as well. So, right now our O-PVC pipes will come out from Bhopal plant but all other pipes, the polymer pipes will come out from our plant in Chhattisgarh. So, these are the two locations through which we are now currently going to foray into the plastic pipe market.

I also would like to cover about our "Rebar Segment." We achieved the highest quarterly sale of 60,000 tons in Q3 of FY'25. We are to supply customized solution for modern construction in form of cut and bend rebar and adding other value-added products like fusion bonded epoxy to increase the life of construction in multi-fold times. This is the development which we have already started and we intend to supply. This is what will significantly reduce the construction time when we are talking of large infrastructure development happening

in the country.

There's a robust demand in the infrastructure segment and being a local and a branded player with an impactful quality, we see multi-fold growth over the next three to five years in our TMT bars.

Before ending my discussion and moving on to the Q&A session, I would like you to update you about the projects that we have announced earlier, I am happy to inform you that all the projects including USA, Saudi and India are absolutely on track and progressing well. We have done the ground-breaking in the US for our HFW pipes, we have already signed an MoU with Aramco for our upcoming L-SAW pipe plant, we are about to do the ground-breaking for our DIP plant later this month, our DI Pipe expansion project in India is going on before schedule and we would be coming up with expanded capacity of our DI Pipes in March itself, further, we are launching our plastic pipes in Q1 of FY '26.

We keep our focus intact on our core geographies and our core products as we have demonstrated earlier. I would like to reiterate with confidence that our present investment strategy is also very much aligned and aims at significant value creation for all of our stakeholders in days and months and years to come.

Last but not the least, our sustainability journey has been progressing well as we have been taking necessary steps towards it and have got international recognitions from DJSI and CRISIL is a testimony for the same. We have also been increasing our RE share in our overall energy consumption.

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With this, let me ask the moderator to open the floor for the question -and-answer session. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press "\*" and "1" on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "\*" and "2". Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Aditya Vilekar from Axis Securities. Please go ahead.

Aditya Vilekar: Yes, thank you for this opportunity. My question is with respect to Saudi plant where we are putting up the DI and L-SAW capacity. So, if you can throw some light on how the volume should shape up from '27 onwards?

Vipul Mathur: So, as you know, Aditya, that the market has a very robust demand both for L-SAW pipes, which is primarily going to be used in the oil and gas sector by Saudi Aramco as well as exist a potential for exports from there. As regards DIP, mostly it is going to service the localized demand because there's a huge water distribution development which is taking place in Saudi. We are expecting this our L-SAW plant to be operational by, let's say, sometimes by March of 2026 and our DIP plant by June of 2026. If I have to see the demand, I think looking at almost in the very first year of operations, we are aiming of close to, let's say, 150,000 tons to 200,000 tons of pipes, both in the L-SAW and the DIP sector. This is what we are currently guesstimating. But looking at the demand and the market potential which is offered, this looks feasible to me.

Aditya Vilekar: Yes, thanks for that. Similarly for the US, given the uh strong order book and the capacity expansion that HFW plant, so how should we look at the volume shaping up in '27-28? Definitely, it will pick up from the current rate. So, any directional guidance that will be helpful?

Vipul Mathur: Aditya, when this new administration has just come in, we already have a robust and confirmed order book of almost next six to seven quarters. And what we are seeing at this point in time is a huge traction coming up in the oil and gas space. I am sure this momentum will create

further opportunities

for us. As we speak, at any point in time we would have participated in multiple opportunities and so is the case at this point in time as well. And in those opportunities, we would be standing and we are standing good on few of the projects. So, I am sure that in weeks to come, we would have some more information coming up and some more crystallization happening about the projects, and as they will happen, we will come back and inform all the stakeholders.

Aditya Vilekar: Okay. Thank you. I will get back in the queue.

Vipul Mathur: Thank you.

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Moderator: Thank you. The next question comes from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru: Hi. Thanks. Just one question on top of what Aditya already asked the same thing. In US, you see the old numbers, old peak, can we achieve 4 lakh tons there in FY'27? And again, if that is possible, again, are we looking at 20,000 per ton of EBITDA there?

Vipul Mathur: Lokesh, I think you would have noticed that we have the confirmed order book, now it is all about executing it, we have a past track record of executing it. Typically, the good part in US is that the size of the order and the dimensions of the orders are fairly stable. We have a demonstrated track record in terms of producing X-ton per month basis or X-tons per on a year basis and we are hoping that our team will repeat that performance out there. So, I am very, very confident around that, and I am sure we will watch and monitor this progress on a quarter-on-quarter basis.

Lokesh Maru: Understood sir. When you say that six to seven quarters, so does that mean that the four quarters if they are full uh, that in itself is able to deliver 4 lakh tons for the four quarters?

Vipul Mathur: So, right now, whatever is our order book and right now what is our contractual obligation and right now what is our production capability, that gives us a clear visibility of six to seven quarters. So, it consists of a product mix, and looking at the product mix, looking at the customer, looking at the delivery, looking at the capability at what we produce, I think it is giving us a clear visibility of six to seven quarters looking at this point of time.

Lokesh Maru: Okay. Sure. Thank you. One last question. We have also mentioned on river linking project in India. So, if you could show some light on are these projects already in the tendering stage or are they still in discussions and drawing board, any color would help?

Vipul Mathur: I think so they are much beyond the drawing stage. At this point in time they are probably at a NIT stage, which is a tender stage, we understand that tenders are being prepared, this is going to be a reality and as Welspun we are going to play a major role in this project for a simple reason that a large project like Ken-Betwa and PKC are going to happen in the state of Madhya Pradesh and we have a ground presence on the Madhya Pradesh, then we are seeing ERCP happening in Rajasthan, which is neighboring, both from Gujarat and Madhya Pradesh, we are in a better position to service that. So, this river-linking projects are now going to be a reality, and we would have a significant role to play in terms of supplying pipes for these particular projects locations.

Lokesh Maru: Just a follow up . Any internal calculation on just what the size , these are massive project s, what the size could be for the industry per se or for these projects per se per project?

Vipul Mathur: These are large projects, large diameter pipelines, we are assimilating all those details at this point in time, but the initial feedback suggests that these are mega projects, large diameter of pipes required ,

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huge volume of pipes which is required , difficult to put

a number at this point in time, but this is going to be a big.

Lokesh Maru: Thanks a lot , sir.

Moderator : Thank you. The next question comes from the line of Amit Lahoti from Emkay Global Financial Services Limited. Please go ahead.

Amit Lahoti: Thanks for the opportunity . Two questions on the demand side. First , on India Line Pipe segment, the government CAPE X and FY '25 slowed down and there is not much of a pickup projected in the recent budget for FY '26 either. So , how are we positioned to grab more market share relatively? And then within this, if you could indicate how much of the increase in our order book has come from the government projects recently ?

Vipul Mathur : So, good morning, Amit. I think the Indian line pipe market, you are right, was a little slow in this year, but now we are hearing and we are seeing that the government is very clear in terms of putting again in investing into the infrastructure pipelines . As I said earlier, almost 10,000 -odd kilometers of pipeline is in their program to be belayed further over and above the 25,000 kilometer s pipelines which are there . At this point in time, we are seeing demands coming up from BPCL , HPCL and IOCL, and they seem to be coming out with projects in the next financial year for laying out those pipelines . So, I am very confident that there will be uptick in the demand in the next financial year in comparison to what we have seen in this financial year.

Amit Lahoti: Sure. And maybe in terms of timing wise, if you could highlight sectors where there is better pickup visibility , whether it is water or oil and gas?

Vipul Mathur: In my sense is that by Q1 this project should be out and we would be securing the portion of those , we are hopeful to grab a share of that pipeline and should be executing in the in the next financial year itself , it is just around the corner.

Amit Lahoti: So, can we say on a relative basis from competitors , we are definitely looking to gain more market share , is that understanding correct?

Vipul Mathur : We will get our market share more or less I can't say, but we have our market share, we will protect and defend our market share, we will try to increase it, but let's see how does it pan out.

Amit Lahoti: Thank you.

Moderator : Thank you. The next question comes from the line of Vikash Singh from PhillipCapital. Please go ahead.

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Vikash Singh: Yes. Good morning, sir. Sir, just wanted to understand that in case of duties in Canada and Mexico, how should we look at it because the sizeable portion of pipes gets imported into US from these two countries. So , just your take on that in case if that duty comes true?

Vipul Mathur: Good morning, Vikash. First and foremost , I think so there is a little bit of a misnomer at this point in time that there is a large import of pipes happening from Mexico and Canada . In earlier days , yes, there were plants in Canada which used to be supplying to US, but in the last three or four years their portions have significantly gone down. With these duties coming in, I think it will be almost next to impossible. So, they were not moving the needle out there . So, I don't think so that is going to make any impact . The market in the US is very well protected , it is meant for the US producers , we are one of them and I think so it will continue to be the way we are seeing for the next four to five years' time, Vikas h.

Vikash Singh: Understood . Sir, we had a history that whatever start order book we have at any given point of time , next 12 months is usually 1.2 to 1.5X minimum in terms of top line, so how should we look at your current bid book and the next 12 months execution at this point of time , also, considering many capacities are also increasing ?

Vipul Mathur : Right. I think , Vikas h, the bid books look fairly robust, I think so we are still seeing

a very robust bid

book of around Rs.12,000 to Rs.14,000 crore s in any case and it is very, very equally spread over.

So, if you look at it at this point in time, I think so the next two years is all about execution, execution and execution . If you look at our US plant, it is only booked for let 's say 1.5 to two years' time . And I am sure by the time we will get into the first and the second quarter, we will have further visibility as well. If you look at our Saudi plant , it is already booked for two , two and a half years' time . If you look at our DIP plant, it is already booked for one year 's time. If you look at our Indian line pipe business, right, the L-SAW plant , we have a complete order booking for next one year time. So, I

think so order book, what we have at this point in time, is giving us the space on two fronts. #1, cherry picking up the right order where we can absolutely optimize and improve upon our margin profile and #2, it is also giving us the space to look at and get into the new territories part of it. So, I think the next two years probably, Vikas h, we need to see from an execution perspective rather than being worried about booking the order part of it.

Vikash Singh: Understood, sir. Just one more question regarding our debt. We have managed to reduce our debt despite good CAPEX increases in the order book, which obviously would have resulted in higher working capital. So, how should we look at the peak debt levels from here on, and by which year you expect we have to hit the peak debt level?

Vipul Mathur: Vikas h, you know Welspun is very focused on its debt management. We Our continuous endeavor has always been to reduce the debt. We always like to be a net cash company rather than a net debt company. I think so it is in that pursuit. Currently, I think so at the end of this quarter, our debt was  
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very inconsequential like Rs.100-odd crores. With all the CAPEX which we are doing at this point in time, see, the spend is going to happen gradually, #1. #2, there are sufficient free cash flows which are going to be available because of the confirmed order book what we have. And if you currently look at our net debt-to-EBITDA is around 0.06X, which is nothing. Even if the debt slightly goes up, these ratios are not going to change. But internally we are keeping a target that our net debt-to-EBITDA at any point in time should not exceed 0.5X.

Vikash Singh: Understood, sir. And sir, just one last clarification. In our line pipe order, what is the spread between US and India?

Vipul Mathur: See, at this point in time we have almost close to let's say as I said almost 860,000 tons, and out of which it is almost like 450,000 tons in US and the balance happens to be like half and half here in India and US.

Vikash Singh: Understood, sir. That's all for myself and all the best for future.

Vipul Mathur: Thank you, Vikas h.

Moderator: Thank you. The next question comes from the line of Muskan Rastogi from B &K Securities. Please go ahead.

Muskan Rastogi: Hi, sir. Congratulations on the new job again from USA. So, my question is that we have 7,000 crores order in USA. In case there is a delay in any project in the next two years, if any customer thinks that they want to defer the projects, or if oil prices come down, what is the cancellation policy and deferral policy, it would be helpful if you could explain in detail, sir.

Vipul Mathur: Good morning, Muskan and thank you very much. You are the only one who congratulated on this result, so I must give special compliments to you for that, the earlier people on the call did not do that. So, anyway, coming back to this US part of it, I think so this order book is a strong order book. And contractually, Muskan, I think the question is contractually, it is very well secured, very well covered. All the

US contracts are with appropriate cancellation clause and at no point in time, if at all in a scenario in a very hypothetical and unimaginable scenario at this point in time, any cancellations happen, which I don't believe is the case going to be, we are adequately protected and secured. Looking the way the market is looking at this point in time, people are looking for booking capacities rather than cancellation. So, in the next four to five years' time, Muskan, that is a very, very unlikely scenario to happen. But projects have inherent risk, and to that inherent risk contractually we are adequately prepared, so we will never be out of it.

Muskan Rastogi: Okay, sir. When you say you are adequately prepared, so on what basis in that?

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Vipul Mathur: So, there are cancellation clauses, so that that's one part of it. #2, whatever exposure on the steel we take, they are completely funded by the buying entity. So, at no point in time that we will have an exposure where if any unfortunate event of cancellation happens, we will be out of pocket.

Muskan Rastogi: Okay. So, any of one of the cancellation policy then if you could explain in little details, sir?

Vipul Mathur: I am sorry.

Muskan Rastogi: If any cancellation policy you can explain in detail?

Vipul Mathur: I think that we can discuss that offline, but just to give you a very high level that the contracts are absolutely water-tight with no risk at all to the company please.

Muskan Rastogi: Okay, okay. Sir, my next question is in second quarter the total order book of 7 lakh MT, has increased to 8.6 lakh MT now, that is like India plus US. So, if you do back calculation as per the notifications in stock exchange, you are getting 5 lakh MT in order in USA. So, India is only 3.6 lakh MT. Last quarter it was much higher. What has led to this drop in India order book, sir?

Vipul Mathur: There was a little slowdown in the Indian order. In the last quarter we have seen a little bit of a dip, but because in anticipation for the budget and there were also certain cash crunch which were prevailing. So, it is known fact that there was a little bit of a slowdown in the last quarter, but I think so that has now been corrected. And whatever was there, I think so it will get recouped very soon.

The way we are seeing the visibility both on the water side, oil and gas side, city gas distribution side, and on the export side, all the four pillars are looking very, very strong and robust at this point in time to us.

Muskan Rastogi: Oh, okay. So, my last question is the iron prices are stable and like since you mentioned in your presentation, the iron price and coking coal, iron prices are stable and coking coal prices have come down significantly. Have we got this benefit of this coking coal prices in this quarter, sir?

Vipul Mathur: So, there will be a benefit, but this benefit do not translate as the prices go down. I think the benefits do accrue over the subsequent quarters because there's a lag effect to that, but we have been able to capitalize upon this decline or the lowering of the prices which has happened on the coking coal side of it. I am sure it will get reflected in our earnings in the subsequent quarters.

Muskan Rastogi: Okay, sir. Thank you so much and all the best.

Vipul Mathur: Thank you, Muskan.

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Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question, please press "\*" and "1". The next question comes from the line of Abhishek from BSP AMC. Please go ahead. Abhishek, if you can please unmute your line and proceed with your question.

Abhishek: Hello. Sir thanks for the opportunity. Just in terms of the India line pipe business, now next year, we are going to see as you called out that healthy orders coming in from the water linking projects as well, plus ex

ports is doing well. So, in that light, how should one look at the volume growth, usually, which used to be in the region of 7% to 8%, can it move to something like a 12% to 14% of volume growth for the domestic line pipe business including exports, traction in river linking projects, how should one look at that from the next two years perspective, just your thoughts there?

Vipul Mathur: So, first, the way you have to look at it, Abhishek, is that a) the cake size is going to be bigger in comparison to last year, right, when the interlinking projects comes up, they are almost to the tune of 1.5 to 2 million tons, right? So, such projects when they come up on the table, you will get your own share around it. So, the wallet size is going to increase and your piece of the cake out of that wallet size is also going to increase. These are all competitive bidding, nothing is on the platter, these are all competitive biddings, you have to participate, you have to secure. But knowing our strength and knowing our appetite, we will definitely have a share of this wallet size and we are very hopeful that we will be able to improve than in comparison to the last two years what we have done.

Abhishek: Sir, the river linking projects, it is largely the H-SAW pipes which is utilized sir?

Vipul Mathur: That's correct.

Abhishek: Okay, okay. So, overall, industry will see an improvement in utilizations and that should also improve the margin profile for the H-SAW business overall, because such large projects coming in?

Vipul Mathur: You are absolutely right.

Abhishek: Okay, okay. Sir, in the DI Pipe segment of it, last year we were seeing some amount of softness. Is that segment also likely to pick up given that now things are back in place, budgets are in place, any thoughts on the DI Pipe as far as the demand is concerned? While you do have some amount of order backlog, I was more trying to understand from the competitive landscape if there is enough demand into the system?

Vipul Mathur: There is enough demand into the system, Abhishek. Only the last quarter there was a little bit of a slowdown because of the cash flows issues. In this budgetary allocation, they have been appropriately addressed. You will see this DIP business will reignite and re-fire at the same pivot as it was earlier.

So, there is a lot of ground yet to be covered. You still have almost 40%, 45% of JJ missionary to complete, you still have Amrut, you still have waste water, you still have sewage. I think there is still a lot of upside into this particular business at this point in time. I think so from a visibility point of

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view, next four to five years are going to be very critical and I think so the government commitment is completely reinforcing that they are absolutely clear that all these projects will go ahead. You see that they already announced JJM will get extended till 2028, they are investing money into river linking, they are already making allocations for Amrut. So, the intent of the government is extremely, extremely clear that they want all these projects to go. And if they have to go, we are at least seeing a shelf life of three to five years' time.

Abhishek: Great Sir. Thank you so much for answering my questions and wishing you all the best.

Vipul Mathur: Thank you.

Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question, please press "\*" and "1". The next question comes from the line of Gargi from Value Investments. Please go ahead.

Gargi: Hi, sir, thank you for the opportunity. My first question was that in Saudi, we are investing around 1,700 crores. So, wanted to understand what are the government incentives that we will be getting, and what is the payback that we are expecting from this CAPEX?

Vipul Mathur: Good morning, Gargi. You are right, our investment of th

e Rs.1,700 crore s is spread over between

both the DIP as well as for the L-SAW plant of it. There is no incentive in Saudi . The biggest incentive in Saudi Arabia is the market . And if you are there as a domestic local player and you have a market to yourself, a market to support that , I think so that is the biggest incentive. So, if you are talking of any special physical incentive , there is none. As regards to your second question with respect to payb ack, I think we take very judicious calls in terms of making all our investments. This is also a very strategic investment which we are doing in Saudi Arabia, both by DIP and L-SAW . We are seeing a very decent return ratios around it . We are looking at a payback not exceeding three to four years' time in any case.

Gargi: Sir, you mentioned in your opening remarks that the L-SAW plant India is fully utilized. So, with respect to that, I wanted to understand, after your commissioning, how lo ng do you think it will take to get the customer approvals both from the L -SAW and DI point of view , and by when do you expect to achieve full utilization for the Saudi plan t?

Vipul Mathur : Right. It is a process. I think as I said, we are targeting to commission our L-SAW plant let's say by March of 202 6 and in parallel we will also be working in terms of its approval and accre ditations.

Now , the major approval and accreditation s will happen locally, which is Saudi Aramco , and we are, and we will continuou sly try to be engaged with them, and we are hoping that should not take too much of a time beyond the plant comes up on stream. So, it might be a quarter or so, but pretty much we should be completely up and running by let's say from June of 2026.

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Gargi: Alright , sir. Secondly, with respect to the O -PVC in Bhopal , since this is a new product line for the company , how long do you think it will take to get the product approvals a nd there also if you could mention by when are you expecting full utilization ?

Vipul Mathur : Gargi, O-PVC is a revolutionary product which will be come, and which will be here in India . I am not saying that it has not been there, i t has been there at a much lower scale, but now with Welspun, its technology , I think it is going to be a very revolutionary product. We are hoping that in the very first quarter of next financial year, that's between April and June, we should be launching this particular product. It requires certain approval. There i s a process . It might take a couple of we eks or months, let's say the maybe the first quarter could be consumed in taking the basic statutory approval and then the product would be into the market. So , it is going to take time. Nothing is going to happen overnight . But as I think so from the very first quarter onward when we will start seeding this product into the market and people will start having the experience of this particular p roduct, we are expecting a very sharp pick up of this particular product line in the domestic market.

Gargi : Okay, sir. The last question was with respect to ABG. So, we have I think 165 acres of land in ABG . When do you plan to monetize it and how much are you expecting to get out of th e sale?

Vipul Mathur : I think the relevant question , Gargi , that are we doing anyt hing in ABG ? I think so we are very clearly on record that we are not doing any capital expenditure on ABG . At some point in time at an appropriate opportunity , we will monetize it . At this point in time we are in no hurry. We continue to evaluate options but in terms of a ny expenditure we are going to do, the answer is no , in terms of appropriate opportunity and time and in terms of monetization, we will see what it comes in our way.

Gargi: Okay. Thank you and all the best to you.

Vipul Mathur : Thank you.

Moderator : Thank you. The next question comes from the line of Mihir D ham

i from Sh arekhan. Please go ahead.

Mihir Dhami: Sir, c ontinu ing on a last question , how would we expect the launch of O -PVC Pipe ? Similarly , what would be the outlook beyond the plastic pipe business in the next year? Do you expect it to ramp up? Anything on that?

Vipul Mathur : Right. I have my colleague here and I will request him to address this part , please.

Ashish Prasad : Yes, thank you, V ipul and Mihir, thank y ou for asking this question. So, on the plastic pipe business, we have an aspiration to target over the next three to five years a 5% market share and that's what we are trying to do and we will work around on that. So, we are making a start in Q1 in Chhattisgarh, and slowly , as we build around and learn from that, we will keep scaling it up.

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Mihir Dhami: Any target markets inside as in you're starting with Chhattisgarh, and a ny area where you would expand ?

Ashish Prasad : Our aspirati on is to have a pan India presence. So, over a phase of time and depending on how we are able to sequence it out, we will build it up. But you would recall that we had announced an investment of 2 ,355 crores , but we will be gradual and prudent in spending CAPEX as it keeps developing.

Mihir Dhami: Okay. Thanks . That's all.

Moderator : Thank you. We take the next question from the line of Sha urya Punyani from Arjav Partners . Please go ahead.

Shaurya Punyani : Hi, sir, j ust one small question. So, would we main tain a quarterly run rate for revenue for FY '25 like

would we close around 14,000 crores top line?

Vipul Mittal : I am sure we would be, but honestly speaking, top line has no relevance for us for a simple reason , you understand . Top-line is also synonymous of what is the prevailing steel price s. If the steel prices goes down by Rs.10,000, Rs. 15,000 that gets reflected i nto top line . I think so our main focus is all about EBIT DA and the PBT level and that's what our continued focus would be in the next quart er as well as the subsequent quarters to come.

Shaurya Punyani: Okay, sir. Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question and we conclude the question -answer session. I now hand the conference over to Mr. Salil Bawa, Grou p Head of Investor Relations. Please go ahead.

Salil Bawa: Thank you very much for joining us. I will request Mr. Mathur for his closing remarks.

Vipul Mathur : Thank you, Salil. Thank you, friends for joining this call today. I greatly appreciate you all t aking time out today and asking all those very prudent questions. I hope I have answered to most of your questions. If you still feel that you require certain clarifications or certain confirmations , you can absolutely feel free to reach out to Salil as well as to G outam or to Mr. Per cy and I am sure my team would be more than happy to assist you in answering to your complete satisfaction.

But if I have to summarize , as I reflect , I think this year is pretty much done for us as you know . We are now se tting our eyes for the next two years and we have started well . All the core geographies which is India, Saudi and US, we already have a very robust order book which we are going to execute . And on top of it, the markets are also looking very, very promisi ng at this point in time, which will give us further visibility. Friends, I think so the next two to three years are going to be

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very interesting, very exciting and very profitable, and I appreciate the trust and the faith you have maintained in the compan y and that will continue to be there. Thank you very much. Thanks and a good day.

Moderator : Thank you. On behalf of JM Financial Institutional Securities Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lin es.

# Call: May 2025

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"Welspun Corp Limited Q4 FY-25 Earnings  
Conference Call"

May 29, 2025

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER , WELSPUN CORP LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER ,  
WELSPUN CORP LIMITED  
MR. ASHISH PRASAD – CHIEF EXECUTIVE OFFICE R,  
SINTEX BAPL  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATIONS , WELSPUN CORP LIMITED  
MR. SALIL BAWA – HEAD INVESTOR RELATIONS ,  
WELSPUN GROUP

MODERATOR : MR. ASHUTOSH SOMANI – JM FINANCIAL  
INSTITUTIONAL SECURITIES LIMITED

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Moderator : Ladies and gentlemen, good morning and welcome to the Welspun Corp L imited Q4 FY25 Earnings Conference Call hosted by JM Financial Institutional Securities L imited.

As a reminder all participant lines will remain in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I would now like to hand the conference over to Mr. Ashutosh Somani from JM Financial Institutional Securities Limited for opening remarks. Thank you and over to you.

Ashutosh Somani : Thanks operator and welcome everyone to the call. I will first thank Wels pun Corp for giving JM Financial the opportunity to host today's call .

Without much ado I will hand over the call to Mr. Salil Bawa – Head (Investor Relations ), Welspun Group to introduce the management. Over to you, Salil.

Salil Bawa : Thank you Ashutosh and good morning to all of you. I welcome all of you to the Q4 FY25 earnings call of Welspun Corp. Present along with me today on this forum is Mr. Vipul Mathur – Managing Director and CEO, Mr. Percy Bird y – Chief Financial Officer of Welspun Corp , Mr. Ashish Prasad – CEO of Sintex BAPL and Mr. Goutam Chakraborty ; who heads Investor Relations of Welspun C orp.

I am sure you must have received the Results and Investor Presentation of the company which are also updated on the BS E and NSE as well as on the company's website. As usual, we will start the forum with some opening remarks by the senior le adership team. We will then open the floor for your questions.

During today's discussion, we may be making references to this presentation. I request you all to take a moment to review the safe harbor statement in the presentation. Should you have any queries that remain unanswered after this Earnings Call , please feel free to reach out to anyone of us. With that, let me hand over the floor over to Mr. Vipul Mathur – MD & CEO of Welsp un Corp. Over to you Mr. Mathur.

Vipul Mathur: Thank you Salil. Good morning, everyone. I welcome you all for the Q4 and FY25 Earning Conference Call for Welspun Corp.

Let me start the discussion with the "Key Operational and Financial Highlights " of the



concluding quarter and the full financial year of FY2025 , followed we would like to give you an update on the "Business Environment " , on the "Investments " we are making, the "Market Outlook " and the "Guidance " what we wish to give for the FY2026 . Thereafter we could have interactive session and I would be more than happy to answer all of your questions which you might have in your mind.

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Just to start, let me now share the "Key Operational Highlights " for the year :

Firstly, our line pipe sales volume for India and US stood at almost 850,000 tons. Our DIP sales volume stood at 272,000 tons. Our SS ; stainless steel bars and pipe volume stood at almost 19,000 tons and 4 ,800 tons respectively. Our Sintex recorded a sale of 600 crores during this year.

Currently our consolidated order book stands at almost Rs. 19,550 crores . This consolidated order book gives us a clear visibility of more than 2 years for our US business operations and almost for 1 year for our India LSAW pipe operation, DI pipes operation and SS pipe operations. Additionally, the launch of S intex pipe at our Raipur facility and our readiness of O -PVC pipes through our Bhopal plant offers further upside potential in the current financial year.

Some of the "Key Financial Highlights " of this year were :

We have seen a consistent improvement in our performance during on a quarter -on-quarter basis I am sure you have tracked that , our FY25 EBITDA

stood at Rs. 1,858 crores and with an

EBITDA margin of around 13% our ROCE stood at 21% , our PAT is almost Rs. 1,908 crores .

I am also happy to report that the company was able to reduce their gross debt by more than Rs. 1,000 crores despite having spent almost Rs. 900 crores towards CAPEX in the financial year FY2025. Currently we are into a very healthy net cash position of Rs. 1,050 crores and considering the performance of the company, the board has recommended a dividend of 100% on the face value of the share.

Let me now move on to give you my take on the "Business Overview":

Let me first talk about the pipes. If we see from India, we are one of the largest exporters of pipes for very critical Oil & Gas applications , line pipes for Oil & Gas applications We are witnessing an increasing trend in the offshore as well as in the of fshore pipelines globally . These requirements are coming up with very stringent technical requirements. They are very demanding in nature and Welspun is only one of the two or three players globally who have the capability to meet such requirements. This positions Welspun into a niche segment in the Oil & Gas space globally and will continue to keep us ahead in the competitive curve. Further, we are Also seeing that the market potential is building up for hydrogen and carbon Capture pipelines where Welspun , through its R &D, global approvals and participation in formulating the specifications is very favorably placed across the globe.

As regards domestic Oil & Gas segment, we are seeing that the India n government is investing heavily in expanding refining capacity, pipeline capacity, new LNG terminals to meet their ever-growing energy needs. We are seeing that the natural gas is expected to play a very large role in India energy mix with the share of natural gas increasing from 6.7% to 15% by 2030. Also in the natural gas sector, the contribution of CGD, which is the City Gas Distribution accounted for 20% in FY24 and is projected to increase to 25% by 2030. So, both the transmission and the

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distribution, the transmission of expansion of natural gas network and expansion of C GD network India over the next 4 -5 years is going to be a cornerstone for Welspun growth in the domestic segment . We are a dominant domestic player and we will continue to have our share in this particular business.

Coming to the "Domestic Water Demand":

we are seeing significant emerging opportunities for pipes. When we are talking of interlinking of rivers, we are seeing a push from the center in the states like MP where we are seeing projects like Ken -Betwa and PKC . In states like Rajasthan where we are seeing projects like ERCP and in Maharashtra we are seeing projects like Wainganga -Nalganga project, and we expect that the demand for the pipes will kickstart this year. This will be followed by more interlinking projects under consideration in the northern part of India . We are also witnessing that states like Gujarat, MP, Rajasthan, Haryana, Tamil Nadu and Jharkhand are exponentially increasing the water pipeline network for irrigation, industrialization and urbanization purpose. As you k now Welspun assets are based out on pan India basis. We are present in west; we are present in the Central and we are present in the South. This gives us a unique reach to address all the demands which are coming up in these states.

Let me now move attention to the "Exports " or the other market which is the "US Market ":

As you know, we are one of the most dominant line pipe producers in the US market. Currently we have a market share of more than 30% in that market. As you have also noticed that we have a confirmed order book of more than 2 years at this point in time. On top of it, we continue to see a very strong visibility of line pipe demand in the US sector. We

are seeing a clear visibility

of the next 3 to 5 years at this point in time after consuming of this 2 years of an order book .

The crude oil production in the US is likely to go up to almost 14.5 million barrel per day by calendar year '30 and the Permian production, which is the largest Oil & Gas producing field is likely to increase from the current 6.2 million barrel per day to 8 million barrel per day. So, this increment which is happening in the Permian will continue to show a very strong demand for Oil & Gas pipelines in the US market. On top of it, we are also seeing the LNG exports going up from 90 million tons per annum to 120 million tons per annum in the next 2 and 3 years . There will be a huge surge of LNG exports which will be happening from US to the European and to the Asian markets. We are well poised to benefit from this US Oil & Gas demand, and we are confident to maintain our market share in the future times to come ahead.

As regards Saudi Arabia ; Saudi Arabia is distinct between two segments, water and Oil & Gas .

As regards water, we are continuing to see a robust demand and we are seeing a very strong visibility. There is a continuous focus on improving the water infrastructure. With rise in population over a period of time and infrastructure being build, the need for water transportation and distribution will improve further. We have a dominant presence in that particular market,

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and we almost capture more than almost 40% to 45% of the market share at this point in time in the water sector.

On the "Oil & Gas " side:

The Saudi vision of 2030, the aim is to expand their domestic gas production further and to reduce reliance on crude oil for electricity and industrial process. Which means that they intend to use gas for their domestic purpose and they want to export oil globally. This will include now a significant investment in both developmental on onshore and offshore fields in times to come . Also, we are seeing the Saudi government is making significant investments in the unconventional fields like unconventional energy needs like hydrogen and carbon capture. So , the line pipe requirement or the pipe requirement both for the water as well as for Oil & Gas sector in Saudi Arabia remains robust and we have a very strong outlook and we stand very positive for the development in this particular sector.

As regards our "DI Pipes ":

At this point in time, we have almost a confirmed order book of more than 350,000 tons for the DI pipes. This is almost 1 year of an order book for us. However, in the previous quarters we have seen a little bit of a slowdown towards the release of funds under JJM funding. But we have now seen that this pain seems to be getting over. We are expecting that things will start improving from the end of the first quarter, beginning second quarter of FY2026. We have started seeing the improvement , we have seen the cash flows started coming in and I am sure things will only improve from here on. There are multiple projects which have been announced in FY2026. A lot of distribution network is being created across the states of Madhya Pradesh, Maharashtra, Rajasthan, Gujarat and I think so and that it gives us a very strong belief that the demand for the DI pipes will continue to stay strong in FY2026 as well.

We have as a part of our strategy we are also spreading in the domestic markets like Haryana, Chhattisgarh, Punjab, Odisha, Telangana and Kerala. While from a freight perspective, these are not very lucrative markets for us. But from a presence perspective and as a strategy we are making a foray in this particular in these markets as well.

On top of it, we are also focusing heavily in terms of exporting the DI pipes. As you are kindly aware that we have opened up a subsidiary in Europe and we intend to export DI pipes to Eur

ope

as well. I am also happy to report that we have made the first shipment which has been received there and it has been delivered to the customer and it has been received extremely well. Moving forward, our focus would continue to be on the domestic market , domestic market expansion and the export. I am sure that these three pillars put together will allow us to be a dominant player into the DI pipe industry.

Further, as you are also aware that we are investing for the DI pipe facility in Saudi Arabia , the market scenario and the opportunities for DI pipes in Saudi remain extremely strong. There is a very high demand for the supplies, and which is towards import substitutions. At this point in

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time, the local DI players are unable to meet the requirement of the Saudi market. There is a huge import which are taking place and I am sure that once Welspun DI facility will come up in Saudi Arabia which I will subsequently cover on the timeline side of it, we will be able to ride on this wave, and it will set us a very strong base as a local DI player in the Saudi market.

Coming to our niche "Stainless Steel Bar and the Pipe" business :

We have a great year. The FY25 was a very defining year for us. The company has really met all the expectations what we had set. FY2026 has also started on a great note and our company we have received an order of almost 4000 tons from BHEL for SS boiler tube for supercritical power plant reinforcing our position in the growing power gen segment. This order will see to it that our pipe capacities are completely booked for almost throughout the year.

We are also focusing heavily in terms of making high grade high value -added steel. As you know this is the only facility which is an integrated facility where we make our own steel, where we process our own steel, where we make our own pipes. So, this is the only integrated facility. We are now focusing in terms of expanding our base in the stainless -steel market as well both domestically as well as exports. We are seeing a good traction coming up both for the pipe and the steel in the value -added segment like Defence, space, power gen, Oil & Gas , petrochemicals etc. So, this company through its stainless -steel pipe and steel is absolutely poised and to grow from here on.

Coming to the "Sintex":

Sintex has two distinct businesses , one is the water storage tanks business and other the plastic pipe business. Let me dwell over the water storage tank business. This year has been a year where we have grown despite the market have shrunk and that is a clear reflection of acceptance of Sintex brand in the domestic market. We have been pursuing rigorously our channel expansion. Today I am happy to report that we have more than 13,000 partners associated with us and almost 15,000 plumbers associated with us who are the flag bearers for Welspun Sintex brand. Ashish, if I, am I right on my numbers?

Ashish Prasad: Slightly larger number but that's the size.

Vipul Mathur: Okay. The team out here led by Ashish is doing an exceedingly good job in terms of propagating this brand on a pan India basis. We are also focusing strongly on brand building. We have increased our brand visibility through brand sponsorship with WPL , continued BTL activities in print , TV and OOH media campaigns in the launch markets. Our focus is also to be a premium player , so our sharp focus is on the premium segment. Our premiumization strategy continues to drive our value growth supported by sustainable expansion of the pure franchise. I am sure you would have quite a few questions around the Sintex and Ashish is here and I am sure he will be able to address all of them and this he will address in the Q &A session.

Coming to the "Sintex Pipe " business :

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We are operating at two est

ablishments at this point in time , one is at Raipur and the other at Bhopal . The Raipur facility which is the Wetek facility, is now fully operational and we have launched multiple products which have been well received in the market. We have for the very first time introduced the world 's first proven antimicrobial C -PVC pipes. The facility at Bhopal where we are setting up our first O -PVC pipe plant has received its BIS approval. We are now aggressively going to market and build up our market share over the next few months . We are going to enhance or increase our O -PVC capability. Starting after Bhopal we will move on to Raipur and our intent is very clear that we will be a formidable player in this value -added O-PVC market.

I would also like to cover our building materials, the other part of the building materials which is the TMT bar segment. This year we achieved the highest sale of 211,000 tons in FY2025. We are a formidable player in Gujarat where we are seeing a substantial demand coming from various infrastructure projects which are happening in the state. We have been able to expand our customer base, and the key and noticeable customers happens to be Reliance , Adani, I TD Cementation, Thesin Pro, who are pursuing large infrastructure projects in the state. And we being a quality player within Gujarat we are in a very formidable position and expanding our base for supply of TMT pipes in Gujarat itself. We have been recognized as one of the premium quality players and our brand, the Welspun Shield has created a niche for itself. So, these are the few business updates which I wanted to give you about all the business segments, what we have. I would now like to draw your attention to the "investments " what we have made over the period of time :

There are few investments which we have notified to you during the Quarter 3 also during our

investor call in November and there are a few more investments which we have cleared and they are very synergistic in terms of growing Welspun, taking Welspun Corp to the next level. Our key focus remains intact that we will only participate in core geographies and core products. That is the doctrine we are working, we have agreed to work on and that is it in these guardrails we are working.

Apart from the few projects which we have already notified, announced and for which I will give you an update subsequently. In our board meeting yesterday, we have also cleared some 2 or 3 new projects, and I would like to draw your attention to that. Looking at the ever-growing demand of the oil in the Oil & Gas sector in the US market and also the change in the dynamics which is happening in the US market where there is no import which is now going to happen in times to come because of the trade restrictions and the policies and the import duties which have been put up by the new current administration.

There will be a huge demand which will be coming up for LSAW pipes. Traditionally from India we had been supplying LSAW pipes for the offshore application and for the LNG applications from India on almost 150,000 tons on a year-on-year basis. But that business globally will now go away which means that there will be no heavy wall pipes which will be coming to the US through import route. So, considering all those factors, considering the potential it offers now  
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and for the future for the next 5 to 7 years, we have decided to set up a greenfield LSAW pipe manufacturing plant which will include a DJ and a coating plant with a capacity of 350,000 tons. Apart from that, we have also decided to upgrade our existing Spiral facility in India. This facility is a hybrid facility which had a provision to make Spiral and LSAW pipes both. However, we have always been using this facility as a Spiral pipe facility. What we have decided now to make it com

pletely hybrid as it was earlier originally envisaged and we are only augmenting the LSAW forming facility into that. So, this is a minor upgradation which is going to happen there. Thirdly, along with these pipes we are seeing a strong demand coming from Hot Induction Bends. We are the player for the Hot Induction Bends. Hot Induction Bends are part and parcel of the line pipe business. We have been a player into this particular field. But when we are seeing a huge demand, additional new demands with very stringent specifications with quenching and tempering requirements coming up. Basically, considering all that and this requirement and this being a very value-added segment, we are now we have decided to set up a brand-new state of the art pipe bending setup at Anjar.

Lastly, as we told you the last time, we are enhancing our pipe making facilities at Bhopal where we are seeing a huge demand coming up in respect of the interlinking of rivers and the water demand and distribution. That facility will also require some calibration for the coating. So basically, we are also adding up a coating facility to meet the gaps between the pipe and the coating out there. So, we have decided to set up a coating facility at Bhopal. So, these are the four additional investments which the board has cleared yesterday, and I am very sure that all these apart from the greenfield LSAW pipeline project in USA which is going to be a game changer, the other three are more of a capacity augmentation and capability enhancement and they will be able to bring a significant amount of value-added in a profitability to the Welspun's top line as well as the profitability.

Further, we have also decided to drop our expansion in DRI capacity as we want to keep our strategic focus on high priority value added business segments. So, at this point in time, we have decided not to pursue with our DRI expansion. As you know, we have well demonstrated our investment rationales in the last few years, which has helped the company to significantly scale up its performance. Now as we move forward with the ongoing projects along with the new ones, it will further strengthen our leadership position globally in our core product and core geographies mission.

If you recollect, we had announced that the total capital expenditure will be close to Rs. 5,500 crores over the next 2 years, which is FY26 and '27 and with the calibration what we have done we would still be within the same CAPEX which we have announced even when we are announcing the new facilities. So, there is no going, there is not going to be any additional capital CAPEX which we are announcing. We are well within the announced limits even after adding the three or four facilities what we have spoken about most importantly our balance sheet still continues to remain strong as you have.

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As I said earlier, we are a net cash company. We have a strong cash available of almost Rs. 1,000 odd crores. Our balance sheet remains very strong despite this CAPEX spend and we are very

sharply focused to be a net debt positive company . Despite making all these CAPEX es which we will do over the next 2 years on a year -on-year basis we have, we will continue to be a net debt positive company.

Lastly, as regards to the "Guidance ":

As we see that considering the landscape what we have, considering the order book what we have and considering that the potential what the company has, we are significantly enhancing our guidance for the FY2026. We are giving guidance for the revenue of almost Rs. 17,500 crores which could be 25% higher over the FY25 actuals. However, the most important factor to be focused upon is the EBITDA guidance where we are giving EBITDA guidance of almost Rs. 2,200 crores which is 18% over the FY18 actuals. If you recollect friends , I had in my investor meet in N

ovember and in all subsequent quarter calls, we have maintained that we will grow at a 15% CAGR. Last year this FY25 we achieved an EBIT of Rs. 1,850 crores , for the FY 2026 we are giving guidance of Rs. 2,200 crores which is 18% over and above last year. We believe in walking the talk and I am sure if you see our performance over the last 3 years where we have given you the guidance, we have always maintained or ex ceeded what we have committed to you.

Thirdly and most importantly at the ROCE we continue to focus on the same and we are committing a ROCE of more than 20%. And if you see this guidance was also given for the last 3 years and we have been able to maintai n our ROCE exceeding 20%. So, a top line guidance of Rs. 17,500 crores , more importantly the EBITDA guidance of Rs. 2,200 crores and a R OCE of 20%. Along with this I am again reiterating that we will keep our net debt to EBITDA less than 1 which means ther e will be all the CAPEX investments which are going to happen . They are absolutely being done in a very calibrated manner. All the existing business are generating sufficient free cash flow. We are not going to increase our debts. Our net debt to EBITDA which we are very mindful of will always be maintained below 1.

Last but not the least, our focus on digitalization, our people and sustainable journey remains intact. I am very happy to share that Welspun Corp now ranks among the top #10 in the global in steel industry and second among the India n steel players at S&P Global DGSJ Corporate Sustainability index as of April 2025. Our people are our strength. We are investing heavily into their upskilling growth. We are optimizing, we are becoming a very syst ematic and process driven organization. We are investing heavily into digitalization, and we are creating a foundation and very strong pillars for this company for having catapulted growth in years to come.

With this I want to thank you for joining us toda y and I will request the moderator to open the floor for any questions ; you friends and the gentlemen might have it. Thank you very much.

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Moderator : Thank you . Ladies and gentlemen, we will now begin the question -and-answer session. Thank you very much . The first question comes from the line of Vikas from PhilipCapital. Please go ahead.

Vikas : Good morning, sir and congratulations on a good set of numbers. So, my first questions regarding the guidance while the revenue is growing by 25% but EBITDA is goin g by 18% only , especially when US is expected to fire. So, is the domestic business is going to perform poorly on a YOY basis?

Vipul Mathur: Good morning Vikas. I think so as I said, the focus on the top line should be your least of your concern because the top line is a factor of the steel pricing which is a pass through for us. As I have always mentioned , it will be more prudent to focus on the EBITDA numbers because that is what in my control . The top line is a factor of steel and which is not i n my control. So, it is a pass through. So, it is no reflection of India not doing well or US doing better. It is not a reflection of that. It is purely a reflection of the current state of numbers at the steel price which is behaving. So, my request would be to you and to all to continue to focus and track our progress with respect to EBITDA please.

Vikas: Understood. S ir, my second question pertains to Sintex . While our basically capacity remains the same our CAPEX has come down to almos t 1,000 crores , exactly what has happened there? What portion we have changed to inside that kind of the saving.

Vipul Mathur: Vikas, a s you said as we have mentioned, the CAPEX of what we have earlier announced was staggered over multiple years. It was no t supposed to be done in 1 year time. All what we are trying to bring in a very clear visibility that what is

the CAPEX which we did in FY25 , what are we going to do in FY26 , what are we going to do In FY27 . The whole objective of bringing this is to bring clarity to all the esteemed investors out here. Because by saying that I am going to invest Rs. 2,400 crores I think so there were certain apprehensions in mind or were not able to

explain clearly that few of the people thought that we are going to invest that money in day one. It's not going to happen. It is scattered over the period of time. All what we are trying to bring in is clarity for the next 2 years.

Vikas: So, the corresponding capacity regarding 1,300 crores what will be the corresponding capacity addition out of this 200 KMTPA?

Vipul Mathur: So, the major capacity additions would be on the O-PVC side of it. As you know, currently we have set up, we have added capacity for O-PVC pipe in Bhopal. We will now add the O-PVC capability in Raipur which should happen by the end of this year and thereafter we are looking for capacity addition in the South. So, these are the three capacity additions most likely which are going to happen over the next 18 to 24 months' time or the other 18 months' time, let me put it this way.

Vikas: And tonnage would be sir, combined all these three?

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Vipul Mathur: Tonnage may not be the right way of looking at the O-PVC pipes. Vikas, when we have to talk about O-PVC we will have to talk about what sizes we are adding, how many machines we are adding, what is the linear meters we are adding. I think so that will be the right matrix to discuss because tonnage has no relevance at this point in time when you talk of from an O-PVC perspective. I think so we can have a sort of offline to explain you more in detail that what does O-PVC mean, how many lines we are going to add, by what timelines we are going to add, what it will add into the linear meters, what percentage of market share? I think so these are certain questions which we can apprise you offline.

Vikas: Noted. Sir, just on the last question. If you could give us the sales and PAT of Sintex and what is the guidance for Sintex separately it would be really helpful?

Vipul Mathur: We have given consolidated guidance. Sintex is embedded into that, just to give you the comfort that Sintex is absolutely a company which is very sharply focused internally. They have been doing exceedingly well in the last 12 months despite that the market has significantly calibrated downward. But I think that the way the Sintex has proven their mettle, and they have regained the market share and in the premium positioning that's a commendable work they have done at this point in time. The company, Sintex will continue to be in our focus. Their revenue, their top line and their earnings both are embedded into the guidance what we have given, will be difficult to split it out separately. But be rest assured that it is absolutely a company which is on a growth path and on our focus.

Vikas: And this is sir, thank you for the opportunity and all the best for future.

Vipul Mathur: I think so the CEO, Ashish also may have a view to add to that. Ashish, please.

Ashish Prasad: Thanks Vipul. Vikas good morning. I think what we are trying to do is Sintex is a premium play and as you would have heard us right now, we are driving premiumization and premiumization is driving our growth. So, we are obviously a profitable company and when improving on profitability. That's what we are doing and everything which we are trying to do, we are trying to build a plus one distinct advantage. And I think that's the strategy which we would like to reinforce the market and because we want to play not the tonnage game but we really want to play the value creation game.

Vikas: So, you are implying we are PAT positive as of now?

Ashish Prasad: Yes.

Vikas: Thank you.

Mo

derator: Thank you. The next question comes from the line of Radha from B &K Securities. Please go ahead.

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Sailesh: Hello sir, this is Sailesh here. Thanks for the opportunity. Congratulations for the strong performance in these challenging times. We are entering the DSAW pipe segment in the US along with setting up a coating facility. So could you provide insight on the market size of this product in US, who are all the key players currently operating in this space and what gives us a competitive edge or the right to win in this market. Additionally, how do you view the longevity of demand for DSAW pipes in US? Given that the planned CAPEX exceeds 1,000 crores along with the associated working capital requirement, what kind of payback you are expecting?

Vipul Mathur: Good morning, Sailesh and thank you very much for joining this call and asking a great question.

First and foremost, we have to clearly recognize that Welspun is one of the most dominant players in the Oil & Gas space, especially in the line pipe in the US market. We have a formidable presence there at this point in time. Currently we are producing Spiral pipes, we are also producing HFIW pipes and we enjoy almost close to a market share of more than 30%. The

DSAW pipe story was a little different. We were not a player there because the DSAW pipes was not being produced. There was just one player who was producing that DSAW pipe. One big player and one small player, those who were producing that. But largely they also had a limited capability to produce, so largely all most of the DSAW pipe was coming as an import. Historically this market is anything between close to 400,000 to 500,000 tons on a year-on-year basis at this point in time and it has been regularly over the last 7 to 8 years. When we did our study, we were very clear that the next 5 to 7 years also look very buoyant. And the demand is going to be consistently around close to 400,000 to 500,000 tons. It has a potential to go up if this LNG processing gets further expedited. So that gives us an opportunity to venture into that particular market. Now when the new restrictions are coming in there is and the demand for made and melt in America growing there and no imports can happen for the DSAW pipes. So here was an opportunity for someone like Welspun to go ahead and complete its portfolio. Typically the portfolio of a pipe industry consists of a DSAW pipe which is the LSAW pipe, Spiral, HFIW. So, we have two assets there which are Spiral and HFIW which are one of the top performing assets. Only the DSAW was missing and now this opportunity which came up the table, we analyze it and we see a significant merit going into that. So, we are very confident that, we should be able to leverage and create a market share and get our market share for this particular facility. At this point in time, it will take around 15 odd months to set up this facility. And once that is being done and we see a clear market potential for the next 5 to 7 years' time. Sailesh: Very good to know this. Currently we generate EBITDA of 230 per ton in our US operation, what kind of EBITDA do you expect and what is the payback you are expecting in this DSAW pipe?

Vipul Mathur: All that, it is clearly suggesting us that the payback would be anything between 3 to 4 years, less than 4 years.

Sailesh: Okay, great sir. My second question, given the opportunity you highlighted in Saudi DI market and the expected oversupply situation India next 1-2 years, where do you see better potential for ROCE? Would it be more prudent to scale up operation in Saudi or rather than expanding further Welspun Corp Limited

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in India? Especially since market dynamics there is the one in Saudi appears more favorable. I would assume the ROCE from Saudi is a

ctually stronger compared to India DI segments. Would it be fair assessment, what is your view on this?

Vipul Mathur: I think so, we are reading a little too much in the DIP India story at this point in time. The last two quarters have been a little, we have seen a downward trend. But that was because of the cash flow issue. The demand, if you look at it, the demand looks very robust, number one. There is a lot of work which is still to be done under this Jal Jeevan Mission, I think almost still 40% work is yet to be done. And we are clearly seeing signs that the government is committed to get this work done. Only in the last one or two quarters we have seen the slowdown in terms of cash flow. But in terms of demand, I don't think so, Sailesh, we are seeing anything going down. So, we continue to see that the requirement for the DI pipes over the next 3-4 years in India will remain strong. Saudi is a different story altogether. The logic going to Saudi has a different connotation altogether. Saudi, there's a huge imports which are happening there and it is our intent that we would like to be a local player in the Saudi market. And that is what the need of that particular market is. So, I think we will have to distinctly look evaluate Saudi separately and India separately. And for India I don't see any reason of undue concern in days to come.

Sailesh: In O-PVC how many lines we have added so far?

Vipul Mathur: Currently we have added two lines. We have started with two lines at Bhopal, and we intend to add an additional four lines in months to come and that will be spread over at Raipur and somewhere in the South. So, our plan over the next 12 to 15 months' time is to add an additional four lines in O-PVC. We are very clear that we want to be a very dominant player into the O-PVC market.

Sailesh: Each line will have 3000 or 5000 tons?

Vipul Mathur: Depends Sailesh, again the sizes what you are making. These lines are typically from anything from 80 millimeter to 260 millimeter. We have gone with a very optimized designs of these lines where we are bringing capability for small diameter and also, we are bringing capability for high diameter. So, depending on how are we going to use it, the tonnages will keep on changing. But what is more important is that we are going to have a fairly pan India geographical presence to capture to this market.

Sailesh: Great sir. Thank you, sir. All the best.

Vipul Mathur: Thank you Sailesh.

Moderator: Thank you. The next question comes from the line of Shweta Dixit from Systematic s Group. Please go ahead.

Shweta Dixit: Hi, good morning. Thank you for the opportunity. Could you just highlight all the set of

expansions that are happening as of now in US and the timelines when they get commissioned  
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along with the new capacity expansion that you announced today ? Also, your thoughts on the narrative like earlier what the narrative was that these pipes since they are not manufactured or since the capabilities within US are limited , that is why we were not expecting a lot of impact on imports. Now that seems to have changed where we are now planning to set up this facility.

So, what has changed in these few months to decide to go and set up this capacity there?

Vipul Mathur: So Shweta, just to answer your first question that what are the expansions and what are the timelines , I will request if you go to my investor presentation and if you look at Slide 14 of 18 there, you will get all the answers there. It lists down completely all that what we are doing, what are the expenditure we are going to do and what are the timelines to that. So, I think so that will give you a very fairly comprehensive picture around that. If you do not have it, I will ask Go utam here to share that investor presentation with you separately. So that will give you the a

nswer ,

number one. Number two, with respect to the narrative for the LSAW pipe , we were not LSAW pipe player in the US market. We were always a Spiral and HFIW player. And I have always maintained my narratives that there will be no import of Spiral pipes which will happen into US and it was not happening. There was an import of LSAW pipes which was happening into the US. We were not commenting over it because we were not a player. We were supplying out of India and companies like from Japan, companies from Europe were also supplying those pipes to US market. So, I never said that, I spoke about the LSAW pipe because we were not a domestic player. Now with the change of scenario where there is a complete restriction which is happening for the imports of pipe including the longitudinal pipe , it is a scenario something very similar to Spiral pipes where now they are very clear that all the longitudinal pipes have to be melt and make in America as was the case or as is the case with the Spiral pipes. This is a change which has happened, there is an opportunity. So, there is a change which is happening. There is an opportunity which is emerging. We are one of the largest players in the line pipe sector. We want to maintain our leadership for a particular position in that particular market. I have a market share of more than 30%. I have to protect my market share. Here is a brilliant opportunity which is coming up on the table. Who else other than Welspun will not like to capture this opportunity? And that is how we have got it.

Shweta Dixit: Understood, sir. So next question, I mean what would be your consolidated CAPEX guidance for FY26 and '27 annual CAPEX what is it likely to be versus 900 crores that was spent this year?

Vipul Mathur: Shweta, again I would say go back to the investor presentation . It clearly shows that earlier we have announced the CAPEX of almost Rs. 5,500 crores almost 6 months or 9 months back. We are within this CAPEX only and this CAPEX is going to happen over the next 2 years.

Shweta Dixit: So, if we take 5,500 crores , 900 crores roughly being spent already that still leaves us 4,500 crores . So that brings us to a number of around 2,200 crores annually for the next 2 years. Is this calculation correct?

Vipul Mathur: May not be the right way of looking because CAPEX s are staggered over a period of time . they are more back end loaded rather than front -end loaded. We will have to see a little more into

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detail but from a simple arithmetical perspective as what you are saying may be right, may not be right but I think the right way of looking at that they will be more back end loaded rather than front end loaded.

Shweta Dixit: Okay, understood. Thank you, sir. I will come back in the queue for more questions.

Vipul Mathur: Sure. Thank you, Shweta .

Moderator: Thank you. The next question comes from the line of P ujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah: My first question would be on the O -PVC side. So currently we have been seeing that there is a good traction in this space as well as what we have made an agreement with Rollepaal. They are also planning to expand their capacities in India . Right now, what we have been eyeing in the initial bunch was that we wanted to launch a 10 lines for O -PVC .

Vipul Mathur: What did you say the last sentence please.

Pujan Shah: So, what we have been planning to invest in the O -PVC is 10 lines total. So right now, what we have been started is two lines in Bhopal and four lines will be coming in 12 -15 months. So currently wanted to know what is the current capability of Rollepaal right now , so that our aspiration to build and make the market share can be prominent enough in coming years.

Vipul Mathur: Mr. Shah, I don't think so you should have any doubt whatsoever in that , number



one . Number

two Rol lepaal has an exclusive understanding with Welspun . This year we are planning to bring in six lines. Two lines have already come in, the other two are likely to come and the third pair of two lines will come by the start of the next year. So as I said earlier, we are going ahead with six lines planned at this point in time. Two of them are already commissioned, two of them will get commissioned by the end of the year and the next two will be somewhere towards the start of the next financial year. So that's the roadmap we have clearly outlined at this point in time. Further, as I said earlier as well, Sintex plan is we are talking of a Sintex plan, staggered plan and investment in a calibrated manner over the next 3 to 4 years' time . So, all what I am clearly outlining today is that what we are going to do over the next 2 years' time . Over the next 12 months to 15 months' time, you will see at least six O-PVC lines fully operational under Welspun belt on a pan India basis. And that should give us a sort of a significant leeway into and become a significant player in the domestic O-PVC market.

Pujan Shah: So, to summarize this thing. So, there is no shortage from the supplier. So, Rolle paal can manufacture six lines in a year, right?

Vipul Mathur: They can do that. That's what they can do. That's what our understanding and agreement with them is.

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Pujan Shah: Okay, got it. And sir, on the context, right now we have been opening up in Bhopal and second opportunity we are focusing on Raipur , Chhattisgarh market. So do you think this market has been , we can cater enough and that there would be enough tender flow will be opening up in this space. That's where because right now due to the slowdown in Jal Jeevan there is a bit of a lag which has been happening in the O-PVC business.

Vipul Mathur: Mr. Shah , we have a strong reason that this flow and this demand will continue to be there.

Please understand this O-PVC market is in the small diameter. They are only anything from 80 millimeter let's say to up to 250 or 300 millimeters . This is a market which has a very strong demand. J JM is an abrasion at this point in time. As I said earlier too, the last two per quarter issues of J JM cannot be pointed as the way forward of JJM. There's a lot of work; it is a mission on which Government of India is working. And we have seen in the past that when the Government of India takes anything as a project, as a mission, they bring it, they always complete it. And there's a lot of intrinsic socio-economic benefit which is coming out of this particular mission. We have all the reasons to believe and all the indications to believe that J JM will continue to stay strong for the next 5 to 7 years' time . And in this both O-PVC as well as DIP will get completely consumed in interest.

Pujan Shah: Just wanted to understand the CAPEX amount for the O-PVC, what's the amount we have been planning to spend for six lines?

Vipul Mathur: We have announced a comprehensive CAPEX of Rs. 1,300 crores over the next 2 years. That's the way it looks like . We have already spent close to Rs. 300 odd crores in the first year which was in FY25. Between FY26 and '27 we will be spending additional Rs. 1,000 crores and it will be largely on O-PVC pipes. Also, there would be some upgradation and calibration of our water storage facilities and some SDP balancing lines. So, it is a comprehensive CAPEX which we are going to do but largely it is focused toward O-PVC.

Pujan Shah: And my last question would be , so what's the aspirational margins we have been eyeing in this space? What will be the aspirational EBITDA margins we have been eyeing for O-PVC ?

Vipul Mathur: This business is definitely mid-teen margin business for sure, and I am sure that we should be able to get that if not exceed that

.

Moderator: Thank you. We take the next question from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Hi, good morning Mathurji . First of all, congratulations and very good transparent communication I feel , so congratulation on that as well. Sir, I have just one question , on the US orders which we have won in the last two quarters specifically . In the past 2 years back, we have seen that you have got advances also from the customer in along with the orders and the price variation whatever has happened is completely hedged in a way because of that. But this time when you received order we have actually not seen inventory going up along with it. So how are

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you looking at the overall because there will be volatility in the metal prices ? So how are you hedging and how should we ensure that our margins will be range bound?

Vipul Mathur: Good morning, Resham. Thank you very much for joining . With respect to this US orders , there is no fundamental change as to what has happened last year and versus the order book what we have this year. These orders are all first and foremost confirmed orders . Number two, the steel

is fully hedged. As we speak the steel is getting being produced and in a gradual manner the steel, inventory buildup will happen. So in terms of any risk we are carrying on the steel if that is their concern and that's the question, Resham please be assured that there is no change in that. There is no risk on that.

Resham Jain: Okay, understood. Should one assume a similar range bound kind of margins, obviously some volatility will obviously be there but will be range bound?

Vipul Mathur: I am agnostic to volatility because I have already covered the steel. I am completely hedged on the steel. So, my price is fixed, so I am completely covered. So, there is nothing called volatility or uncertainty into the margins.

Resham Jain: Understood. But you have not bought steel. It is mostly booked because last time, 2 years back I remember we had bought it also and the customer has given us advances also against that. That is not the case this time.

Vipul Mathur: It is the same case, Resham. We have already booked the steel. As the steel inventory will start building up, the customer will keep on paying for the steel. So, there is no change in that. The steel is completely booked. All what you are looking is that, our inventories are a little lower at this point in time in comparison to last year. But you will see over quarter-on-quarter they will start getting building up and they will be all customer paid inventory, be reassured on that.

Resham Jain: Understood sir, very clear and all the best. Thank you.

Vipul Mathur: Thank you, Resham.

Moderator: Thank you. The next question comes from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Hello sir. Congrats on a good set of numbers. I had a question on the DI pipes India. Although we know that Jal Jeevan is a long-term vision, I just wanted some short-term insight on the business. So, the cash crunch and the inventory in the system, will it impact execution, order inflow and the EBITDA spread that we make in this business? This is a short-term statement that I want from you and also the second thing is that you rolled back your CAPEX in the DI pipe segment. So, is it a situation currently of oversupply and less demand? So yes, these two aspects.

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Vipul Mathur: Deepak, let me take your second question the first, I don't know when you mentioned that we have rolled back our CAPEX on DIP, we have not. Actually, we had gone ahead with the DIP expansion and that expansion stands completed and we are doing it is currently under trials at this point in time. So we have not rolled back an

y CAPEX suspension and DI pipes, number one

because we fundamentally strongly believe into this particular business, number one. Number two, coming back to the pricing part of it, at this point in time as I said, we have close to 350,000 tons of a confirmed order book what we have, number one. Pricing is a factor of the market, at this point in time, is full 350,000 tons booked at the same price, the answer is no. They have been booked at different price, different time, at different price levels, number one. Number two, moving forward to the extent your point is right Deepak, that we have seen that correspondingly what was in Quarter 1 of last year, the pricing prevalent at that point in time versus the pricing prevalent in Quarter 1 of FY26, there's a difference. The prices have calibrated downward, so has the cost. So, at the end of the day the margins, the EBITDA margins or the contribution margins are very well protected even at this point in time. So, we are seeing, I am sure you are tracking the global queues with respect to iron ore and the coal and which are the two major factors deciding the pricing. They also, they have also get significantly calibrated over from a Quarter 1 of the last year versus the Quarter 1 of this year. So, in terms of margin, I think so we have been able to protect our margins, number one. Number two, in terms of demand, we are very buoyant about the demand. This is a project business, cyclical business we all know that. One quarter, two quarter here and there demand can be low, there could be some cash flow challenges because at the end of the day it is government buy. But then is it creating any potential threat, I don't think so. And I believe that the industry with whom we are also a part of it and so the industry per se feels buoyant about it.

Deepak Lalwani: Understood. Got it. And secondly on Sintex, if you can give out the revenue and EBITDA that we generated this year, that will be helpful.

Vipul Mathur: As I said Deepak, our top line was close to Rs. 600 crores for the Sintex and this entails business from the water storage tanks and it is completely assimilated into our consolidated EBITDA.

But I think so I will advise my people to have an offline discussion with you and to give you a little more granular details about this piece. Gautam can you please get in touch and close it out?

Deepak Lalwani: Thank you.

Vipul Mathur: Thank you Deepak.

Moderator: Thank you. We take the next question from the line of Ankit from Market Cord Research Private Limited. Please go ahead.

Ankit: Sir congratulations on a set of numbers. I have a few questions. What percentage of the production you are doing in US is dependent on imports of the raw material ?

Vipul Mathur: Right now, for the confirmed order book you are talking Ankit?

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Ankit: Yes, we can take an example of Q4 and talk about it. Whatever production we did what was --

Vipul Mathur: There is no import, zero. It is all domestic steel, melt and produce in America and the pipes made in America and pipes supplied in America. So, there is nothing which is going to get imported.

Ankit: We are talking about raw material, right?

Vipul Mathur: Yes, your question was about raw material only, right?

Ankit: Yes, that's correct. Okay. Next question is sir, what percentage of volumes and EBITDA in Q4 was contributed by the production in USA? Can we get some favor on that?

Vipul Mathur: I don't think so, that will be the right way of looking at things. I always maintain that, this is not a company to be monitored, it's a project-based company. It has nothing to be monitored on a month-on-month basis, quarter-on-quarter basis. The quarter revenues and the quarter EBITDAs are the factor of your product mix, what are you producing at that point in time. It is a blend of some very profitable

order versus some low marginal contribution order, some medium

profitability order. So, I don't think so that will be the right way of looking at things. We should be focusing more on a quarter basis and more on a half yearly basis and take my word on the guidance side of it please for the yearly guidance side of it. It will be very difficult to talk on a month-on-month basis.

Ankit: Sure. One last question is, I see that you have export demand increasing in markets like Saudi Arabia and Qatar as well. The market like Qatar do you see as a onetime trend or you see the long-term trend in Qatar ?

Vipul Mathur: Which product are you talking Ankit ? Please understand Welspun is now a conglomerate. For me markets are for LSAW pipes, the market is for me for SS pipes, the market is for me for DI pipe, the market is for me for O-PVC pipe. So, help me understand, clarify which particular segment of the business you are asking for.

Ankit: LSWA pipe.

Vipul Mathur: Yes. So on the LSAW pipe I think so Qatar, if you look at their potential and if you look at their roadmap, I think so they have very clearly articulated the roadmap for the next 10 years that what is their gas potential at this point in time and where do they want to reach? It's a long term, 10 year investment plan they have put up on the table and I believe that this demand for the Qatar will be there on a sustained basis. That's my very strong understanding of the whole subject.

Ankit: Okay, thank you sir.

Vipul Mathur: Thank you, Ankit.

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Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to the management for their closing comments.

Vipul Mathur: So once again, thank you gentlemen for joining us for this call today. I hope that we would have been able to bring almost full clarity and transparency on the subject matter. At Welspun, this is one of our core values which we believe in, that you are our partners and we have to be absolutely fair and transparent to them. We are living up to your expectation. But having said that, if you still have any further queries, any other questions, please feel free to reach out to the CFO, to our IR team and they will be more than happy to assist you. Just to conclude, I just wanted to give you the assurance and the comfort that this company is not poised, it's going to a different league, a different orbit. The Welspun Corp, it's a new normal for Welspun Corp which you have seen emerging over a period of time. Here on when we will end up this year, by that time you will have two new facilities which would have come up on stream and we would see their earnings and their EBITDAs also coming up into our play. So, the next 3 to 5 years we are building this organization from one level to another and it is a very exciting journey and gentlemen, your trust and your confidence in us will help us to scale new heights. I thank you very much for joining me today and thank you very much.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Welspun Corp Limited  
Q1 FY '26 Earnings Conference Call "  
July 30, 2025

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER – WELSPUN CORP  
LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER –  
WELSPUN CORP LIMITED  
MR. ASHISH PRASAD – CHIEF EXECUTIVE OFFICER –  
SINTEX BAPL  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATIONS – WELSPUN CORP LIMITED  
MR. SALIL BAWA – GROUP HEAD, INVESTOR  
RELATIONS – WELSPUN WORLD

MODERATOR MR. ASHUTOSH SOMANI – JM FINANCIAL  
INSTITUTIONAL EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Corp Limited Q1 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ashutosh Somani from JM Financial Institutional Securities Limited. Thank you, and over to you.

Ashutosh Somani: Thanks operator and welcome, everyone, to the call. I will first thank Welspun Corp for giving JM Financial the opportunity to host today's call. Without much ado, I'll hand over the call to Mr. Salil Bawa, Head, Investor Relations, Welspun Group, to introduce the management. Over to you, Salil.

Salil Bawa: Thank you very much, Ashutosh, and good morning to all of you. I welcome all of you to the Q1 FY '26 earnings call of Welspun Corp. Present along with me today on this forum are Mr. Vipul Mathur, Managing Director and CEO of Welspun Corp; I have Mr. Percy Birdy, Chief Financial Officer; Mr. Ashish Prasad, CEO of our Sintex BAPL; and Goutam Chakraborty, who takes care of Investor Relations for Welspun Corp.

You must have received the results and investor presentation of the company, which are also available on the stock exchanges as well as on the company's website. As usual, we will start the forum with opening remarks by the leadership team. Then we will open the floor for the questions. During discussion, we may be making references to the presentation. And that's why I'm requesting you to take a moment to review the safe harbor statement in the presentation. Should you have any queries that remain unanswered after this call, please feel free to reach out to any one of us.

With that, let me hand over the floor over to Mr. Vipul Mathur, MD and CEO of Welspun Corp. Over to you, Mr. Mathur.

Vipul Mathur: Thank you, Salil, and good morning to everyone. Welcome all to the Welspun Corp Q1 FY '26 Earnings Conference Call. As a practice, I will start my discussion giving you the brief overview of the key operational and the financial highlights of the concluding quarter, followed with an update on the business environment, our investments, guidance and thereafter, we could have a more interactive session.

So just to share the key operational highlights of the quarter 1 are as under. Number one, our

line pipe sales volume for India and U.S. stood at almost 182,000 tons. Our DI sales volume stood at 65,000 tons. Our SS Bar and Pipes volume, sales volume stood at almost close to 9,000 tons.

Our company Sintex recorded a sale of almost INR160 crores during this quarter. Our consolidated order book stands at approximately INR19,000 crores. This order book of INR19,000 crores gives us a very -- it gives us a clear visibility of continued operations of at Welspun Corp Limited  
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least 8 quarters in America, more than 4 quarters for all the operations in India, including Pipes, DI Pipes and SS pipes.

The key financial highlights of this quarter was the quarter 1 FY '26. We showed a consistent improvement trend. Our EBITDA stood at INR560 crores. This is the highest ever quarterly EBITDA. Our EBITDA margins got improved to 16%. The annualized ROCE is around 24%. Our PAT for the quarter stood at INR350 crores, and we continue to be a net cash company. Despite all the capex is going on, we are still a net cash company with a net cash of INR600 crores. Also, I'm happy to report that given the performance and the future visibility the CRISIL has upgraded our long-term facilities to AA with stable outlook.

These were the key operational and the financial metrics of the quarter.

Moving on to the next segment, which is the business environment. Let me first talk about the pipe vertical. We are seeing in our pipe business, we are seeing a very strong demand visibility for high-quality longitudinal pipes. We are also seeing that there is a paradigm shift in the technical requirements for all these new projects which are coming up globally, both on onshore as well as offshore.

These requirements are primarily because the oil and gas fields are getting deeper and they're getting more corrosive by nature. As Welspun, we have an impeccable track record of supplying pipes for such critical applications and are being treated as one of the top 1 or 2 global companies having such global -- having such capabilities. Our previous order books, the previous executions, what we have done is a clear testimony of this capability.

On the domestic front, we have seen that the oil demand in India is projected to get doubled, potentially reaching to almost 9 million barrels by 2015. Also, the natural gas consumption is anticipated to grow significantly, potentially more than doubling by 2040. So both oil as well as gas is showing us a tremendous upward traction in the Indian context as well.

We further note that India intends to expand their oil and gas exploration area by more than 1 million square kilometer by 2030, boosting, this you would have seen even today, the government made an announcement about this that they would like to open uncharted territories where almost close to 1 million square meters of offshore area will also get opened for further oil and gas exploration.

We are also seeing a huge investment in the infrastructure development for LNG. We are -- there are more than 8 or 10 operational terminals with a combined capacity of 52 million tons, but we see that as we are energy-dependent nation, there would be a lot of LNG, which is going to come in, and we will see investment coming in this sector as well.

The CGD sector, the City Gas Distribution sector has -- is also likely to grow at a CAGR of 10% between FY '20 and FY '30. There was a little bit of a slowdown in the quarter 3 and the quarter 4 of last year, because of the abnormally high gas prices. But as now the gas prices -- international gas prices have calibrated, we have seen this growth coming back into the CGD sector.

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We are expecting an investment of additional INR30,000 crores in this segment over the next 3 years. So all these sectors, whether it is the oil sector in India or the gas sector in India or the exploration sector in India or the LNG infrastructure in India or the CGD sector in India. All these are indicating and pointing towards a very, very strong demand potential for quality line pipes where Welspun is a dominant player.

On the water sector, it is going to be -- it will continue to be our key focus area. We are seeing huge investments being made or announced by the government with respect to interlinking projects. I'm sure you would be tracking that some of the projects announced are in MP, which is the Ken-Betwa project, in Rajasthan ERCP project and in Maharashtra, where massive interlinking projects will now kick start in funds to come.

Further, the water pipeline network for irrigation on account of industrialization and

urbanization is also increasing in states like Gujarat, MP, Rajasthan, Haryana, Tamil Nadu and Jharkhand. With our pan-India presence, which means our presence, physical presence in the western market, in Gujarat, our presence in the Central of India, which is in Madhya Pradesh and our presence in our southern market, which is in Karnataka, Welspun Corp has a complete reach to service all these upcoming water requirements in the -- on the pan-India basis. So we see a huge traction as the

end of the last year in this financial year as well.

Coming back to the U.S. market, we see robust demand visibility continues to be there in the U.S. market. Having said that, we have an order book of almost 8 quarters. From today, we have almost a visible -- clear order book of more than 8 quarters at this point in time. But at the same time, we are also seeing new opportunities which are coming up.

We are in contention for those opportunities. We are seeing that market still growing, and I'm sure these opportunities will get converted into business opportunities in times to come, which means all what I am suggesting my friends here is that U.S. market remains fairly, fairly robust, and we continue to be a dominant player into that particular market, and we are seeing a traction of an order book beyond 8 quarters as well.

We also have to see that the U.S. government has been insisting on energy exports. I think the recent announcement by the U.S. government with respect to the trade deal with Europe, where almost \$750 billion of energy will be exported is also acting as a catalyst to the growth. This will mean that there are a lot of infrastructure pipelines which will come to the Gulf Coast where this LNG gas will get exported out.

So we see a traction coming up for pipelines for LNG export. On top of it, there will be new LNG terminals, which will get created, which would be developed. And for those LNG terminals, we are seeing a huge demand, which will come up for the longitudinal pipes as you know, which is another plant, we are now at this point in time, setting up in America.

So we are seeing that, all in all, if you see there is a very strong visibility, both for export of LNG to the international market, development of LNG terminals and also the gas requirement to fuel the power plants, which are captive for their data centers. There's a huge requirement coming of power from the data centers, for which the captive power plants are being set just into

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that. So these are the 3 areas where we see that the demand in the U.S. market is going to be unabated for the next 3 to 5 years' time. As the leading player into the U.S. market with a market share of more than 30% at this point in time, Welspun will be absolutely poised to capture all these emerging opportunities in times to come.

Let us now move to Saudi Arabia. In Saudi Arabia, we have our joint venture company, Epic, East Pipe, they are -- I think so their performance, you would have seen their performance. It has been a phenomenal performance in FY '25. Even their first quarter performance was phenomenal. They also enjoy a very, very healthy order book at this point in time. And also, they have a very clear business continuity for the next 8 quarters, if not more.

Further, the Saudi market, as you know, is between 2 critical segments, one is water and other is oil and gas. Today, the water segment is excluding into the -- in Saudi market, where a huge transmission pipelines are being kept from moving water, desalinated cell to the consumption centers. This has been going in for the last 3 or 4 years.

We see this momentum to stay there for the next 2 to 3 years. Having said that, sufficient capability in our capacity, which is available at this point in time within Saudi, and I think to the existing players, there is a sufficient business for all the existing players to capture to that particular opportunity.

So market has reached to a sort of an equilibrium, has reached to a sort of a balance where the demand requirement and the capacity available is now going to match. Apart from that, the oil and gas, Saudi Aramco, their development for their oil and gas field continues unabated. They are aiming to increase their production capacity beyond 13 million barrels per day. They are expecting large fields like Zuluf, Marjan, Safaniy

and a few others, which are going to be the fields which are developed and also under development field.

We see a huge traction coming up for oil and gas pipelines from Saudi Aramco over the next 3 to 5 years' time. If you remember, we have also announced in this backdrop of this potential opportunity which exists there, we have also announced setting up a state-of-art longitudinal part plant in the Kingdom of Saudi Arabia. I'm happy to report that, that plant -- the progress on that plant is moving as per the track. And I think so by the end of the financial year, we should be up and running there.

So in terms of opportunity, we are seeing a huge traction both in oil and gas as well as water in

the kingdom of the Arabia. After these line pipes, the large diameter pipes, which I just talked about, I now want to draw your attention to our Ductile Iron Pipes division, where we make the pipes for the transmission -- for the distribution network.

At this point in time, our order book, we have a strong order book of almost 300,000 tons, more than 300,000 tons of an order book. We are seeing that the JJM, the Jal Jeevan Mission support is going to continue for the DI Pipe, and this will be coupled with AMRUT 2, which is all about urbanization.

However, having said that, I think so the last 2 quarters or 3 quarters, we have seen slowdown in the funding from the JJMs for certain reasons. But as the schemes are almost on the verge of

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getting completed, all the schemes there would be a continued support of JJM shall come on. And all the schemes, as announced, we believe, will get completed. This slowdown resulted into some inventory pile up at the various manufacturers and -- but we strongly believe and we get very clear indication that H2 onwards, in the second half of this year, things will get completely normalized, and we will see a strong demand coming back to the market for the Ductile Iron Pipes for the distribution network under the JJM project.

Also, we have seen a huge demand emerging from the irrigation sector that is expected to be close to additional 2 million to 3 million tons over the next 3 to 4 years' time. We are well poised to cater to this particular requirement and our plan at this point in time is almost operational weightage of 80% to 85% operational capacity. We are also spreading our footprint into the market -- into the domestic markets by entering into markets like Haryana, Chhattisgarh, Punjab, Goa, Orissa and Telangana.

Traditionally, we have been restricting ourselves to Gujarat, Rajasthan and Madhya Pradesh but now we are also expanding our footprint and our presence felt in the other states of the country, too. So all these things put together that the Jal Jeevan Mission scheme will come, funding in the Jal Jeevan Mission is likely to come back.

The demand in the irrigation sector, our penetration into the new markets and more importantly, our focus on exports to the European and the Middle East market. These 4 things put together, we see a huge demand traction and the profitability emerging out of our Ductile Iron Pipe business.

If you recollect, we had also announced that we are putting up a ductile iron plant in Saudi Arabia, apart from our longitudinal plant, which I spoke a few minutes back. This ductile iron plant project is also moving absolutely on track. We are seeing a continuous demand for -- at this point in time in the market, in the Saudi Arabian market.

As I talked, there is a huge demand for transportation pipelines, which are the large diameter pipeline and the distribution pipelines, which are the ductile iron pipes. So we are seeing a combination of both. I am sure the ones that facility is commissioned out there, this facility will start up running, and we will have a significant uptick in the order book in that market as well. Further, we also

have noticed that there was some imports which were coming in into the Saudi Arabian market of this ductile iron pipes. The government has taken note of that and looking at the investments which we have done and others have done, they are about to start or probably have started some antidumping investigations which will restrict and discourage any cheap imports coming into that particular market, this strategy, this will angle well with the investments what we are making in the Saudi market.

Next, I would like to draw your attention to our very niche and boutique business of SS Bars and Pipes and our entity Welspun Specialty Steel. Currently, our order book stands at close to 10,000 tons between pipe and steel. Our bar sales volume recorded an all-time high in this particular quarter.

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Our pipe volumes were slightly impacted in this particular quarter because we have taken a much awaited maintenance shutdown, a planned shutdown in the month of June this year. We are -- we wanted to do some -- we wanted to prepare ourselves for some very specialized value-added products which -- for which we are anticipating some new orders, and we wanted to prepare for that.

So it was imperative for us to take that maintenance shutdown, which has now been successfully completed, and we are back in operations. Apart from that, as you know, this business is all about certifications, accreditation and approvals. Our Welspun Specialty Steel has been able to

secure very committed accreditation in the aerospace sector, which is AS9100D. We have also received IBR certification. We are in the process of getting the IBR certification.

Also, we are working on some certifications called Norsok and others, and we are expecting that all these very coveted certifications exercise will get completed successfully by the third quarter of this year. Our new bright bar project facility, which we are commissioning is in -- the construction is in full swing. And as targeted, it will also be up and running in quarter 3 of FY '26.

So we are preparing ourselves both on the pipe side of it and also on the steel side of it. On the pipe side of it, as I said, we took a maintenance shutdown to prepare ourselves for some value-added orders. And on the steel side of it, we are preparing ourselves by enhancing our capability in bright bar segment and with the commissioning of a new facility, giving us more leverage to enter and to supply steel to the global market.

Let me now move your attention to our building materials vertical and to start with Sintex. In our Sintex, as you know, Sintex has 2 major components of business. One is the water storage tank and other is the pipe business, the polymer pipe business. On the water storage tank, I am happy to report that our penetration on the ground has -- which is through the distributors, retailers and the plumbers. I think so that is an all-time high. We are seeing a very increased participation in our signature scheme called Sintex Hamesha.

This scheme has been very well accepted, acknowledged by all the people in the value chain. Our unique plumber engagement has nearly doubled on a quarter-on-quarter basis. So all what we have -- at this point in time, we are completely in the process of creating a value chain around distributions, dealer, distributors and the plumber. And on a quarter-on-quarter basis, we have seen significant traction and acceptability and adoptability under this value chain. We are positioning ourselves as a premium player as Sintex brand resonates to.

So we are going -- we are positioning ourselves as a premium to our supplier. And we are well poised to get -- and we are well poised to achieve that objective. We are absolutely on the right trajectory as what we have planned. And I'm sure the next quarter -- in subsequent quarters, you will see that our continued improved

proved performance is clearly demonstrated.

On top of it, we also are extending our total addressable market by moving into the pipe business.

With our water tank business and the pipe business put together, now our total addressable

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market moves from, let's say, INR12,000 crores to INR85,000 crores. This is the landscape, which is changing for Sintex.

We have -- and in this contention, we, as you are aware, that we have acquired a company called Weetek in Chhattisgarh, which is a pipe manufacturing company, polymer pipes. We have already started the pipe production. We have already started the distribution of that into restricted areas.

And the feedback is very, very encouraging. On top of it, we have also commissioned our Bhopal plant. At this point in time, where we are going to make the OPVC pipes. We -- as I earlier mentioned as well in my earlier calls that this is one product which we are very buoyant about, our production of OPVC pipes have already started.

We are -- I'm happy to report that we have got breakthroughs in that particular project -- orders, by having some orders and which we'll get -- start executing in Q2. So we have our OPVC plant, which is operational. It is now being supported by an order book, and now those orders will come under execution during quarter 2 of FY '26.

In sum and substance, Sintex continues to be our North Star. It is going to be a company which is going to create a humongous value for all our stakeholders. We, as Welspun, are completely poised and focused and obsessed about the growth of this particular company, and all that might what we have is being put across that. We have no doubt whatsoever that in days to come, this will be one of the most -- it will be a crown jewel of our organization.

Coming back to our other segment in the building materials, which is the TMT Bars segment, we are a local player. We are a restricted player into the Gujarat market. We are very focused on quality. We are very focused on serviceability. We are very focused on pricing. We are not a pan-India player, nor we have any ambition to that -- be.

But looking at the demand, looking at the requirements and looking at our capacity, I think so we are doing -- we will be focusing in the Gujarat market itself, and we see huge opportunities continue to be there in terms of infrastructure, the development of the metro expansion which is happening, the new GIFT city, the flyover, the connectivity, the new investment, which have been done by 2 large conglomerates there into the industrial setup.

I think so these industrial activities, which are happening within Gujarat will keep our -- this asset extremely busy and serviced. We are hoping -- there was a little dip in the demand as it



always happens during the period of monsoon, but I'm sure that post August onwards, this demand will pick up. But as I mentioned, our focus will be more regional, more quality focus, more service focused and more price focused. So we are absolutely poised to capitalize on the demand, which is going to come out in the region.

Just to briefly give you an update on all the investments. If you recollect, we have given an update in our investor presentation, about all the investments which we are making in America, which we are making in Saudi Arabia, which we are making here in India. All those projects, which are listed there and -- or the list you are privy to are moving as on schedule, on track and in cost. We are committed to deliver those projects as per the guaranteed time lines what we

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have indicated, and I'm happy to report that all the projects at this point in time as we speak, are absolutely on track.

With respect to our guidance, we gave the guidance for the financial year and our quarter 1 results are clearly an

indication that we are on track with respect to that. I am very confident that with the performance of all our entities, the pipes, the steel, the Ductile Iron Pipe, the Sintex, the WSSL. I'm sure that our company will be in a position to meet, if not exceed, the guidance given for FY 2026.

Last, but not the least, we continue to maintain our very strong focus on sustainability, people and digitalization. We believe these are the 3 pillars: growth, green are the pillars for our development and we are obsessed with highest governance standards and transparency across the organization. I think so these are some 4 or 5 basic hygiene factors around which Welspun Corp works around.

We have been absolutely working within our guardrails. We have been absolutely following the communication what we have given to the Street. And friends, I just want to let you know that we will continue to maintain a very sharp focus in further gaining the momentum in the next subsequent quarters to come.

With this, I request the moderator to open the floor for any question for any questions you might have, which me and my team will be more than happy to answer. Thank you very much.

Moderator: Thank you very much. The first question is from the line of Abhishek Ghosh from DSPM. Please go ahead.

Abhishek Ghosh: Congratulations for a greater set of numbers at a time when things are not that great as far as underlying economy. Sir, a few questions.

Moderator: I'm sorry to interrupt you, Mr. Abhishek Ghosh. There is a disturbance from your background.

Abhishek Ghosh: Congratulations for great set of numbers. A few questions which I had in terms of the commentary that you gave in terms of, if you look at the India piece, the interlinking of river, whenever it kind of comes through, what can be the opportunity size that can come through given the states which are kind of working around. Any thoughts on that, sir? And how should we look at it from a 2 - to 3-year perspective?

Vipul Mathur: Abhishek, the opportunity or interlinking of rivers is mammoth. The way the projects are currently being conceived and the way they have been planned, it could be more than 1 million tons of an opportunity which may come up to start with, right? And these opportunities are currently happening in -- will happen in the state of Madhya Pradesh to follow up within Rajasthan and then in Maharashtra. So we are very, very optimistic and buoyant about this particular opportunity.

And we are very -- we are confident that we will have a piece of share out of this opportunity because of our geographical presence into those states. So coming to your question, the volumes could be very mammoth. It would be exceeding more than 1 million tons. And it is no more an

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opportunity, which is under evaluation. It is something which is now going to happen on the ground very shortly.

Abhishek Ghosh: Sir, also, you spoke about the demand coming in from the irrigation segment. You called out the 2 million to 3 million tons opportunity can come in from there, which kind of pipes will go in there? And how should one look at the time lines here?

Vipul Mathur: My sense, Abhishek, is that irrigation predominantly has been serviced by HDPE pipe lines. There could be -- there will be a paradigm shift, which will happen and these pipes will move more towards OPVC and ductile iron pipes. Because at the end of the day, these pipes guarantee and almost 50 years service guarantee, more than 50 years of service guarantee, which primarily

substandard HDPE pipes, which have been supplied by the industry in the past has not met that expectation. So we see irrigation is a huge emerging opportunity where both tactile and OPVC pipe and very high-quality HDPE pipes will be used and should be used.

Abhishek Ghosh: Okay. And do you think this is again something that should

fructify over the next 12 to 18

months? Is that the expectation is?

Vipul Mathur: Yes. Yes. I'm very confident.

Abhishek Ghosh: Sir, lastly, coming to the DI Pipe as far as the domestic market is concerned, we have seen some slackness, which you have also mentioned in your comments. How should we see going forward, do you see because of multiple delays in projects, payment issues and subsequently, a lot of supply also had come in. How should one see over the next 12 to 18 months, both on your order book ramp-up of your facility and margin profile here?

Vipul Mathur: See, there has been a momentary slowdown over the last 2 quarters. That's very clear. There's no doubt about it. But having said that, structurally, are we seeing any change? The answer is no. I still believe -- we still feel that the Jal Jeevan Mission is a great mission for the development of getting water to every household, right? And it is a very -- fundamentally a very strong scheme. It has and it will be completed. I think it has met some cash flow challenges in the last 2 quarters.

But we have a strong belief that it will come back with -- it should come back in the second half of this particular year. So we have no doubt whatsoever, number one. Number two, more than that, we are seeing a big traction coming up in AMRUT also, which is the urban scheme, right? We have to understand that any developed economy has to invest into infrastructures like this. We, as an economy are developing. We will continue to invest like that.

So I don't see that we should carry any doubts whatsoever, that whether structurally these schemes will be there or not. I think so it is a momentum mismatch, which is happening. It is a matter of time. They will -- these things will come on track. We are hopeful that it is the second half of this year, we will see that full flow coming into this segment.

Abhishek Ghosh: Sir, just on the U.S. piece, you called out that your market shares are 30% now. Sir, in the last cycle, what would have been our market share in that 2018, '19, '20 cycle?

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Vipul Mathur: We have always been able to maintain a share in north of 20%. Historically, we were close to 22%, 23% market share. This year, this time, because of the length of the orders, what we have and the extent of the duration of orders, what we have, we are close to 30%. But by far, we have the largest market share. I think what is important is that by far, we have the largest market share in the U.S. market.

Abhishek Ghosh: So sir, given the construct of the demand outlook, multiple levers of growth, strong visibility of 15% to 20% EBITDA growth is something in the medium term, it appears, given the kind of capex that you have done, it appears fairly visible from here on? Is that the way one should look at Welspun from here on?

Vipul Mathur: Abhishek, you have my guidance for the full financial year 2026. I see no reason why should we not meet that or if not exceed that. That answer -- that probably answers your question, if I'm not wrong.

Moderator: The next question is from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Congratulations on a very good set of numbers. My first question pertains to Saudi? Sir, we are setting up our independent facility there, while we have a basically a JV where we have a minority partner, so we would be bidding for the same kind of orders in the same geography. So is there a conflict of interests which can arise and because of which we need to sell off the remaining shares in the Saudi JV partner?

Vipul Mathur: Vikash, I think so we will have to see this issue from a very different lens altogether. It's a fairly complementing setup we are putting up. The joint venture in which we are the shareholder reduces spiral pipes. Those pipes have a different market altogether. What we are setting up is

longitudinal pipes and the ductile iron pipes.

So the way it has to be seen that between our joint venture entity and our 100% ownership, we will be covering the full basket, supplying the spiral pipes, supplying the longitudinal pipes and supplying the ductile iron pipes under one roof. This is the synergy and a powerhouse, which we are creating in Saudi.

Vikash Singh: Noted, sir. Sir, my second question pertains to the 1Q results, especially from the stand-alone side. I believe that we have a very good export order because of which our numbers on the standard was pretty good. So is that the order has been fully executed and going forward, the stand-alone EBITDA per ton would come down. And that's why we are not increasing our

guidance because usually, we are second half heavy in terms of EBITDA.

Vipul Mathur: Vikash, you are veteran, you understand this business is all about the product mix to be run in that particular quarter, right? This quarter, probably the product mix from a margin perspective would have been a little more favorable. But looking at the overall order book, what we have at this point in time, I think so on a quarter-on-quarter basis, we should be in a position to match and deliver the expectations or the guidance that we have given to the market.

Vikash Singh: Noted, sir, just split of the order book between India and U.S. if you can give us? That's my final question.

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Vipul Mathur: Between India and U.S., we have close to 1 million tons of an order book at this point in time, and this is excluding Saudi. Just I'm talking of India and U.S. And I think so it is close to 600,000 tons in U.S. and almost close to 400,000 -odd tons in India.

Moderator: The next question is from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: Congratulations on delivery such a strong performance. I have 2 questions to ask. First question, in the OPVC pipe segment, we understand that several new entrants including a large player like Astral are procuring machinery from Chinese manufacturers at the cost of INR20 crores per line.

In contrast, if you see companies like Welspun, Supreme they are sourcing equipment from Rollepaal and Molecor at a significantly higher cost of INR50 crores, INR60 crores per line.

So given this cost disparity, how do we plan to stay competitive against players using Chinese machinery. So even accounting for quality differences, do you believe there is a large enough customer base willing to pay 15%, 20% higher premium products from players like Welspun Corp up?

Vipul Mathur: Sailesh, I think that's a very good question you have asked, Sailesh. First and foremost, we all have to be very clear that OPVC is not a normal commodity product. It is a very high technological product being used for very specific applications. Now when you talk about a change in technology, of course, you will have impacts of some Chinese coming in here and there. But over a period of time, I think so this maturity will come into this particular market, where acceptance of technology will be driving the growth and the demand for this particular segment.

We strongly believe into that. We have a very clear foresight about it. Initially, there could be some hiccups. There could be some challenges. There would be some pressures of low margins and this. Yes, it is normal in the business. It will be there. But over a period of time, and I'm not talking of time over years, over quarters, people will understand what is the value of quality for these pipes. If you -- I would like to draw your attention, this is what precisely happened in the HDPE Pipe segment as well.

Almost 1,000 plants came up, mushroomed all over India, right? But effectively, they are the top 4 or 5 players are now going to be the 1 who will be in a position to service that requirement. So there is a shift

in the user mindset that they prefer quality over price. It takes time. Even in this OPVC, it will happen the same way.

Sailesh Raja: My second question, we have reported EBITDA of INR290 crores from all other subsidiaries.

So after backing out the normalized EBITDA contribution from DI Pipes, Sintex, which collectively accounted roughly INR100 crores. But the remaining INR190 crores appears to be attributable to the U.S. operation.

That translates roughly around INR25 per kg -- INR25 per kg plus, in U.S. And interestingly, if you see even in India also we reported INR18 per kg. So could you please break down India and U.S. separately and help us understand the key driver behind the sharp improvement, whether this EBITDA per ton is sustainable in the U.S. Could you please talk about that?

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Vipul Mathur: Sailesh, we do -- we generally give an overall guidance. I have always given that guidance that what is the typical EBITDA, what we get in U.S. and what is the typical general EBITDA we get in India. I don't think so we will be in a position to share the specifics around that, the fact of the matter -- and as I earlier said, this is also a matter of a combination of the product mix what you are executing in this particular quarter.

But given the order book, what we have in India, given the order book, what we have in U.S. I think so we have clearly captured that and given as a very clear guidance to the Street, and I'm very sure that we will be able to maintain that.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, my first question was top down. How do -- how should we gauge the impact of tariffs and regulatory tailwinds locally? Tariffs, I mean, the global tariffs and regulatory tailwinds as local.

Vipul Mathur: So Ritesh, I think so when you are talking of tariffs, you are probably talking about the U.S. tariffs, if -- am I right?

Ritesh Shah: That's right. That's right, sir.

Vipul Mathur: I think, sir, U.S. tariffs are creating quite a bit of uncertainty into the global economic market. There's no doubt about it. But if I have to narrow my vision and purely think from Welspun perspective, I think so it is angering well with us. Because I am a local producer, a local player in America. I am not dependent on any export out of any other continent or India. So I am actually benefited out of this tariff. I have -- sorry for my -- being a little -- having a little myopic and a vested view to that.

But that's the case. I am a domestic there in America. So I'm not impacted, number one. So tariffs in America might be hampering globally, but for Welspun, it is helping us. And if you see, keeping that potential and that benefit into mind, we announced our expansion. We believe that all the countries in the world are encouraging local production, local manufacturing, and this is going to be the new world order, which is going to emerge.

Keeping that into mind, we are spreading our wings in Saudi Arabia, where also you have a domestic production and in America, where also we are seeing a huge traction which is coming for domestic production. So as Welspun, we have adopted to a core principle of core products and core geographies. So our core product continues to be pipes, and our core geographies happen to be India, Saudi Arabia and America. It is in this paraphrase, we are working, please.

Ritesh Shah: Right. Sir, just a related question. My question was basically the guidance that we have given, does it also factor in the tailwinds because of the tariffs, which have been imposed and given we are in a quite a favorable situation. And if you could also highlight if I remember, we had certain volumes from India, which were exported. I'm not sure whether it hit the U.S. shores. Do we still have those volumes if that question is correct? And are we

looking to continue that, if at all?

Vipul Mathur: So you're right. We -- from India, we were exporting a lot of longitudinal pipes to the international market, including America, in the earlier days. We will continue to be present into

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the international market, excluding America for the longitudinal price, where we are setting up our own, but there is a potential in the rest of the world, where our product will continue to grow.

Ritesh Shah: And sir, the guidance what we have given, does it include the tailwinds because of the benefits of the tariffs specific to the situation that we are in quite a positive one?

Vipul Mathur: See, Ritesh, these are confirmed order books what we have. We are a B2B company. We have confirmed order books in America. We have confirmed order books in India. When I say confirmed order books, all everything is hedged. So when we have given the guidance, all those things have been taken care of. And accordingly, the guidance has been given to the marketplace.

Ritesh Shah: Right. Sir, if I put it the other way around, so 6 months out, if we had to go and bid for the same project, Will we be on a better footing as compared to what we were, say, 6 months back or right now given the tariffs have come? I'm just trying to understand the incremental ROCE and the margin profile. Can it get incrementally better because of the macro that we are in?

Vipul Mathur: I think so we will have to judge the situation from a demand and supply gap. I think so the demand seems to be fairly robust in the American subcontinent. In 6 months down the line, which we -- and we believe that the demand is going to be as robust. And if the capability -- capacities are booked then, of course, you will always be in a position to improve on your margins. So it's also a demand and the supply gap in the market at that point in time.

Ritesh Shah: And sir, my second question is on polymers. I'll just pick up from where Sailesh left. We have an investment of almost INR1,300 crores. It's a sizable number. What we have indicated is from FY '25 to '27. How should we break this number of INR1,300 crores? Is there a number which has been earmarked for OPVC and what is -- how do we look at the outlook or incremental ROCE on this business?

Vipul Mathur: So first and foremost, this INR1,300 crores is the investment which is going to happen over a period of time over the next 2 or 3 years' time, number one. Number two, largely the investments are going to happen for our OPVC business. We strongly believe that this is a game-changing technology. It's a technological product. It has a huge potential.

And we are extremely buoyant about this particular product. As Sailesh asked that question, and I answered that is it going to happen overnight? The answer is no. But we have a very strong conviction about its product, its quality, its sustainability, its utilization and acceptability by the customer.

Ritesh Shah: So breakup of INR1,300 crores, what part of it would be earmarked for OPVC?

Vipul Mathur: Largely, it will be. Largely, it will be OPVC. I mean I may not have the specific breakup at this

point in time. I think so you can reach out to Percy and they can give you the specific breakup. But largely, it is going to be the OPVC business.

Moderator: The next question is from the line of Shweta Dikshit from Systematix Group.  
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Shweta Dikshit: Sir, my first question would be on the expected margin profile for the new LSAW pipe -- LSAW facility that we have announced in U.S. And what kind of margins can we look at it? And in -- for FY '27, any number that you could guide from the new plant in terms of the volume that you could derive in FY '27 itself? That's my first question.

My second question is on the capex. Now we are 1 quarter --

now we've entered second quarter

now. And any visibility on what is likely to be the capex for this year? And how much was spent in the first quarter?

Vipul Mathur: So Shweta, let's say, for your first question about the new LSAW plants in Saudi as well as in the U.S. First and foremost, let me just tell you, Shweta, that when we announce any capex we have a process to follow. We are very clear about what is the market demand going to be in those markets over the next 3 to 5 years' time. What is the investment we're making and what is the return on capital employed.

We have done all those due diligence basis that only we got our respective board approvals to go ahead with that. I'm very sure. Right now, as we speak, we are completely focused in terms of executing the project part of it. We are still 6 months to 9 months to 12 months away at this point in time in various geographies. So right now, it will be slightly premature to talk about the margins.

But I want to assure you, Shweta, that we have done a complete assessment of the market. Complete assessment of the role, what as Welspun we can play, what share we can have and moving forward over the next 2, 3, 5 years' time, what is the margins we can make out. And that all has already been factored before we took that investment decision. So I think so let us wait those investments to get crystallized, the project plans to come up. And I think so then it will be more prudent to share on a quarter or half yearly basis at what are the margins we are going to make, number one.

Number two, coming to your second question about capex. We have clearly articulated what is the capex, what we are going to do over this financial year. If you see our investor presentation, we have clearly mentioned what are the projects we are working on, what type of capex we are going to put. And typically, as I say, that all this capex, what we have articulated will happen over the next 4 quarters to 5 quarters time.

Shweta Dikshit: Sir, going by 1Q run rate of around INR450 crores that you've done in 1Q. Can we look at almost INR2,000 crores of capex for the full year result if we annualize it? And that should still leave us another probably INR1,000 crores or INR1,200 crores of capex for FY '27 going by the targeted capex number?

Vipul Mathur: Shweta, by design, the capex are more back loaded. You can safely assume that we would be doing close to almost 40-odd percent in this year and the balance in the next financial year. What is important, Shweta, is to understand is that all these capex are being funded out of our strong operating cash flow itself. So it has no impact, which is happening on the debt side of it.

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I think so that's more important for everyone to understand here. But the spread of the capex will be over the 2 years' time. And by design, typically, they are 40%, 45% in the first year and the residual in the second year. That may be a right assumption to make.

Moderator: The next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Congratulations on great set of numbers. Just wanted to understand, you mentioned about OPVC orders getting received. What is the order booking looking like and which are the places from where we have received orders. Some color would be helpful here.

Vipul Mathur: Sneha, as I said, we have breakthroughs in OPVC orders. They are coming from various states at this point in time. They are coming from the East. They're coming from Central. They are coming from South. These are early days. I'm not saying this order book is huge at this point in time, but they are good enough to start with. And good enough that acceptability of the product which seems to be settling down.

And as we speak, I think so this momentum is getting built up, it is being built up on a month-on-month basis. We

are seeing a lot of traction, which is now coming up on the OPVC pipes.

We are also seeing a lot of the states, government, state governments also acknowledging and accepting and working in terms of specifications to accept OPVC pipe. I think so these are very fundamental works, which are being done supported by a good order book what we have to start our project.

Sneha Talreja: Sir, that's good to hear. Just wanted to understand some numbers here. What's the capacity likely to look like the end of March '16 and March '17. And how do you see the utilization of this capacity? And at what capacity do we actually start making money because if I'm not wrong, these are huge capex capacity plans?

Vipul Mathur: And you -- Sneha, if I'm correct, you're asking with respect to OPVC only?

Sneha Talreja: Only OPVC, yes.

Vipul Mathur: I think so it's a little difficult. It's a little premature to tell something like that, to be honest, to predict something like that. I think so there's a lot of fundamental work, groundwork, which has to be done in terms of acceptability and acceptance of the product into the specification. I think so that basic work is currently being done on one side. On the other side, what is being done to keep the plants completely operational, to keep on servicing so that the product quality is also getting established into the market.

I think so you will have to -- we will have to wait on a quarter -- 1 or 2 more quarters to really crystallize the numbers. If I draw your attention to the last quarter discussions, Sneha, what I mentioned that time, that our focus will be to start producing and dispatching OPVC pipes in this particular quarter. We are walking the talk, we have started producing and started dispatching.

Last time also said, it is something which we will have to build over a period of time. We are going to do that. We are patient to do that, and we are more than confident that we will be very

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successful in that. I think so you will have to give us some few more quarters when we start discussing exactly what are the volumes, what are the predictions, what are the margins? I think it might be a little -- a good idea to be a little more patient for 1 or 2 more quarters, please. But I must say that the start is good.

Moderator: The next question is from the line of Rakesh from Nine Rivers Capital.

Rakesh: Many congratulations to the team for the great set of numbers. Sir, with respect to the EBITDA profile that we are seeing, the volume growth is not high like a single high digit but the EBITDA growth is a very strong number, north of 20%, 25%. Just want to understand what the reason you highlighted is the orders that were executed were of a high margin, is there any other reason for the higher improvement in margins or the profits?

Vipul Mathur: Rakesh, I think so some of you remember earlier -- we talked about it in the earlier part of this. See, EBITDA profile is a factor of what is the product mix what you're executing in that particular quarter. This particular quarter, we have a very -- I mean, we had a nice product mix and that resulted into this number. Having said that, I think so our product mix for the subsequent quarters also look very nice, reasonably decent. And I'm very sure that we should be in a position to deliver our EBITDA, what we have given you as a guidance.

Rakesh: Sir, one last question on my side. With respect to the plant utilizing what was the plant running at -- what was the utilization rate for plant in India and the U.S. in the Q1?

Vipul Mathur: I think the plant utilization at the U.S. level was very high. I think so we -- probably it will be close to 80%, 85% of our plant level utilization. In India, various plants at various locations have different utilization level. The plants which were for -- meant for oil and gas, let's say, if I talk

about

our longitudinal plant, which is primarily oil and gas export plant, it would have seen almost 80%, 85% utilization.

But plant utilization for -- the plants for water where we are producing pipes for water application, we saw a low utilization. Quarter 1 historically is a low utilization zone, where the budgets and everything starts trickling in. And then we see that pickup happening in the second half, in the quarter 2 onwards. So there, the utilization would have been close to 40%, 45% to 50%.

Rakesh: Sir, in your opening remarks, you mentioned the plant of -- a new plant in Saudi Arabia will start in this year, but in the presentation, it is mentioned it will start April '26. Just clarification, sir.

Vipul Mathur: I said in the financial year, not the calendar year. We are still hopeful that we should be able to do the longitudinal plants commissioning in this financial year. Maybe my apology if I sounded that it is -- I meant this year, my mistake, please. If I have mentioned that, please.

Moderator: The next question is from the line of Sunaina Chhabria from Chola Securities.

Sunaina Chhabria: Congratulations on a great result. So I just have a follow-up question with respect to the volumes and EBITDA margin that is there for Welspun. Like you said, the product mix was a bit better this time. So are you looking at -- which products are you looking at, which gives this kind of

margin benefit? Is it the SS Bar pipe? Or is it the line pipes and DI Pipes. If you could give a bit of color over there?

Vipul Mathur: Sunai na, it's a blend of all, let's say, historically, the best of the margins comes from the product what we make in the U.S. That's where you have the highest EBITDA, highest margins you have there. Followed by our oil and gas products, and equally supported and collaborated by our stainless steel. So it's a blend of all the 3 things which happen at this point in time, and that results into this metrics.

So that's the way you have to see. So it's a little -- when you make multiple products, you'll see a blend coming into play. So all what matters is that what is the product mix which you are running in that particular quarter.

I think so there's a lot of signs which goes behind working around that. And I think so that's what's always been done. But let's focus on that, what is the EBITDA, which is coming, what is the margins which are coming and more importantly, is it sustainable in the future? And are we getting to the guidance which we have given. And to that, the answer is yes.

Sunaina Chhabria: And just the second question is, so you've spoken about the margin in the U.S. and in India, if you could give a bit of a range as to where it looks like in KSA and the Saudi Arabian market with the new -- with the business that is already there and the new facilities which are coming up. So what is the margin looking like over there?

Vipul Mathur: So let's say, the facilities, what we have, which is the spiral facility, I think so, those numbers are in public domain and you have an access to that. You could see that what type of margins they are operating at. There's nothing heading around that, number one.

Number two, coming back to the new investments, which are going to come up there. As I said earlier, we see a very strong demand, a very strong potential and being Welspun into local market -- as a local parent Saudi Arabian market, we will definitely be into a pole position in subsequent quarters to come once we start our operations. But I think so margins also affect us, Sunaina, you will agree, is the demand and the supply gap prevailing at that point in time.

So hypothetically to predict that what are the margins going to be there, 6 quarters down the line when I'm going to start, will be slightly premature. My request would be that as we -- let us first

start

commit to the project, let us start up our operations. And then I think so, we will love to give you the clear visibility, as I always do, for all of our businesses for that business, too. So that will be a very appropriate time to question and challenge about the margins. Right now -- I mean, my personal opinion, it is slightly premature.

Moderator: The next question is from the line of Deshna Sheth from N-Wealth. Please go ahead. Deshna, your voice is not audible. The next question is from the line of Amit Agicha from HG Hawa.

Amit Agicha: Congratulations for good set of number. Sir, my question was connected to the Sintex business. Like with TAM increasing to INR85,000 crores post the pipe launch, what is your targeted market share over the next 3 years?

Vipul Mathur: Amit, I think so, I have Ashish here and probably he will be in the best of the position to give you absolute ground reality and ground run on to that. Ashish, can you take that, please?

Ashish Prasad: Yes. Thank you, Vipul, for giving the chance. Amit, we -- as we have stated before, we are a premium player. That's where our brand is, and we are targeting a 5% market share by FY '30.

Amit Agicha: 5% of INR85,000 crores.

Ashish Prasad: We continuously work on increasing the total addressable market. So we will look at other opportunities of where we are playing to our core strategy, and we are able to increase that. At this point of time, our addressable market stands at INR85,000 crores. But over the next few years, we expect that we will penetrate more and we will also have opportunities to increase our addressable market.

Vipul Mathur: Amit, the way you have to see -- see, Sintex, it's a company in making. It's an icon in making. And today, to hold accountable that what is going to happen tomorrow, I don't think so that may be the most appropriate way. Probably, I think, so it's more about belief, more about trust and more about the brand.

I think so it is a strong brand. It has a huge brand because it is a premium product. We will continue -- our focus is on water storage tanks and pipes. And I have no doubt whatsoever nor should have -- anyone have any doubts whatsoever in their mind, that over quarter-on-quarter basis, this company is going from -- is only going to grow from here.

Ashish Pras ad: Vipul, if I might just add, Amit, you should also note and heartening to note that the work which we have done around our revitalizing the brand and the positioning of the brand with Sintex, which we have sharpened around Saaf, Safe, Sahi that has landed very well in the market. And as we have gone into our pilot market, I think we are finding good acceptance of the product superiority as well as the brand positioning, which is in line with our premium image, which we want to -- which we aspire for.

Amit Agicha: And sir, second question was like connect to the order book. Like can you just give a breakup of how much is the export and how much is domestic?

Vipul Mathur: Amit, I think so as I said, our -- I have a bifurcation for India as well as for Americas, which I said is close to 1 million tons, 600,000 tons in American, close to 400,000 tons in India. I think so the subsequent breakup, I will ask Goutam to reach out to you separately and give you the breakup. I may not have readily available, but broadly, this is what the order book split is.

Amit Agicha: Yes, sir. I'll connect offline.

Moderator: The next question is from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: Just 2 questions. So we have entered the DI segment to reduce the business volatility. And while performance was strong last year, but now the entire industry is seeing pricing pressure building up due to a lot of capacity addition and new players entering. So in worst case, if the pricing pressures persist, then what

is our plan B, just for my understanding, I'm asking that incremental  
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2 lakhs tons that we have added, can we explore relocating only the DI mill to Saudi similar to how we shifted the ideally the LSAW line just to unlock the value. So what is our plan here?

Vipul Mathur: Sailesh, first and foremost, I think, so these are very unwarranted fears. I can understand that we -- 1 or 2 quarter slowdown has given rise to some doubts in the mind. When fundamentally, we are not seeing any fundamental shift in this Har ghar me Nal scheme, we're are not seeing any fundamental shift, please. This scheme is our pioneer signature scheme of the country.

It is there and it will be there. We still see a traction of at least next 3 to 5 years into that, number one. Number two, as I said, it will be coupled up with urbanized scheme, which is AMRUT.

Please understand, recycled water, sewage, other schemes which are yet -- any growth, any developed economy will always go for those applications as well, those schemes as well.

I think we are there for the long haul. I don't think so that there's any reason to be unduly concerned about the viability of the project. There could be 1 quarter, 1, 2 quarter here and there. It can happen. It can happen in any business.

But so is the case here. But is there a fundamental shift happening on the ground? We don't believe that. So we have not even given a thought that what could be our plan B. We are very clear that this is the right investment, it is an investment which is to pay us back. It is going to be there for a sustainable time. And it is going to -- it is -- and it is with that conviction we have gone to Saudi, it is with that conviction, we are also exporting -- opening the market for exports. So our conviction level has not gone down. And Sailesh, my request would be that do not see 1 or 2 quarter industry setback as something which will carry forward for a very long time. I don't think so fundamentally there is any major shift which has happened.

Sailesh Raja: Sir, one last question. Sir, our compounded cash flow from operations, it has grown 16% over the last 6 years. So that is very commendable figure and very few companies and listed companies have reported such very strong CAGR in CFO, that is 16% actually. For the INR3,000 crores investment. Now with planned capex of INR5,500 crores of investments, so what kind of CFO CAGR that you are expecting in next 5, 6 years?

Vipul Mathur: Sailesh, first let me just tell you that, a, we have crystallized the capex. I want to tell you that how does Welspun fundamentally operate. We have crystallized the capex. We have clearly articulated that to the market. We have clearly said that we will never ever let our net debt-to-EBITDA exceed 1, right? Even if you see for this particular quarter, we are hovering around 0.3 or something.

Percy Birdy: Correct. We are actually net cash in a position. So that is the thing. But please go ahead, sir.

Vipul Mathur: So I mean, we are -- it is under these guardrails, we will operate, Sailesh. So -- and of course, it is a factor of our operating cash flow, the free cash flow, what is the businesses I have. All these -- all the exercise diligence have been done. At a principle level, we are very clear that we have to manage our net debt, we will not exceed that.

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We will have to manage our project cost and the time lines. So we are well -- clear guardrails



have been established, and we will operate under those guardrails only. So I am not -- don't -- all what I'm trying to tell you, Sailesh, that there will be no surprises which will be coming up on the table.

Percy Birdy: Sailesh, if I may just add. The cash -- the capex is also spread over 2, 3 years. And combine it with our strong operating cash flows from

our businesses, we are very confident that our balance sheet will remain in a very strong position. And our guidance for net debt -to-EBITDA is also already put out in the public domain. And you can see the confidence that is getting mirrored in the CRISIL upgrade that also happened very recently.

Moderator: The next question is from the line of Raman from Sequent Investment.

Raman: Congratulations on excellent set of results. I just wanted to understand, is there any onetime profit in terms of like -- in terms of EBITDA margin? I mean in product mix?

Vipul Mathur: Percy, can you?

Percy Birdy: So Raman, in the stand-alone results, if you see, you will see the Nauyaan Shipyard sale impact coming in. So that will be there in the stand-alone. However, in consolidated numbers, there is no such exceptional item in this Q1. So the numbers that you are seeing, the EBITDA that you are seeing consolidated of INR560 crores that is largely business EBITDA, nothing exceptional.

Raman: So what was the -- how was the margin improved? Is it operational efficiency at play or the value -- the share of value-added products increased due to which EBITDA margin was higher?

Percy Birdy: Raman, I think that already got answered a while back. So the mix of the orders that we are having in this Q1, so India, exports, LSAW, U.S. coming in, all these things have obviously helped the margins, and we are very confident that this is sustainable.

Raman: Okay, sir. And my second question is with respect to the Sintex. So we are doing INR1,300 crores investment. I just wanted to -- with respect to OPVC pipe, I just wanted to understand this OPVC pipe segment, what is the product, and can you give any rough estimate of asset.

Vipul Mathur: Raman, I think so we talked about it in -- someone asked this question. I said, see, OPVC is a business in making. We have started the production. We already have an order breakthrough, we will be executing in the second quarter. We are seeing that the acceptability and acknowledgment across various states, which are coming out with massive distribution network projects in their state.

They are recognizing OPVC and they're incorporating into the specification. I think so these are some basic principle fundamental groundworks which are happening at this point in time, which is the bedrock for its growth. So right now, all what we are doing is to create a long-term story around OPVC on which we have gone with our fullest conviction.

Raman: Sir, I just wanted to understand the product. What's the difference between UPVC and OPVC and normal PVC?

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Vipul Mathur: Gentlemen, this may not be the right forum, Raman, to explain you the technical differentiation between the products. I will encourage that you come and visit our plant, I extend a warm invitation to you, where under the same roof, you could see an HDPE pipe to the UPVC pipe to the CPVC pipe to the OPVC pipe. I think so one has to really understand the technicality and the superiority of this particular product.

We are -- this investment by Welspun is being done after a very detailed evaluation about the product suitability and the conviction about the product. So I think so it will be a very good idea Raman that -- I mean that more than the financial analysis, the technical analysis of this product is also being undertaken, and I request you to kindly come and join us at our plant one of these days.

Moderator: Ladies and gentlemen, we will take that as the last question. I now hand the conference over to Mr. Vipul Mathur for closing comments.

Vipul Mathur: Thank you very much, gentlemen, for joining us today for this Welspun Corp Q1 FY '26 con call. I believe that all the questions, what were being raised have been appropriately and adequately answered. But having said that, if you still have any other pending queries in your

mind,

I think so my team is already there to service that. Also, I would like to take this opportunity to tell you that the company is absolutely on a growth path.

We are very clear. We have very clearly articulated our strategy that what are we going to be in the next 24 months' time. We are also very clear that what are we going to be in the next 36 months' time and 48 months' time. Our investments, if you see, are coming on stream sequentially, and we'll see those incremental margins, profit, EBITDA and growth coming into a very sequential manner.

Friends, all what we are writing here is a story for the next 5 years with a very clear vision for

2030. I think so these are exciting times here great opportunities and at Welspun, we are completely poised to capitalize upon it. Having said that, we would like to maintain our global positioning in all the segments what we are, our customer centricity, which we are known for and our quality obsession, which has brought us here.

So I think so these fundamental principles with financial discipline, we are navigating this company to the next side. We have always been blessed with your trust. We believe that you will continue to have your faith and trust into us. And we assure you that you will not be disappointed. Thank you very much for joining today. Have a good day. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Welspun Corp Limited and J M Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Welspun Corp Limited  
Q2 & H1 FY '26 Earnings Conference Call"

October 31, 2025

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER , WELSPUN CORP LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER ,  
WELSPUN CORP LIMITED  
MR. YASHOVARDHAN AGARWAL – DIRECTOR , SINTEX  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATIONS , WELSPUN CORP LIMITED  
MR. SALIL BAWA – GROUP HEAD, INVE STOR  
RELATIONS , WELSPUN WORLD

MODERATOR : MR. ANIRUDH NAGPAL – JM FINANCIAL  
INSTITUTIONAL EQUITIES

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Moderator : Ladies and gentlemen , good day, and welcome to the Welspun Corp Q 2 FY '26 Earnings  
Conference Call hosted by JM Financial.

As a reminder, all participant lines will be in the listen -only mode , and there will be an  
opportunity for you to ask questions after the presentation concludes. Should you need assistance  
during the conference call, please press "\*" then "0" on your touchtone phone. Please n ote that  
this conference is being recorded.

I now hand the conference over to Anirudh Nagpal from JM Financial. Thank you, and over to  
you, sir.

Anirudh Nagpal: Thanks , operator , and welcome, everyone, to the call. I will first thank Welspun Corp for givi ng  
JM Financial the opportunity to host today's call.

So, w ithout much ado, I will hand over the call to Mr. Salil Bawa – Head, Investor Relations,  
Welspun Group, to introduce the management. Over to you, Salil.

Salil Bawa: Thank you, Anirudh , and good afternoon to all of you. I welcome all of you to the Q 2 FY '26  
Earnings Call of Welspun Corp Limited .

Present along with me today on this forum are Mr. Vipul Mathur – Managing Director and CEO;  
Mr. Percy Birdy, Chief Financial Officer , Welspun Corp ; Mr. Yashovardhan Agarwal –  
Director, Sintex; I also have Goutam Chakraborty, who heads Investor Relations for Welspun  
Corp .

You must have received the Results and Investor Presentation of the company, which are also  
available on the stock exchanges as well as on the company's website. As usual, we will start  
this forum with opening remarks by the leadership team. Post that we will open the floor for  
your questions.

During the discussion, we may be making references to the presentation which has been  
uploaded . Should you have any queries that remain unanswered after this earnings call, you may  
reach out to any one of us.

With that, let me hand over the floor over to Mr. Vipul Mathur – MD and CEO of Welspun  
Corp. Over to you, sir.

Vipul Mathur: Thank you, Salil. And a very good afternoon to all my friends and colleagues. Welcome to our  
Q2 and H1 FY ' 26 Earnings Conference Call .

I greatly appreciate all of you joining this call today . And I hope that you had a chance to look at our Presentation , what we have uploaded along with our Results .

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I think so , it is a very comprehensive document which we have, as practice, we have loaded so that all our investors have an absolutely fair insight as to what is happening in the company. But nevertheless, I would still start my discussion giving a brief key operational and the financial highlights of the concluding quarter.

The key operational highlights are :

Our line pipe sales volume for India and U .S. stands at more than 250,000 tons. Our DI pipe sales volume stood at almost 80,000 tons. Our SS Bar and Pipes sales volume at 7,000 tons and 1,700 tons respectively. Our Sintex absolutely on the growth part recorded a sale of Rs. 150 crore for this quarter . And I am very happy to report that our consolidated order book stands at a record high at Rs. 23,500 crore, the highest probably in the last 10 years or ever.

With this strong order book and the executions capability , what our company has demonstrated over Q1 and Q2 , it clearly reflects and sets the ball rolling for the next two quarters. Also, this order book gives us a clear visibility for the next two years, at least more than two years in the American market and almost more than a year for all our businesses in other territories.

On Sintex , on the pipe side of it, we have successfully expanded our footprints in Chhattisgarh and Punjab. I am very happy to report that our Bhopal OPVC plant is now fully operational. And a lot of focus is being brought on brand building and channel expansion. And we will talk about it a little more in detail in my subsequent conversation.

on.

The key financial highlights are :

Our Q2 FY ' 26 EBITDA, Quarter 2 EBITDA, stood at Rs. 626 crores, highest ever quarterly EBITDA. If you would have noticed, we have been demonstrating consistent growth over the last six quarters with improved margins. So, on quarter -on-quarter basis, if you see our EBITDA, you would have noticed the growth with improved margins.

Our annualized ROCE, return on capital employed , also stood at 24% and that also on a year - on-year basis is only going up.

The PAT for the quarter stood at Rs. 440 crore, up by 53% on Y -on-Y basis. Despite the CAPEX spend of Rs. 950 crore during H1 of FY ' 26, we continue to maintain net cash position in our balance sheet. That clearly reflects the financial prudence and the free cash flow our existing businesses are generating. On top of it, we have been also able to significantly reduce our finance cost, which has gone down by 41% on a Y -on-Y basis.

Our credit rating for long term stands at AA+, with a stable outlook.

We are very much on track and aligned with our annual guidance. If you recollect, my friends, for FY ' 26, we had given an EBITDA guidance of Rs. 2,200 crores. And in H1, we have already touched Rs. 1,186 crores. With two more quarters to go, confirmed order book in hand, and our

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execution capability not being under any stress or under challenge, we are very confident to deliver and achieve, if not exceed, the guidance what we have given to the market.

Let me also take you through the business environment as to what because there seems to be a lot of volatility happening globally, which all of you are noticing. I think so , we will deep dive into each and every region because every region is unique for us. And I would like to give our input and my thoughts to that.

First and foremost, let me first cover America. At this point in time , as you know, we have a very, very strong order book in America. I am very pleased to announce and report that yesterday we received two more orders from our two large customers in America, all totally amounting to more than \$715 million. This is one of the largest orders we would have received in the last couple of years. This is a very clear indication that the American market stays very, very strong, buoyant, and being a local there, being one of the largest pipe manufacturing companies, we are getting benefited out of it.

Primarily, if you see that there is a paradigm shift which is now happening in America. Earlier, we were all talking about the Permian gas going to the Gulf Coast for LNG exports. We are now seeing a shift. Apart from that what LNG exports are happening , we are also now seeing a shift because of mushrooming of the data centers, which is likely to happen in America. These data centers are energy guzzlers. And each data center requires a huge dedicated power supply , and that power supply requires a huge amount of gas for generating that power. So, this is one major shift which is now capturing American market. And I think so that this sustained growth of data centers coupled up with AI and the leadership which America want to have in this particular

field is giving us a sort of a clear visibility for next three to five years, if not more. Conservatively, if we look at it, there are more than 250 data centers which are being discussed at this point in time. This is a very conservative estimate I am sharing. These numbers are varying anything between 200 to 1,200. But realistically, we feel that there is a significant number of data centers which are going to come up. And along with that, there will be a huge demand for gas which is going to come up. We have to also understand that the energy grid system in U.S. is not able to meet this type of requirements, which means that if these data centers have to grow and if they have to thrive and they have to d

eliver and perform, they are putting up their own captive power plants. And those captive power plants are completely dependent on gas. And for those gas to transport from Permian Basin, these lines are going to come up. So, this is a new value chain which seems to be emerging into America and which is over and above LNG export. And I think so these two streams of business, the LNG export and the pipelines carrying gas to the power plant for data centers, these two streams are now going to be the way forward in the American market for the next couple of years.

As Welspun, we being the largest supplier of pipe and manufacturer of pipe, are definitely going to benefit out of the same. And the orders what we have received, one of the orders what we  
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have received, which we announced yesterday, is for supply of pipes for that data center only. So we, as a pipeline manufacturer, also are a part of that value chain. Earlier, we were part of the value chain for LNG exports. Now we are also a part of the value chain for data centers. So, this is a major shift which seems to be happening in the U.S. market. And we have already made a beginning with that, with the large order of what we got yesterday. There are multiple opportunities which are emerging even at this point in time. And I am very, very sure that in times and weeks and months to come, we would have much more opportunities coming up on the table.

With this booking in hand, our Little Rock mill is completely booked till FY '28. And as I mentioned earlier, we are still seeing a continued demand. So, U.S. continues to be a very strong focus market. And we being one of the largest players, one of the most established and most credible players, I am sure that we will be able to leverage our position.

From U.S., if we move on, let me also give as to the Indian market. First, let's talk about Indian market, about water. The Indian market, the water sector in the Indian market has been slightly depressed over the last few quarters because of the fund crunch which we have been noticing. It appears that this fund crunch is now going to get over. We feel that starting next year or maybe the early part of next year, we are expecting the funds flows to come into the system and we would see the demand coming back into the market.

There are huge projects which are being discussed at this point in time for the water. Primarily, they are more around interlinking of rivers and distribution. We are seeing states like Madhya Pradesh, states like Maharashtra, and states like Rajasthan, which are taking a lead in terms of capturing interlinking of rivers. All put together, the demand between all these three states put together could be in excess of almost 4 to 5 million tons of pipe over the next couple of years' time. And this is what, with our presence, we have a presence in Gujarat, with our presence in Madhya Pradesh, and our ability to serve with Rajasthan from either of these states, I think so Welspun is very well-positioned to capture this upcoming demand of interlinking of rivers. Apart from interlinking of rivers, there is also a huge push which is going to come up for distribution across all these three states. And that is where we see that the subdued demand, which our DI pipes have seen in the last one or two quarters, is going to rebound. We are very hopeful that this Jal Jeevan mission, the funding under the Jal Jeevan mission, which got slightly stalled for certain reasons, will come back into the play, and we would see an uptick coming back into the domestic oil and gas, large diameter pipes for water transmission, and small diameter pipes, which is DI pipes for distribution. We are very confident that in the next few months this water business will completely be back on track.

As regards oil and gas for India, we are seeing a huge push coming

g up for development of natural gas pipelines. We understand that the global price of natural gas is likely to go down over the period of time, which will be extremely beneficial for an energy-hungry nation like India. We are very confident that once those prices come in to a very, very attractive range, which could  
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just be a matter of time, there will be a huge demand for LNG, for the gas pipelines and network, which will be developed here in India .

We are seeing a strong demand already in place for our small diameter pipes, which is the ERW pipes, which are used for city gas distribution. We are seeing a lot of work happening at a lot of geographical areas. The pricing is attractive, and at this point in time, this will again be one of the growth drivers for our oil and gas business for India .

The third and the most important piece for our growth drivers in India is our oil pipes for export. We have seen a very healthy order book, and more importantly, a very qualitative order book for our oil and gas exports in pipes for India . If you see our performance, earning performance, there has been a significant contribution coming up from India in India entity also, which is nothing else but from exports. So that reflects both the quantity as well as the quality of the order books from our export business.

This business is further likely to grow. We are seeing a huge traction for pipeline projects all across Middle East and Southeast Asia. And so these are the two key major markets. We are seeing a lot of business still emerging . And with Welspun in the in the forefront, we will continue to be able to leverage this capability.

So, all in all, India , if you look at it, we see the water demand definitely is bound to come up. There is no doubt in our mind that it is just a matter of time. And the oil and gas demand is going to continue to be strong, both from a domestic perspective and from an export perspective. So , we feel that the next three to five years' time, beyond that, it is difficult to predict, but at least next three to five years' time seems to be fairly optimistic for our business here in India .

Let me also give you some flavor about Saudi, because that is another third market where Welspun is heavily present . If you see under Saudi Vision 2030, the government is working to guarantee long -term water security to public -private partnership. Large storage reservoirs and integrated transmission system linking coast with inland cities.

There is a huge desalination capability which is being developed. Those desalinated waters will be moved to feed into cities, and that is where large diameter pipelines are being used. This has been the case for the last three years, and looking at the demand at this point of time, this seem will be the case for at least next three to five years' time.

A testimony to that would also be, I am sure you would have noticed, with a very strong performance which our associate company, East Pipe, has given. They have delivered the highest ever EBITDA in this particular quarter. I am sure, my friends, you would have seen that. This is a clear testimony that the demand and the future, what lies in Saudi Arabia with respect to water. When it comes to oil and gas, Aramco is on a major capital expenditure spree. They have already announced a \$10 billion investment year-on-year basis for the next 10 years' time. They are in the process of developing multiple offshore fields and for which they will be requiring a hell of Welspun Corp Limited

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a lot of pipes over a period of time. That is what our genesis of our investment in our longitudinal mill in Saudi Arabia.

The theme still remains that they would like to use every gas for their domestic consumption and oil for exports. They are absolutely buoyant. They have very cl

early stipulated their

production enhancement in their production level, and they are completely aligned to Vision Saudi 2030, where they are committed to enhance their volumes. We will see a lot of development happening both on the onshore side , as well as on the offshore side , as well as for development of new energy, which is hydrogen and carbon capture.

All these businesses into this energy space, oil and gas space and energy space are with Welspun being going to be a local mill out there, we should be able to capitalize upon the same. We are very optimistic and buoyant about the Saudi market, and I am sure that in times to come, you would see the incremental revenues and margins coming into Welspun Corp balance sheet once we are fully stabilized there starting next year.

As regards the DI pipes , the Saudi market, there is a huge demand which is currently being serviced, mostly from imports. Almost two -third of the DI requirements seems to be serviced through imports. With our DI plant now coming in play by the end of this financial year, we should be able to capture that demand and which will be catered more domestically rather than dependent on the imports. We are seeing a huge demand at this point in time. We have already very actively started our discussion with all the local players and all the local users , and I am very happy to report the type of encouragement which we have been receiving from them. All in all, if you look at it, our foray into the Saudi market and our enhanced presence into the Saudi market will be the next area of growth which will come into Welspun Corp's consolidated balance sheet.

Let me also cover our SS Bar and Pipe business , which is about Welspun specialty steel. Our quarterly pipe sales volume reached an all-time high. The bar sales volume for the quarter

remained very steady. But on the pipe side of it, we are seeing a huge traction. On the steel side of it, we are seeing things slightly moderated because of the tariff conditions, but I believe that it will only be a matter of time when things will get rationalized. And even the stainless steel bar or steel business will also see a massive uptick as what we are seeing in our pipe business. However, EBITDA growth both on Y-o-Y and quarter-on-quarter basis stood higher than revenue growth, driven by better operating leverage. We have added more than 20 customers during H1 of FY '26. Our IBR accreditation of alloy steel blast and tubes have progressed, and we are expecting completing completion in the coming quarter.

Our new bright bar project construction is in full swing, and the commissioning is also expected in this particular quarter.

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Our key focus and the projected growth drivers shall be the sectors like energy, defense, space, oil and gas, petrochemicals, engineering and public infrastructure. I am sure all these sectors will stimulate the demand for the stainless steel pipes and bars. Welspun Specialty Steel remains committed to actively engage with these customers, both in domestic and international market, and will maintain their operational performance, positioning the company for stability and further growth.

This, as you know, friend, this is a very boutique company. We are the only one which is completely integrated, which means that we make our own steel, we make our own bars, and through those bars, we make our own pipes. This is the unique proposition, what we have in this particular setup. The demand in India, both in defense and nuclear and the power, is going to go up exponentially. All of us are noticing that. And these pipes will see a massive application in this particular area.

So we are very, very confident about the growth of this particular company. And you would see that on a quarter-on-quarter basis, they have only been improving for the last four or five quarters. And I am

very sure that they have a very extremely bright future.

Coming back to our Building Material vertical, which comprises of two businesses. One is our TMT bars and other is our Sintex. In Sintex, on the water storage tanks business, we have continued to focus on our channel expansion, brand building, premiumization and digitalization, our strategic shift towards secondary driven sales through enhance visibility and demand generation.

Pan-India basis, if you see, our retailers and plumbers, distributors, retailers and plumbers have gone up significantly. Today, as we speak, we have close to 500 distributors, almost close to 28,000 retailers and almost close to 65,000, 60,000 or 70,000 plumbers, influencers. This business, the B2C business, as you would know, is completely dependent on this value chain, and this is where we are absolutely focusing upon. And on a month-on-month basis, we have been gaining ground.

On the plastic pipe business, we have launched our pipe business in Chhattisgarh. We have launched in Chhattisgarh in Punjab. We have got an extremely positive feedback on the quality, the brand, and the differentiated offering what we are proposing into the market at this point in time.

On the OPVC side of it, our Bhopal plant is now fully operational. I am happy to report that we have got all the mandatory and the statutory approvals and accreditations, which are required to sell those pipes into the domestic market. I am also happy to report that we have received multiple orders for this particular product. And starting next month, we would also see execution of these projects for the OPVC pipes.

We are trying to scale up our operations to reach to cover almost 80% market on a pan India basis by March 2026. We are also trying and making our efforts that how can we deeply penetrate

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into each and every state, each and every district, and each and every consumer. There is a very clear, robust strategy, which is being designed and being implemented to map and to make that impact fit. It is a work in progress. I am sure this work has to be built up little painstakingly.

B2C, you understand, takes its own time. We are absolutely investing in its foundations at this point in time, and I am sure that these foundations will give us a benefit in times to come.

On the investments, what we have done globally, I just wanted to update that at all those investments, whether they are in India, Saudi, or in America, they are going as per the plan. They are all on schedule. And I am sure when all these expansions will happen, which would happen anything starting from 6 months to 12 months from now, the total addressable market is going to expand for Welspun, and which is going to get reflected into our volume, in our revenues, and

in our earnings as well.

I am sure that the performance over the last two quarters and during this H1 is meeting the expectations, and we are delivering what we have promised. And I am sure that the next two quarters and the subsequent two to three years' times, we should be able to sustain this incremental growth.

Last and not the least, we remain very strongly committed to sustainability, our people, and our digitalization objectives, and ensuring highest standard of governance and transparency across the organization.

With this, I would like to kindly ask the moderator to open the floor for question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Nishant Vass from 360 ONE Asset Management. Please go ahead.

Nishant Vass: Just a couple of clarifications. Just on the data center piece, can you double click more on The U. S. Demand? Obviously, there are more and more data centers in U.S. that are on-site natural gas generated from a power standpoint. So, a

re you seeing that order come to you? If you can give more details in terms of what is the nature of this order that you received from data center as a direct order?

Vipul Mathur: No, so, Nishant, thank you very much. First and foremost, this order, what we have received, is not a direct order from a data center. This order is an order to a midstream company. We have to understand the value chain. The value chain is that there is a gas, which is there in the Permian Basin. That gas has to get transported to the consumption center through a pipeline. These pipelines, as you know, are being put through a midstream company.

Earlier, those midstream companies were all focusing on moving that gas to the Gulf Coast for LNG export. Now with this big new demand coming up for data centers, they are also diverting this gas pipelines from Permian to wherever these data centers are coming, which is in Midwest  
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or Arizona or in Texas or in Louisiana. So, there is a huge shift on newer pipelines which are getting created and from the same source, which is the Permian.

Nishant Vass: And so just getting a better understanding of this because gas-based data center demand is going to be the primary driver of incremental growth considering other segments take time in terms of ramp up, potentially nuclear and other sources. On that account, considering you have a dominant position in the market, do you think this can be a significant source of incremental growth for you? And if that is the case, then what are the thoughts in terms of capacity creation more for getting to supply for this data center demand?

Vipul Mathur: So, first and foremost, we believe this is a paradigm shift which is happening within the market, U.S. market, number one. As you rightly said, we are definitely in the pool position at this point in time, being present there and having one of the largest capacities.

Third, it is also very clear that this recent order, which is a testimony that, this demand is actually not on a piece of paper. It is actually getting crystallized. This is happening on the ground. I think so this is going to stay for a fairly, fairly long time because the type of data centers which are being discussed and their complete dependence on natural gas. So, we have to understand either they have an option to go to a grid, which is a very weak network and if it is not a very extended network in America and not too very reliable network. So, they have no other choice but to go to this captive power plant, and those captive power plants have to be fed to this gas. The nuclear part of it, I think so it is still on a design state. It is going to take some time. We have still not seen any prototypes coming up on the ground. So, it is going to be a long haul before they will be powered to a nuclear energy. So till that time, which could be 5, 7, 10 years, we really don't know. Till that time, if this data center's demand continues to grow, they will all be powered through the gas. So, we see a very clear directional shift which is happening into that particular market. And apart from exports to LNG, this was going to be the new consumption driver.

Coming back to our capacity, Nishant, as you know, we have one of the largest capacity, number one. We have already announced adding our capacity. We are putting up a new longitudinal plant out there, which we have already announced that. It is already going. It is only a work in progress. We should be up and ready sometimes next year. And this plant, over and above our existing plants, these two plants put together would be catering to this huge demand of energy, new energy, which is demand which is coming up into the U.S. market.

Nishant Vass: And one last question on this. From a profitability standpoint, I presume this also will be similar or better than the existing in

the existing projects in the U.S.

Vipul Mathur: Fair assessment. Fair assessment. It is a very fair assessment to make, Nishant. I think so, they



are, but profitability is also a factor of steel and this, that. But I would say that these are fairly profitable orders. And more than the profitability, I think so, the trust what the customer shows on to us with respect to our executional capabilities, that is more important for us. And I think

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so, by getting all these orders of almost \$700 million odd orders for and large ly, one of them happens to be from a data center is a clear testimony that Welspun positioning into the American market.

Moderator: Our next question comes from the line of Vikash Singh from ICICI Securities. Please go ahead.

Vikash Singh: Sir, my first qu estion pertains to our guidance. Why haven't we increased our FY '26 guidance considering that the second half is usually pretty strong for pipe companies? Your initial commentary also suggests that. And is it because we would be ex pecting, we are also exp ort orders from India would have been exhausted and that is why we are expecting second half to be a little bit weaker this time?

Vipul Mathur: Vikash, guidance is a factor of our order book and its execution al timelines. I may have orders expanding over a couple of years, but all those orders have to be delivered into a particular time line. So , when we factor all those things, that which order from which mill, from what location, to which customer, in what tim e line, I think so all these component becomes the fact of our guidance. And, accordingly, we have given the guidance.

So, you are right. The H2, the second half of the year is definitely historically has been better than the H1 part of it, and that is wh at gives us a reasonable amount of confidence that once we have already received, we have all almost achieved our mid -year guidance, I am sure there is no reason that why should not we be able to accomplish or exceed the guidance given for the full year. B ut are we going to change it drastically? The answer is no. Because there are certain orders which have already been factored for, and they need to be executed in time.

This question will become more relevant , Vikash, for the next financial year, when we would have , when we will sit down and finalize the business plan for the next financial year, keeping all the pending businesses in mind and how we are going to execute that.

Second, by next year also, we would have additional capacities which will come on stream. And to that extent, as I said earlier, we will see a growth in volume, growth in revenue, and also growth in margins and which will mean growth in guidance as well. So , that is how we would like to play around , Vikash .

Vikash Singh: And si r, in terms of our state of the order book between India and U.S ., just wanted to understand that U.S ., we know that we have a visibility now till FY ' 28. But how we should look at the India visibility, if you could give us the orders book split? And by when you are thinking that the market would start turning around the green shoots in the water space?

Vipul Mathur: So, right now, as I said, we have almost a consolidated order book of close to exceeding 1.25 million tons between India and U .S. So for U .S., we have a clear visibility for at least more than two years. And for India , depending on the various business , for the water businesses, typically, the visibility is for, let's say, one quarter or more. But for our signature, LSAW business, which

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is the export business, we still have a visibility of more than a year. So, we have a very, very strong qualitative order book, both in the water sector as well as for exports at this point in time. And to your third question , that how the vis

ibility also for our order book, both for exports as well as for water, I am sure that it looks very promising. Water, as I said earlier, we would see a lot of traction coming up starting the next financial year because a lot of fundamental issues with respect to cash flow and funding and this and that would have got sorted out. There would have been some very large projects in the water sector which would have got awarded. So , the fund availability with a word of large contract, I think so that fundamen tally will take care of the water sector.

And on the export side of it, which is where you make your maximum money, we are seeing a huge traction at this point in time. We already have a very comfortable order book. But as I see the visibility, the pipel ine of the orders, and what my teams are discussing, it gives me a clear comfort that next year could be even better.

Vikash Singh: That's all from my side.

Moderator: Our next question comes from the line of Sailesh Raja from B &K Securities. Please go ahe ad.

Sailesh Raja: Sir, congratulations on delivering an excellent performance in 2Q. Sir, with planned capacity addition in HFIW and the new DSAW in the U.S., so is this expansion decided by us initially primarily driven by seeing the long-term market opportunity o r the push came from key customers like TC Energy and Kinder Morgan ?

The reason for asking this question, if there is a specific customer that demand, does that enable faster utilization ramp up once the facilities are operational? And since you have pointed out that we have received order from data center segment that is roughly around Rs. 6,000 crores, and also, I just wanted to know this is pertaining to which type of type, DSAW or LSAW ? Because if we do that calculation of 6,000 ton, it comes around 3.75 lakh tons. Just wanted to know if you can clarify on this.

Vipul Mathur: So, to your first question, that what was the genesis for our HFIW and LSAW expansion?

Sailesh, you have to understand that we are present into that market for the last almost 20 years now. We are one of the largest players in that particular market. We have an extensive relationship with all the existing customers, the midstream customers, what we have. We have been absolutely focused in terms of that where, how is the growth coming, what is that we can do to help capture that growth.

At an appropriate time last year, we felt we saw that there is going to be a huge uptick in demand, which is going to happen. The demand, we knew, will happen in more in data centers, LNG, and LNG export segment. And that is the reason, key reason we went ahead, wanted to be stay ahead in the curve, and went up with our expansion for our putting up a new LSAW plant.

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What happens afterward, once these pipelines are being done, the large diameter pipelines are being done, the small diameter pipelines, distribution network also get created. That is the nature of the business. And to that extent, keeping that in mind, we took a preemptive step of also putting up a upgraded HFIW mill in place. So, it was not a specific customer backed demand basis which we took a decision. It was a fundamental shift which we saw, which is likely to happen on the ground, and basis that we took that decision. And I am sure that you will agree that that whatever we took in terms of expansion were the right decision. So, our capital allocation was very, very clear and judicious. Number one.

Number two, with respect to this, the new project, the new order what we have got, it is largely a spiral pipe at this point in time, but it also has a component of a longitudinally welded pipe. And as our mill is going to come up there, we would also be able to service that requirement, this confirmed requirement out of that particular mill. So, it is a blend of both at this point in time.

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Sailesh Raja: So, is it possible to give the mix? So, basically, I want to know if this DSAW will be operational by FY '28. So, how long will it take to seize that capacity?

Vipul Mathur: DSAW will be operational by '26, by next year. No. Who said '28?

Sailesh Raja: No. So, FY '28, sir. I am talking FY '28.

Vipul Mathur: Okay. We should see two years till FY '27, then FY '28.

Sailesh Raja: We can fill it by FY '28 or second half of FY '29?

Vipul Mathur: We see a demand. I mean, today, when we look at it, I think so that demand, which is going to come up both from LNG as well as our data centers and LNG terminals per se. And I am not counting offshore for the time being at this point in time. So, these because from out of the four, I am only counting demand from these three functions, which is LNG export, data center, and the LNG terminals per se. I think so we are very confident that this brings a very clear visibility and we should be able to put a maximum utilization to our DSAW mill.

Sailesh Raja: Because we are deploying around Rs. 1,100 crores here, and effectively, we can produce 2.6 lakh tons. And you always say that in U.S., we will do conservatively 250% of EBITDA. So, if we back calculate, it gives only two, three years of payback, actually, including working capital in procurement. Is this right?

Vipul Mathur: Sailesh, these back of the firm calculations, you guys are good at that. What we see is the fundamentals of that. For us, fundamentally, that market is strong. It is going to grow. It is going to stay strong for next couple of years. And we being present there, there is no reason that we should not be leveraging out of the whole situation.

Sailesh Raja: By seeing demand, can we expect one more line of addition in DSAW in next two, three years?

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Vipul Mathur: At this point in time, no, Sailesh. At this point in time, we have factored for the demand and what could be the share we would like to service from that. To that extent, we have already taken all the steps. At this point in time, we are not looking at anything beyond this.

Sailesh Raja: My last question, when we commissioned the DI line, the strategy was to focus both domestic as well as exports market given our proximity to the port. However, we have not exported so far, and domestically, we are seeing deferment in government CAPEX. So, despite this, we have been able to ramp up our volumes, whereas if you see one of our peers, they have curtailed

production because of delaying payments from the contractors.

So, in this context, on worst case, if the domestic situation continues like this, so how do we plan to balance domestic and exports going forward? Also, along with even in our presentation, it is mentioned that there is an anti-dumping investigation initiated by Saudi. So, what is our export strategy for DI and a broader plan for DI business?

Vipul Mathur: So, Sailesh, first and foremost, the DI market has been into stress. There has been no doubt about it. But we continue to have a very strong order book at this point in time. It is almost close to 300,000 tons of order book what we have. It is a confirmed order book. So, to that extent, we do not see sort of an immediate pressure at least in terms of volume. There will be a pressure in terms of pricing, but not in terms of volume, number one.

Number two, the fund crunch situation is not going to stay in perpetuity. As we are very confident, it is just a matter of time, a matter of one more quarter, and things have to improve, and they will improve. There is no doubt about that.

Third, we have already started exporting DI pipes in some small scale, and the initial response what we have got from the market in which we have already exported is extremely good. So, we will definitely ramp up our portfolio for exports out of India at this point

in time and in days to

come. But we will have to first see that currently, the percentage would be less because our domestic demand in order books is strong. And if for any reason it goes down, which I do not believe, then we have also parallelly started working with the export market, seeded there. And if we have to ship, we will be ready to ship that.

To your last point, KSA has started the anti-dumping duty investigation. That is a fair point.

Yes. They have already started doing that. You also must keep in mind that Welspun's DIP facility in KSA will also come up by March of 2026, and these anti-dumping investigations will definitely be of significant help to our local entity, our local production facility, which we are setting up in Saudi Arabia. So, we are sitting on both the sides. We see a strategic advantage having with this investigation because it will help us stabilizing our Saudi entity much expeditiously and faster.

Sailesh Raja: Just one thing. Sir, this Mauritius entity is very similar to parent entity.

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Moderator: Mr. Raja, I am extremely sorry to interrupt, but can you please rejoin the question queue for your follow-up questions?

Sailesh Raja: Yes.

Moderator: Our next question comes from the line of Sneha Talreja from Nuvama Wealth Management. Please go ahead.

Sneha Talreja: Couple of questions from my end. From OPVC and Sintex channels, could it be possible to share any order book number on the OPVC side? That is first.

And secondly, what I want to understand is in the growth rate of Sintex, while you have mentioned that you have done roughly about Rs. 310-odd crores on Sintex first half number, what is your growth target here? Because as far as I understand, last year was somewhere about Rs. 600 crores to Rs. 650-odd crores is the total revenue size. Are we seeing any slowdown here in case you can just quantify that what is the growth likely to be this particular year only for the Sintex overall business?

Vipul Mathur: So, Sneha, thank you very much. First, on the OPVC side, as I said, that we have now achieved, we have started the commercial production. We have received all the statutory mandatory approvals and accreditations, which is required to supply pipes into the domestic market.

And, also, we now have orders from multiple stakeholders on a pan India basis for which we will be starting servicing sometimes later this, early this month or from next month. These are at this point in time, yes, I am not saying that they are huge quantities of order, but they are decent quantities of order at this point in time, what we have. But what is more important is that it is spread over at four or five locations, which means that the geographical acceptance of this pipe is what we wanted is now gaining traction.

At this point in time, what we are not following or rigorously pursuing is the volume part of it, but a wider gain and acceptance of OPVC pipes on a pan India basis. I think so that is the strategy we have been working on. And I think so, to that extent, the efforts what have been made are showing positive results, number one.

Coming back to your question on Sintex, I think the Sintex, our Sintex water storage division has been doing extremely good. As you know, it is a business of all about the distributor, dealers and influencers. That band, as it expands, the business expands on its own. The team, I think so, have been doing a phenomenal job in making that expansion.

Further, we are investing a lot in terms of branding and marketing activities and taking it directly to the consumers, making them aware about the products, what are bringing. I think so this expansion, this is gaining a lot of attention and attraction. You know, the market has been slightly

subdued in the recent past. There has been a fund flow crunch into the over

all market. We are

all priv y and all are aware of it. I think so, to that extent, they are also slightly impacted, but it

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is just, you know, as the fund flow into the markets in the water sector, everything will get improved. I am sure that this growth rate will further accelerate from here.

Sintex is a, as I said earlier also, Sneha, is a work in progress. We are absolutely focusing on building absolute solid ground foundation. We are in no hurry that we want everything yesterday or tomorrow. No. We want to bring foundations. We want to make clear foundation with respect to the quality, brand, process, dealer, distributor, influencer, digital, everything. You know, we want to change the game in this particular market. It takes its own time. We will be investing that particular time and energy behind it because we see that is what is going to create a long-term intrinsic benefit for this organization.

Sneha Talreja: That's helpful. And last thing, you also mentioned about Nal Se Jal scheme coming back, and Amrut 2.0, you have been really positive on about government spending coming back. And you are also present into DI, OPVC, all sort of pipes, which is where you actually see the benefit coming majority to? Will it be DI? Will it be OPVC? Will it be HDP? Where do you see incremental flows of the water supply coming to any categories that you would want to highlight here?

Vipul Mathur: Sneha, this will be across all the categories. See, HDP will have a role up to a particular size. OPVC will have a role beyond that size, and third, DIP will have a role where OPVC will stop. So, if you see in the whole value chain, on the lower diameter, it will be HDP. In the smaller diameters, it will be OPVC. And in the medium to bigger diameters, it will be DIP. All three of them are a part of the same value chain, and we have been present into all three of them, we are covering the entire value chain. So, once the Nal Se Jal scheme funding and Amrut 2.0 funding will start trickling back, which is just a matter of time, we will see growth across all the three product lines.

Moderator: Our next question comes from the line of Bhavin Chera from ENAM Holdings. Please go ahead.

Bhavin Chheda: Just few question. First on the CAPEX. So, we have spent Rs. 950 crores in H1. And if I see your Quarter 1 slide which you had given, so our 2 years CAPEX plans was Rs. 5,500 crores. So, roughly, what would be the breakup? Second half, how much you plan to spend and balance would be in FY '27, that is how we should model it?

Percy Birdy: Yes. Bhavin, hi, this is Percy here. I will take that answer the question. So, we had announced CAPEX of about INR 5,500 crores odd, and it was spread over three, four years, starting from FY '25. So, as you know, FY '25, you already spent close to about INR 1,000 crores, and in H1 this year also, it is about INR 950 crores. So, combining the two, about Rs. 2,000 crores is done. What is remaining is another 3,500. I think in H2 of this year, it will slightly pick up the pace, so as our Saudi and U. S. projects are moving fast, at a fast clip. So, you can expect another maybe 1,500 for H2. So that means for this fiscal year, you can expect about, I would say, 1,000 plus 1,500, so about 2.5. But our goal is ...

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Bhavin Chheda: And 1,000 is already spent last year, the 3.5, right? So pending would be Rs. 2,000 crores starting FY '27. Right?

Vipul Mathur: Yes.

Percy Birdy: But our goal is, of course, to monitor the CAPEX very carefully and maintain our balance sheet in a healthy position by looking at the debt numbers, the net cash numbers as well.

Bhavin Chheda: Second question, just on the order book, because I think your slide says that the order book is updated till 25th October. So, U. S. o

order, which was received yesterday, should be added to the order because that press release also mentions order book at INR 23,500 crores. So, there looks to be some confusion between yesterday press release and today's presentation. So, what exactly is the order book number?

Vipul Mathur: Bhavin, let me clarify. I think if it has added any confusion, my apologies for that. The U. S. order book coincidentally came yesterday. We had a chance to update it. This Rs. 23,500 crores order book is inclusive of the recent order, the last order what we received from U. S. My apology for this, if it has created any ...

Bhavin Chheda: So, 23,500 includes all orders.

Vipul Mathur: Yes.

Bhavin Chheda: And 1.2 in volume wise is equally spread between India and U. S., right?

Vipul Mathur: Broadly.

Bhavin Chheda: And this 23,500 doesn't include Saudi Arabia orders, APAC orders. Right?

Vipul Mathur: They do not. They do not.

Bhavin Chheda: What would be the order book there?

Vipul Mathur: They have an order book exceeding for more than two years at this point in time. I think so they make separate disclosures to that, Bhavin. I am sure you are tracking that. They have a very, very robust order book exceeding two years' time and very profitable order book. You see their performance for the Q2. I think so that will give you a very clear reference as to where that company is heading for.

Bhavin Chheda: So, you had a share of associate profit of close to Rs. 96 crores, so that reflects very strong results from Saudi operations. So, should we expect this current momentum to continue over coming quarters? Or was there any one-off in that share of profit number of Rs. 96 crores?

Vipul Mathur: My sense is that, a, this is a clear reflection of the mix of the order book what they have. See, it could be a little slightly on and off quarter-on-quarter basis, but from the quality of the order

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book, what we see they have, it would be fair to assess that it would be somewhere in the similar vicinities. Should be. But, of course, subject to what the product mix, if they keep on changing, you will see some more aberrations coming up on the play. But broadly, I think so, this is the way we should keep in mind.

Moderator: Our next question comes from the line of Sunaina Chhabria from Chola Securities. Please go ahead.

Sunaina Chhabria: The first question that I had was the line pipe order book that was given was India and U.S. combined. Would it be possible for you to give any color on the breakup between this for India and U.S. respectively? What is the bifurcation between the two?

Vipul Mathur: Sunaina, thank you for joining. I think so, I did mention that this order book of 1.2 million is fairly even restricted between India and the U.S., which means almost close to 600,000 tons at both the location. Is that what you are looking at?

Sunaina Chhabria: Yes. I might have missed that. And just my second question is regarding this wholly-owned subsidiary that is being set up in Saudi Arabia. What would be, like, the business functionality of that?

Vipul Mathur: Wholly owned subsidiary which have already set up in Saudi Arabia is for, we are setting up a plant. We are setting up a longitudinal plant, and we are setting up a DI plant, and it is a 100% wholly owned subsidiary of Welspun Corp. That is the whole purpose and both these plants are being set up.

Sunaina Chhabria: Any time lines you could possibly give about them?

Vipul Mathur: About what? About the setting of these plants?

Sunaina Chhabria: Yes. The commissioning and the operation.

Vipul Mathur: If you see, Sunaina, we have given a very clear project update. If you see that on the DIP side of it, ductile iron pipe facility, we are still maintaining that it should be up and running by March of 2026. And for the LSAW

plant, what we are seeing there is also a similar timeline. So, both of them seem to be the fourth quarter of this financial year.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Vipul Mathur: Thank you, friends. Thank you very much for joining today's conference call. I just want to reiterate a couple of things. You know, as an organization, as Welspun Corp, we have a fairly healthy order book. We are completely focused in our growth. We have seen consistent growth over the last six quarters, and I am very sure that in subsequent quarters for the next two years, you would see both growth and improved margins.

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Our focus continues to be maintain profitability. You will see that we will try to maintain ROCE above 23%, 24%. We have a very healthy balance sheet. At this point in time, you see our net debt to EBITDA are less than, you know, they are almost negligible despite that all the CAPEXes we are doing, we are trying to maintain a sort of a net cash position. So, from a growth perspective, from a ROCE perspective, and from a balance sheet perspective, your company is absolutely on the right track.

From the business perspective, if you see, there is a paradigm shift, as I said, is happening both in the American market, in the Indian market, and going to be into the Saudi market. All these three markets are gunning, are growing, and they offer huge opportunities. I am sure with our philosophy of core products and core geographies, by virtue of which our reach is increasing,

our total addressable market is increasing , I am very sure that the company will do extremely well in next couple of years.

With that, I would like to thank all of you once again for joining us. And if you have any questions, anything which we would have not answered to your satisfaction or you have any afterthought about it, please feel free to reach out. We will be more than happy in fullest transparency to share that with you. Once again, thank you very much for joining us today. Thanks.

Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Q3 & 9M FY '26 Earnings Conference Call  
February 02, 2026

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER – WELSPUN CORP  
LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER –  
WELSPUN CORP LIMITED  
MR. NILESH MAZUMDAR – CHIEF EXECUTIVE  
OFFICER – SINTEX  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATIONS – WELSPUN CORP LIMITED

MODERATOR : MR. ANIRUDH NAGPAL – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Corp Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Anirudh Nagpal. Thank you, and over to you, sir.

Anirudh Nagpal: Thanks, operator, and welcome, everyone, to the call. I will first thank Welspun Corp for giving JM Financial the opportunity to host today's call. So without much ado, I'll hand over the call to Mr. Goutam Chakraborty, Head, Investor Relations, Welspun Corp, to introduce the management. Over to you, Goutam.

Goutam Chakraborty: Thank you, Anirudh, and good afternoon to all of you. Welcome, everyone, to Q3 and 9 months FY '26 Earnings Call of Welspun Corp Limited. On this forum today, we have Mr. Vipul Mathur, Managing Director and CEO; Mr. Percy Birdy, Chief Financial Officer; and Mr. Nilesh Mazumdar, CEO of Sintex.

You must have gone through the results and investor presentation of the company which are also available on the stock exchanges and as well as on our website. During the discussion, we may be making references to the presentation, so I request you to please refer to the safe harbor statement in our presentation. As usual, we will start this forum with the opening remarks by Mr. Mathur, and post that, we'll open the floor for Q&A. With that, let me hand over the floor over to Mr. Mathur. Over to you, sir.

Vipul Mathur: Thank you. Thank you, Goutam. Friends, a very good afternoon to everyone. I welcome you all for the Q3 FY '26 Earnings Conference Call for Welspun Corp. And first and foremost, since we are interacting for the very first time in this new year, I wish all of you a very happy and a prosperous 2026.

As practice, I would first like to discuss our key operational and financial highlights of the concluding quarter. I will then dwell down on the business environment. And rather, I would like to spend a lot more time on the Q&A today because I am sure that all of you would have seen the investor presentation, and there is -- a very detailed outlook has already been provided. So I think we should utilize the time and we can go ahead for more Q&A. I think so that will be more helpful. However, if you want any more detailed information, we are more than willing to do that.

So some of the key operational highlights for this particular quarter was that the line pipe sales

volumes for India and U.S. stood at almost 265,000 tons. The DI pipe sales stood at almost 92,000 tons. The stainless steel bars and pipe sales volume stood at almost 6,000 tons and 1,600 tons, respectively. We have been able to maintain a consolidated global order book at a record high of almost INR23,600 crores, bringing consistency and long-term visibility across our global operations, across U.S.A., across India.

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And on Sintex, we are -- as we have always said, we have been focusing on channel expansion, branding, premium product launch continues. Our strong potential -- the OPVC, the strong potential for OPVC market, which is absolutely now in play, and now Sintex securing major approvals for the OPVC and panel in the various stages. Execution and the dispatches of OPVC material has already started.

Some of the key financial highlights are: our Q3 FY '26 EBITDA stood at INR645 crores. It is the highest ever quarterly EBITDA with consistent growth over the last 8 quarters and improved margins. This is after a onetime cost of approximately INR25 crores on account of

gratuity and

leave encashment provisions due to the new labor code. Our annualized ROCE stands at more than 24%.

The PAT for this quarter stands at INR453 crore s. If you would have seen, the last year Q3 PAT had a onetime gain of INR378 crores on account of proceeds from sale of EPIC shares. So if we reduce that onetime gain in the last quarter of the last financial year, the PAT is significantly higher in this particular quarter.

In spite of the capex of almost INR1,700 -odd crores during the 9 months in FY 2026, we continue to maintain a net cash position of almost INR132 crores. If you see, we had given a guidance of close to INR2,200 crores for the whole financial year. And in the 9 months, EBITDA guidance of INR2,200 crores. And in the 9 months, we are already at INR1,831 crores. This very clearly suggests that the company is well on track and should comfortably achieve or exceed the full year guidance. And we will talk a little more when we deep dive into the Q&A part of it.

I would quickly go to the business environment sector -- section. And just to give you a very broad highlight as to how do we see the market happening across all the geographies and across all the products.

First, let's talk about U.S. I think so the U.S. market is absolutely continues to be into a bullish mode. We are seeing a significant demand -- continuing demand for the pipeline, and they are all driven by basically movement for gas pipelines, either for LNG export primarily for data centers. We are seeing the surge of data centers coming up in U.S.

And with each data center, they have to have their own power plant, and all those power plants requires uninterrupted gas for which pipelines are required. So we are into the part of the value chain of the AI data center, and we are seeing a huge surge around at this point in time. If I have to put some numbers, there are almost 8 to 9 pipelines which are currently being discussed apart from what have only been awarded. So I think that shows a very strong visibility for next 3 to 5 years' time.

We are also seeing a lot of development now happening in carbon capture and hydrogen pipelines. Plus, the U.S. offshore is also seeing resurgence. So the domestic movement of gas, the carbon capture, the hydrogen pipeline and onshore resurgence. All in all, all the 4 boxes in which pipelines are being used, is -- are taking, and we are seeing an upside into that.

Now if we look at Saudi. Saudi Aramco has -- if you would have noticed, Saudi Aramco has increased its capex guidance to -- in the range of almost 50 billion to 55 billion. They are also

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talking of major capital projects for pipelines which are going to come up. There happen to be the Jafurah gas piping -- Jafurah gas project. We are also talking of Master Gas Phase 4. We are also seeing that Saudi Aramco is increasing their gas production, and it is going -- it is about to go to 11.8 Bcf per day -- from 11.8 Bcf to 16.6 Bcf per day. They are contemplating to put almost 4,000 kilometers of new pipelines.

So with Saudi's 2030 vision for both onshore and offshore, it seems to be pretty much on track. And -- or more importantly, Saudi also has been -- will also become a sort of a hub, not only for the domestic consumption, but also as an export hub to the international market. As you know, Welspun Corp is significantly expanding its footprint in the Saudi market by putting up new LSAW mill out there. And the outlook, both domestic as well exports, looks extremely, extremely encouraging.



When we talk about Saudi, you also know that we are expanding in our DI pipes there. We are putting up a greenfield capacity for DI pipes. And the market is very buoyant. There is a lot of infrastructure development which is happening. There is -- the demand dynamic is very favorable. There are local capacity constraints.

aints.

And as I have said earlier, we are positioning ourselves for import substitution because 2/3 of the quantity, which is coming at this point in time, is coming through imports. Once our greenfield project starts producing, the first thing which will probably happen is all the import substitution will start. So we will have a national platter to play with.

We are also pleased to report that the government of -- the Kingdom of Saudi Arabia has also started some antidumping duty investigation for all the cheap imports which is coming. I think so that will also help in settling down our new DI plant much faster with a better margins and realization.

Apart from that, we are also seeing that there will be a huge reconstruction activity which will come up into the neighboring countries around Saudi. Saudi government has placed significant amount of money for their reconstruction in Syria and all other neighboring countries. And we feel that, that will also be a great opportunity for our ductile iron pipe business.

So all in all, Saudi, we are very, very -- we feel very confident that the investments what we have made in our longitudinal plant and the DI plant is definitely bound to give us the benefits of the positioning being out there.

As regards to India, India market -- India domestic market has been slightly tepid. We have seen in the last few quarters, the water sector being down and the oil India sector also not coming up to the scale. But the export market has been extremely good. We have -- we have seen multiple projects in Qatar, Australia and Latin America and some part in the North America where we can supply out of India.

So those projects are -- we are seeing the surge in those type of projects. So which means the global demand, the global appetite for LNG and the gas transportation is extremely high. And we see that India, we will continue to focus on -- more on the export side of it.

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Recently, you would have also seen that we got a breakthrough in the Latin American market, in the Argentinian market. It was fairly -- it was a very competitive market. And because of our quality and because of a technical superiority, we were able to position ourselves into that particular market, and that export will also happen out of India.

We are also seeing hydrogen and carbon capture pipeline, and we also are dissecting the recent budget, which our Honorable Finance Minister presented. I think so there was a reference for a lot of infrastructure development for carbon capture. So all in all, WCL India, the Welspun Corp India offers sort of a very unique proposition.

So we are -- we can produce pipe, we can do all type of coating, we give all type of bends. We have a strong R&D network. We have an excellent customer base, and we have a very, very time-tested proven supply chain that positions us very nicely into the global market.

In that domestic oil and gas market, as I said, it has been slightly tepid, but it looks like that they are going to -- it is going to come up. We expect to see that -- with the LNG prices now moderating, we see a lot of LNG coming into India. Corresponding to that, we will see our network getting created. And we are also seeing that GAIL is about to invest almost INR2,000 to INR3,000 crores in FY 2026 for pipeline infrastructure, including BPCL is also putting up an infrastructure for refineries and petrochem.

The LNG capacity is bound to grow from 52 million tons, which is currently handled at 8 terminals, to almost 86 million tons per annum, which is by 13 terminals. So 5 more terminals, LNG terminals are going to come up.

And the CGD network. Now when the prices are moderate, I think so the CGD network is also bound to grow, and we are seeing a total investment of close to INR40,000 crores happening until 2034 in the CGD network. So the

domestic part of the oil and gas business also seems extremely promising in days, months and years to come.

As I said, the water has been -- has taken a little bit of a hit in the last 2-odd quarters. It was all -- it was because -- water is all driven by the government funding. But now we have seen a complete resurgence of that. We are seeing this interlinking of rivers. We are also seeing the budgetary allocations, which were announced yesterday for Jal Jeevan mission.

All these projects now seems to be coming up on track. If they -- and I'm sure the benefit of that, we will start seeing it in the coming financial year. So both water as well as oil and gas in the domestic market is only going to improve from here in days and weeks and quarters to come.

As regards to DI pipe, we noticed that JJM has been extended to 2028, which may translate into consistent consumption of DI pipes. The same is also coupled with AMRUT 2, which is the urban requirement and which will boost our demand. Thirdly, the irrigation projects are likely to come up in a big way with a special focus on HAM projects. The new requirement is also coming up in sewerage sector with different type of coatings.

We are seeing some very key projects which are going to come up, which is like Marathwada Grid, CIDCO, ERCP, PKC, Ken -Betwa, et cetera. These projects are expected to bring a

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significant quantity and will have a significant requirement for the ductile iron pipes. One of our first area is also exports, and we have already started exporting to Europe, Middle East and Africa. And because of the approvals and accreditations what Welspun enjoy.

Off-late, we in the last -- we have seen some fund currents under JJM. But yesterday, the Honorable Finance Minister announced almost INR70,000 crores allocation to JJM. Once that happens -- and I'm sure the moment that starts trickling in, which would be in the very first quarter of the next year, I think so there we will see a complete resurgence of the projects, which have gone slightly slow in the last 2 quarters. So here on, I see a great momentum coming up in the DI sector, both in the domestic as well as into the international market as well.

On the SS bar and the pipe, our focus has -- government of India focus has been on the energy, defense, space, oil and gas, petrochemicals, engineering and public infrastructure. That is what government of India has been focusing upon. They have been focusing upon Atmanirbhar Bharat. There have been a lot of ecosystem which has been created where they have put in antidumping duties and protective environment for the stainless steel pipes and bars.

We are -- on top of it, we have also been able to sign, the government has been signing FTAs with multiple countries, including Europe, which is a big market for us. So all in all, put together, as the Welspun Specialty Steel being a fully integrated steel company, we will be able to leverage not only the domestic market, but also benefit under the FTAs in days to come.

As regards Sintex, if you see Sintex, we have been absolutely -- Sintex has 2 components. One is the tank component and other is the pipe component. In the tank component, we have been absolutely steadily making our progress into the market. We have been able -- we are regaining our market share, which we have lost over a period of time. We have been regaining it absolutely in a very, very systematic manner. The product acceptance, the brand recall is extremely, extremely high.

On the pipe side of it, which is -- where the TAM, the total addressable market is significant, we have started our journey with OPVC pipe. We have now -- the approvals and the empanelments in the state which matters the most to us. And we have already had the breakthrough of the orders. The orders have -- and we have already started executing t

he orders. And now we will

see, with this empanelment and accreditations happening for the OPVC pipe, we are going to see a big momentum coming up into the OPVC -- in the Sintex market as well.

As regards the projects, as I -- in our Q2 presentation, we did indicated that all the projects which are going on, I am very happy and pleased to report that all the projects which we have initiated are moving on track, which is about our project -- LSAW project in America, our ERW project in America, our DI project in Saudi, our LSAW project in Saudi, and 2 or 3 projects which we have -- which we are doing in India.

So a list of 7, 8 projects which we have shared with you in Q2. They are absolutely moving on track, and we are seeing we are seeing that once -- and they will start coming on track, let's say, from the, let's say, the second quarter of this financial year. So in a progressive manner, from June onwards, all these projects will start coming into operations and going up to December of

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2026. So let's say, in quarter -- let's say, from quarter 2 -- between quarter 2 and quarter 4, all the projects which we have embarked upon will all be delivered.

And lastly, on sustainability, I'm very happy to share that as per the latest S&P Global Corporate Sustainability Assessment, which is the DJSI Index, Welspun Corp is now ranked fifth globally and second in India among the steel companies in 2025. We have achieved an overall score of 78, making a 7% increase from our previous score.

So the consistent improvement in our scores and global ranking reflects the strength of our sustainability strategy and its execution. It is very, very close to our heart while we are growing the business, while we are moving into core products and core geographies, but sustainability is

at the core of our heart. And this improvement in the scores of the DJSI Index and our ranking globally is a clear testimony to that.

I think so with this, I would like to take a pause here, and I would like to spend time with all of you if you have any question and answers around that. Thank you.

Moderator: Thank you very much. The first question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Congratulations on great set of numbers. A couple of questions from my end. Firstly, you mentioned that on budget, of course, there has been great announcement on JJM front. And you also expect the momentum starts on quarter 1 of this year. The question was while last year also, there were allotments made, but we did not see the spending coming in from government. What's the confidence that we have for this particular year, the amount which is budgeted would actually be spent?

Vipul Mathur: Sneha good afternoon, I think for the last -- there is a difference between the last year and this year. I think last year, they did make an announcement but they were slow in terms of spending because they wanted to complete -- they wanted to do a sort of an auditing about the whole schemes around JJM. Apparently, it looks like that the audit stands completed.

And that's the reason they have now made a subsequent announcement that they would be spending the INR 70,000 crores in the next financial year. So all what we are hearing is that this government has -- is absolutely dedicated to complete all the projects which are already announced under JJM rural and AMRUT which is the urban part of it, and we are very confident that this spending is going to come into the play.

Sneha Talreja: We also knew that there are some payments which are pending for the projects which are already completed. Have we seen signs of revival around for those funds getting released?

Vipul Mathur: We have seen that, ma'am.

Sneha Talreja: Understood. Secondly, on the OPVC front, you said there have been developments. What I wanted to understand was, have we received a substantial order book or could you share some

order book number with us on the OPVC front?

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Vipul Mathur: So OPVC, again, this is -- OPVC is all about approvals, accreditations and empanelment. Our focus has been largely around Chhattisgarh area and the Madhya Pradesh area in the south. That is the corridor we are looking at this point in time. I'm very happy to -- and it takes time. When you get -- when your product comes into the market and approval, accreditation and empanelment process takes its own time because there's a lot of testing and everything which is required.

And I'm very happy to and pleased to report that we have cleared all the major milestones in all the 3 markets at this point in time, which is our focus market, the southern market, the central market and the eastern market. And now we are absolutely poised to grow from here.

Sneha Talreja: Understood. So you mean you've got the project approvals in place, but order book now will build up?

Vipul Mathur: We have an order book. We have some orders in hand at this point in time, but they are contingent to the approvals, right? And now we have the approvals in place, now those orders will start getting -- will come into the execution mode. And then it will build up the momentum.

Sneha Talreja: Understood. And lastly, while now it's very obvious that you are going to overachieve the guidance which you've given for FY '25 as a whole, any guidance that you would want to give for next year?

Vipul Mathur: It's a little premature, Sneha. I think so typically, when we do our call for the Q4, that is the time we give the guidance for the next financial year. At this point in time, we are working on our annual business plan. But in the Q4, when we come for the call, we'll give you the guidance.

Moderator: The next question is from the line of Ashutosh Nemani from JM Financial Office.

Ashutosh Nemani: Yes. From your commentary, it seems for the next 2 to 3 years point of view, majority growth for the company would come from the export market. So how do you see, firstly, the 50% penal tariff impact on our business? What negative does it entail for Welspun Corp?

Vipul Mathur: Ashutosh, you're right. I think significant growth will come from the export market, but you also have to understand, Ashutosh, that we are also a local player in most of the markets. Today, we are a local -- we are going to be a local player in the Saudi market, and there also we are going to be a local player and we are already a local player in the U.S. market. So tariff per se is something which is not impacting us, to be honest, because we are also a localized player. The second part of the growth for India is for the export into the market, which are non-tariff markets. So India will focus on non-tariff markets. The tariff markets like America and Saudi Arabia, which are the largest consumption center, we are now a local player. So the strategy of being a local and yet a global player, I think so is panning out extremely well.

Ashutosh Nemani: Okay. And just a follow-up on this. What percentage of revenue from India factory is being sold

Vipul Mathur: Nothing. Zero. We are not supplying anything -- yes, we are not -- we don't intend to do anything from India because we have a local presence on the ground. So there's no reason for us to do anything from India. And in any case, you cannot do that. There are antidumping duties and countervailing duties are so very high that it is commercially unviable. Now -- and more importantly, now when we are the local player, we don't -- neither we'll do it nor we'll let it happen as well.

Ashuto sh Nemani: And second question is on DI pipes. Despite domestic constraint of growth, we have shown 39

-- there has been a healthy volume growth. So just wanted to understand what has driven this growth, which market specifically?

Vipul Mathur: I mean it is all about the customer confidence and the trust they have in our serviceability and in our quality. Despite that there has been a fund crunch into the DI market. But I think for the order book, the strength of the order book has been extremely robust. And we have seen this primarily coming from the West and the North market.

And we have a very, very loyal, strong customer base. And despite all the challenges, we have been able to tide to these tough times. And now we feel that in subsequent quarters, things are going to ease out, we will see further momentum coming up into DIP sales.

Ashutosh Nemani: Okay. Just a follow-up on this. For the DI side, 39% volume growth does not include the exports as of now, like entirely domestic.

Vipul Mathur: Export? No, no. There was some component of export, not a very large component of export because we have been tied up in servicing the domestic market. But at the same time, we have been building our infrastructure for the export. That is absolutely now ready. And you -- in subsequent quarters, you will start seeing an export percentage also coming into our DIP sales.

Ashutosh Nemani: Okay. And sir, this EBITDA per ton, if you could just tell for DI pipe, what it has been in this quarter and the past year?

Vipul Mathur: I think so I will ask Mr. Percy and all those people to get into those financial details may be offline with you and they can share. Because right now, all -- what I have is a consolidated number in front of me. If you want to see a product-wise EBITDA, I think Mr. Percy and team can help you offline please. Will that be okay Ashutosh?

Ashutosh Nemani: Yes.

Moderator: The next question is from the line of Sailesh Raja from B&K Securities.

Sailesh Raja Congrats to you and your team, sir. So with respect to India business, our volume declined by 20% year-on-year, approximately 4 lakh tons in first 9 months. So how do you see the volume trend shaping up over the next year? And also in the recent budget, if you see the government has allotted only INR1,900 cr ores for the river linking project.

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And at the same time, we have also got, as you mentioned, we have got exports order also in Argentina. And because of river linking only, we have created capacity in Bhopal. So how do you see the next year, what kind of growth you see in India line pipe business?

Vipul Mathur: We have to see the India line pipe business into 2 categories. One is for export, which oil and gas; second category for export, which is also for oil and gas; and third is the domestic water. The domestic water has been low. As I said earlier also, the volumes have been lower, and that is what is getting reflected in our volumes also.

Because the fund allocation in the last 2 quarters in the water sector have been extremely low. There was a fund crunch which was in place. But now with that getting over, I'm sure there will be a volume uptick, which will come into the water sector domestic.

If you see the export part of it, the export part of it has been absolutely consistent. Year-on-year, we are doing export of a particular volume, and that part of the business remains intact. The third part of the business is the domestic oil and gas, right? Domestic oil and gas, there were IOCL, EIL and GAIL, which are their primary buyers. I think so they have been conceptualizing on some of the pipeline projects.

I am happy to report that they are now able to do that. We are seeing that they are about to invest a couple of -- INR3,000 to INR5,000 in terms of developing that pipeline infrastructure. And we see multiple projects coming up for bidding in the next financial year, which we will be -- and I'

m sure we will get the portion of that in any case. Sailesh, are you -- did you hear me clearly?

Moderator: The line from Sailesh has been dropped.

Vipul Mathur: Okay.

Moderator: We'll move ahead. The next question is from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Congratulations on very good set of numbers. Sir, my first question pertains to our U.S. business.

Have we already seen the quarterly level peak volume, which we can sell out from the U.S.

business and they are part of the EBITDA contribution in subsidiary? And that's why the -- we are not increasing the -- our guidance to that extent because domestic volumes would remain weaker for one more quarter?

Vipul Mathur: Vikash, I think so first, to your question of U.S. business. See, U.S. business, our -- we are -- whatever quarter -on-quarter production numbers and the guidance what we have given, we're absolutely on track with that, number one. So right now, what is operating is a spiral mill out there.

What is going to change is that in subsequent quarters, let's say, in 2 quarters -- 1 quarter down the line, we will have a new HFIW mill, which will be there. And then 2 quarters down the line by the end of this year, we would have our new LSAW mill coming up out there. So those volumes will start ramping up in U.S. and then the numbers in the U.S. will drastically change.

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So right now, what you are seeing is all -- what you are seeing is the numbers of our order book, which is out of our spiral mill and which has almost 8 quarters of year order book until March of 2028. It is completely booked at this point in time.

Vikash Singh: Sir, just a clarification. Once our new spiral mill comes on board, can that spiral mill will -- lose some of the existing order book volume as well? Or the delivery should really set such a way that it won't be possible and we have to seek for the new orders from the U.S. for the new spiral mill? How should we look at this?

Vipul Mathur: Vikash, to correct, there is no new spiral mill coming up. It is a new longitudinal mill which is coming up. So there is already an existing spiral mill, which has already have an order book till March of 2028. So that is completely booked. What is coming on the -- what is coming new is a new longitudinal mill out there, LSAW mill, right? And to that also...

Vikash Singh: ERW -- the ERW capacity is also we are increasing HFI, which we follow.

Vipul Mathur: Yes. Yes. Yes. So we only have an existing mill, which is up to 20 inch. What we have done is we have now taken a new mill, which is up to 24 inch mill. So there is nothing. So we are replacing the capacity from a 20 inch to 24 inch. That's a replacement of the capacity which is happening out there.

But -- so which means that we will have a much more play in a larger section of the market up to 24 inch, which is a big market. And there is a new LSAW mill which is going to come up by the end of this year. So these 2 mills put together will add up significantly to the existing volumes what we are currently doing.

Vikash Singh: And sir, my second question pertains to DI business. So coking coal costs have run up quite significantly and more than, I'd say, 20%, 25%. So does this kind of sharp cost is covered in our -- or we would have to take a hit for the higher coking coal prices in subsequent order until and unless we get the better pricing. So how should we look at it?

Vipul Mathur: The way, Vikash, you have to see things in any case, we always have a forward coverage of coal of all the raw material for at least 2 quarters. So I am not expecting any hit whatsoever because of this coking coal increase which has recently happened. And there are reasons behind it, right? This coking coal increase is a sudden surge because of the force majeure the coal mines have announced because of

the inclement weather out there.

Once that -- once we believe that once that element of force majeure settles down, the coking coal prices should get normalized. And when we get into the market for fresh buying, that point in time, we would see that the prices are moderated. And in any case, by that time we will also have -- we will be booking up new orders, and in any case, we would have factored for that. So currently I'm agnostic to any price increase because of the coking coal.

Moderator: The next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited.

Sucrit D. Patil: I have 2 questions. My first question to Mr. Mathur is as Welspun continues to execute across energy and water infra projects, could you share how management is currently thinking about

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trade-offs between order book visibility, project complexity and margin quality? What kind of changes in tender structures or customer behavior would prompt you to recalibrate? Just want to

understand your view on this?

Vipul Mathur: So your first question is on, Mr. Patil If I understand you correctly, your first question is on the margins. And the second part is about the tender strategy. That's what you meant?

Sucrit D. Patil: More or less, how are you planning to decide about the trade-off between book visibility, project complexity and margin quality? A contingency plan, if you have in mind, I just want to understand that particular thing?

Vipul Mathur: So Mr. Patil, we are -- there is enough business into the market, first and foremost, number one. I don't see that the demand uptick has stopped. What we are doing, we are very clear in terms of selecting and cherry picking the projects on which we want to work around.

So that gives us -- and we are a Tier 1 player. We want to -- we operate on the top end of the pyramid, and that is where we will continue to play. So that gives me the niche, that gives me the visibility and that gives me the margin. So that is our play right from day 1, and this is what we'll continue to do. So I think so in days and times to come. And I think from a business perspective, we are seeing enough business into the global market which will -- and enough niche business into the global markets, which will keep us fairly occupied.

Sucrit D. Patil: And my second question to Mr. Percy is, beyond the reported financial thing, what are the key early indicators you monitor internally, such as milestone billing behavior, inventory cycles or customer payment patterns for anything that you particularly observed that helps you assess the cash flow -- helps you assess the cash flow and execution risk before these show up on your number?

Percy Birdy: Yes. So Mr. Patil, Welspun Corp is extremely focused on the capital allocation policy. So when we are talking about our projects and capital expenditure, a lot of planning goes into that as well as the working capital management. So we prioritize a lot on monitoring the inventory levels on the receivables and on all the creditor payments as well. So that's what finally shows up as an improvement in our ROCE, our return on capital employed. So balance sheet health is given a very high priority, in addition to the business performance, the order book and the profit margins. I hope that answers.

Moderator: The next question is from the line of Karan Bhatelia from MAIQ Capital.

Karan Bhatelia: Congratulations for the numbers. So my question to you was regarding the order book. So could you provide a timeline or a phase plan for clearing the INR23,600 crores order book over what period?

Vipul Mathur: Currently for U.S., I think so the order book is right up to March of 2028, right? And in India, we have a clear order book of almost -- in India line pipe business, I'm talking, we have an order book of, in the oil and gas side of it

of close to 9 months to 1 year at this point in time. On the

DIP side of it, if you look, we have a pending order book of close to 300-odd thousand tons, which gives us a clear visibility...

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Karan Bhatelia: Sir, I'm sorry this. Your voice is cracking. Can you repeat, please?

Vipul Mathur: I'm saying about the U.S., as I said, we have a clear order book till March of 2028.

Karan Bhatelia: Right. And India DI pipes -- 1 year?

Vipul Mathur: DI pipes is also close to 3 quarters.

Karan Bhatelia: Now my second question would be regarding the U.S. business. But given the revenue decline in FY '25 for the U.S. operation, what specific revenue figure or maybe the utilization rate if you can share for FY '26?

Vipul Mathur: I don't know what -- why you are referring to a revenue decline in U.S. How did you deduce it -- how did you -- why do you say there is revenue decline?

Karan Bhatelia: For previous year, I mean, compared to FY '25?

Vipul Mathur: Revenue is function of realization, which in turn depends on the raw material prices. There has been volatility in the raw material prices globally. So Percy, may give you more details as I do not recollect from the top of my head what -- revenue decline in U.S.?

Percy Birdy: I'll just come in over here. So I think -- Karan, your question is probably pertaining to the previous year. So the U.S. scenario started changing dramatically sometime from September '24 onwards when we started getting a strong order book visibility.

So if you are referring to the previous year, then of course, at that time, the order book was not there in U.S. But after that, of course, it's a very strong bullish scenario that we have with the focus on oil and gas, fossil fuels and also, of course, the new administration that took charge from somewhere around December '24 onwards. So I think your question must have been for the previous year. This year, of course...

Karan Bhatelia: Yes, I was just comparing -- correct, from the previous year to current year, considering what would be the utilization rate we are expecting for current year FY '26.

Percy Birdy: So FY '26, we are, of course -- sorry, go ahead, sir.

Vipul Mathur: Almost 85% to 90% capacity utilization will be there for our spiral mill, which is currently operating in the U.S.

Moderator: The next question is from the line of Radha from B&K Securities.

Radha: Sir, by when do you expect the antidumping measures against Chinese players to be implemented in Saudi? And how much incremental DI Pipe market could this potentially open up for us?

Vipul Mathur: Radha, I think so the investigation has started, probably it is a process. It takes a long time. It is not about Chinese. It is about imports from wherever the imports are coming. I think so it is a very wide -ranging investigation which seems to be happening. Maybe it might take some 1 or 2

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quarters. Probably that's my guess. We have to understand the whole process, but that's my best guess is.

And today, almost 2/3 of the DI pipes was coming as an import. Only 1/3 of the total requirement of the Saudi market was being serviced by the local players. So we see a great opportunity once this antidumping investigation happens and once our mill come into play. I think so this is the 2/3 market which is coming, which we will be able to service that.

Radha: Sir, investigation is happening against India also, sir?

Vipul Mathur: I'm sorry?

Radha: Is this happening against India also, the investigation?

Vipul Mathur: See, it is fairly -- right now, it is fairly broad -based at this point in time. It is not country specific. It is import specific. There is an import which is happening and that needs to be curtailed, and they need to work out a sort of policy regulation

Radha: Secondly, in the overseas market, could you elaborate on the progress in obtaining customer accreditation for DI pipes? How large could this opportunity be over the medium term? And additionally, with combined India and Saudi DI capacity reaching 9.5 lakh tons by 1H FY '27, how long do you think it will take to ramp up until this capacity on a consecutive basis?

Vipul Mathur: So on the overseas market, I think so we have been focusing on the European market for our DI pipes. I think the acceptability of the pipes, we have already done some sizable amount of quantity into the European market. And the response has been overwhelming. I'm sure that over time, it will grow, number one.

Number two, the Middle East market is our focus. This is how we are geographically expanding based on the export side of it. Looks like -- and once the Saudi capacity come up, I think so that will primarily be focused on the domestic requirement to start with. And also the reconstruction activity where Saudi government is funding. So our focus would be from the Saudi market will be local and the projects which is the Saudi government is funding in the reconstruction of -- in the neighboring market and all the other markets we intend to service out of India.

Radha: Any color on the customer accreditation from the DI Saudi plant?

Vipul Mathur: See basically, you have one approval there, which is the NWC approval, which, in any case, as Welspun, we already have it. So then it is a matter of going to all the contractors -- executing the project. All the approvals and working relations, WCL as an organization has it.

Moderator: The next question is from the line of Sohan Joshi from ASC Consultancy.

Sohan Joshi: So one question. I'm sorry if I might have missed because I had joined recently. What is the impact of the rising metal prices, especially with regard to steel and aluminum going ahead. I mean, are the other entire bookings have been done for the orders to be executed for the next 2, 3 quarters?

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Vipul Mathur: Raw material is a pass through. So there is no impact on our margins and hence there is no concern for us whatsoever.

Sohan Joshi: The Government announced nuclear energy -- am I audible? Hello?

Vipul Mathur: Yes, yes, yes.

Sohan Joshi: Yes. So in the budget the government announced the data center nuclear energy, what are the opportunities similar to the U.S. we are finding now even in India?

Vipul Mathur: We have to -- these announcements are very encouraging announcements. There have been such announcements and such things have been a major catalyst in the U.S. market. We believe that there will -- this announcement by government will also be a catalyst in the domestic market. We see opportunities coming up, especially more in our WSSL part of our business, where we are -- we have the seamless steel pipes and very high -quality seamless steel tubes are to be

supplied.

So we are seeing that there could be a great opportunity from a WSSL perspective. Rest, we have to see that what type of infrastructure they are going to create. I think it's a matter of time. But definitely, WSSL will be one of the major beneficiary out of this.

Sohan Joshi: Okay. So one last question, if may I ask?

Vipul Mathur: Yes, please.

Sohan Joshi: So there are a lot of damages being done in the -- to the Russian refineries. I mean, recently in the past few months in the war going on. So how are we looking at those opportunities? Don't you think that we have a good opportunity if the Russians going to do some capex for the damage refineries, we have good business opportunity over there as well. Are we planning to tap something of those opportunities?

Vipul Mathur: Sohan, we have not focused on that yet. We have not explored that as yet. I think we will have to see the growth. We have to see the

government of India policy around that. Right now, the honest answer is that we have not evaluated that.

Moderator: The next question is from the line of Yash from Art Ventures .

Yash: Yes, sir, I just wanted to know what was the revenue for Sintex during the quarter and for 9 months FY '26?

Vipul Mathur: Can you repeat?

Yash: Yes. Sir, what was the revenue for Sintex during the quarter and for 9 months FY '26?

Vipul Mathur: Percy, would you take this, please?

Percy Birdy: Yes. So Yash, Sintex has been keeping on an even keel and their water storage tanks, and they have been improving their market share. For approximately for the 9 months number, we should

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be closer to about 500. I don't have the exact number in front of me, but it should be close to about INR500 crores.

Moderator: The last question is from the line of Ashutosh Nemani from JM Financial Family Office.

Ashutosh Nemani : I had one question. You mentioned we are leasing the 20 -inch diameter in the HFIW mill in U.S.A. to 24 inch. So just wanted to understand what is the rationale behind it? And secondly, how is the competition in the U.S.A. for the 2 product categories that we're entering, HFIW and LSAW mill? And what is the revenue potential from those reach that capex and ROCE?

Vipul Mathur: So this was not one question. You loaded too many questions in the same, but nevertheless, let me answer, right? See, what we were -- in our HFIW mill, we were currently having a capacity up to -- capability up to 20 inch. We are seeing a lot of NGL, which is the natural gas liquids, transportation, which is going to happen in America.

Typically, natural gas liquids, when you are drilling, you are extracting oil, you are extracting gas, there is some gas which is also coming in a liquefied form. Now that is a very premium product, and that requires transportation. We have seen that for transporting that, there is a 24 - inch pipeline is the most optimal suited pipeline diameter for that.

We were not in that area because we were limiting ourselves to 20 inch. So we were losing out on a business opportunity for 24 inch, which is very, very sizable. So that is the reason we took that call that we -- we are a large player in the American market, we have to have a complete range. And that is the reason we are enhancing our capability from 20 inch to 24 inch. That's the first part of the answer.

The second part of the answer is about LSAW is the reason -- once we -- our capacity will come up, there will only be 2 players in the American market. We are -- one would be Welspun, and other is on the West Coast of America. So there will be 2 LSAW players. And it looks like the demand, as I said earlier in my call, the demand seems to be coming up significantly in the AI data Centre pipeline where very heavy wall thickness pipes are required.

We are also seeing our resurgence in the U.S. offshore market, a lot of offshore projects are being announced. So we see that in the next few years, it's going to be very, very dominant demand for the LSAW products as well.

Ashutosh Nemani : And thirdly, there will be no imports as such?

Vipul Mathur: So there will be a clear -cut import restriction, so there will be no imports coming into that particular market as they are not coming into the spiral.

Ashutosh Nemani : Sir, I missed the last part. What you told about import?

Vipul Mathur: I was saying that once you have the -- I'm saying once you have the domestic mill operating out there, then it completely neutralizes the imports.

Ashutosh Nemani : Okay. It neutralizes the imports, whatever is happening currently. Currently it's net imports ?

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Vipul Mathur: Correct.

Ashutosh Nemani : And sir, capex and ROCE profile of those 2 factories ?

Vipul Mathur: That

-- see, when we made a capital allocation to that we were very, very clear that it has to be at a particular threshold of ROCEs have to come in. And our ROCEs are close to around 20 -odd percent ROCE. That's what we were talking about. And these are our internal threshold limits for approval. We are sure that we should be able to achieve that.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for the closing comments.

Vipul Mathur: Thank you very much, gentlemen, all of you for taking time out today and joining our call today afternoon. We greatly appreciate your interest in our company. As you know, we have been absolutely making all the strategic steps in the right direction which is going to build this company to -- and we'll take this company to absolutely a next level of earnings and profitability in times to come.

I think so as our projects are going to get completed over the next few quarters, 2 or 3 quarters at best, the incremental earnings are going to be sizable. So there is a huge growth potential, one. A second part of it, we are emphasizing that the market, there is enough market which is available. So both the market and our positioning into the market is going to give a new color and new favor to Welspun Corp.

And lastly, I would like to say that if there are any other questions which we have -- we sincerely tried our best to answer all of your questions. But in case if you think that anything has been missed out, please feel free to reach out to me and to Mr. Percy or to Goutam, and they will be more than happy to answer any clarifications or follow-up questions you might have. Thank you very much once again for joining us today. All the very best. Good day.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q4 & FY26 Earnings Conference Call  
May 22, 2026

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER , WELSPUN CORP LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER ,  
WELSPUN CORP LIMITED  
MR. YASHOVARDHAN AGARWAL – DIRECTOR, SINTEX  
MR. GOUTAM CHAKRABORTY – HEAD- INVESTOR  
RELATION S, WELSPUN CORP LIMITED

MODERATOR MR. SAILESH RAJA – 360 ONE CAPITAL MARKET  
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Corp Limited Q4 FY26 Earnings Conference Call, hosted by 360 ONE Capital Market Private Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sailesh Raja from 360 ONE Capital Market Private Limited. Thank you, and over to you, sir.

Sailesh Raja: Yes. Thank you, Nitesh, and welcome, everyone, to the call. We would like to thank Welspun Corp., for giving 360 ONE capital, the opportunity to host this interaction today. Without taking much time, I would now like to invite Mr. Goutam Chakraborty to introduce the management team. Over to you, Goutam.

Goutam Chakraborty: Thank you, Sailesh, and good afternoon to everyone. Welcome to Q4 and FY26 Earnings Call of Welspun Corp Limited. On this forum today, we have Mr. Vipul Mathur, Managing Director and CEO; Mr. Percy Birdy, Chief Financial Officer; and Mr. Yashovardhan Agarwal, Director, Sintex. You all must have gone through the results and the investor presentation of the company, which are also available on the stock exchanges and on our website as well. During the discussion, we may be making references to this presentation. So I request you to please refer to the Safe Harbor statement, which is there in our presentation. As usual, we'll start the forum with the opening remarks by Mr. Mathur. And post that, we'll open the floor for the Q&A.

With that, let me hand over the floor to Mr. Mathur. Over to you, sir.

Vipul Mathur: Thank you, Goutam. A very good afternoon to everyone. Let me welcome all of you for our Q4 and FY26 Earnings Conference Call.

To start with, I would just like to highlight the key performance, financial parameters for the quarter and the full financial year. Post that, we can have a more elaborative, detailed interactive sessions where I would be more than happy to answer any and every questions what you might have -- you might be having.

So the key highlights for this -- for Q4 and FY26 are as under. Our revenue from operations for FY26 was almost close to INR17,000 crores. Our EBITDA is close to INR2,370 -odd crores. Our PAT is INR1,613 crores, which is a 42% up on a Y -on-Y basis. Our order book currently stands at more than INR25,000 crores, which is equivalent to \$2.5 billion.

Welspun continued to be a net cash company despite all the capex is what we are doing. I'm sure

you would have seen our OCF and the free cash flow what we have generated over this year. And the improvement in our EBITDA margins, we have recorded a CAGR growth of 43% year - on-year basis.

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Our EBITDA margins have been in excess of 14%. And our ROCE has been around 22.3%. If you recollect friends, at the start of the year FY26, we had given a guidance of INR17,000 crores of revenue and INR2,200 crores of EBITDA. As against that, we have been able to maintain our revenue guidance of almost INR17,000 crores and surpassed the guidance, which as against INR2,200 crores stands at INR2,371 crores.

The third guidance what we had given was that we will maintain our ROCE in excess of 20%, and we have been able to achieve that. And I'm also pleased to report, and I'm sure you have noticed that we have been able to maintain our EBITDA growth and EBITDA margins. These have been the key highlights -- financial highlights for this particular financial year.

The way -- the last year, we had performed -- we had seen a very strong tailwind in the businesses across all the geographies, especiall

y in U.S., Saudi Middle East and in India. By our geographical positioning in all these 3 geographies, we have been able to make the most of it. As you are also aware that we have made significant investments, further investments in these geographies.

And looking at the current geopolitical situation and looking at the situation that each country is now deriving for them selves, we see a very, very strong tailwind for the next few years in all the 3 geographies, especially U.S. and the Middle East. Let me focus a lot more today on the growth part of it, and I would like to cover each and every continent just to bring in further clarity for all my friends here.

First and foremost, if you -- let's talk about the U.S., where we have a very significant dominant presence. Today, the U.S. oil and gas economy is seeing a sort of a paradigm shift -- is seeing a paradigm shift where we are seeing the gas and oil, both of them growing exponentially, resulting into a massive requirement for pipelines for the next couple of years, at least 5 to 7 years.

The key economic drivers, the key drivers, economic and business drivers for gas is the LNG exports. Today, as you are aware, U.S. has 2 or 3 very high producing basins and Permian means to be the biggest among a lot. While they are drilling for the oil, as you know, they are generating or they are producing a lot of gas. This gas needs to be transported to the Gulf Coast.

And then in form of energy, in form of LNG, it is exported to the -- is being exported to the European and the Asian market. This value chain is so strong at this point in time because on one side, we are seeing an excess of gas availability at a very, very cheap price. If you would see the Henry Hub price is around \$3. And the international price of LNG is hovering anything between \$15 to \$20.

So the arbitrage between \$3 to \$20 is giving a sufficient push for all the E&P companies or the midstream companies to create assets, build assets to transport this gas and monetize this EBIT.

This is one of the key drivers, which is defining the growth of demand for line pipes in America.

The second key driver, which is defining the growth and the demand for the line pipes in America is the development of multiple AI data centers. There's a huge capital investment, as

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you are aware, which is happening all across America in terms of creating indigenous data centers. These data centers requires uninterrupted power. They are power guzzlers. And they -- and looking at the situation that the national grid reliability being poor, they are putting up independent power plants beside their data centers. And these power plants are gas-based power plants for which the gas need to be transported.

When the gas needs to be transported, you require pipelines. So with the upsurge of multiple data centers, which are happening in America, we are seeing a huge surge of pipelines coming up connecting the -- connecting the power center -- the power plants attached to these data centers. This is the second growth driver currently, which is happening.

The third growth driver in the American market is also after a long time, we are seeing the resurgence of oil. Today, U.S. is one of the largest producer of oil in the world. After having -- after factoring for their domestic consumptions, now they are into a surplus for exports. We are seeing a phenomena of oil exports also coming into the international market, especially to the Europeans and the Asian market as we are seeing the Russian oil and gas receding from the

market.

So they seem to be capturing that particular market. So both oil and gas with the arbitrage what they have, currently, they produce oil around \$40 -odd and with the pricing around in excess of \$80, the economic arbitrage is once again allowing them to invest into the oil pipeline. And

this

phenomenon is happening after a long time.

So the U.S. demand drivers primarily are coming from 3 factors. Number one is because of -- number one is on account of LNG exports, number two, on account of oil; and number three, the demand which is coming up into the AI data centers and which -- in which we are also a part of the value chain. These 3 -- this is a sort of a paradigm shift. This is a fundamental restructuring, which seems to be happening in America.

And we believe that this play is not a temporary play. Instead, this play is going to be for the next 5 to 7 years' time. We, as Welspun, have a major dominant presence in that particular economy. We currently enjoy more than 33% or 35% of market share.

We are seeing a lot of significant emergence of pipelines in the near future. And accordingly, as you are aware that we have made some more capital investment in terms of new plants, and I'm pleased to report that all of our plants are almost booked till FY 2028.

With the visibility, which seems to be emerging, with the projects what we are seeing, we are more than confident that this order book will only significantly grow from where we currently stand. If I now move to the Middle East. So some countries are working on energy security and some countries are riding the wave of having economic benefit deriving out of this energy deficiency in the global market.

Today, Middle East is also one of the regions where there is a huge energy availability. And they are also in the process of monetizing it significantly. They are intending to diversify their portfolio. They are intending to diversify their infrastructure in terms of producing more oil,

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more gas and multiple points for evacuation. We have seen in the recent past that while they had sufficient oil, sufficient gas, but they were choked that they could not evacuate it.

I think so that learning has gone down deeply into the system. And just about every Middle East economy, oil and gas producing economy is now focusing on opening up the infrastructure segment and developing multiple evacuation points, which will also require massive pipelines coming up in times to come. As Welspun, we have a dominant presence now in Middle East, especially in the Kingdom of Saudi Arabia.

And given the projections what we are seeing and given the information what we are getting from the ground, I think so this market looks extremely, extremely promising for us. On the Saudi Arabia -- on the Middle East side, as oil and gas is critical, equally critical is the water sector for them. They are investing heavily. They have been investing heavily into the water infrastructure sector for many, many years, and that goes unabated.

We are seeing massive desalination projects still coming up on stream. We are witnessing that multiple pipelines will be required, large diameter multiple pipelines, which will be required for transporting this desalinated water to the cities. And on top of it, we are seeing when this water will come to the cities, there would be a massive distribution network, which has to be created in order to reach -- in order to ensure that this water reaches every household.

It is in this -- keeping this in view, the distribution network, friends, you are aware, we have invested into our company -- in a DI company. We are setting up a greenfield DIP project. And we expect to see the benefits of this distribution network in which primarily the DI pipe is being used to benefit out of the same. So in the Middle East, it is not only about oil, gas, but it is equally important about water.

And as your company has invested and have an absolutely local footprint now in place to capture these upcoming opportunities. Coming back to India, which is the third geography where we have a significant presence. We have seen in the last 2 quarters, a so

rt of a fairly muted growth

for various reasons known to you. We expect this situation to continue to prevail for certain times.

We understand the country is facing -- will have some more different priorities at this point in time. And to that extent, we expect that the growth here in India could still stay muted.

Nevertheless, having said that, India as a country will have to work around. They are working with respect to energy security.

We are -- there will be a network of oil, there will be a network of gas and there will be a network of CGD, which is the City Gas Distribution network, which has to be built. The pace might slightly vary, but I don't expect that this thing will come to a standstill.

The feedback, the government intent and the allocations what we are seeing is definitely supporting a sort of a consistent growth rather than an exponential growth what we could have expected, but we see a sort of a consistent growth in all the 3 sectors for the oil network, for the gas network and for the CGD network.

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But having said that, the pipe -- the water requirement in the country, the investment in the water infrastructure in the country, we are very confident we'll see a sort of an exponential rise because water, again, being a sort of a scarcity and required for massive irrigation purpose, we are seeing some very large projects, which were announced the last year, they're now being coming on stream in this financial year.

So we see a growth coming up into the water sector where a lot of pipes -- large diameter pipes will be required. We are seeing that even -- we have seen that in the allocations under the Jal Jeevan mission have been fairly decent. We have seen that those -- the allocations have started trickling down to the state governments. The things which were more or less standstill in the last 2 quarters, we have started seeing traction and movement around that.

And I am expecting that keeping water as a priority, the government is absolutely focused in terms of giving a further push to this particular sector. I am sure that in maybe 1 or 2 quarters could be slightly muted, but the H2 part of the year, financial FY27 could see an acceleration once we have come out with this current geopolitical situation.

Lastly, I also want to give you an update with respect to the projects, what we have -- we are currently executing. As you are aware, we are executing 2 major projects in Saudi Arabia, one large diameter pipe plant another a -- the ductile iron plant for water distribution. The -- we are progressing well.

The geopolitical situation has not impacted the progress of these projects. For mine, there would have been some supply chain disruptions here and there. But largely, things are absolutely under control. And we would see that both these projects will come in stream in FY 2027. We will see the economic benefit, the revenues and the margins coming -- started trickling in, in FY 2027 itself.

Likewise, as you are aware that we have invested -- we are investing into 2 assets in America, one large diameter pipe plant, which is LSAW and also replacing our capacity of existing small diameter pipeline. Both these projects are absolutely up on track. One of them, which is the HFIW plant will come in stream by the end of Q1 of this financial year and which is absolutely as per the plan.

And our large diameter pipe plant, which is the LSAW plant will also come in stream in operations by the end of this calendar year. So we will see both -- all these assets started giving us some upside and margin accretion in this financial year. The full impact, the full benefit of these pipes of these investments, we would start seeing in FY 2028.

Keeping our business, keeping our business in hand, which is almost \$2.5 billion, keeping in view that these investments, which we have made in th

ese 2 geographies are coming on stream,

keeping in view the underlying dynamics of tailwind into the oil, gas and the water sector, the management is -- we are very confident that we would be doing exceedingly well in FY 2027, and accordingly, our very confidently we have given a guidance of top line of INR20,000 crores and an EBITDA of INR2,850 crores, which is almost a 20% jump on a year-on-year basis.

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Friends, you will acknowledge and accept that in the challenging times, to make these commitments requires a lot of conviction, and I am pleased to say that at Welspun, looking at our order book, looking at our executional capability, looking at the premium segments in which we operate at, looking at considering that our global reach with Global customers, I am very confident that we will deliver, if not exceed the guidance what we have given.

Thank you for joining us. I sincerely appreciate you hearing me out, and I'm sure that you could have multiple questions around that. And with this, I would like to end my comments and open the floor for discussions for any question and answers. Thank you.

Moderator: Thank you very much. The first question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Congratulations for a good set of numbers. Sir, if you could provide more color on the quality of the order book by region, I think that would be of great help. Sir, second, you indicated that we are completely booked until FY28. So I think there is a good and bad of it. Good is probably

we would have already contracted our EBITDA per ton would already be fixed given the macro is improving, how should we look at it?

Typically, if we had some capacity free probably we could have -- we could have asked for more profits on the same order. I'm not sure whether that's the right way to look at it, but I would love to have your thoughts. And thirdly, sir, you indicated on the water projects in Middle East, if you could highlight certain countries, I just read about Jordan giving out a long large order. I'm not sure whether we are there, but I presume we would be one of the beneficiaries over here. So I think those are 3 broader questions, sir. And yes, I will just stop over there, sir.

Vipul Mathur: Thank you, Ritesh. Thank you. I think so these are good questions. First and foremost, the question with respect to the quality of order book. I think so we have a strong order book at this point in time, which is almost close to \$2.5 billion. It is spread over India as well as in U.S. In India, if I just give you a reference we would be having close to 1.2 million, 1.3 million tons of an order book at this point in time. And out of that, almost two-third would be out of U.S., one-third would be out of India. And this is a very, very high-quality order book. So in terms of the margins, this is -- these are fantastic orders what we have.

Coming back to your question that this is -- while this was good, but also that have we overcommitted ourselves and have we lost on the opportunity, my friend, the answer is no. As I said, we are -- we are one of the most dominant players in both these geographies, especially in America. The quality of order book, what we have is extremely good in comparison to what others would be having.

Number three, in terms of some added capacity, we still have some capacities, which are available on our large diameter side of it. We have strategically kept that open knowing fully that there would be an opportunity which will come up, and we would be able to leverage upon that.

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So I'm very sure that we -- once we -- even if we have -- and we are saying that we have -- we have booked till FY28, we can still accommodate certain capacities in between if we can see -- if we can get a very high

value -- even a better value-added orders. So we have kept our flexibility in built into our system. And be rest assured that at Welspun, we will never let go very profitable opportunity.

Number three, coming back to the water sector, water projects, the water projects are growing mushrooming all across Middle East, especially in Saudi Arabia and all the neighboring countries as well, but Saudi Arabia taking the lead. We are seeing a massive growth -- urban growth happening in that country, which requires massive water distribution requirement, and that is where we are seeing the play of DIP.

And once we come in stream by the -- during the course of this year, we will see a huge fraction coming up around that. Also countries like Iraq, countries like Jordan, they are also pushing their water infrastructure project. We are participants in those particular projects. In some places, we are also in full positions.

And as and when they will materialize, we will keep you updated. But from -- in terms of an opportunity, these are the projects which are there, and we are present and we are there in a full position. I hope, Ritesh, that answers all the questions what you have raised.

Ritesh Shah: Yes, sir. Sir, just a follow-up. Sir, you emphasized a lot on quality of order book being extremely good. Sir, is it possible to put some quantification over here or some more qualitative remarks to appreciate the quality of order book? Is it like very large dia pipes? Or is it -- is there an element of coating, testing, which is there? So basically, the idea is to not look at it on a per kg basis to appreciate what you do better or what we have in better, it will help us with that, sir.

Vipul Mathur: Ritesh, all what we have is mostly large meter in the -- primarily in the oil and gas space, right? And if you see, especially if you won't see in U.S., I think so we are at this point in time, the entire order book, what we have is for the gas space.

Today, all the pipes that we are producing either are being used for LNG exports, as I said earlier, or being used for carrying gas to the powering the data centers. So that is our sort of -- and in these 2 segments, you deal with one of the top 2 or 3 players of that -- of the midstream companies in that economy.

And we have a historical track record with them, and we have orders from them only. So we are playing with the premium customers in the premium space, and that is where -- that is why I'm saying that we have a very -- the quality of the order book is good, and that is giving us the confidence, Ritesh to stick our neck out and give a clear cut guidance and reach even in challenging environments to give a clear guidance of more than 20% growth on a year-on-year basis.

Moderator: Thank you. We have next question from the line of Chetan Sharma from Systematix Shares &

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Chetan Sharma: Yes. A couple of questions, sir. From our Middle East plant, are we exporting anything to nearby countries? If yes, then those shipments have experienced any delay? And the second one is that the shipping cost has increased, especially freight charges driven by the higher fuel and insurance costs.

Vipul Mathur: Chetan, good morning. I think so first and foremost, our Middle East plants are yet to -- they are in the process of being commissioned, as I said. They will come up in fully in operations during this year, during the end of this year. And so the question of currently exporting from there is not there. But to the larger question that will those plants will also be exporting to -- from the mid -- from Saudi Arabia, the answer is yes.

So as and when we will start our operations, our primarily, our focus would be within Saudi Arabia, but that geopolitical positioning and the location enables us to look at the international market, export market from there. So we will definitely be reaching out to that. To your second question, yes, there has been supply chain disruptions, which have been there.

We have seen the shipping costs going up. We had -- but fortunately, all the contracts what we had, we were not impacted. There was some minor attrition here and there, but largely, we went -- because we had long-term contracts in place and all those contracts got honored. So largely, all what we have at this point in time, we did not get impacted because of the increased cost of the shipping.

But yes, there has been a significant increase, which has happened. And the good part is that we did not get impacted in our existing orders and in the future orders, what we are future projects, what we are participating, accordingly, they have been factored for.

Chetan Sharma: Okay. Thank you, sir. And last two questions, sir. Is there any hike in the industrial diesel cost and in absolute terms in percentage terms?

Vipul Mathur: I'm sorry?

Chetan Sharma: Industrial diesel cost price?

Vipul Mathur: Domestically?

Chetan Sharma: Yes.

Vipul Mathur: We are all seeing that what -- we are seeing that the way the prices are going ahead. Everyone is fully aware of that, Chetan. And I mean, there is a cost escalation which has happened. There's no doubt about it. And I mean -- and this will -- most of our orders, which are primarily export, it is not impacting too much. But on the domestic orders, we are negotiating the contracts accordingly, factoring with the new diesel cost.

Chetan Sharma: And one last question, sir. In this quarter, there is no order book breakup according to volume is given in the presentation. If you could guide on that? Hello?

Moderator: Participants, our management line -- participants, our management line has reconnected. Over to you, sir.

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Vipul Mathur: Yes. Thank you. Our apology for this glitch.

Chetan Sharma: Hello.

Vipul Mathur: Yes. Yes, Chetan, did you get your answer?

Chetan Sharma: Sir, one last question, sir, on the order book front only that in this quarter, there is no breakup regarding the order book, okay? So if you could guide on that?

Vipul Mathur: Chetan, we have given a sort of a consolidated order book. See today, see, we are a global company breaking it up into pieces and this and that. I think so may not be -- we can discuss offline.

But if you see the consolidated book stands at around almost INR25,000 crores and with almost two-third, one-third breakup here between America and India. And rest details, I think I'm sure that we can share with you offline.

Moderator: Thank you. We have next question from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Singh: Sir, my first question pertains to this kind of the supply constraints you are projecting in the future and our capacity coming. Usually, during these times, many of the players try to secure the production capacity. So have we started to get the trial orders or people seeking the inquiry to book our upcoming capacity beforehand, given the waiting period is too long?

Vipul Mathur: Good afternoon, Vikas. You're referring to the -- you're referring -- this question is more...

Vikas Singh: Saudi as well as U.S. new capacities.

Vipul Mathur: That's correct. So I think, sir, we are gaining a lot of traction with respect to the new assets. At least in America, at least, I can tell you that we have not only started getting inquiries, but at the same time, we have started getting orders for the new plant, what we are setting up there. I think so we are starting with a fairly healthy order book at this point in time with respect to that plant, which is going to come up. Also in case of Saudi, we have started seeing traction. A lot of inquiries have started coming to us. Domestic inquiries

tarted coming to us. We see -- I'm

very sure that by the time the plant will get commissioned. Before that, in any case, we would have a significant order book even for our Saudi plant as well.

Vikas Singh: Noted, sir. Sir, my second question pertains to our cash usage. Even in next year, our guidance is super strong and the capex would be lower, we would end up generating more cash than what we can consume. So what's the plan basically because the capacity would be coming just on an immediate basis, probably we would not go for further expansion. So what we do with the cash because that would impact our ROEs as well?

Vipul Mathur: I think that's a fair point you are making, Vikas. If you look at it, despite we have been into the capex mode for the last 1 year, right? We still have been generating sufficient free cash flow from the business. We will continue to generate sufficient cash in times to come as well. But

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what we strongly believe, first and foremost, our focus right now is to see to it that all these plants come on stream as quickly as possible and in time which we are pursuing, and we are confident that they will happen.

Number two, our priority would be to book these plants do they bring. Today, the type of tailwind, the type of market dynamics, what we are seeing, our second focus would definitely be around that we are able to leverage this particular situation and which we are more than confident to do that. Once we are able to accomplish these 2 things, then only the question of cash generation will happen.

So it is a portion to be thought about. Is that cash generation going to happen? The answer is yes. But I guess it is a few quarters away when these questions will become even more relevant, and I'm sure we will be able to give you a very clear cut plan with respect to as to what are we going to do with that.

Vikas Singh: Noted, sir.

Vipul Mathur: Right now, our focus happens to be absolutely bringing these projects into operations and number two, booking these assets with profitable orders. So we are taking a very structured focused approach towards in that particular direction. But at the point in time when this question will come up, we would be ready with an answer.

Vikas Singh: Noted, sir. And if I may squeeze in one last question.

Moderator: Sorry for interrupting, Mr. Vikas Singh. Please rejoin the queue for the follow-up question. We have next question from the line of Pratik Dharamsi from Union MF. Please go ahead.

Pratik Dharamsi: Congratulations, the team for a solid set of numbers. My only question is on the...

Goutam Chakraborty: Pratik, may I just ask you to level up your volume, please a little bit.

Pratik Dharamsi: Yes, yes. Sorry for that. So, my question was on the long-term outlook. You mentioned multiple opportunity at the onset of the call in terms of data center, in terms of gas opportunity in the U.S., Middle East, etcetera.

In terms of slightly longer term, 5 to 7 years, this run rate, which you're getting in terms of order inflow as well as on the growth side, do you reckon it as a sustainable number? How should one read it from slightly longer-term point of view, considering you have the inquiries and the pipeline?

Vipul Mathur: Pratik, let's see this issue in two context. Number one, in FY26, if all the companies in America can get a visibility and a confirmed order book. Forget about Welspun for, apart from Welspun also. It is not that only I am bored, all others are also bored. So if you see in FY26, if all the companies can get a visibility for next 2 years or 3 years till end of FY28, that itself is a clear indicator as to what is -- what structural changes are happening on the ground, number one.

Number two, as now things are getting more crystal clear, as we are seeing more clarity emerging that what type

of data centers are coming up, number one. Number two, what type of LNG

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possibility of LNG export, which is going to happen, what type of oil and gas network is going to get created, right? It is giving us a very clear sense that this is there for the long haul. See, we are local there. We are plugged. We are in the market. We are servicing those customers. We are interacting with them on a day-to-day basis. And when we are -- they are discussing their plans that this is what they intend to do, right?

So when we are hearing their plans and when we are seeing the micro and the macro indicators, the LNG at \$3 versus \$18, oil \$40 versus \$100, I think so these are no-brainers that this investment and the surge in data centers, they are talking of more than 5,000 data centers in America.

These indicators are very clear that this is a fundamental shift which seems to be happening on the ground, and it is there for the long haul. So we are fairly optimistic that this is not a short-term issue. This is a long-term structural change, which seems to be happening in that particular country.

Moderator: Thank you. We have next question from the line of Sneha from Nuvama. Please go ahead.

Sneha: A couple of questions from my end. Firstly, on the plastic pipe division, how much we've been able to do in FY26? And what are our targets going ahead and similarly for water tanks?

Vipul Mathur: Sneha can you just repeat the question, we have Yashovardhan there to answer this, please.

Sneha: Sure. So what I wanted to understand is how has your plastic pipe division fared in FY26 along with water tanks? And what is the outlook for coming years for both these businesses?

Yashovardhan Agarwal: Pipes we started in 10 states. Acceptance of the product has been very successful. Learning additions were there, but now the product has started moving. So now we are in the channel building phase. For tanks, we had a very strong year. Unfortunately, March with the LPG because our tanks is a little difficult for storing.

So that primary what is supposed -- what we saw in pipes did not happen in tanks as much across all players. But now that we are aggressively following the economy segment in tanks, we are very bullish on the growth of tanks as well.

Sneha: In case of numbers, could you quantify that how much was it and where are we headed for the next 2 to 3 years?

Yashovardhan Agarwal: We're looking at double-digit growth input. I mean pipes besides parts, but in tanks, we're looking at a double-digit growth over the year.

Sneha: And FY26 revenues for both the division would have been?

Yashovardhan Agarwal: Existing businesses would have been. I think it was around -- it was in excess of something like 610...

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Vipul Mathur: Yes, INR600-odd crores. And the way things are looking at to us at this point in time, I think both -- what Yasho was trying to say, both the pipe business and the tank business are showing strong traction there in the last 1 or 2 quarters -- 1 quarter, you have seen that there has been a function in the market because both are directly related to the water sector.

We have seen a little bit of a slowdown there. But the thing seems to be coming back on the track. And we are very sure that both these segments will kick start sooner rather than later. And the guidance we end up -- and we are hoping that we should be touching a sort of a revenue and margin growth in excess of 10% in both the cases.

Sneha: Understood. And secondly, on the DI Pipe business, how much government allocations have we started seeing, I know you have mentioned a couple of quarters that you are seeing some into excitement payments starting -- but could you give more current flavor on that?

Vipul Mathur: See on the DI side of the business, the

conditions have been tough. There are two reasons for that. There has been overcapacity issue, number one, there also has been an issue of payments not coming in. At least one part is getting addressed. The payments have started coming in.

We are seeing payments coming into multiple states. We are seeing an uptick we have already started seeing an uptick coming into that particular business as one. But number two, but the issue with respect to overcapacity still remains. There's no doubt about that.

And we would have to find alternate ways and means that how we are going -- how are we going to use our capacity. And we, being on the port, export seems to be one of our target areas that -- and we are going to grow that vertical exponentially.

Moderator: We have the next question from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Congratulations on a good set of numbers. Sir, my first question is basically, like when do you say no to a particular project?

Vipul Mathur: That's a good question. I don't have an answer to that, to be honest. You're stumping why would I say no to our project.

Parth Bhavsar: So what are the threshold ROC level for a particular...

Vipul Mathur: No, you're talking of a capital project or a project where we are bidding?

Parth Bhavsar: Where you're bidding, you are bidding. Yes.

Vipul Mathur: That is a factor of what is that particular project, number one. What is the competitive landscape around it? Number two, how does it fit into our scheme of things in a way that we want to be a niche player. We are not a commodity player.

We don't want to play on the lower end of the commodities, especially when I'm talking to the large director price for oil and gas sector. So I think so all these considerations goes into our evaluation before we take a call. So it is not one -- there's no one simple answer to that, what is

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the threshold. I think so we see it from multiple facets, multiple point of view, and then we take a call Bhavsar.

Parth Bhavsar: Got it. sir, I just wanted to understand like if we -- how do we year-over-year target profitability because there is a lot of lumpiness in your profitability, right? So just wanted to understand, going ahead in future, how do we like plan to target this like other specific projects that we had?

And will there be a continuous lumpiness in your profitability at least in carbon line?

Vipul Mathur: I think if you see the performance over the last 4 years, there has been a continuous growth. And never I don't see that -- I will not agree that there has been a lumpiness into -- the growth has been -- we have reaccelerated from there. I think so we have only grown.

If you see our performance over the last 4 years, our EBITDAs are in a CAGR of 43% number one. But that's beside the point. I think so the -- as I said, we are present into quality markets.

We are we deal with premium customers into the premium segment. This is those under which we work at.

And I think so the entire infrastructure, the entire facilities have been created and built around this, it only -- so I'm sure that if there is a demand in the market, which seems to be there, the underlining tailwind which we are talking about, which is there and which is likely to be there, I think so we should be able to protect, if not exceed, or improve our margins.

Parth Bhavsar: Got it. Sir, do you see a bigger shift in spreads and in coming 2, 3 years or 5 years?

Moderator: Mr. Bhavsar, please rejoin the queue for the follow-up questions, it's a request.

Parth Bhavsar: So it is the same question, it's just a continuation. I'll just end it like up with this. So I just wanted to understand how do you see -- if there will be a sudden jump in like jump in profitability over the next 2 years? And what would be the drivers for the jump?

Vipul Mathur: I've already told you that see jump in profitability is a factor of what type of -- what quality of business you are participating into. So as I said, the market is going. The demand is strong. We have with the right set of customers. We have a right product to offer. We play in the niche market. We have been delivering profitability. There is no reason why anything should change from here on.

Moderator: Thank you. We have next question from the line of Netra Deshpande from Mirae Asset Sharekhan. Please go ahead.

Netra Deshpande: Congratulations for the good set of numbers. Am I audible?

Vipul Mathur: Yes, you are.

Netra Deshpande: Okay. Yes. Thank you, sir. So sir, you said in the -- the 1 like 2 large plants which are going to commission in this year. I just would like to know what would be the time line as other targets starting in the for the completion of this target as there would be the new capacity, which is going to line up in this, that is my robust question.

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And second question, it is like we have seen slight reduction in the volume of SS pipe, for the segment-wise capacity, can you please explain and if you can please include the Sintex revenue also for the forward guidance, that would be grateful. And also, we have seen that the input cost has also slightly increased to the prices. But the fourth question that they remain that is new large project that you announced that is going to start in this year.

Vipul Mathur: So Netra, as I said, all these projects, the 2 large projects which we are currently executing in Saudi Arabia as well as in the U.S. are on track. There have been some minor supply chain disruptions here and there, but they are not going to impact the project per -- we -- as we said that they will all come in stream within this financial year, it's straight away.

So we are absolutely clear and confident and that we see no reason that why they should not be coming. I also mentioned that both these projects not only they will come on stream, but we would -- they would start also contributing to our top line and to our bottom line and the margin in this financial year. That is the endeavor we are trying to do, and I'm very confident that we

should be able to do that.

Now whether it will be for 1 quarter, 2 quarter, 3 months, 2 months, that's something which we have to see. But for sure, the -- all these assets will now come on stream in this financial state - - we will see some impact on this, some uplift coming from that and the full impact coming then in the next financial year.

To your question that volume reduction in asset, the market, there was -- there has been some slowness in the European market. We were one of the large exporters of SS pipe to the European market because of the CBAM and all the prevailing conditions and the supply chain what has suffered over the last one more quarter. We, you know, there has been a reduction in the volume. But the good part is that while this could be a sort of a temporary phenomena.

But the good part is that the domestic market has bounced back very significantly. The demand in the domestic market, especially in the power sector is coming out to be very, very strong, and we are one of the largest player in the power sector from our stainless steel perspective. and we are going to -- I mean we are very confident that this domestic demand, which has bounced back, we will be -- we will see a lot of traction coming in to stainless steel business.

To your third question about fintech, that's a fair point. I think so from next quarter onwards, we'll start giving guidance about fintech, and we can start bringing a little more clarity about the volumes and everything that's a fair point, and that's a fair ask and I think so, we will do that. With respect to the input costs, your last question, input cost

is a pass-through cost to us. The

input costs have gone up because on account of freight, on account of fuel on account of something here and there. So -- but these are typically to correspondingly our top line, they are all factored into our top line -- so they are a pass-through. So I mean I don't think that there's too much to read around the input cost because they generally get into embedded into our top line and get -- and they are a pass through to our customers either way.

Moderator: Thank you. We have next question from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

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Sarvesh Gupta: Sir, a couple of questions. Sir, one is on the share of profit and loss from associates. So that is also -- has grown pretty strong in this quarter as well as for the year. So what is the sort of the expectation for that in this financial year?

I'm assuming that most of the capacities would be running at 100%. So can we see any growth coming from this line item? And a related question to that is because we have so much cash. So is there an opportunity to increase our stake in these associates and JVs?

Vipul Mathur: So Sarvesh, to your first question, I mean, our JV, which is East Pipe is doing exceedingly well. And this is clearly getting reflected into their performance. and in their profitability. And this -- and that is what you are seeing as a profit of JV community as a line item into our balance sheet as well. They are -- that is one company that is, again, sort of -- they are into the significant pole position in the Saudi market.

Today, they are the leaders into the Southeast market at this point in time. And they are doing phenomenally and exceeding even out there. I'm sure that their performance will continue to be like this in quarters and years to come because of the underlying demand, which is there in the water sector in the Saudi market. If that continues to happen, I'm sure that our line -- our profit of shares will also see similar returns, if not better.

Coming to your second question with respect to the cash and the positive what we have and we are going to increase our stake. I think that these are certain decisions at the Board level. It is much above my pay grade, to be honest. I think so these are some strategic questions, which we keep on evaluating at our Board level.

At this point in time, we are not contemplating anything. But these -- but as I said, that these opportunities, including increasing, decreasing new M&A there is that these are all very strategic questions and which we have a very, very collaborative and powered and a very professional book, and these are the questions which we keep on discussing there, Sarvesh.

Sarvesh Gupta: And secondly, on the net working capital days, so I think this has primarily come down because of the advances from the customers, and maybe this is mostly happening because in the U.S., people are paying us advances because of -- to book the capacities.

So how do we look into the situation? And how do we extrapolate this going forward? Because one of the drivers for our ROCE is this negative working capital base that we have now achieved?

Vipul Mathur: Percy, can you?

Percy Birdy: Sure. So Sarvesh, yes, the market is so buoyant that -- there are advances coming from the customers on many of the orders. And looking at the outlook in U.S., I think we will continue to get more and more orders and where these type of advances will keep trickling in. So we see

that while the earlier advances will get utilized as we produce and we ship out. But we are hopeful that the newer orders will keep coming on the similar terms. So you can say this is likely to continue.

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Sarvesh Gupta: Okay. Yes. For this year guidance, how much have you been ...

Mode

Moderator: Mr. Sarvesh Gupta, sorry for the interruption. Mr. Sarvesh Gupta, please rejoin the queue for the follow-up question. We have next question from the line of Anandh Dharshan. Please go ahead.

Anandh Dharshan: Congrats on great numbers. Sir, my first question is regarding Welspun Mauritius has sold its 22% stake in EPIC to Welspun Pipes USA for a total consideration of INR2,500 crores. So what was the rationale behind this internal restructuring? And how does the management plan to utilize the cash per seat at the Mauritius entity level?

Vipul Mathur: Anandh, this is part of our restructuring exercises, which we are doing across all of our entities. We are moving this earlier, if you see this entity was sitting in Mauritius, now it is sitting in U.S. So this is a part of our plan that we want to park these entities into high-growth areas, where we can achieve more flexibility it needs to come in times to come, if we really want to do something around that.

So, we felt that it will be more prudent for us to instead of keeping it in the Mauritius entity, it is more rent to keep it on the U.S. entity. And that's a part of a normal restructuring so that we are able to create values around it as and when opportunity arises. So it is only with that simple objective that we have been doing that and have executed time.

Anandh Dharshan: Right, sir. And my second question is regarding this Indian players like Jindal Saw, Man industries and Ratnamani are increasingly looking and expanding into the Middle East market. So given this rising competitive intensity, how do you view that demand outlook, pricing environment and your competitive position in this region over the medium term?

Vipul Mathur: We are also watching with equal curiosity at this point in time. I think, so what you're saying is absolutely right. Just about every other leading Indian manufacturer has shown their intent to be into that particular market, which reinforces two things. Number one, that what we are telling you that there is a fundamental shift which has happened in those markets and there's underlying demand that is getting revalidated. So if everyone else is looking at, so that the story seems to be convincing, number one.

Number two, getting there, start operating and leveraging is a little bit of a journey. I'm sure that every -- we have also undergone that journey. Everyone will have to undergo that particular journey. Let's not forget the Welspun Corp is in that particular market for the last 20 years. We ventured into that market in 2004 and now for 22 years, we have been present into that particular market with direct foot on the ground for the last 14 years.

So these markets are good markets, they are very profitable -- they are a nice market. But then you have to evolve into those markets to -- and I'm sure all these companies, those who have shown their intent, they will eventually do that. So in the near-term, while the competitive landscape seems to, you know, will increase. But will it pose a real threat in absolutely near-term I don't think so. But nevertheless, we are evaluating that. We will watch it carefully and whatever necessary we need to do, we'll do that.

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Anandh Dharshan: Sure. And one last question, sir, and we have reported a negative current tax of INR85 crores during the quarter. Is it because of some refund or so what was the reason for this?

Percy Birdy: So Anandh, this negative current tax that you see for the current quarter, it's like mainly coming from the U.S. subsidiary that we have. And in Q4 of this year, that's in FY26, we have done capitalization substantial.

And in U.S., there is a 100% bonus tax depreciation, so what happens is that the earlier 9 months, there would have been a current tax provider. But in fourth quarter, it gets reversed and you will have a deferred

tax expense coming in. So if you see both lines together, you will find that it gets normalized. Current tax plus deferred tax.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to management for closing comments.

Vipul Mathur: Thank you, friends. Thank you for joining us today afternoon for this interactive session being one of our Q4 and FY26 earnings calls. I'm sure that we have tried to give you -- I tried to answer

most of the questions that you would have raised. But still, having said that, that if you still have any questions in your mind, any doubts or any clarifications if you read, you can get back to Mr. Percy Birdy or to Goutam and they will be more than accommodated in terms of answering that. Lastly, I want to say that these are very, very interesting times for the company, for your company. This is clearly reflective into our -- how we have performed in FY26, how we have given the guidance for FY27. And more importantly, how we are viewing FY28 in our internal thought process.

I think so friends, as I said, that with the expansions, what we have done, the geographical positioning, what we have done, I think your company has positioned itself as a truly global leader in all these three geographies. And I'm sure that the next couple of years are going to be very, very interesting and profitable for the organization.

You have maintained your trust and confidence into us. I request that you continue to do so. You have seen the reward our shareholders have seen, and I'm very sure that with the type of governance, with the type of growth with the type of geographical expansions, what we are doing, we would be one of the key beneficiaries of being rewarded and I'm sure everyone would get rewarded in the whole process.

Thank you for having joining this call and look forward for interacting with you early next quarter, please. Thanks a lot. Bye.

Moderator: Ladies and gentlemen, on behalf of 360 ONE Capital Market Private Limited, that concludes this conference call. Thank you for joining us, and you may disconnect your lines. Thank you.

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Welspun Corp Limited  
Q1 FY27 Earnings Conference Call  
July 27, 2026

MANAGEMENT : MR. VIPUL MATHUR – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER – WELSPUN CORP  
LIMITED  
MR. PERCY BIRDY – CHIEF FINANCIAL OFFICER –  
WELSPUN CORP LIMITED  
MR. YASHOVARDHAN AGARWAL – DIRECTOR –  
SINTEX  
MR. GOUTAM CHAKRABORTY – HEAD, INVESTOR  
RELATION – WELSPUN CORP LIMITED  
MR. HARSH RUNGTA – GROUP HEAD, INVESTOR  
RELATIONS – WELSPUN WORLD

MODERATOR MR. SAILESH RAJA – 360 ONE CAPITAL MARKET  
RESEARCH

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Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Corp Limited Q1 FY27 Earnings Conference Call, hosted by 360 ONE Capital Market Research. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Sailesh Raja from 360 ONE Capital Market Research. Thank you, and over to you, sir.

Sailesh Raja: Yes. Thank you, Manav, and welcome, everyone, to the call. We would like to thank Welspun Corp team for giving 360 ONE Capital the opportunity to host this interaction today. Without taking much time, I would now like to invite Mr. Goutam to introduce the management. Over to you, Goutam.

Goutam Chakraborty: Thank you, Sailesh, and good afternoon, everyone. Welcome to Q1 FY27 Earnings Call of Welspun Corp Limited. On this forum today, we have Mr. Vipul Mathur, Managing Director and CEO; Mr. Percy Birdy, Chief Financial Officer; Mr. Yashovardhan Agarwal, Director, Sintex; and also Mr. Harsh Rungta, Group Head, Investor Relations, Welspun World. You all must have gone through the results and the investor presentation of the company, which are available on the stock exchanges and also on our website.

During the discussion, we may be making references to this presentation. So I request you all to please refer to the safe harbor statement, which is there in our presentation. We'll start the forum with the opening remarks by Mr. Mathur. And post that, we'll open the floor for the Q&A.

With that, let me hand over the floor to Mr. Mathur. Over to you, sir.

Vipul Mathur: Thank you, Goutam. And good afternoon to everyone. I welcome you all to our Q1 FY27 Earnings Conference Call. As Goutam mentioned, we have already published a detailed investor deck along with our results, which were released on Friday afternoon, which I'm sure you would have got a chance to go through.

So I would like to -- today, I would like to keep my opening remarks very brief so as to leave more time to your questions and discussions. Just would like to highlight some of the key aspects to set the tone of this conversation.

First, financial. Our financial performance remained robust. We have delivered the highest ever quarterly EBITDA of INR756 crores, a 35% growth on a Y -on-Y basis. ROCE has remained well above 20% on an annualized basis.

Our net cash position also has further improved to INR2,336 crores, and our order book is approximately INR25,750 crores, almost \$2.7 billion, the strongest in the company's history,

and it provides a robust growth visibility and underscores our exceeding footprint in the global pipeline infrastructure market.

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On the demand side of it, I would like to briefly touch upon the geographies in which we operate in. First, I would like to brief you upon U.S.A., then Saudi and then India. So as far as the U.S. market is concerned, the demand remains very, very buoyant. As you know, we have booked well through FY28, and we are already seeing clarity emerging on FY29 as well. As we speak, there are multiple projects which are being pursued and followed and are under discussion. If we are successful, this could take us to FY29 as well.

So the U.S. market with its demand drivers remains the pivot for the growth for the company, and it is looking extremely nice. As regards KSA market, the Saudi market, the visibility in the Saudi market is very encouraging. We see -- we foresee a very strong demand building up in the region.

On the back of the oil and gas and the water infrastructure

re investments and the reconstruction

opportunities, which are likely to come up in the Middle East. Also, the recent events which have happened geopolitically are further reinforcing this demand, and we are seeing a very small -- a very large traction coming up for the line pipe demand in weeks, months or years to come. As regards to India, the demand -- the domestic demand in India has comparatively been muted this quarter. We see that fundamentally, the things under Jal Jeevan Mission are slow owing to the fund constraint and industry overcapacity. We expect these challenges to continue and persist over a longer period of time.

We are not seeing any great movement happening into the industry where we are seeing that the funds flow will happen and the demand is going to catapult back. So we have recalibrated our approach in line with the current market conditions, and we have completely shifted our focus mostly to export.

Even if you would see that on the ductile iron side, where we have a large capacity in place and there is a large capacity or an overcapacity in India, we have slightly scaled it down, and we are now recalibrating it with respect to the pig iron, and we are probably one of the largest exporters of pig in this quarter and probably in the subsequent quarters.

Our strategy has been very clear that where we would like to move, where there is money, where there is profit, we are not thinking in terms of recalibrating our positions. And accordingly, this is a change which we did in the last quarter.

But given that we have a diversified portfolio, a global footprint, this continues to be our strong -- this continues to be our key strength. It insulates us from one geography or segment-specific headwinds and make our earnings profile far more resilient. This is what it distinguished between us and the other players.

Our geographical expansion of our multi-geography presence is -- comes to help in such times.

As regards WSSL, the Welspun Specialty Steel Limited, the company remains on track and progressing as planned.

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The Thermal and Nuclear Energy, Defense, Aerospace, Oil & Gas, Petrochemicals continue to stimulate the demand for stainless steel bar and seamless pipe. In addition, a strong emphasis on domestic manufacturing, the Make in India initiative is also driving demand.

As you know, we are the only integrated player in the field, having our own steelmaking capacity, our own rolling capacity and our own pipe making capacity. I think so this puts us into a much favorable position in days to come when we would be talking about when the India would be progressing towards more value-added products like applications in the nuclear area also.

We are seeing a strong traction coming up in that particular direction, the nuclear and the power sector. And we are absolutely prepared to cater to that demand. So from structurally, from the availability point of view and from the research and development and developments of some very, very niche grade, I think that the company has done exceedingly well and is preparing itself for a long haul of growth in days to come.

Coming to the Sintex, it is -- as we see that the Indian domestic market is muted. It is because of that. The Sintex is also impacted because of that because the trickle of the fund is not happening to the ground, and that is where they are also impacted.

But we are using this time. We are preparing ourselves for the long haul. This time is going to

change. We are preparing -- at this point in time, we are expanding our customer base, our dealer network, our distribution network, our influencer network on a quarter-on-quarter basis is expanding.

We are investing heavily in that particular fundamental base. We are going ahead with all that our announced capex so that we are absolutely prepared when the market

rebounds back. We

believe that it will be a matter of time that the market is going to rebound. And at that point in time, with our Sintex portfolio, which is an iconic portfolio in our growth, is going to have the maximum benefits coming out of that.

At that point in time, when the market rebounds, we do not want to be caught into a cycle that we do not have this or we do not have that. So basically, we are preparing ourselves for the tanks. We are preparing ourselves for all type of pipe. We are preparing for all type of fittings. We are preparing ourselves for the OPVC.

And all that work structurally and fundamentally what is required and is the need of the hour, which will gravitate to a future growth of this company is being done at this point in time. So it's a time well being used at this point in time, and I am very sure that this is going to be one of -- we would see one of the stellar performances coming up from Sintex in subsequent months or quarters or years to come as the market improves.

In terms of our ongoing capex in KSA and Little Rock, I just wanted to update that both the projects with Saudi and in America, where we have invested heavily for our growth. They are going absolutely fine. There have been some minor disturbances because of this issue, the Welspun Corp Limited

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geopolitical issues, but we were very lucky that none of our capital equipments got impacted because of that.

We are looking -- we are absolutely on track, and we are -- for both the locations, let's say, for our project in Saudi as well as in Little Rock, we are more than confident that both the projects will be absolutely on track, up and running by the end of this year.

We would see the full impact of their performance coming up in FY 2028. The markets are looking very buoyant in both the economies, both the geographies. We would be ready by the end of this year. We would be able to capitalize upon the emerging demand in both these markets, and that will get reflected in our FY 2028 projections, earnings and profitability.

Last but not the least, our ESG performance continues to strengthen the foundation for resilient growth and sustained value creation. We are -- as a responsible conglomerate, we are clearly focused on our ESG goals. On a year-on-year basis, our DJSI rating, ESG ratings have only been going up. We have taken multiple steps, multiple steps in terms of further improving our ratings. And we believe that this is the core fundamental, which also has to be focused along with your operations and the market, which is going to create a sustainable value for all the stakeholders and the shareholders in time to come.

With this, I would like to -- I would like the moderator to open the floor for the question. As I said, I would like to keep my opening today very, very brief so that we could spend a lot more time in terms of answering all your questions -and-answers what you might have.

So back to the moderator, please, for opening the floor for any question and answer, please.

Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We have a first question from the line of Shaurya Shah from Equirus Securities.

Shaurya Shah: So first of all, just wanted to ask on the Saudi region. So some other Indian players, larger guys, organized players are also putting up capacities in the Saudi region. So I wanted to know whether are we seeing an increase in competitive intensity in this region given that demand scenario for both line pipes and DI pipes seems to be very strong there. That's my first question?

Vipul Mathur: Shaurya, good morning. I think so that's a fair question you're asking. Number 1, we also see that the competitive landscape is increasing in Saudi. I have reasons to believe that it is going to take some time before these will really start coming on --

their capacities would start coming on to the ground or impacting.

But having said that, I don't think so that there is a cause of any undue concern for a simple reason that the market size and the cake itself is so very big enough that I'm sure that everyone would have a reasonable amount of bookings or reasonable amount of market size to themselves.

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Let's not forget that, a, we have been on the ground for more than 15 years. I think so that gives us a fairly distinct advantage in comparison to the others. Number 1. In terms of our understanding of the market, in terms of our customer relationship to the market, I think so we are much -- we are better placed in comparison to the others. I'm not saying that others will not gain any momentum or they will not gain market share.

But I think so the market size is big enough to accommodate every one of them. Of course, with us being in a leading position, it will have -- we will definitely have our share. And I'm sure that others who are also investing in due course of time as and when their capacities will come up on the table, I'm sure that they will also get benefited out of that.

Shaurya Shah: Great. Understood, sir. And any update regarding the anti-dumping investigation that was going on for DI pipes in Saudi? So any further progress there?

Vipul Mathur: No, there is a significant progress, which is happening. Of course, we are -- I mean, it is absolutely happening in the right direction. And it is statute by law that once we have the domestic capacities coming up, the import -- the cheaper imports have to stop. I think so this is what the Saudi law is.

And I think so things are moving in that particular direction. And I am sure that by the time our capacities will come in, by that time, this investigation and other administrative procedures, which are also going on in parallel should also get over, which means that it will purely be a domestic play in times to come when we are ready.

Shaurya Shah: Okay. Great. Just one last question. So despite the aggressive capex, the leverage profile continues to remain very strong for Welspun. So just wanted to know where do we expect to land in terms of, let's say, the peak net debt by FY27 and FY28, if you could just give some brief numbers there?

Vipul Mathur: Shaurya, we have very clearly stipulated and maintained our position consistently that we operate under particular guardrails. If you see my investor presentation, we have very clearly said our guardrails would be that in terms of ROCE, we will maintain a ROCE of more than 20%.

And the second guardrail, which we are very, very particular about is our debt to EBITDA and which is going to be less than 1. So at no point in time, we are going to exceed that. The good part is that all these capex is, what we are doing, they are -- despite that, we are still in a very strong cash -- net cash position.

I think so this is what is the situation going to be moving forward as well. There is a sufficient free cash flow that all the businesses are throwing. So I don't see our profile getting changed, and we don't see our balance sheet getting leveraged. Rather, it will only be becoming more healthier in days to come.

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Shaurya Shah: And just -- yes, sir, just if I could question one last question. So could you provide the breakup of the India and U.S. business volumes, if possible?

Vipul Mathur: We would -- that you please kindly take offline. As a process, we don't disclose that on the call. But if you have something specific, I think so you can reach out to Goutam and Percy. I think so they could be happy to share that, please. I hope you understood.

Moderator: We have our next question from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Sir, just one question

on this...

Moderator: Sorry to interrupt you, Nitin. Can you please use your handset?

Nitin Arora: Yes, I'm on my handset. Am I audible now?

Moderator: Yes.

Nitin Arora: Okay. Sir, just one question on this associate company for what you have proposed of taking a 26% stake for manufacturing and dealing in GGBS, which is the Blast Furnace Slag. Can you tell us what is the rationale behind it and why we are entering into this business, if you can throw some light?

Vipul Mathur: Nitin, I think so that's a very fair point you are raising. See, at the end of the day, we are very clear that we have to create wealth out of the waste. We have been generating slag. We have been selling the slag -- to various people. All what we are not trying to do is to slightly structure it. We are not doing any capital investment for that.

The capital investment is being done by some third party in our premises. We have only taken a sort of a small equity stake into that, mandatory equity stake into that particular company. It's at a very notional value just so as to have a full proper control on that. The whole objective is that we were generating slag earlier. We will continue to generate slag.

We were selling the slag -- slag earlier. We will continue to sell the slag. But now that slag will be converted from waste to wealth in our premises through a third party in which we have an

equity stake. That will help environmentally to us, number 1. And number 2, it will also bring in additional revenue to us with no capex being done.

Nitin Arora: So the total capital allocation would not increase from here to -- from this?

Vipul Mathur: No, no. It is just a notional stakeholding we have in that. We are not doing any capital investment into that.

Nitin Arora: Great. Great to hear that. Second, on your opening remarks, the way you articulated demand that you are even seeing visibility for FY29. Any thought process of where you're thinking now on capex for FY29? Because I'm sure the way I'm able to read your opening comment, it looks like rather you are expecting more capex from the Saudi and other areas.

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So can you -- we don't want an exact number, but if that can articulate to what kind of a capex you are envisaging going into FY29? Is there a need to upsize the capex from here is I wanted to know? And second, given the very strong cash generation, which I think the management has been guiding over the last 3 years, any inorganic opportunity you see in your business? So just these 2 questions, sir.

Vipul Mathur: Nitin, in terms of capex, I think so we have disclosed that what are the capex which we are doing in our Saudi business and in our U.S. business. That capex cycle started almost 1 year back.

Almost we are done with almost 60% -- 60%, 65% of our capex. The balance capex will get exhausted in this particular year. All that numbers are in public disclosure, number 1.

Number 2, beyond that, we have -- we are not committing for any other capex at this point in time. It is not time to use -- to have the maximum mileage and the benefit out of the capex, what are being done. So to your question, is there any incremental capex over and above what we have announced? The answer is no, number 1.

Number 2, to your question about the cash generation and inorganic, I think so these are good questions to have. These -- first, as I have always said, we would first like the money to come in our bank.

And then these are good problems to have, let the money be in the bank. I think so we have a very, very fair independent and a very incredible Board, and I'm sure that we will -- they will be in a position to guide as to what needs to be done. At this point in time, there is nothing on the table just to report.

Moderator: We have our next question from the line of Parth Bhavsar from Investec.

Parth Bhavsar: C

Congratulations on a good set of numbers. Sir, I have a few questions. The first one related to demand. So there are a couple of projects that were announced and which are announced new. One is like India, Saudi subsea gas pipeline and the other one is Keystone XL project. So wanted to get a sense if the tendering has started for these projects?

Vipul Mathur: Parth, I honest -- I'm not aware of anything called India Saudi pipeline project, to be honest. Pardon me for ignorance on that. I have not seen anything like that or it might have missed my attention. Generally, it does not, but must have missed out. Maybe you might be referring to India Oman pipeline or something.

That would be -- that we have seen was being a point of discussion. I think so this is -- if that is what the question is, I think so it's in the early stages. This pipeline has been in discussion for a fairly long time.

There are challenges. It is not an easy project to do. But I'm sure given the geopolitical situation, what right now we are facing, I'm sure that this -- it might see some light at the end of the tunnel, but it is still far off, number 1. Number 2, you are talking about the KXL. I hope you're referring to the North American pipeline.

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I think so in North America, there are a couple of things which are being discussed. Nothing in particular called KXL, but there are a lot of different pipelines in different avatars are being discussed. And that is what I said in the opening remarks that such discussions are giving us a sort of a visibility that the FY29 demand also could be robust.

Parth Bhavsar: Sir, would it be possible to name a few big projects?

Vipul Mathur: Those -- see, the projects generally do not have name in America, if you know. Generally, they are -- those projects are being discussed with the midstream companies. They are discussed in strict confidence. Generally, these projects only get a name when they are FID -ed. That -- we also come to know the name of the projects at that point in time that what all we have been discussing and the name of the project is XYZ.

Honestly speaking, I do not have a visibility on the name of the projects what we are discussing. All what we are discussing with various midstream companies, multiple projects and which is giving us a sort of a traction and a comfort that FY29 demand looks fairly robust in the U.S. market as well.

Parth Bhavsar: Got it. Got it. Sir, a few bookkeeping questions. In terms of our order book, INR25,750 crores, would it be possible to give a U.S. - India split?

Vipul Mathur: We can do that. I think so offline, you can take up with Percy and Goutam, they should be in a position to give that split. I would not have readily available with me. But definitely, Parth, you can definitely have respond that, please.

Parth Bhavsar: Got it. And sir, in terms of our KSA capacities, so just to like get the time lines right, KSA was supposed to come up in Q2, right? Is it being pushed to end of Q4 or is the time line still Q2 FY27?

Vipul Mathur: No, I think what we mentioned earlier was Q2. Look, given this geopolitical situation, there had been some minor hiccups here and there, but that it has not slipped out. Nothing much have slipped. I think so we should still be seeing progress -- we are talking about two facilities and these two facilities should progressively be coming up in the -- by the quarter 3 in any case.

Parth Bhavsar: Okay. And then similarly, sir, ERW and LSAW in U.S.A. would be in Q4?

Vipul Mathur: ERW in U.S.A. is up and running. It has already come on stream. It is up and running. We are - we have commissioned it. We have successfully done all the trials. Right now, we -- the mill has completely stabilized. And now at this point in time, we have orders and we are about to start execution of certain orders out of that particu

lar mill.

That is with respect to HFIW. With respect to our LSAW plant, we said that in any case, it will be coming by the end of the year. In FY27, it will be there. We are more than confident that by the end of the year, that capacity will also be up and running. So pretty much on track. Pretty much on schedule.

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Parth Bhavsar: Got it. And sir, just last question to get a sense on KSA. Sir, how are the order inflows or inquiries for our facilities in KSA?

Vipul Mathur: There's a lot of discussions, which we have seen, which have started. Earlier, we were all talking that this market will exponentially grow because of the recent situations which have emerged. Now those discussions are moving into the next phase where the engagements are happening. Then it will move on to the next phase where the tenders would happen, and then it will get to the fourth phase where award will happen.

So that is the process. That is the life cycle under which it happens. I think so it has moved from Phase 1 to Phase 2, which is a very, very encouraging situation. And it is also reinforcing the fact that what we have been saying that there is going to be an exponential demand buoyancy, which is going to come up in that particular market. These discussions are clearly reflecting that.

Parth Bhavsar: Got it. And sir, just if I can squeeze in one more...

Moderator: Sorry to interrupt you Parth. May I please request you to rejoin the queue?

Parth Bhavsar: Yes. Thank you.

Moderator: We have our next question from the line of Sneha from Nuvama.

Sneha: Congratulations on super strong set of results. Just a couple of questions from my end. Firstly, on your margins, this particular quarter, we have seen phenomenal jump in margins. How sustainable these margins are? And the order book, which you already have in place, what is the kind of EBITDA per tons on the U.S. side are we certain of for both '27 and '28?

Vipul Mathur: So, Sneha good afternoon to you. Let's say, to your first question with respect to margin, I think the way we track, we are not tracking to margins. See, margin is a factor of raw material pricing versus the profitability of what you do and typically the product mix in that particular quarter.

We stand by to the absolute EBITDA numbers for which we give the guidance, number 1.

Margins are various -- it has many variable factors around that. So I would rather not like to comment on the margin side of it, but I stand committed to the EBITDA absolute numbers, what we have committed to that, number 1.

Number 2, with respect to the order book, I think it's almost like close to INR26,000, \$2.7 billion in order book. And which is a very, very strong order book. As I said, that we will be in a position to give you the split between India and the U.S. I think that's what your question is. I think so offline, our earlier participant also asked for that.

Mr. Percy and Goutam will be in a much better position to give you in absolute detail about that, that what is that split looking like. But it is heavily loaded towards U.S. at this point in time, to be fair.

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Sneha: But what I meant was on that particular order book, what sort of EBITDA per ton visibility do we have? We understand that you have a healthy order book from the U.S. part. So what sort of margins are we making EBITDA per ton on those businesses? And also in terms of order book split, could you give us that what portion of this order book is driven by the data center theme that even we are participating in?

Vipul Mathur: Right. So EBITDA per ton is in U.S., we historically have given a clear guidance that EBITDA per ton in the U.S. are close to \$300 per ton. Today, it's slightly -- it's an exceptional scenario we are into. So the EBITDA per ton definitely are much higher

than what we have given a guidance.

But you need to -- on a sustainable basis, what you need to consider is that the guidance for U.S. is almost \$300 per ton. Today, it's slightly more, number 1. Number 2, coming to the split part of it about the data center. Right now, the split between the data centers and the LNG going to the Gulf Coast for export.

I think so the ratios are close to 80% or 20%. 80% is still going towards -- or 75% is still going to the Gulf Coast for export, 25% is the split, which might be going to the data center. I might be slightly vary here and there by a few percentage points, but the shift now in the subsequent bookings, what will happen, we would see that this shift increasing more towards data centers and reducing towards the export side of it.

So this is a shift we are seeing out there. And -- but for us, what really matters is that now earlier we were completely -- or the market was completely dependent on LNG export. Now there's an alternate consumption pattern or consumption center, which has emerged, which is data center and which is growing on a quarter-on-quarter basis. So that's a very healthy and a very welcoming sign in an economy which is growing and opening up new avenues for us and our investments there.

Sneha: Understood. And lastly, on the order book side, how much of this order book would be pertaining to FY29? Do we have something coming up even there now?

Vipul Mathur: Right now, no. Right now, what we have is mostly till FY28, we would be done pretty much of that. What I mentioned earlier to the earlier call -- in the earlier questions, we are seeing a good traction for FY29. We are seeing a lot of projects being discussed. Our teams are engaged with multiple midstream companies out there, and they are evaluating multiple options.

It's a long way out, to be honest. FY29 is a long way out, but the engagements have already started. And that gives us the confidence that it might be sooner rather than later, we may have a visibility -- clear visibility emerging for FY29 as well.

Moderator: We have our next question from the line of Dhananjai from Alchemy Capital.

Dhananjai: Sir, most of my questions are answered. Just one question...

Moderator: Sorry to interrupt you, Dhananjai. Can you please use your handset?

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Dhananjai: I am on my handset. Is it better?

Vipul Mathur: Dhananjai is a very soft-spoken person. So we could see that. -- can you hear me now?

Dhananjai: Sir, can you hear me now?

Vipul Mathur: Yes, yes.

Dhananjai: So sir, most of my questions are answered. Just one question. Sir, in Saudi Arabia, there's so much demand. There was an asset available. Did we look at that, which was available to be sold?

Moderator: Dhananjai, I don't know which asset are you referring to, please?

Dhananjai: The one which another Indian company had also acquired.

Vipul Mathur: Okay, okay. No, we -- see, we continuously scout around for asset. See, you have to understand Welspun is a high-quality standard mill, right? For us, our reputation is paramount. And that comes through a very, very high-quality product what we give to our customers worldwide. We -- I'm sure our technical team would have evaluated that. And I'm sure that they did not find it very encouraging in terms of to support that. So to your point, at some point in time, we did have a look at it. But in our framework of a quality framework, it probably was not fitting in. So that's the reason we did not want to go ahead on that.

Dhananjai: And but wasn't it attractively priced also then like early payback also on the acquisition?

Vipul Mathur: We are talking here of a very, very heavy engineering product used for very precision sector. You please understand that these pipes are carrying oil, these pipes are carrying gas and every pipe is very, very critical. You have

ve to have a 100% comfort and confidence on every piece of pipe what you produce, right?

So it is not -- we are not talking commodity here. We have a reputation to live up to. We are a global scale company. We have built this reputation on quality and impeccable quality over a period of time.

We would not have felt comfortable with the asset class or with the quality. I'm not saying it would have been bad or it is not good. I'm not saying that. Don't get me wrong, but it would not be fitting into Welspun standards. So probably we would have overlooked that.

So we are not driving through that it is attractive valuations and all that stuff. That's not the way we look at the companies. We look at from -- purely from a qualitative point of view and our global positioning and our leadership positioning.

Dhananjai: Congrats again for good set of numbers.

Vipul Mathur: Thank you Dhananjai.

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Moderator: We have a next question from the line of Rakesh from Nine Rivers Capital.

Rakesh: Thank you very much for the detailed annual report that has come out for the industry across the globe. Majority of my questions are answered. Sir, just 2 questions. First, with respect to the on the profitability in this quarter, when we look at the volume growth versus the EBIT growth for the business has come very strongly, north of 30% growth. Can we -- is that understanding correct in this quarter, the prospect of a higher margin. That's why the growth is high and in the coming quarter, the growth will normalize?

Vipul Mathur: Rakesh, I think so if you see, I have always been a proponent that -- see, we are a project-based company, right? It is -- and we are geographically positioned at 2 or 3 locations. The product mix, the requirement, the deliveries, they keep on changing. I have always been a proponent that this company need not to be looked on a quarter-on-quarter basis.

I think so this is a company to be looked on a year-on-year basis. You have to have -- that believes that whatever is the guidance given, whatever is the -- have we been able to deliver as what we have promised.

I think so it is very difficult to track this company on a quarter-on-quarter basis because you really do not know what is going to be the product mix, what is the steel arrival schedule, what is your production, what is your dispatch, what is your invoicing, what is this and that. So it becomes extremely difficult to track it on a quarter -- and please understand, these are -- all these projects, what we execute are large-scale projects.

They go over multiple quarters. So to qualify it on a quarter-on-quarter basis, I find it extremely difficult. However, I wish I may try to do that. I am unable to do justice. So please understand my position and kindly look at this company on a year-on-year basis. And if you have any questions, any doubt or any point around that, I will be more than happy to address that, please.

Moderator: We have our next question from the line of Vikash Singh from ICICI Securities.

Vikash Singh: First of all, congratulations on a very good set of numbers. Sir, my question is slightly on a long-term perspective. As we have seen that nowadays, the major oil-producing countries like Middle East or U.S. prefer the localized production, and that's why we are putting plants in Saudi as well.

Going forward, Indian capacities has always been more towards in the export segment. So just wanted to understand going in the next 3 or 4 years forward, do we see further Indian capacities getting shifted to other geographies? And if not, then what are the other pockets where we can actually utilize these capacities as the Saudi will get more capacities and more demand would shift in-house versus the imports?

Vipul Mathur: Vikash, very good afternoon and good to hear from you. It's always good

to have so deep

thought-rooted questions. Greatly appreciated. See, I will not be in a position to comment on as to what others or what other Indian conglomerates will do. But one thing you have to keep in

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mind, see, putting up a greenfield project into unknown territories is not an easy cake walk, please. It is very difficult.

The local laws, the local regulations, the local culture, the local dynamics, I think so it takes its own time. It has its own. Why we have been slightly ahead of successful, if I may say so, because we were present in both the geographies, let us say, in America as well in Saudi for the last 15, 16 years. We have been on the ground. It is not that we had a supplier relationship, but we were only producing in India and supplying there.

We were physically present on the ground. We understand the nuances much better than others would have it. Not that others will not be able to do it, but they will find it very, very difficult. So setting up greenfield or brownfield projects in such economies is not an easy thing, number 1. Number 2, India is -- has a very high concentration.

That's a fair point you are making. Now whether with this concentration and most of the facility or capacities which are there in India were more inward looking. They were more servicing the domestic requirement.

Now the domestic requirement definitely is receding at this point in time. At least there is a little lack of visibility and the spend which is going to happen there. So India market is slightly muted.

I'm sure that everyone would be trying for export at this point in time, I believe that.

But you also have to understand that as it is difficult to set up a greenfield or a brownfield capacity, also you have to understand that getting approvals and accreditations is also a challenge. If you really have to work with the Tier 1 producers of the world, there is a process of approvals and accreditations.

There is a very high quality standards, which are required, absolutely to a scale, which are very, very difficult to achieve. So that is also -- so there are deterrents to get into that. It is a time-consuming process.

So -- and this is where Welspun is slightly blessed because with all our approvals and accreditations, which are global in nature and with the Tier 1s we already have, that is giving us a sort of a head start over the others and our geographical presence into the other markets is giving a head start. I'm sure others will also be trying to do that. I wish them all the success, but it is not as easy as what we contemplate at this point in time.

Vikash Singh: Noted, sir. Sir, my second question pertains to our cash utilization. As we like to maintain our ROCE at 20% or above, cash is becoming a problem because we already have a pretty high cash position, and I believe that it is going to increase only further. So deployment of this cash, any thought process on that, if you could share with us would be really helpful?

Vipul Mathur: Vikash, first and foremost, today, we all recognize cash is king. I think so there is nothing called -- there is no ambiguity around that. So it is a good problem to have, first and foremost. But I

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completely understand that in a way, it is also counterproductive. We are very clear that its deployment has to be figured out.

Now whether it is by virtue of dividend, buyback, investment, all things -- all those things are very well understood at our end, number 1. But we strongly believe that right now, we still have -- we have a decent amount of cash, but we are still into the capex cycle.

But we also believe that in the subsequent quarters, there will be a more cash flow which will be coming in. We will be sitting by the end of the year at a substantial amount of cash. And I'm sure t

hat at that -- by that point in time, we will have figured out an answer. There are multiple things which are being discussed. And I only want to assure one thing. See, at the end of the day, what the capital allocation is going to be extremely, extremely judicious.

We are very, very clear. And if you see for the last 2 years, we have very clearly given our guardrails. Our guardrails are that we will go into our proven geographies, core geographies and core products only. Number two, we will only invest where the ROCEs are more than 20%.

Number 3, that at no point in time, we would see our net debt to EBITDA going up beyond -- it has to be under 1%. So these are the guardrails which our Board has set for us. Under that only, and we will do any capital allocation. And trust you me, believe me that it will be very, very judicious. You will not -- no investor will feel ever disappointed because of that.

Moderator: The next question is from the line of Nishant Vass from 360 ONE Asset Management.

Nishant Vass: Just one question digging into the U.S. North American data center potential. I think there is a lot of discussion even in the U.S. that they are going to fall short of the natural gas generation capacity for the data center side, like close to 100 gigawatts has been kind of under development, but approved list is much smaller.

I think you're obviously talking to a lot of midstream guys and they are doing what they can like the likes of Bridge Atmos Energy, they're trying to do whatever they can. The fact that you have capacity coming on stream, you're in the unique position.

Is it possible for you to kind of be nominated directly from some of these customers for some of the larger programs coming up? Because I think the window for some of these programs to get initiated is probably less than 12 months.

If that is the case, you mentioned you have no new plans of capex, but I'm just trying to think from your management advantage, if your capacity gets completely booked for, say, potentially '29 as well, what's the lead time for a new plan? Like I'm just trying to think that from your vantage point.

Vipul Mathur: Nishant thank you. Nishant, I think that's a very great question. See, first and foremost, to set up any plant in America is for someone like us who is present there, who is already on the ground, it's at least an 18 - to 24 -month process, first and foremost. If someone intends to even do a greenfield part of it, I do not know what time it will take because everything is on fire in America.  
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So is there a threat of any new capacities coming up? And if someone would like to explore, good luck to them. But I don't think so that it is something which someone need to even venture about because things are not as what we see from here. Number 2, we also believe that there is a tipping point.

You could -- we could see a demand -- we are seeing a very structural demand for the next 5 to 7 years' time, right? Out of which we have only booked for 2 years' time and maybe potentially we can -- as the things will progress, we can book in a year or so. Even if we start thinking beyond adding our more capacity, which we don't want to do that, I think it is beyond a tipping point because overcapacity is also detrimental to into a market which is growing.

So we do not believe -- I think right now, we believe in the U.S., the type of capacities what we have and the type of capacities our competitive landscape is having. I think so with that, it has reached to a point that there probably is no need to add any capacity.

Because if we really want to see the momentum, if we really want to see the margins being maintained, I think so the best way would be to maintain the capacity levels at this level itself. And we believe that, I think so this is a sort of a general sense I'm getting. And in any

case, any  
newcomer putting up a plant is next to impossible, it is not possible.

And even if somebody venture, he's going to bleed that. So I think -- so from a capacity point of view, everyone seems to have reached to a certain optimization level. Let's not forget that we are also a project business. This is also a cyclical business. All what we are seeing is a 5, 7 years of a sustained growth. But then if you have an overcapacity, then that also comes and bites you back when the sun is not shining that -- the sun is not as shiner as it is now.

So we are very clear that at this point in time, we have done what we would need to do. We have positioned ourselves. We want to maintain our leadership position, which we have. We want to have a particular market share, which we have. We will continue to maintain our market share. That's what we have invested for. Beyond that, we are not looking at anything at this point in time.

Nishant Vass: So can we then assess the fact that I'm not comparing it like -to-like, but there was obviously a similar shortage on the data center build -out from memory. And I think if gas becomes, let's say, a roadblock for growth in memory, could you -- is there a pricing lever which you can extract from the customers that you talked about margins?

I think then there is a much larger headroom for margin expansion in the U.S. if some of the things that we talked about data center build -out happens for you guys. Is that understanding correct?

Vipul Mathur: That's a fair understanding. I think so the margin profile has been increasing. It has been what it was 2 years back and what is it for now and what is it going to be in future. I think so the margin profile incrementally has been better. And please understand on the other side of the table are intelligent buyers. They completely understand that.

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I think so the name of the game is all about how quickly they can -- how quickly they can be into the particular market and how quickly they can be served. And that is one of the USP what Welspun bring up on the table.

And that has helped them to be quicker into the market. And at the same time, they have rewarded us with a margin expansion. So it's a 2 -way process. It is very, very open, transparent, and that is the strength of that particular market.

Moderator: We have our next question from the line of Netra Deshpande from Mirae Asset Sharekhan.

Netra Deshpande: Congratulations on the great set of numbers and the new record level of global order book. My first question is pertaining with the DI pipes. As you have flagged about the funding constraints under this Jal Jeevan mission impacting the domestic marketing demand. So which is like the strategic pivot shifting towards pig iron exports more this time. So can you quantify the current exports against and what would be the sustainability about this strategy as a margin level?

Vipul Mathur: So Ms. Deshpande, you are right. I think so the domestic demand for DI, which was under Jal Jeevan mission is under severe pressure. And we see that it is going to be there for a significant

longer period of time. We were expecting that things in H2 should improve. But the way I think so the priorities are changing for various reasons, I mean, I completely respect that, looks like that this is going to be a sort of a sustainable pain for a sustainable period of time.

So all what we are trying to do is recalibrating our complete strategy. While we will continue to focus on our DIP business, there is still a market. We are still a large player of DI player in the DI market. We will continue to focus the domestic market. We will -- we have an advantageous position on servicing the export market.

But both the domestic and export market, apart from that, it will also give us an opportunity to do some big exports, and that's what

we have opted for. At the end of the day, the bottom line remains that we remain -- despite the challenges which are there into the domestic market, we still need to be very profitable.

So that's the strategy which we have calibrated our change to. I think so this is the right strategy, a domestic presence, export focus and a blend of pig iron coming into play. And I think so these 3 things put together will continue to give us the margin profile what we are looking at.

Netra Deshpande: Okay. Okay. Noted, sir. And sir, my last question is about the one-off deal that is of EPIC. So I just would like to ask about this post partial Epic stake sale, what would be the residual shareholding in EPIC as any other monetization which is planned as this is a one-off deal. So that has shown a good amount of exceptional gain this time in this quarter?

Vipul Mathur: So Ms. Deshpande, our EPIC is a strategic asset for us, right? While we have been slightly diluting our positions here and there, recently being 4%, 4.5%. But after that also, we have more than 22% of the share, 22% shareholding out there. We are still the largest shareholder, and we will continue to be the largest shareholder, number one.

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It is a very strategic fit for us because it offers EPIC and our 100% sub, which is coming up in Saudi. I think so these 2 companies put together brings a sort of a very unique portfolio on the table, which is unparalleled.

So our -- we will continue to invest in EPIC. We have no further intentions of diluting it. This 3% or 4% dilution, what we have done was done with a very specific purpose, with a very strategic intention and throwing that money. Bringing it out from the Saudi market and employing it in the Saudi market only.

So it is not that we are bringing that money home or we are taking it anywhere else. We are only divesting and investing into the Saudi market so that our portfolio, the comprehensive portfolio between EPIC and the Welspun becomes such a formidable portfolio, and that becomes the key driver for our growth in years to come.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, first question is, why is it we are not increasing our full year guidance? Because specifically, when we look at midstream owner operators, I think all of them are actually doing well. They have also increased their guidance for the full year. Any specific reason to be conservative?

Vipul Mathur: Ritesh very good afternoon to you. I think so -- I mean, that's our philosophy. A what we don't want to revise our guidance is. We have given at the start of the year. We are into a project-based business. Will you -- anyone anticipated this war will continue like this? Nobody, right? Will it sustain to this particular period? Nobody. I think so there are events which keeps on changing over a period of time on which you have no visibility to.

So I think so it's not prudent on our part to keep on changing the guidance. What is important is to give a realistic guidance number 1. And work hard in terms of achieving that or exceeding that. If you see the track record in the last 4 years, whatever guidances we have given, we have always met them, if not exceeded them, right? And in those period of 12 months, so many things geopolitically keeps on changing, which we have no control on.

So I think as a philosophy, we believe in giving a realistic guidance, not creating a disappointment, rather bringing truthful thing on the table and keep our investors happy saying that this is what the bare minimum they are going to see. If we are able to do better, nobody is going to mind that. So I think that's a part of our philosophy, operating philosophy, which we operate in, Ritesh.

Ritesh Shah: Yes. Sir, if I just flip the question around, saying like probably you are not changing the guidance

because you already have the order book, which is fixed -- we know the volumes. We know the profitability, probably that might be a reason we are not changing it. But sir, if I have to just ask you a question, you did point upon FY29, some visibility incrementally emerging. Given the situation that we are in, it is quite strong, what is the thresholds when you are seeing no to orders right now?



Because I think in one of the prior questions, you did indicate for U.S., we are making more than \$300, \$300 was a normalized average historically. So is it that we are seeing no to orders, have our thresholds on ROCE moved up? So you did give a number of 20%, but is 20% number higher at this juncture?

Vipul Mathur: See, this was relevant when we were talking of FY28. Right now, when we are talking of FY29, their discussions are at a very early stage. Because see, you also have to understand that for me, -- we also have to have a very clear -cut substrate strategy, which is the steel strategy. So it is not an easy answer to commit immediately for FY29. For any steel suppliers to also commit for FY29 assured delivery at a fixed pricing also becomes equally challenging. So it is not a one data point discussion.

It is a multiple data point discussion. We, our capacity availability; number 2, the steel guys, what are they thinking about it and the total demand into the market. I think so these 3 points, we triangulate that. Basis that what is the right fit for all 3 -- right fit for Welspun is basis that we take a decision.

We have -- basis that we have taken decisions till FY28. Right now, as we speak, we are triangulating these points coming to a broad consensus for FY29. And the good part is that what I've been saying that the good part is that at least the discussions for FY29 has started.

But whether -- have we triangulated the strategy, have we reached to a broad consensus, I think so it will evolve over a period of time. We are in no rush. We are in no hurry. But we have a very clear objective that how can we improve our margin profile as what we have over FY28. So that it is with that objective. We are working around that. We have -- have we reached to any conclusion? The answer is no. But I'm sure that we will get there sooner rather than later.

Ritesh Shah: Sir, just one follow-up. When we say INR24,750 crores of order book, is it possible to put a value on tonnages over here?

Vipul Mathur: Value of -- sorry, I didn't get your question?

Ritesh Shah: On tons, tons. So the reason -- so INR24,750 looks beautiful because of Section 232, steel pricing, obviously, is very high in U.S. So if we have to look at it from a -- how should we look at it?

Vipul Mathur: Look at it from an absolute value, this is what is going to happen over the next 2 years' time. Why should you go?

Ritesh Shah: Volume. I'm looking at it from a utilization level standpoint as well. So is it possible to quantify it on a volumetric basis?

Vipul Mathur: Is difficult because it also has other businesses embedded into that also, right? The India business is also embedded into that. The futuristic, there's some WSL. So it is difficult. I'm not saying that it cannot be -- it is not quantifiable, but it is difficult. But you have to understand where do we stand?

We stand that we gave a guidance that, okay, guys, this year, our turnover is going to be like this and our EBITDA margin -- EBITDA is going to be like this. I think so that is what we are focused on rather than volumes or the percentage because the more variables you like to bring into the play, the more confusion we create.

So we want to be very clear, very straight, very upfront so that I and very transparent that this is what we are committing. This is what we are delivering. If we

can do better, trust to me, you

will not leave any stone unturned to do things better. I hope you -- that comfort and that confidence you will be having on this team and on this management.

Ritesh Shah: Sure, sir. And sir, just last question quickly. You indicated...

Moderator: Sorry to interrupt you, sir. Request you to rejoin the queue. We have our next question from the line of Yash Sedani from Integrity Ventures.

Yash Sedani: Congrats on great set of numbers, sir. On volumes, I understand you said you shall not look at volumes on a quarterly basis. But if I compare this on a quarter-on-quarter basis, we are seeing a volume degrowth. So is there any reason for that or the orders are getting executed in next quarter that is the reason for this?

Vipul Mathur: As I said, Yash, this volume degrowth -- see, volume degrowth or growth is a factor of what you are producing in that particular quarter, right? I really do not know that whether it is a degrowth.

I don't think so it will be a degrowth. But assuming for a minute, it is a degrowth. That's specifically validating my point that I do not want to discuss on a quarter-on-quarter basis.

We really want to discuss it on a year-on-year basis for a simple reason that you really do not know what product mix you are running, what type of sales you are booking. That sort of a visibility, that sort of a granular visibility is so very difficult to predict on a quarter-on-quarter basis.

On a yearly basis, we know that, okay, this is the volume we are able to do. This is the top line revenue we are able to do. And with the steel completely hedged and the margin profile what we have, we are able to give a clear cut guidance on the EBITDA number. I think so we would like to keep it that way. We would not like to comment on quarter-on-quarter growth or degrowth basis, please.

Yash Sedani: Okay. Got it. The second question would be on basically the domestic business. So since you mentioned domestic business has seen muted demand, but we have seen that Sintex's negative margins and margins are increasing negatively. So how are you looking at that number specifically?

Vipul Mathur: No, no, no. See, please do not see Sintex margins as negative. We are -- this is an iconic brand, number 1, Yash. Number 2, and this is a B2C play, right? If I'm heavily invested into branding and marketing, whether the market is good, bad or ugly, it doesn't matter. There are 3 things fundamentally we will do.

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Number 1, we will continue to expand our base, which is the distributor, the retailers and the influencers. Come what may, number 1. Number 2, we will continue to invest into the capex what we have already announced so that we are able to capture on the growth when the growth comes in.

And number 3, this is a B2C business. You understand that unless until you do not have the branding and the marketing expense completely embedded into that, this B2C business don't grow. So we don't see this as a seasonal business. We see this as a long-haul business.

We are preparing ourselves for the long haul. This is a crown in our jewel. We are more than confident about this company. And don't be surprised that when the market conditions improve, it would be one of the most successful turnaround story in the country.

Moderator: We have a next question from the line of Sohan Joshi from ASC Consultants.

Sohan Joshi: Sir, my first question is with regard to the expansion of East-West pipeline by the Saudi Arabia to the Red Sea, so that you can transport the oil surpassing the Strait of Hormuz. Is this discussion gaining any momentum? I mean, are you aware of these discussions?

Vipul Mathur: Sohan, we are, number 1. And what we are hearing and what we are seeing on the ground are 2 different realities. What we are hearing is much less than what is happening on the grou

nd.

Definitely, East West is a very active project, which is under discussion.

And I think a lot of steps the government of Saudi Arabia and especially Saudi Aramco is taking with respect to that. But do not -- we should not look East West only in isolation. East-West is only one part of the strategy of what they have been talking.

I think so there are multiple lines which they are talking at this point in time, multiple augmentation of capacities is what they are talking. And as I said earlier in the call, earlier, there was an internal discussion. Now they have moved to an engagement stage. So there's an engagement which is happening with the stakeholders.

So that is reinforcing that what is being discussed internally within government and Saudi Aramco is now coming up on the table and being discussed with the various suppliers and various stakeholders on the table, and that is reinforcing the trust. So it is East-West for sure. And apart from East West also, there are multiple things being talked about or engaged about.

Sohan Joshi: Okay. My second question is, there are some reports, and of course, it was even highlighted by President Trump that some of the data centers in U.S. are getting shifted from the city area to the rural area because there were some protests from the citizens and even President Trump tweeted about it. How are we seeing this affecting our demand? Is it going to increase since the location of the data centers itself has changed?

Vipul Mathur: See, a data centers typically, to the best of my understanding, they were never coming into the cities for the simple reason that the large cities cannot accommodate this type of data centers.

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So these data centers were typically moving towards more on the rural side of it always. They were always -- that was always the case.

Now there could be 1 or 2 which would have further moved for which this noise would have

been coming. I'm not privy to that. But at least all the data centers are coming in Midwest and in the Arizona region and because what you need there, you require a huge land parcel, number 1. Number 2, a lot of water; and number 3, a power connection.

Now the cities have all the 3 challenges. They don't have too much of a land space. They cannot give you that type of water, which is required. And in any case, all the cities are on the grid. And the grid infrastructure in America is so fragmented that if they start giving power from the grid to the data center, the grid could collapse.

So all these 3 factors are deterrent. Everyone in the data centers are aware of it, and that is the reason they are all moving to Midwest, Arizona regions and all that stuff. And I think so that growth with what we have been talking, what we have been hearing is the growth is much more than what we have been hearing about.

I think so the way they are coming up on the table, the way their demands are going up. I think so what also needs to be seen, Sohan is you -- another data point to track is the turbines, the gas turbines. Just to give you an example, 2 years back, the gas turbines, there were hardly -- hardly 5 or 7 or 10 gas turbines, which were sold in America, right?

This year, if you look at it, the order book is for more than 300 gas turbines. And this is the demand for the next 4 or 5 years. So if you look at that data point also, it is very clearly giving an indication that this business of data centers is going to exponentially grow.

And where these turbines fit because these data centers will have their own power plant, each power plant would require those turbines. And this number of turbines, incremental exponential growth in turbines is also giving a very clear indicator that this journey is a very, very -- it is going to happen.

And once you have that gas power plant out there, you would need a pipeline to

connect to that.

And that is where we come into play. So today, if you look at it, we have become a sort of an integrated part of a data center value chain. That's the way things are panning and shaping out in America. I hope that answers and addresses your question, Sohan.

Moderator: We have a next question from the line of Deep Gandhi from ithoughtPMS.

Deep Gandhi: Sir, first question is around again on the data center side. So I think one of the previous participants, you had mentioned that in terms of the new order inflow, the share of data center orders is increasing. So can you quantify that, I mean, in the pipeline or for the incremental orders, what share of the orders you are getting is towards data center? And similarly, I mean, also on the margins. So are the margins higher in the data center order? Or are they broadly similar to the oil business?

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Vipul Mathur: Deep, I think so I have answered both the questions. I'm sure you are listening to this call since it start. Both these questions I have already answered. I don't think so there is point repeating those answers, please.

Deep Gandhi: I think you haven't shared in terms of incrementally what percentage of orders you are getting from data center. You've given a sense that the share is increasing?

Vipul Mathur: No, I did say that currently, our portfolio would have something like 75-25. But I think so in times to come, we are seeing more traction and this portfolio might change. That's what I answered.

Deep Gandhi: Okay. Actually, I was looking for a number, if you can share what can be the numbers 2, 3 years down the line in terms of future order inflow from data center. That is what I'm trying to understand?

Vipul Mathur: Difficult to predict for us at this point in time because see, at the end of the day, it is also about timing. Now on a given time frame, there is a demand coming for data center and on the same time frame, there's a demand coming for an LNG export. I am not the one choosing for that.

Right? I am the one choosing for my -- what is the right mix for me to produce at that point in time with the right margin. I would love to do data centers as much as possible.

Why I'm saying data centers need to be seen, they need to be seen as an opportunity, as an alternate opportunity, which is coming up on the table. So which is giving us sort of a very long visibility about horizon about this line pipe demand for the next 5 to 7 years' time. I was -- I'm talking data centers from that context.

Deep Gandhi: Sure, sir. And sir, second question is, I think a few weeks back, we had INR1,600 crores orders for export from India. So can you give us some more sense around which geography are we going to export this order to? And I mean, usually, the understanding was India plant was meant mostly for domestic use. So I mean, are we seeing any new opportunities where the India plant could be used more towards export also? Are we seeing any more such orders in the pipeline?

Vipul Mathur: India has 3 types of plants. Number 1 is our LSWA plant number 2 is our Spiral plant. Number 3 is our HFIW plant or the ERW plants and number 4 is the DI plant. What I am talking here is

the India domestic demand being weak, which means it will impact my DIP, it might impact my Spiral. But our LSAW was always export.

So the export demand out of India is always going to be robust. It was, it is and it will be. So if you see on a year-on-year basis, we export almost 150,000 to 200,000 tons of pipe, which we export, which are primarily LSAW, not primarily, which are all 100% of them are.

That demand is very strong, that will continue to be strong. We have a large -- see this -- we are servicing the export market here in Middle East. We are servicing in the Southeast Asian market. And now we are extending our footprint into the Caspian region.

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So these are the 3 markets in which our India has been supplying the pipes in the past 5 years, and it will continue to do so in the next 5 years for a simple reason that the oil and gas investment is happening all over. It is not only happening in America or it is not only happening in Saudi Arabia. It is happening all over. So from our India, we are servicing the demand in the Caspian and the Middle East and the Southeast Asia region. So that demand is there and will be there.

Moderator: We have our next question from the line of Parth from Investec.

Parth: Sir, just one question, which is on approval. So once our new capacity is commissioned in KSA and U.S.A., typically, how long does it take to get the approvals from Tier 1 developers, owners? Do these projects go through a full fresh technical approval cycle for the new product or facility or does our existing track record and company credibility with clients helps to fast track these approvals?

Vipul Mathur: I think so the latter statement is the most appropriate statement part. I think so Welspun, typically, the quality management systems, what is one bothered about? They are bothered -- everyone is concerned about the quality, right? So the quality management system, we have a global quality management system. We have one quality policy, policy, wherever in the world we operate, it's the same one.

So nothing is going to change. Number 2, our relationship with the customer, our past supply track record. I think so these are all factors which only completely accelerate. So for us, getting -- once we are absolutely installed, erected and commissioned, getting approval is a matter of weeks, not months.

Parth: And that won't be the case for competition, right?

Vipul Mathur: I don't know. It should not be the case.

Moderator: We have our next question from the line of Arun Chulani from Freshwater Capital.

Arun Chulani: Just one quick question. I think I missed it, but which particular pipe is going into these data centers, which is the type of pipe?

Vipul Mathur: Sorry, Arun, can you repeat the question, please?

Arun Chulani: Sorry. Which type of pipe? Is it stainless steel? Is it HSAW? Is it LSAW, which is the pipe, the specific pipe that's being used in these data centers?

Vipul Mathur: Both, both Spiral as well as LSAW. Two things you have to take care -- Arun, you have to take note of. See, data centers are now coming in hinterlands, right? Now they have to cross multiple urban areas. And there, the code requirement, the safety code requirements are very different than when you are taking it to the -- from the Permian to the Gulf Coast because that particular corridor is not that habitated, right?

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So depending on what area it is, how much is the habitation in between, what is the safety code, which is in application, that is determining spiral versus LSW. So we are seeing a strong demand coming up in the data centers because they pass through -- the pipeline passes through a much thicker habitation area. So that's the impression we are getting. But to your question, whether both the pipes are acceptable, the answer is yes.

Arun Chulani: Got it. And I mean, this is for the U.S., but there was also a large data center announcements in India. So I don't think they've fruition as yet, but one would suspect that this would also create demand.

Vipul Mathur: It should. It should. But the good part here is, Arun, that there is already a gas grid, which is in place, number one. Now I think so to the best of my understanding, these data centers will be hooked to this gas grid, the national gas grid. Right? Instead of developing an independent line to their data centers, which is the case in the U.S., I don't think so that will be the case here in India. There

will be a requirement.

They will like to go through the national gas grid and which is where the companies like GAIL and they participate. And we are seeing that in their forecast, they are indicating that they want to add additional 10,000 kilometers of pipeline to complete the gas grid. So this demand, I'm sure, will come at an appropriate time.

Moderator: We have a next question from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, I'll just start where we left. Sir, you indicated securing a substrate is something which is a challenge, say, for FY29 order book. Sir, how are we going about it then? That's first. And secondly, are there any regulatory policy challenges that you foresee, which could actually derail the train where everything is going right at this juncture?

Vipul Mathur: So Ritesh, with respect to substrate sourcing, I think so it is a sort of a joint approach we follow. When we work with the local steel suppliers, we enjoy a credible relationship with them. And there's nothing called speculative. They have their skin in the game. So I don't -- I never said that it is going to be a challenge. I'm saying that it needs to be strategized. All -- as we are discussing requirements for -- we just concluded for FY28.

Now when we are getting into FY29, we are putting -- jointly putting together a strategy, what should be our strategy for FY29, and that means along with the steel guys as well. So I don't think so it is a challenge, but there's a work to be done, number 1.

Number 2, regulatory policy and challenges. Yes, there are challenges, but those challenges will be to the imports. See, one thing is we are very, very clear that in America, there has been -- we have seen certain imports still coming in, small diameter or someone had ventured and small quantities of large diameters also trickled in.

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I think so that will stop. So we are absolutely plugged with to the government to all the regulatory authorities and the bodies out there. Earlier, there was no capacity, no capabilities available there. But now when in America, all the capacity, the full capabilities are available.

So it is only a matter of reinforcing that things has to come to a standstill and for which we are gaining a very favorable traction. So I think so the regulatory challenge is more for the importers rather than domestic producers.

Ritesh Shah: Sir, last question. I'll just put a hypothetical scenario of Section 232 and 301 is completely rolled back hypothetically tomorrow. How does the nature of operations -- how does the economics change for us?

Vipul Mathur: Two things. Number 1, both 232 is by statute of law. It is not that by statute of precedent. It is by statute of law. So it cannot be rolled back, first and foremost. It has survived 2 terms of 2 different parties. So I see no reason whatsoever that this is going to roll back. For a simple understanding that in U.S., they completely understand there are 3 or 4 pillars of U.S. economy, automobiles, oil and gas, steel, tech. These are 3 or 4 pillars they completely understand. They are -- there is a bipartisan support around all these 4 things.

I think so they are formulating and they have formulated an ecosystem that anything and everything has to be around that. So with the bipartisan support, which they have in the Senate and the Congress and through legislation, it is impossible to roll back something like this. Things which can be -- things which have an impact are the stack up duties here and there.

So they are marginal in nature. So they are not going to move the needle. But if that 232, which is the cornerstone, which is 50%, that is not going to go away anywhere for sure. Do we have any questions left?

Moderator: No, sir. This was the last question. Ladies and gentlemen, that was the last question of the day, and I now hand

the conference over to the management for closing comments. Over to you, sir.

Vipul Mathur: Yes. Thank you, gentlemen. Thank you all for participating in this call. I think so we tried to answer most of your questions. I still feel that if there are any further clarity which are required, you can definitely reach out to Mr. Percy and Mr. Goutam to get those answers.

But fundamentally, what I'm trying to tell you, gentlemen, that, a, the company -- your company is on a very, very strong wicket. I think so this -- our performance is a testimony to that. Our future order book is also -- gives you a clear visibility as to what is going to happen over next 10 to 12 quarters' time and maybe even more.

The market -- we are seeing the tailwinds in the market. We are present into those markets where the tailwinds are there. It is definitely going to offset some setbacks what we might have in the Indian domestic market, but they are going to be largely offsetted by miles into the geographies what we are present.

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And I'm sure that the best of the company is yet to come. So continue to have your trust, continue to have your faith, and we look forward for all your support what you have given us till date.

Thank you very much for joining us and all the very best. Good day to you.

Moderator: Thank you, sir. On behalf of 360 ONE Capital Market Research, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Vipul Mathur: Thank you.